

## 網上資源站QR CODE -->

同學可以透過scan右邊的QR code 到訪我們的免費網上資源站，即可見到不同按鈕選項以取得不同資源，以下是不同按鈕選項的介紹



### I. 有關回報題目的問題

由於一般的by topic pastpaper內含三十年的AL，三十年的CE及十幾年的DSE題目，總共嘅題目數量都接近4000-10000題，我們的合作導師有時候都難免會有少許手民之誤，有可能會打錯字，又或者編排上面會有少許問題，小編本身每年亦會進行恆常校對，所以現時有問題嘅問題數量已經係極少。但係如果同學仍發現到題目或者答案有問題的話，歡迎在網上資源站 click **Link 1. 回報Past paper問題**，填寫表格向我們通知回報，為表謝意，每發現一個錯誤我們都會送出一份名校試卷俾同學。

發現錯誤之後我們會盡快更正，而其他已購買的同學可以click **Link 2. Past paper 更正修改記錄**以得知最新的更正。

### II. 有關最新一年的試卷

而最新一年的試卷我們一般不會編排入去做by topic，因為有相當多的同學是希望將最新一年的past paper留嚟成份卷咁樣做，所以我們會提供試卷的原卷及這年的by topic試題分類表在此書的最後（book1或2或3），以滿足不同同學的需要。

每一年的DSE在5月完結後，官方的答案會在11月公布，由於5月-11月暫時並未有官方答案，所以最新一年的試題的官方答案我們會在11月中的時候上載到Google Drive，同學可以click **Link 3. 最新一年的Past paper答案**以查看並且下載。

### III. 有關兩版一頁的問題

為了提供最相宜的價格，大部份By topic試卷我們都會以兩版一頁這樣印刷，我們明白同學有機會會覺得字體可能會太小，所以如果同學有需要的話，可以向我們申請加錢換購一版一頁的By topic pp，詳情可以whatsapp/instagram/carousel與我們聯絡，不便之處，敬請原諒。

### IV. 有關詳細題解

絕大部份的科目一般只有長題目會有詳細題解，至於多項選擇題的話，一般只有答案件，詳細的答案解釋暫時只有少數科目有，其他科目的詳細題解我們會慢慢推出，如果有更新的話我們亦會放在**Link 4. MC 詳細題解**，另外其實嘅YouTube上面亦可以簡單搜尋到相關题目的題解，例如如果想要的題解，只需要把「chem 2005 CE Paper 1 Q5」這個題號放上YouTube搜尋即可找到。

# BY TOPIC PP INTRO

## 六個秘訣 活用BY TOPIC PAST PAPER

### I. 先做MC再做LQ

編者建議同學先溫好一個topic的重點，然後做該topic的MC並對答案先，並從錯了的問題中了解自己有咩concept未清，而從中做到清concept的效果，清晰了解過後，便可以開始做LQ，操LQ的重點是了解如何答得中晒point，用最精簡省時的方法取得滿分。

### II. 做一條就對一條

操卷時，編者建議你做一條然後即刻對答案，以便即刻了解自己的答案有什麼缺陷，並有機會試做其他題目，以確保自己清楚明白。如果做晒一個課題嘅所有題目先對卷，你會一次過發現自己錯d咩，有機會畀自己再試下作答。相反，當你做一條對一條嘅時候，你可以即刻了解自己啱啱咩錯啱咩，學識咗之後點樣做嗰一類嘅問題。當你做下一年遇到同樣嘅題目嘅時候，你已經學識咗點樣作答，仲可以答得更準確。

### III. 參考MARKING SCHEME

睇LQ，考評局marking scheme嘅寫法，往往係最低成本風險嘅滿分方法，係有很大的參考價值，尤其係Econ,bio，所以操by topic時，除了要歸納出題趨勢外，更要歸納每題marking嘅共通之處，建立你自己嘅答題框架、技巧。

### IV. 整理複習筆記及錯題簿

為咗可以加深記憶，以及避免重複犯錯。編者建議大家要整理自己的複習筆記，寫低每一個課題嘅考核重點，以及常犯錯誤。你唔一定要自己由頭整啲 notes，你可以睇學校老師畀嘅 notes / 教科書上再額外補充，最緊要係方便到自己之後溫書。

### V. 每一次做至少一個 BY TOPIC PP課題嘅一半

編者唔建議大家分開好多次去一個 topic 嘅 dse by topic past paper 題目，咁樣冇咗做 by topic 個意義。所以，每一次操卷嘅時候大約用兩至三個鐘，至少要做夠一個課題嘅一半 by topic 題目。

### VI. 做至少 30 年 PAST PAPER

考評局出卷模式傾向抄歷屆試題，所以操卷時做30年係必須的。視乎翻個科目，好多科目主要做會考 CE 卷同 DSE 卷都足夠。有一少部分科目就要多少少高考 AL 卷。做夠30年，基本上你已經睇到晒嗰一個課題出咩問題同埋需要答嘅答案係啱咩。

**此科編輯或內容上的特殊地方（如有）：**

# TABLE OF CONTENTS

|                                                         |            |
|---------------------------------------------------------|------------|
| <b>CH 1 National Income .....</b>                       | <b>1</b>   |
| 1.1 CIRCULAR FLOWS.....                                 | 1          |
| 1.2 EXPENDITURE APPROACH .....                          | 5          |
| 1.3 VALUE-ADDED APPROACH .....                          | 15         |
| 1.4 ITEMS INCLUDED AND EXCLUDED IN GDP .....            | 23         |
| 1.5 GDP AND GROSS NATIONAL INCOME (GNI) .....           | 33         |
| 1.6 NOMINAL AND REAL GDP .....                          | 39         |
| 1.7 LIMITATIONS OF NATIONAL INCOME STATISTICS .....     | 49         |
| 1.8 UNCLASSIFIED .....                                  | 53         |
| <b>CH 2 Macroeconomic Problems .....</b>                | <b>54</b>  |
| 2.1 UNEMPLOYMENT .....                                  | 54         |
| 2.2 THE GENERAL PRICE LEVEL.....                        | 65         |
| 2.3 BUSINESS CYCLE .....                                | 78         |
| 2.4 DISINFLATION, NOMINAL AND REAL INTEREST RATES ..... | 90         |
| <b>CH 3 The Budget &amp; Fiscal Policy .....</b>        | <b>98</b>  |
| 3.1 PRINCIPLES OF TAXATION .....                        | 98         |
| 3.2 TAXATION IN HONG KONG .....                         | 103        |
| 3.3 CLASSIFICATION AND EFFECTS OF TAXES .....           | 113        |
| 3.4 PUBLIC SECTOR AND FISCAL POLICY .....               | 139        |
| 3.5 EFFECT OF A BALANCED BUDGET.....                    | 145        |
| <b>CH 4 Money &amp; Banking (I) .....</b>               | <b>148</b> |
| 4.1 MONEY: NATURE AND FUNCTIONS.....                    | 148        |

# TABLE OF CONTENTS

|                                                                                    |            |
|------------------------------------------------------------------------------------|------------|
| 4.2 BANKING SYSTEM AND THE CENTRAL BANK...                                         | 163        |
| 4.3 MONEY SUPPLY DEFINITIONS: M1, M2 & M3.....                                     | 170        |
| 4.4 DEPOSIT CREATION .....                                                         | 181        |
| <b>CH 5 Money &amp; Banking (II) .....</b>                                         | <b>202</b> |
| 5.1 MONETARY BASE (M0) AND MONETARY POLICY .....                                   | 202        |
| 5.2 MONEY DEMAND .....                                                             | 217        |
| 5.3 THE QUANTITY THEORY OF MONEY (QTM) ....                                        | 228        |
| <b>CH 6 Aggregate Demand &amp; Aggregate Supply ....</b>                           | <b>240</b> |
| 6.1 DEMAND- AND SUPPLY-SIDE FACTORS AFFECTING NATIONAL INCOME .....                | 240        |
| 6.2 LONG RUN AND SHORT-RUN EQUILIBRIUM .                                           | 249        |
| 6.3 FISCAL BALANCE AND TRADE BALANCE .....                                         | 272        |
| <b>CH 7 International Trade .....</b>                                              | <b>280</b> |
| 7.1 GAINS FROM FREE TRADE .....                                                    | 280        |
| 7.2 TRADE BARRIERS .....                                                           | 308        |
| <b>CH 8 International Finance .....</b>                                            | <b>319</b> |
| 8.1 BALANCE OF PAYMENTS.....                                                       | 319        |
| 8.2 EXCHANGE RATES .....                                                           | 343        |
| <b>CH 9 Elective 2: Extension of Trade Theory &amp; Economic Development .....</b> | <b>360</b> |
| 9.1 EXTENSION OF TRADE THEORY .....                                                | 360        |
| 9.2 ECONOMIC DEVELOPMENT.....                                                      | 378        |

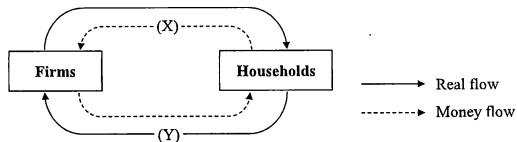


## SECTION 1: NATIONAL INCOME

### 1.1 CIRCULAR FLOWS

#### Multiple Choice Questions

1990/CE/II/35



X and Y in the above circular flow of economic activities should be labeled respectively as

- A. sales revenue; factor services.
- B. sales revenue; goods and services.
- C. factor income; goods and services.
- D. factor income; factor services.

1990/CE/II/57

Which of the following is a 'stock' concept?

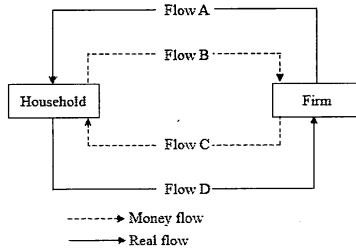
- A. Amy earns a monthly income of \$3 000.
- B. Mr Wong consumes three cups of coffee per day.
- C. The government spent \$1 billion on social services last year.
- D. Peter had \$1 million in his savings account at the end of last year.

1991/CE/II/42

Which of the following are classified as 'flows'?

- (1) bank deposits
  - (2) the imports of Hong Kong
  - (3) rental income
  - (4) the inventory of a department store
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

1991/CE/II/47



When economist calculate a country's national income by the income approach, they measure \_\_\_\_\_ in the above chart.

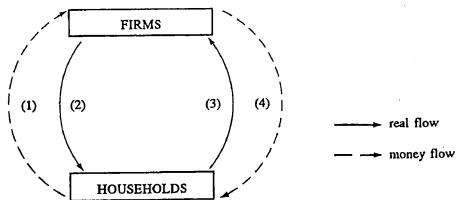
- A. Flow A
- B. Flow B
- C. Flow C
- D. Flow D

1992/CE/II/44

Which of the following are 'stock' concepts?

- A. The balance in a savings account as at December 31, 1991.
- B. Hong Kong's balance of payments.
- C. Hong Kong's GDP.
- D. Hong Kong's total exports.

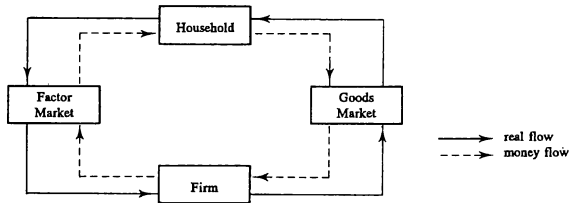
1993/CE/II/37



The diagram above shows the circular flow of economic activities. The economy's expenditure and income are shown in Flow \_\_\_\_\_ and Flow \_\_\_\_\_ respectively.

- A. (1); (2)
- B. (1); (4)
- C. (2); (3)
- D. (3); (4)

1994/CE/II/31

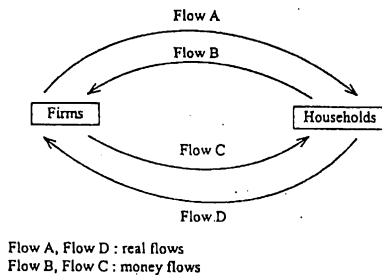


What does the above diagram show?

- A. Economic activities take place in an open economy.
- B. There is government intervention in the economy.
- C. National income equals national expenditure.
- D. Households conduct transactions in the goods market only.

2002/CE/II/24

Refer to the circular flows below:

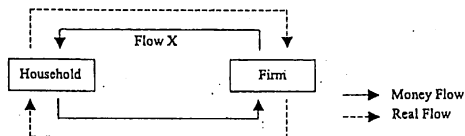


What of the following statements is correct?

- A. Flows A and D are flows of households' expenditure and firms' payment to factor owners respectively.
- B. All value-added totals contributed by the firms equal the market value of all final goods and services.
- C. The market value of Flow B equals the market value of all final goods and services plus the market value of unsold goods.
- D. The flow of final goods and services includes self-provided services.

2003/CE/II/25

Refer to the following circular flow of an economy:

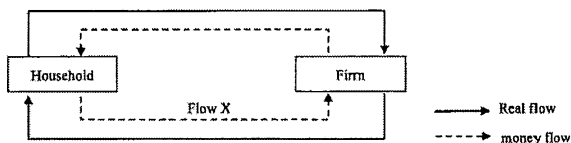


Which of the following is included in Flow X?

- A. household expenditure on final goods and services
- B. factor income such as rent and wages
- C. value of intermediate goods
- D. market value of all final goods and services

2009/CE/II/26

Refer to the following circular flow of Economy A:



Flow X represents

- A. the total expenditures on all final goods and services.
- B. the total income earned by households from their factor services.
- C. the total value of factor services provided by households to firms.
- D. the total market value of all intermediate and final goods and services.

## 1.2 EXPENDITURE APPROACH

### Multiple Choice Questions

1990/CE/II/33

A Hong Kong citizen switches his flight from a local airline to Japan Airlines. What is the effect on Hong Kong's Gross Domestic Product (GDP)?

- A. an increase in imports
- B. a decrease in exports
- C. a decrease in consumption
- D. an increase in investment

1993/CE/II/39

|                                        | \$ million |
|----------------------------------------|------------|
| Private consumption expenditure        | 40         |
| Government consumption expenditure     | 10         |
| Gross domestic fixed capital formation | 10         |
| Change in stocks                       | 1          |
| Total exports of goods                 | 80         |
| Domestic exports                       | 70         |
| Re-exports                             | 10         |
| Imports of goods                       | 60         |
| Exports of services                    | 20         |
| Imports of services                    | 30         |
| Inflow of capital                      | 30         |
| Outflow of capital                     | 15         |

The GDP of the economy in that year is

- A. \$61 million.
- B. \$70 million.
- C. \$71 million.
- D. \$81 million.

1993/CE/II/51

An increase in exports and a decrease in imports will cause the national income to

- A. increase
- B. decrease
- C. remain unchanged
- D. either increase or decrease

1996/CE/II/28

In using the expenditure approach to calculate the Gross National Product (GNP) of an economy, imports should be deducted because:

- A. Some imports are substitutes of domestic products.
- B. Some imports are intermediate goods.
- C. Imports will lead to payments to foreign countries.
- D. Imports are the expenditure on goods and services produced by foreign countries.

1996/CE/II/30

Refer to the following information about an economy:

|                               |       |
|-------------------------------|-------|
| GNP at market price           | \$100 |
| Exports of goods and services | 20    |
| Imports of goods and services | 30    |
| Net income from abroad        | -5    |
| Indirect taxes                | 25    |
| Subsidies                     | 35    |
| Depreciation                  | 5     |

The GDP at factor cost is:

- A. \$95  
C. \$115
- B. \$105  
D. \$125

1998/CE/II/30

Answer Question 30 by referring to the following data of an economy:

|                                        | \$Mn |
|----------------------------------------|------|
| Gross national product at market price | 46   |
| Change in stock                        | 3    |
| Net income from abroad                 | 1    |
| Subsidies                              | 4    |
| Depreciation                           | 5    |
| Indirect business tax                  | 6    |
| Net exports                            | 2    |

The gross national product at factor cost (in \$Mn) is

- A. 39.  
C. 44.
- B. 43.  
D. 47.

2001/CE/II/28

The following table shows the gross domestic product (GDP) data of a country.

|                                      | \$Mn |
|--------------------------------------|------|
| Private consumption expenditure      | 500  |
| Government consumption expenditure   | 100  |
| Net domestic fixed capital formation | 250  |
| Changes in inventories               | 30   |
| Total exports of goods               | 800  |
| Re-exports of goods                  | 200  |
| Imports of goods                     | 900  |
| Exports of services                  | 300  |
| Imports of services                  | 150  |
| Depreciation                         | 60   |

The GDP at market price is

- A. \$900 million.  
C. \$990 million.
- B. \$930 million.  
D. \$1 190 million.

2003/CE/II/26

The following table shows the gross domestic product (GDP) data of a country in a certain year.

|                                        | \$ Million |
|----------------------------------------|------------|
| Private consumption expenditure        | 400        |
| Government consumption expenditure     | 100        |
| Gross domestic fixed capital formation | 200        |
| Reduction in inventory                 | 20         |
| Domestic exports of goods              | 330        |
| Re-exports of goods                    | 170        |
| Imports of goods                       | 550        |
| Exports of services                    | 400        |
| Imports of services                    | 350        |
| Depreciation allowance                 | 60         |

The GDP at market price is

- A. \$620 million.
- B. \$660 million.
- C. \$680 million.
- D. \$720 million.

2004/CE/II/29

The introduction of the 'individual visit' (個人遊) scheme for Mainland visitors to HK would increase the GDP of HK. The spending of these visitors on jewellery in HK is a/an \_\_\_\_\_ of HK.

- A. consumption expenditure
- B. investment expenditure
- C. export
- D. import

2005/CE/II/27

The following table shows the statistical data of an economy in a certain year.

|                                        | Million Dollars |
|----------------------------------------|-----------------|
| Private consumption expenditure        | 50 000          |
| Government consumption expenditure     | 8 000           |
| Gross domestic fixed capital formation | 7 000           |
| Decrease in inventory                  | 3 000           |
| Total export                           | 30 000          |
| Total import                           | 45 000          |
| Indirect taxes                         | 50              |
| Depreciation allowance                 | 4 200           |

The GDP at market price (in million dollars) is

- A. 42 850.
- B. 47 000.
- C. 50 000.
- D. 51 150.

2006/CE/II/28

The following table shows the statistical data of an economy.

| Components                           | \$Million |
|--------------------------------------|-----------|
| Private consumption expenditure      | 200       |
| Government consumption expenditure   | 150       |
| Net domestic fixed capital formation | 300       |
| Decrease in stock                    | 70        |
| Subsidies                            | 120       |
| Depreciation                         | 50        |
| Net exports                          | 300       |
| Net income from abroad               | 80        |
| Direct tax                           | 100       |

The GDP at factor cost (in \$mn) is

- A. 950. B. 970.  
C. 1 050. D. 1 190.

2008/CE/II/26

The following table shows the national income statistics of an economy :

| Components                             | \$Million |
|----------------------------------------|-----------|
| Private consumption expenditure        | 800       |
| Government consumption expenditure     | 250       |
| Gross domestic fixed capital formation | 600       |
| Decrease in inventories                | 50        |
| Total export of goods                  | 1 700     |
| Total import of goods                  | 450       |
| Export of services                     | 850       |
| Import of services                     | 550       |

The gross domestic product (GDP) at market price is \$\_\_\_\_\_ million.

- A. 3 100 B. 3 150  
C. 3 200 D. 3 250

2009/CE/II/28

The following table shows the statistical data on an economy.

| Components                           | \$ million |
|--------------------------------------|------------|
| Private consumption expenditure      | 600        |
| Net domestic fixed capital formation | 250        |
| Increase in stock                    | 70         |
| Government consumption expenditure   | 450        |
| Depreciation                         | 30         |
| Total exports of goods and services  | 500        |
| Total imports of goods and services  | 140        |
| Re-exports of goods                  | 100        |

The GDP at market price is \$\_\_\_\_\_ million.

- A. 1 690 B. 1 730  
C. 1 760 D. 1 830



Study the following table and answer questions 26 and 27.

| GDP Items                              | \$ billion |
|----------------------------------------|------------|
| Private consumption expenditure        | 100        |
| Gross domestic fixed capital formation | 200        |
| Changes in inventories                 | -50        |
| Depreciation                           | 10         |
| Government consumption expenditure     | 150        |
| Transfer payments                      | 20         |
| Indirect taxes                         | 100        |
| Subsidies                              | 40         |
| Net exports of goods and services      | -15        |

2010/CE/II/26

The GDP at market price is \$ \_\_\_\_\_ billion.

- A. 375  
C. 395
- B. 385  
D. 445

2010/CE/II/27

The GDP at factor cost is \$\_\_\_\_\_ billion.

- A. 315  
C. 375
- B. 325  
D. 445

2012/DSE/I/22

Refer to the following table.

| Gross Domestic Product (GDP) Components | \$ million |
|-----------------------------------------|------------|
| Private consumption expenditure         | 200        |
| Net domestic fixed capital formation    | 40         |
| Increase in inventory                   | $x$        |
| Government consumption expenditure      | 24         |
| Net exports                             | 10         |
| Indirect taxes                          | 60         |
| Subsidies                               | 30         |
| Depreciation                            | 40         |
| Net factor income from abroad           | 16         |

If the GDP at factor cost is \$264 million, the value of  $x$  is \_\_\_\_\_.

- A. -50  
C. 20
- B. -20  
D. 50

2013/DSE/I/22

Consider the following Gross Domestic Product (GDP) data about a country.

2013/DSE/I/22

Consider the following Gross Domestic Product (GDP) data about a country.

| Components                             | \$ million |
|----------------------------------------|------------|
| GDP at market price                    | 200        |
| Private consumption expenditure        | 120        |
| Gross domestic fixed capital formation | 40         |
| Change in inventories                  | 10         |
| Total exports of goods                 | 80         |
| Domestic exports of goods              | 70         |
| Imports of goods                       | 60         |
| Exports of services                    | 20         |
| Imports of services                    | 30         |
| Net income from abroad                 | 25         |
| Depreciation                           | 35         |
| Indirect business tax                  | 28         |
| Subsidies                              | 18         |

The government consumption expenditure for that year is \$ \_\_\_\_\_ million.

- A. 20  
B. 30  
C. 40  
D. 50

2016/DSE/I/23  
Consider the following Gross Domestic Product (GDP) data about a country.

2016/DSE/I/23  
Consider the following Gross Domestic Product (GDP) data about a country.

| GDP Components                         | \$ million |
|----------------------------------------|------------|
| Private consumption expenditure        | 380        |
| Government consumption expenditure     | 450        |
| Gross domestic fixed capital formation | 230        |
| Decrease in stock                      | 50         |
| Subsidies                              | 30         |
| Depreciation                           | 40         |
| Total exports                          | 130        |
| Total imports                          | 170        |
| Direct tax                             | 30         |

The GDP at factor cost is \$\_\_\_\_\_ million.

- A. 960  
C. 1 000
- B. 970  
D. 1 100

**2022/DSE/I/24**

Study the following data of an economy.

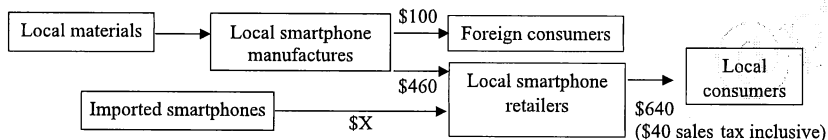
| Components                             | \$ million |
|----------------------------------------|------------|
| Private consumption expenditure        | 500        |
| Gross domestic fixed capital formation | 260        |
| Decrease in stock                      | 120        |
| Government consumption expenditure     | 470        |
| Total exports of goods                 | 380        |
| Re-exports of goods                    | 140        |
| Total imports of goods                 | 220        |
| Net exports of services                | 730        |
| Depreciation                           | 90         |
| Indirect taxes                         | 75         |

The gross domestic product (GDP) at factor cost is \$ million.

- A. 1925
- B. 2065
- C. 2075
- D. 2165

**2023/DSE/I/25**

The following diagram shows a production chain of smartphones in an economy.



If the contribution of the above production chain to the economy's GDP at factor cost is \$560, the value of X is \_\_\_\_\_.

- A. 40
- B. 80
- C. 140
- D. 180

2024/DSE/I/24

Refer to the following data of an economy.

| Components                           | \$ million |
|--------------------------------------|------------|
| Private consumption expenditure      | 100        |
| Net domestic fixed capital formation | 20         |
| Government consumption expenditure   | 30         |
| Change in inventories                | –5         |
| Net export of goods                  | 60         |
| Re-exports                           | 27         |
| Import of services                   | 80         |
| Export of services                   | 40         |
| Depreciation                         | 11         |
| Indirect tax                         | 18         |

The gross domestic product (GDP) at market price is \$\_\_\_\_\_million.

- A. 165
- B. 176
- C. 194
- D. 203

### Short & Structured Questions

1990/CE/I/3(a)(iii)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

|                                        | <u>\$ Billion</u> |
|----------------------------------------|-------------------|
| Private consumption expenditure        | 255               |
| Government consumption expenditure     | 30                |
| Gross domestic fixed capital formation | 109               |
| Increase in stocks                     | 10                |
| Domestic exports of goods              | 218               |
| Re-exports of goods                    | 275               |
| Imports of goods                       | 501               |
| Exports of services                    | 86                |
| Imports of services                    | 56                |

(The GDP deflator for 1980 = 100)

Find Hong Kong's GDP at current prices for 1988. Name the approach you have used to calculate the national income.

(5 marks)

1993/CE/I/4(a)(i)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

| GDP Components                     | <u>Ratio to total GDP</u> |      |
|------------------------------------|---------------------------|------|
|                                    | 1980                      | 1990 |
| Private consumption expenditure    | 62%                       | 62%  |
| Government consumption expenditure | A%                        | 6%   |
| Investment                         | 36%                       | 28%  |
| Exports                            | 88%                       | 165% |
| Imports                            | 93%                       | 161% |

Name the method of GDP measurement used in the above table and calculate the value of A. Show your working. (4 marks)

2002/CE/I/11(a)(i)

The following shows the gross domestic product (GDP) data of economy A in a certain year.

|                                    | <u>\$million</u> |
|------------------------------------|------------------|
| Private consumption expenditure    | 400              |
| Net investment expenditure         | 180              |
| Government consumption expenditure | 250              |
| Exports                            | 500              |
| Imports                            | 650              |
| Depreciation                       | 150              |
| Indirect business tax              | 50               |
| Interest                           | 200              |

Calculate the GDP at market price of economy A.

(3 marks)

2018/DSE/II/12(c)

Source 2: Statistical data about tourism in Hong Kong in 2016

|                                                         | <u>2016</u>       | <u>Compared with 2015 (%)</u> |
|---------------------------------------------------------|-------------------|-------------------------------|
| Mainland visitors                                       | 42.8 billion      | -6.7%                         |
| Total visitors                                          | 56.65 billion     | -4.5%                         |
| Total tourism expenditure associated to inbound tourism | HK\$296.2 billion | -10.1%                        |

With reference to Source 2, to which component of Hong Kong's GDP does the 'total tourism expenditure associated to inbound tourism' belong?

(1 mark)

### 2025/DSE/II/9(Cross Topic)

In the 2024-25 Budget, the Financial Secretary proposed to adjust the rate of the hotel accommodation tax (HAT) from 0% to 3% with effect from 1 January 2025. Hotels and guesthouses would be required to pay the HAT at the rate of 3% on accommodation charges.

- (a) Explain whether the proposed HAT is a progressive tax, a proportional tax or a regressive tax. (3 marks)
- (b) An economist comments, 'Both the indirect tax revenue and the direct tax revenue of the Government may be affected by the above proposed HAT.' Justify the economist's comment. (4 marks)

There are receptionists, bell boys, room attendants and managers working in hotels.

- (c) What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)
- (d) The following is a job advertisement for room attendants in a hotel.

|                                                                                                             |
|-------------------------------------------------------------------------------------------------------------|
| Room attendants<br>Major duty: tidying up hotel rooms<br>Working hours: 10am – 2pm<br>Salary: \$85 per hour |
|-------------------------------------------------------------------------------------------------------------|

From the viewpoint of the hotel owners, give **ONE** advantage and **ONE** disadvantage of the above wage payment method over piece rate. (2 marks)

- (e) Many hotels in Hong Kong charge a higher room rate during public holidays than on other days. Explain whether the opportunity cost of staying in those hotels in Hong Kong is *necessarily* higher during public holidays than on other days. (3 marks)

### 1.3 VALUE-ADDED APPROACH

#### Multiple Choice Questions

1992/CE/II/13

Which of the following can lead to the conclusion that the manufacturing sector in Hong Kong is declining in its contribution to Hong Kong's Gross Domestic Product (GDP)?

- A. The number of workers in this sector is decreasing.
- B. The number of firms in this sector is decreasing.
- C. The wage rates in this sector are decreasing.
- D. The value added of this sector is decreasing.

1992/CE/II/46

Which of the following ways of measuring output involves double counting?

- A. summing up the expenditures on all final goods and services
- B. summing up the incomes earned by all factors of production
- C. summing up the values added in all production stages
- D. summing up the values of all market transactions

1995/CE/II/59

| Year                 | Real GDP value-added per employee |           |
|----------------------|-----------------------------------|-----------|
|                      | 1982                              | 1992      |
| Manufacturing sector | \$41 000                          | \$165 000 |
| Services sector      | \$103 000                         | \$280 000 |

Which of the following statements is **NOT** a conclusion drawn from the above table?

- A. The manufacturing sector had a higher labour productivity in 1992 than in 1982.
- B. The services sector had a higher labour productivity in 1992 than in 1982.
- C. The services sector had a higher labour productivity than the manufacturing sector in 1992.
- D. The services sector had a higher labour productivity growth rate than the manufacturing sector.

1998/CE/II/25

The following transactions were recorded in an economy in a certain year:

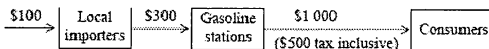
- (1) Firm A sold its products to Firm B for \$100 and Firm C for \$200.
- (2) Firm B then resold part of the products to households for \$200 and the rest to other firms for \$300.
- (3) Firm C then exported the products for \$500.

In the above transactions what was the total contribution of Firm B and Firm C to the gross domestic product (GDP) of this economy?

- A. \$700
- B. \$900
- C. \$1 100
- D. \$1 300

2000/CE/II/35

The following diagram shows a production chain involving the import of \$100 worth of gasoline into Hong Kong:



What is the contribution of the production chain to Hong Kong's GDP at factor cost?

- A. \$400
- B. \$500
- C. \$900
- D. \$1 000

2002/CE/II/26

Nancy runs a boutique in Hong Kong. The following table shows the boutique's financial statement for a given period of time.

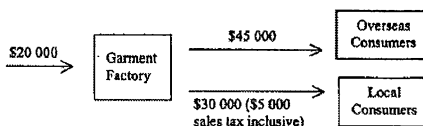
|                             | (\$ 000)     | (\$ 000)     |
|-----------------------------|--------------|--------------|
| Sales revenue of fashions   |              | 16 000       |
| Less : Imported fashions    | 2 000        |              |
| Electricity & water charges | 3 000        |              |
| Wage payment                | 2 500        |              |
| Profits tax                 | <u>1 500</u> | <u>9 000</u> |
| Net profit                  |              | <u>7 000</u> |

What is the contribution of Nancy's boutique to Hong Kong's GDP in thousand dollars?

- A. 7 000
- B. 11 000
- C. 14 000
- D. 16 000

2003/CE/II/27

The following diagram shows the production of a garment factory in Economy A. The factory imports \$20000 worth of raw materials.

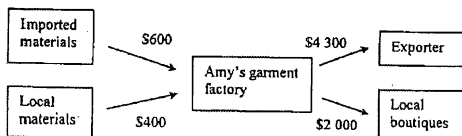


What is the contribution of the garment factory to Economy A's GDP at factor cost?

- A. \$10 000
- B. \$50 000
- C. \$55 000
- D. \$75 000

2004/CE/II/27

The following diagram shows a production process of an economy.



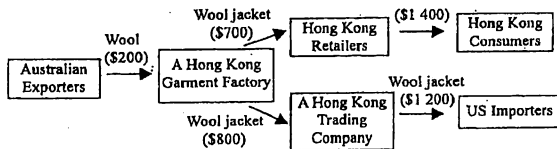
What is the contribution of Amy's garment factory to the national income of the economy?

- A. \$1 600
- B. \$3 700
- C. \$5 300
- D. \$5 900



2005/CE/II/28

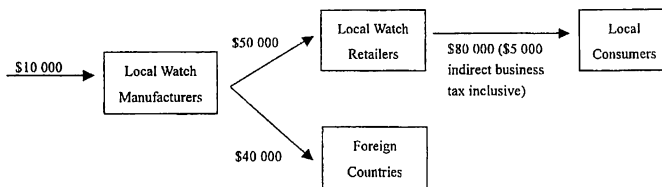
A production chain is shown below.



The contribution of the above production chain to Hong Kong's GDP is

- A. \$1 400.
- B. \$1 700.
- C. \$2 400.
- D. \$2 600.

Answer questions 28 and 29 by referring to the following production chain of watches in an economy. The local watch manufacturers import \$10 000 worth of raw materials.



2007/CE/II/28

What is the contribution of the above production chain to the economy's GDP at market prices?

- A. \$105 000
- B. \$110 000
- C. \$115 000
- D. \$120 000

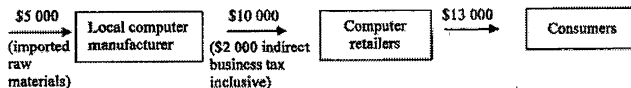
2007/CE/II/29

Which of the contribution of the local watch retailers to the economy's GDP at factor cost?

- A. \$25 000
- B. \$30 000
- C. \$75 000
- D. \$80 000

2009/CE/II/27

The following diagram shows a production chain of computers in an economy. It involves the import of \$5 000 worth of raw materials.

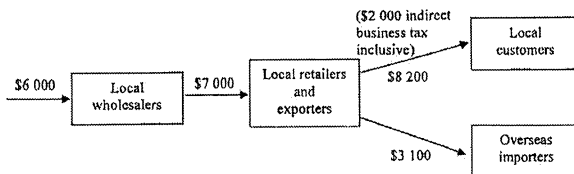


What is the contribution of the above production chain to the economy's gross domestic product (GDP) at factor cost?

- A. \$6 000
- B. \$8 000
- C. \$10 000
- D. \$13 000

2010/CE/II/28

The following diagram shows a production chain of computers in an economy. It involves the import of \$6 000 worth of raw materials.

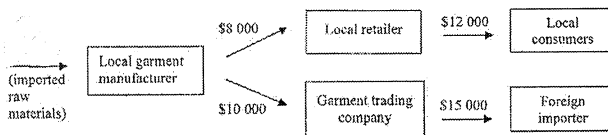


What is the contribution of the above production chain to the economy's GDP at factor cost ?

- A. \$3 300
- B. \$5 300
- C. \$9 300
- D. \$11 300

2011/CE/II/26

The following diagram shows a production chain of garments in an economy. It also indicates the selling price of the output in different stages of the production. The imported raw materials are worth \$6 000.

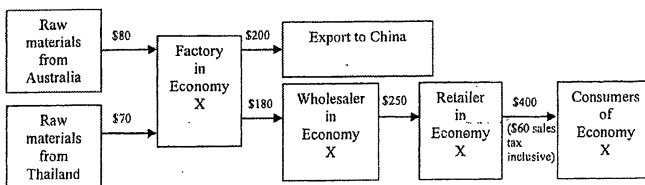


Suppose the garment trading company has received \$1 000 export subsidy from the government. What is the contribution of the above production chain to the economy's GDP at factor cost?

- A. \$20 000
- B. \$22 000
- C. \$26 000
- D. \$28 000

2014/DSE/I/24

The following diagram shows a production chain of a good in Economy X:

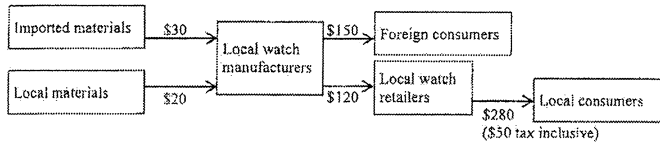


What is the contribution of the production chain to the Gross Domestic Product (GDP) at market price of Economy X?

- A. \$340
- B. \$390
- C. \$450
- D. \$600

2017/DSE/I/25

The following diagram shows a production chain of watches in an economy:

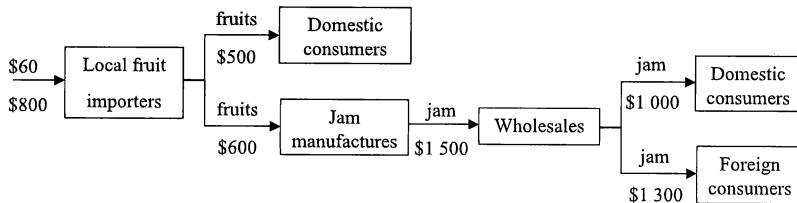


The contribution of the local watch manufacturer to the economy's GDP at market prices is \_\_\_\_\_.

- A. \$220
- B. \$240
- C. \$350
- D. \$400

2019/DSE/I/26

Refer to the following production chain in Country A and answer the question.

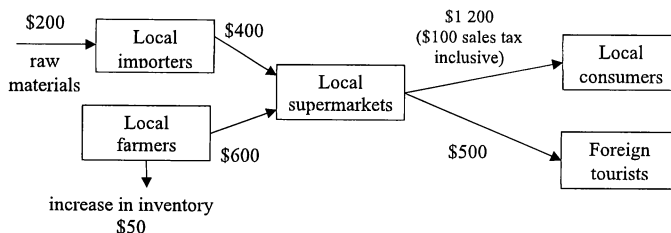


Suppose the above production chain has included a subsidy of \$300 that is given to the jam manufacturers. What is the contribution of the above production chain to Country A's GDP at factor cost?

- A. \$1 700
- B. \$1 800
- C. \$2 000
- D. \$2 300

2021/DSE/I/23

A production chain of Good X in an economy is shown below.



The contribution of the above production chain to the economy's gross domestic product at factor cost is \_\_\_\_\_.

- A. \$1 400
- B. \$1 450
- C. \$1 500
- D. \$1 550

2022/DSE/I/24

Study the following data of an economy.

| Components                             | \$ million |
|----------------------------------------|------------|
| Private consumption expenditure        | 500        |
| Gross domestic fixed capital formation | 260        |
| Decrease in stock                      | 120        |
| Government consumption expenditure     | 470        |
| Total exports of goods                 | 380        |
| Re-exports of goods                    | 140        |
| Total imports of goods                 | 220        |
| Net exports of services                | 730        |
| Depreciation                           | 90         |
| Indirect taxes                         | 75         |

The gross domestic product (GDP) at factor cost is \$ \_\_\_\_\_ million.

- A. 1925
- B. 2065
- C. 2075
- D. 2165

### Short & Structured Questions

1990/CE/1/3(a)(ii)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

|                                        | \$ Billion |
|----------------------------------------|------------|
| Private consumption expenditure        | 255        |
| Government consumption expenditure     | 30         |
| Gross domestic fixed capital formation | 109        |
| Increase in stocks                     | 10         |
| Domestic exports of goods              | 218        |
| Re-exports of goods                    | 275        |
| Imports of goods                       | 501        |
| Exports of services                    | 86         |
| Imports of services                    | 56         |

(The GDP deflator for 1980 = 100)

The re-exports of goods has a greater value than the domestic exports of goods. Does it follow that re-exports contribute more to the national income of Hong Kong than domestic exports? Explain. (7 marks)

1994/CE/1/11(c)

The vegetable sales revenue of Mr Chan's farm for the year 1993 was \$100 000. Give **TWO** possible reasons to explain why the contribution of this farm to the gross domestic product (GDP) of the country in 1993 could be less than \$100 000. (6 marks)

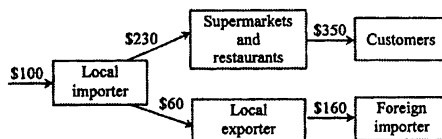
1997/CE/1/11(a)(ii)

Suppose \$ 1 million worth of seafood is imported to Hong Kong. Half of it is sold to local households at \$ 0.8 million and half to local restaurants at \$ 0.7 million. These restaurants cook and sell the seafood to their customers at \$ 1.6 million of which \$ 0.6 million is tourist spending.

- (I) The above transactions will also affect Hong Kong's GDP. Use **TWO** different measurement approaches to calculate the change. (4 marks)
- (II) Explain why the use of **EACH** of these two measurement approaches will not lead to the problem of double-counting. (4 marks)

1999/CE/1/9(c)

The following diagram shows a production chain involving the import of \$100 worth of red wine into Hong Kong. The sales value of different producers are indicated below:

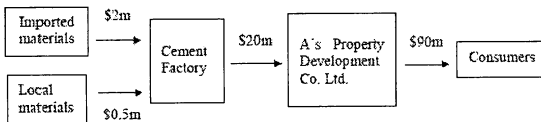


Calculate the contribution of the production chain to Hong Kong's national income by

- (i) the value-added approach. (3 marks)
- (ii) the expenditure approach. (3 marks)

2001/CE/11(a)(i)

Refer to the following production chain in Hong Kong:



Calculate the contribution of the above production chain to Hong Kong's GDP using the value-added approach. (3 marks)

2003/CE/1/9(b)(i)

Firm A is a local manufacturer in Hong Kong producing goods for export only.

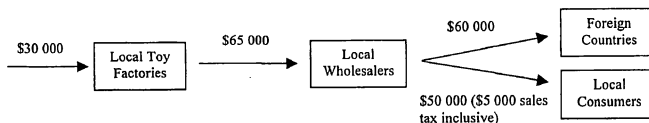
Give **TWO** reasons to explain why the contribution of this firm to Hong Kong's gross domestic product (GDP) in 2003 could be smaller than the total export value of this firm in 2003. (4 marks)

2004/CE/1/10(b)

The sales revenue of a local travel agency was reduced by \$200 million. Give **ONE** reason to explain why the reduction in that part of Hong Kong's GDP contributed by the travel agency is less than \$200 million. (2 marks)

2006/CE/1/5

The following diagram shows the production chain of toys in Economy A. Its toy factories import \$30 000 worth of raw materials.



Calculate the contribution of the above production chain to Economy A's

- gross domestic product (GDP) at factor cost using the expenditure approach. (3 marks)
- GDP at market prices using the value-added approach. (3 marks)

2014/DSE/II/11(b)

Suppose the sales revenue to the Japanese automobile exporters was 100 billion Japanese Yen in 2013. Give **TWO** reasons to explain why their contribution to Japan's GDP would be less than 100 billion Japanese Yen in 2013. (4 marks)

## 1.4 ITEMS INCLUDED AND EXCLUDED IN GDP

### Multiple Choice Questions

1990/CE/II/39

Mr Wong is a second-hand car dealer. He bought a used car for \$20 000 which he immediately resold for \$25 000. By how much would the gross national product be increased after he sold the car?

- A. \$5 000
- B. \$20 000
- C. \$25 000
- D. \$45 000

1990/CE/II/49

The following were received by Mr A last year:

- (1) wages of \$10 000
- (2) public assistance of \$1 000
- (3) \$100 interest from his savings account
- (4) a Mark Six prize of \$8 000

His contribution to the GDP last year was

- A. \$10 000.
- B. \$10 100.
- C. \$11 100.
- D. \$19 100.

1991/CE/II/44

Which of the following is included when calculating Hong Kong's gross domestic product (GDP) by the expenditure approach?

- A. the compensation paid to Kowloon Walled City residents
- B. the expenditure incurred on buying a second-hand car
- C. the revenue earned from toys sold to Americans
- D. the revenue received by the government from taxation

1992/CE/II/45

Which of the following amounts should be included in the measurement of GDP?

- A. Mr. Chan sells his house, built two years ago, for \$2 000 000.
- B. Mr. Chan buys shares worth \$150 000.
- C. Mr. Chan wins a Mark Six prize of \$1 000 000.
- D. Mr. Chan receives a monthly salary of \$35 000.

1992/CE/II/47

A building which collapsed in a landslide at the beginning of the year was re-built at the end of the year. The GDP in that year

- A. increased
- B. decreased
- C. remained unchanged
- D. decreased at first and later increased

1992/CE/II/58

The expenditure by the Hong Kong government on Vietnamese boat people \_\_\_\_\_ included in Hong Kong's GDP because \_\_\_\_\_.

- A. should be ..... goods and services are produced in Hong Kong
- B. should be ..... part of the expenditure will be paid back by the United Nations
- C. should **NOT** be ..... goods and services are spent on foreigners
- D. should **NOT** be ..... Vietnamese boat people do not produce goods and services

1993/CE/II/35

Which of the following is included in the measurement of Hong Kong's Gross Domestic Product (GDP)?

- A. medical benefits of civil servants
- B. student travel subsidy
- C. dividends gained from overseas investments
- D. money won from betting in a horse race

1994/CE/II/32

Which of the following items should be included in Hong Kong's GDP for the current year?

- A. An investor buys shares on the local stock exchange.
- B. A British citizen receives a salary for teaching English in a school in Hong Kong.
- C. A student sells some used textbooks to his friend.
- D. A manufacturer sells last year's unsold stocks.

1995/CE/II/60

Which of the following will **NOT** be included in Hong Kong's GDP?

- A. profits earned by individual investors from buying and selling shares in the Hong Kong stock market
- B. bonuses paid by the Stock Exchange of Hong Kong Limited to its staff
- C. stamp duty levied on the shares bought and sold in the Hong Kong stock market
- D. commissions paid to the brokers for transactions in the Hong Kong stock market

1996/CE/II/27

Which of the following items is included in the calculation of Hong Kong's GDP?

- A. The government grant received by a university student.
- B. The salary received by a civil servant who is a foreigner working in Hong Kong.
- C. Interest to a loan paid by a firm in Hong Kong to a bank in Japan.
- D. Loans repayment made by the Hong Kong government to the Hong Kong Bank.

1997/CE/II/24

The following shows some assets of a farm. Which should be included in the calculation of investment expenditure of the GDP of this year?

- A. the expenditure on the ploughing of 10 acres of new farmland in spring this year
- B. the value of 10 tonnes of wheat stocked up since last year
- C. the settlement of a \$10 000 debt incurred as a result of repairing machines last year
- D. a recent expenditure on acquiring 10 000 units of government bonds in order to earn an annual interest of \$55 000



1997/CE/II/29

Which of the following events that occurred in 1996 would lead to a rise in the GDP of 1996?

- A. The government issued more Exchange Fund bills.
- B. The government increased the salaries tax allowance.
- C. The market value of accommodation units which were completed and sold in previous years rose continuously.
- D. An international corporation collected \$1 billion from the subscribers of its newly-issued shares.

1997/CE/II/60

Which of the following items is **NOT** included in the calculation of GDP?

- A. government spending of \$300 million on the employee retraining programme
- B. unemployment benefits of \$20 million paid by the government
- C. commission paid by a successful job searcher to an employment agency for job referral services
- D. salaries paid to the two extra posts created in the Labour Department to help job searchers

1998/CE/II/26

Which of the following would be considered as part of the national income?

- A. commissions received by salesmen selling second-hand cars
- B. a gift cheque to a bride for an invitation to her wedding banquet
- C. insurance compensation to injured workers
- D. scholarships to students with good results in schools

1999/CE/II/24

Which of the following should be included in the calculation of gross national product (GNP)?

- A. the value of newly issued shares sold
- B. the value of shares transacted in the stock market
- C. stamp duty paid for buying shares
- D. capital gain from selling shares

1999/CE/II/31

Which of the following \$1 million amounts is included in the calculation of Hong Kong's GDP?

- A. A famous singer holds a charity performance in Hong Kong and donates all the proceeds of \$1 million to the floods victims in Mainland China.
- B. A father transfers \$1 million worth of company shares to his daughter.
- C. A victim in a traffic accident receives a sum of \$1 million from the government as compensation for injury.
- D. An investor earns a capital gain of \$1 million from the sale of his flat.

2000/CE/II/33

Which of the following is included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the estimated rental value of an owner-occupied property in Hong Kong.
- B. the low-interest government loans to university students in Hong Kong
- C. the interest paid to foreign investors holding Exchange Fund bills
- D. the increase in the price of the shares issued by a bank in Hong Kong

2001/CE/II/50

Which of the following should **NOT** be included in the calculation of Hong Kong's GDP?

- A. the loans made by a local bank to its customers
- B. the tips received by a bellboy in a local hotel
- C. the 10% service surcharge collected by a local restaurant
- D. the income earned by a local hawkers.

2002/CE/II/49

Which of the following items should **NOT** be included in the calculation of Hong Kong's GDP?

- A. profit gained by a car agent from reselling second-hand cars
- B. compensation paid to a car owner for his loss in a traffic accident
- C. insurance premium for a car paid to a local insurance company.
- D. Income earned by a person from repairing cars

2004/CE/II/26

Which of the following should be included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the money received from the 'We Care Education Fund' by children who lost their parents to SARS
- B. the money received by a local property agent for this service in the resale of flats
- C. the money received by a local student from selling his used reference books to his schoolmates
- D. the money received by a local limited company from issuing new bonds in the market.

2005/CE/II/26

Which of the following items is included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the salary receives by an American who works for a local television station as a reporter
- B. the money received by a local student from selling his mobile phone to his classmate
- C. the cash award won by a local citizen in a game show organized by a local television station
- D. the insurance compensation receives by a local construction worker for his injury

2006/CE/II/25

Which of the following \$5 million amounts is an investment expenditure in the national income accounting of Hong Kong?

- A. taking-over a company in Hong Kong by buying up \$5 million worth of shares
- B. purchasing \$5 million worth of 'Hong Kong Link' bonds (五隣一橋債券)
- C. depositing \$5 million into a licensed bank of Hong Kong
- D. spending \$5 million to turn a shopping mall car park in Hong Kong into shops

2007/CE/II/26

Which of the following statements about GDP is correct?

- A. GDP includes the value of imports.
- B. GDP is the total income of all the resident producing units.
- C. GDP is higher than gross national product if the net income from abroad is negative.
- D. GDP is the value of all goods and services transacted in the market.

2007/CE/II/27

Which of the following would be included in the GDP for 2005?

- A. Money deposited in a saving account during 2005
- B. The purchase price of an antique in 2005
- C. Public assistance paid to individuals during 2005
- D. The value of wheat produced but unsold in 2005

2015/DSE/I/24

Which of the following would be included in the calculation of Hong Kong's GDP for 2014?

- A. the old age allowance paid by the government in 2014
- B. the market value of a flat built in 2013 but sold in 2014
- C. the salary of a salesperson working in a shop selling second-hand handbags in 2014
- D. the rental income from a property in Canada owned by a Hong Kong resident producing unit in 2014

2018/DSE/I/24

Which of the following are included in the calculation of the gross domestic product of Hong Kong?

- (1) the estimated rental value of an owner-occupied property in Hong Kong
  - (2) the commission received by a real estate agent from selling second-hand property
  - (3) the scholarship received by a university student
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2023/DSE/I/24

Which of the following would be included in the calculation of Hong Kong's gross domestic product (GDP)?

- A. the value of a second-hand bicycle purchased by a student
- B. the commission earned by a broker from transactions of shares for his clients
- C. the capital gain earned by a household from reselling a residential property
- D. the allowance under the Comprehensive Social Security Assistance Scheme received by the needy

### Short & Structured Questions

1992/CE/I/5(b)

Explain whether each of the following is included in the calculation of Hong Kong's gross domestic product.

- (i) public assistance paid to the unemployed by the Social Welfare Department
- (ii) salaries paid to the employees of the Social Welfare Department

(6 marks)

1993/CE/I/4(b)(i)

Suppose a large number of Japanese TV sets are smuggled from Hong Kong to China and sold for HK\$40 million.

Explain whether the whole amount of this HK\$40 million will be included in Hong Kong's GDP. Suggest **TWO** reasons.

(4 marks)

1995/CE/I/11(d)

In early 1995, Mr. Ip earned a commission of \$20 000 by helping Mr. A sell a flat to Miss B at a price of \$2 000 000. Explain whether each of the following statements is true or not:

- (i) The commission should be included in Hong Kong's GDP for 1995. (2 marks)
- (ii) If the flat is currently under construction and to be completed next year, the production of the flat contributes nothing to Hong Kong's GDP for 1995. (3 marks)

1996/CE/I/3(b)

Share prices of Vitasoy International Holdings Limited (維他奶國際集團有限公司) fell because some of its products were found to be contaminated and were destroyed.

Explain whether the value of these destroyed products would be included in the calculation of Hong Kong's gross national product. (2 marks)

1996/CE/I/4(a)

A traffic light, which was worth \$1 500, was knocked down in a traffic accident. The driver was fined \$ 3 000 and the government used \$2 000 to install another traffic light.

What is the change in the gross domestic product (GDP) at factor cost brought about by this incidence? Explain your answer. (2 marks)

1997/CE/I/8

Explain whether the following items should be included in the calculation of Hong Kong's gross domestic product (GDP):

- (a) sewage charges
- (b) the increased resale value of residential units due to a boom in the property market

(4 marks)

1998/CE/I/9(d)

Mr. Wong paid a commission of \$1 000 to the broker who helped him buy \$200 000 worth of shares. Explain whether these two items of payment would affect Hong Kong's gross domestic product (GDP). (4 marks)

1999/CE/1/7

Explain whether the following items should be included in the calculation of Hong Kong's gross national product.

- (a) the funds raised from the Millionwalk (2 marks)
- (b) the part of the public assistance which the needy spent on transport (2 marks)

2000/CE/1/9(b)(ii)

Some petroleum companies complained that their business was affected because some drivers bought gasoline from smugglers who evaded import duties.

Explain how the smuggling of gasoline would affect the GDP of this economy. (4 marks)

2000/CE/1/10(b)(iii)

Suppose Bank X of economy A takes over Bank Y of economy B by buying up its controlling shares worth \$5 million.

Explain whether the \$5 million mentioned above should be included in the calculation of the GDP of economy B. (3 marks)

2001/CE/1/11(a)(ii)

Hong Kong's property market has been depressed since 1998. Explain how a sharp fall in property prices and in the number of property transactions would affect Hong Kong's GDP. (5 marks)

2002/CE/1/11(a)(ii)

The following shows the gross domestic product (GDP) data of economy A in a certain year.

|                                    | \$million |
|------------------------------------|-----------|
| Private consumption expenditure    | 400       |
| Net investment expenditure         | 180       |
| Government consumption expenditure | 250       |
| Exports                            | 500       |
| Imports                            | 650       |
| Depreciation                       | 150       |
| Indirect business tax              | 50        |
| Interest                           | 200       |

Miss Wong, an Economics teacher in a tutorial school, tells her students that the total spending of economy A's consumers in market value must be greater than \$400 million. Give **THREE** reasons to explain why she is correct. (6 marks)

2003/CE/1/11(a)

Many information technology (IT) companies in Hong Kong have closed down in recent years.

Explain whether each of the following should be included in the calculation of Hong Kong's GDP.

- (i) the resale value of the furniture and equipment of the above companies (2 marks)
- (ii) the fee paid to Hong Kong accounting firms in liquidating the above companies (3 marks)

2006/CE/1/10(b)

| Date            | Exchange rate  |
|-----------------|----------------|
| 1 December 2005 | €1 = HK\$ 9.07 |
| 18 January 2006 | €1 = HK\$ 9.37 |

Through a commercial bank, Mr Chan bought 10 000 Euros on 1 December 2005 and sold them on 18 January 2006 at the rates shown in the above table.

- (i) Calculate Mr Chan's gain / loss (in terms of HK\$) in the above transactions. Explain whether this gain / loss should be included in the calculation of Hong Kong's GDP. (4 marks)
- (ii) Explain whether the above transactions would lead to an increase in Hong Kong's GDP. (2 marks)

2008/CE/1/9(a)

The stock market of an economy is overheated. Many people withdraw money from their bank deposits to buy shares.

Harry bought the shares of a company at a value of \$2 000 at the beginning of the year and sold them at \$10 000 three months later. He has a capital gain of \$8 000.

Explain whether this amount of \$8 000 should be included in the calculation of the GDP of the economy. (2 marks)

2009/CE/1/9(c)

Some students purchase second-hand textbooks in bookstores. Explain why part of their total spending on buying second-hand textbooks should be included in the calculation of GDP. (2 marks)

2012/DSE/II/10(a)(i)

In 2011, the Financial Secretary announced the "Scheme \$6 000" which provides \$6000 to each Hong Kong permanent resident who is 18 years old or above.

Mr. Chan is a retired person and received \$6000 through the scheme in 2011. Should this item of payment by the government be included in the calculation of Gross Domestic Product of Hong Kong in 2011? Explain. (2 marks)

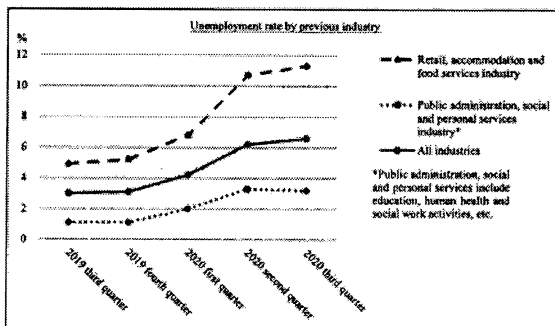
2015/DSE/II/9(d)

In July 2014, McDonald's was accused of using expired meat as an ingredient for its food. Later, the related products were destroyed. Explain whether the value of these destroyed products would be included in the calculation of Hong Kong's gross domestic product. (2 marks)

2022/DSE/II/11(b)

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong\*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

|                                                                   | AlipayHK<br><br>AlipayHK | Octopus<br><br>八達通<br>Octopus | Tap & Go<br><br>Tap & Go                    | WeChat Pay HK<br><br>WeChat Pay® |
|-------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| Public Transportation with the above payment facilities installed | MTR, bus, mini bus and ferry                                                                              | MTR bus, mini bus and ferry                                                                                    | Bus and mini bus                                                                                                             | None                                                                                                              |
| Promotions to consumption voucher users                           | 5e-coupons                                                                                                | First 2 million registered customers enjoy \$18 of stored value                                                | \$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50 | e-coupons                                                                                                         |

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

|                                                                                                                               |                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A housewife</p>                            | <p>I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!</p>                                                                                                                                       |
| <p>A former chef in a restaurant</p>          | <p>I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.</p> |
| <p>A doctor working in a public hospital</p>  | <p>Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.</p>                   |

- (b) Refer to Source B. Would the \$5 000 distributed under the Consumption Voucher Scheme be included in the calculation of government consumption expenditure? Explain your answer. (2 marks)

2023/DSE/II/10(d)

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

- (d) The government issued \$45 billion worth of Silver Bonds in 2022. Explain whether this \$45 billion was included in the calculation of Hong Kong's GDP in 2022. (2 marks)

2024/DSE/II/11(c)

Ann is the owner of a coffee shop in Hong Kong.

- (c) Ann invited a famous barista from Japan to provide a workshop for her customers. The barista received a remuneration of \$30 000 from Ann's coffee shop and stayed in Hong Kong for a week. Explain how this \$30 000 would affect Hong Kong's net factor income from abroad. (3 marks)



## 1.5 GDP AND GROSS NATIONAL INCOME (GNI)

### Multiple Choice Questions

1991/CE/II/43

Which of the following is included in a country's gross national product?

- A. the expenditure on newly-issued shares
- B. the salary paid to a foreign employee
- C. the expenditure on public assistance
- D. the income of citizens earned abroad

1992/CE/II/48

The income of a Hong Kong citizen working in Canada is included in

- (1) Hong Kong's gross national product.
  - (2) Hong Kong's gross domestic product.
  - (3) Canada's gross national product.
  - (4) Canada's gross domestic product.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

1993/CE/II/44

If GNP is greater than GDP,

- A. depreciation is greater than zero.
- B. net income from abroad is greater than zero.
- C. transfer payments are greater than zero.
- D. exports are greater than imports.

1995/CE/II/32

GDP will be greater than GNP when

- A. the net export is negative.
- B. the net export is positive.
- C. the net income from abroad is negative.
- D. the net income from abroad is positive.

1999/CE/II/26

Which of the following sources of income earned by local residents should be included in the calculation of 'net income from abroad'?

- (1) export of goods
  - (2) export of services
  - (3) property investment in foreign countries
  - (4) stocks and shares investment in foreign countries
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (3) and (4) only

1999/CE/II/29

Which of the following statements about GDP is correct?

- A. GDP will be larger than GNP if the net export is positive.
- B. GDP does not include the income derived by local citizens from abroad.
- C. GDP does not consider the value of depreciation.
- D. Net income from abroad cannot be negative.

2002/CE/II/25

In order to calculate the gross national product of Hong Kong, which of the following items should be deducted from Hong Kong's gross domestic product (GDP) figure?

- A. the dividend received from shares in Hang Seng Bank by a Japanese person who lives in the U.S.
- B. the rental income earned by a Hong Kong resident from his property in the U.S.
- C. the salary earned by a native English teacher employed on a two-year contract in a secondary school in Hong Kong
- D. the donations of a Hong Kong resident to mainland China.

2004/CE/II/28

Which of the following items must be positive in value?

- A. net external factor income flow
- B. net exports
- C. depreciation
- D. gross profit of firms

2006/CE/II/26

Gross domestic product (GDP) will be greater than gross national product (GNP) when the amount of

- A. net income from abroad is negative.
- B. net income from abroad is positive.
- C. indirect taxes less subsidies is positive.
- D. net exports is negative.

2006/CE/II/29

Which of the following items should be included in the calculation of Hong Kong's net external factor income flow (i.e., net income from abroad)?

- (1) the spending of a Japanese tourist in Hong Kong
  - (2) the revenue earned by a Hong Kong watch manufacturer from selling watches to Europe
  - (3) the rental income of a Hong Kong resident from property investment in the U.K.
  - (4) the interest received by a Hong Kong resident from his savings deposit in a bank in Switzerland
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only

2008/CE/II/27

Which of the following amounts should be added to the GDP of Hong Kong in order to calculate the gross national product of Hong Kong ?

- A. the income earned by a Japanese singer who held two concerts in Hong Kong
- B. the salary of a Hong Kong resident who works for the Hong Kong office of an American bank
- C. the rental income received by a Hong Kong resident from his residential apartment in Canada
- D. an investment made by a Hong Kong resident in a garment factory in Thailand

2009/CE/II/30

Suppose the GDP is greater than the gross national product. This implies that

- A. the net factor income from abroad is positive.
- B. the net factor income from abroad is negative.
- C. the net export is positive.
- D. the net export is negative.

2010/CE/II/30

Which of the following amounts should be deducted from the GDP of Hong Kong in order to calculate the gross national product of Hong Kong?

- A. the rental income received by a mainland investor from his residential apartment in Hong Kong
- B. the dividend received by a Hong Kong resident from his investment in the stock market in the US
- C. the scholarship given by a Hong Kong tycoon to subsidize mainland students to study in Hong Kong
- D. the salary of a Hong Kong resident working in a branch office of a British bank in Hong Kong

2011/CE/II/31

Which of the following items can be negative in value?

- (1) Net external factor income flow
  - (2) Net exports
  - (3) Net domestic fixed capital formation
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2013/DSE/I/21

Which of the following items is **NOT** included in the calculation of Hong Kong's net factor income from abroad for the current year?

- A. the income received by a Japanese teacher who worked in a language school in Hong Kong for one year
- B. rental income earned from real estate holdings in Canada owned by a Hong Kong resident
- C. salary received by an Indian consultant who worked for the Hong Kong Airport Authority for three months
- D. dividends earned from shares in Hong Kong held by a US resident

2019/DSE/I/25

To calculate the gross national income of Hong Kong, which of the following should be added to the GDP of Hong Kong?

- A. the income earned by a Japanese chef who has worked in a Hong Kong restaurant for two months
- B. the rental received by a Hong Kong resident from leasing his house in Japan to a Japanese
- C. the salary earned by a Hong Kong resident from working as a secretary at the Hong Kong branch office of an Australian company
- D. the money received from selling an apartment in Australia by a Hong Kong resident.

2020/DSE/I/25

Which of the following should be deducted from the gross domestic product of Hong Kong to calculate the gross national income of Hong Kong?

- A. the fee paid by a Hong Kong football club to a Japanese football team for an exhibition match in Hong Kong
- B. the rent earned by a Hong Kong property developer from its residential property in Japan
- C. the capital gain earned by a Japanese insurance corporation from its financial investment in Hong Kong
- D. the dividend paid by a listed company in Japan to a Hong Kong resident

2022/DSE/I/27

Which of the following would be deducted from the GDP of Hong Kong to calculate the gross national income (GNI) of Hong Kong?

- A. the salary received by a Hong Kong professor who worked in a university in Japan on a permanent contract
- B. the dividend earned by a Filipino billionaire from his holding of shares of a Hong Kong company
- C. the salary received by an Indonesian domestic worker who worked for a Hong Kong family for two years
- D. the rental income earned from a residential property in the United Kingdom owned by a Hong Kong resident

2023/DSE/I/26

The following table shows some data of an economy in a certain year.

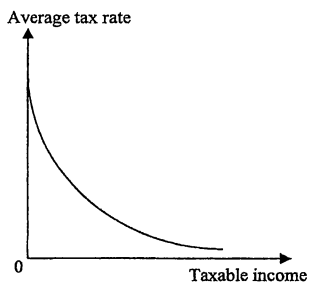
|                           |              |
|---------------------------|--------------|
| Factor income from abroad | \$14 billion |
| Factor income paid abroad | \$98 billion |
| Direct taxes              | \$95 billion |
| Indirect taxes            | \$23 billion |
| Production subsidies      | \$57 billion |
| GDP deflator              | 117          |

Which of the following statements about the economy are correct?

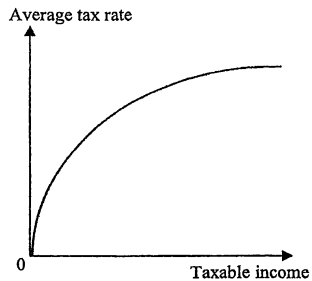
- (1) The GDP is higher than the gross national income (GNI).
  - (2) The GDP at factor cost is higher than the GDP at market price.
  - (3) The nominal GDP is higher than the real GDP.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

Which of the following tax systems tend to raise the post-tax Gini coefficient of an economy?

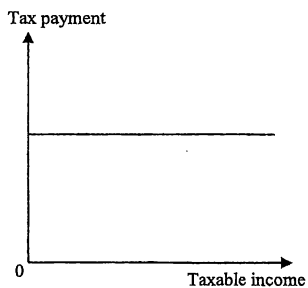
(1)



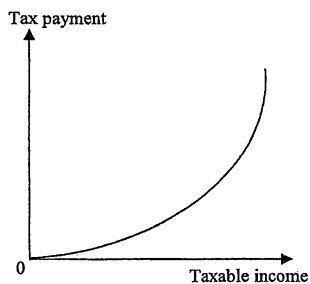
(2)



(3)



(4)



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

### Short & Structured Questions

1990/CE/I/1(c)

Explain whether the wage earnings of Filipino maids in Hong Kong are included in

- (i) Hong Kong's gross domestic product. (2 marks)
- (ii) the Philippines' gross national product. (2 marks)

2001/CE/I/6

Explain whether each of the following should be included in the calculation of Hong Kong's gross domestic product (GDP).

- (a) the salary of a Hong Kong citizen employed by a foreign airline
  - (b) the rent paid by a foreign airline for using the premises owned by a Hong Kong company
- (4 marks)

2002/CE/I/10(d)

Bank A runs its business in Hong Kong. Tom is a consultant from Japan who will work for Bank A for nine months. Afterwards he will return to Japan.

Explain whether Tom's salary for these nine months should be included in the calculation of Hong Kong's gross domestic product and gross national product. (4 marks)

2015/DSE/II/10(a)

Suppose a football club in Hong Kong hired a famous football player from Brazil as the coach for a 2-month course for kids. He received \$8 million as his salary and returned to Brazil afterwards. However, the enrollment of the course was poor and the revenue from the course was \$3 million only. What is the effect of organizing the above course on each of the following items? Explain.

- (i) Hong Kong's gross domestic product (GDP) (2 marks)
- (ii) Hong Kong's gross national product (GNP) (3 marks)

## 1.6 NOMINAL AND REAL GDP

### Multiple Choice Questions

1990/CE/II/53

Refer to the table below:

| Year | Real GDP (\$Mn) | Nominal GDP (\$Mn) |
|------|-----------------|--------------------|
| 1985 | 150             | 180                |
| 1982 | 120             | 120                |

What is the GDP deflator in 1985?

- A. 100
- B. 120
- C. 150
- D. 180

1990/CE/II/56

When both the price level and the money income level of a society rise,

- A. the living standard will drop because the value of money decreases.
- B. the living standard will rise because the citizens have more money to spend.
- C. the living standard will not change because the rise in income is offset by the rise in price.
- D. the effect on the living standard is not certain because the extent of both changes is unknown.

1991/CE/II/59

|                                  | Growth rate of GDP in 1990 |
|----------------------------------|----------------------------|
| At current market prices         | 15.2%                      |
| At constant (1980) market prices | 11.9%                      |

The above data do **NOT** show an increase in the \_\_\_\_\_ in 1990.

- A. general price level
- B. nominal GDP
- C. real GDP
- D. labour productivity

1994/CE/II/33

For Question No. 33, consider the following data of an economy producing only bread and shirts:

|        | Price in 1992<br>(\$) | Price in 1993<br>(\$) | Output in 1993<br>(units) |
|--------|-----------------------|-----------------------|---------------------------|
| Bread  | 10                    | 12                    | 50                        |
| Shirts | 20                    | 25                    | 20                        |

The GNP at constant (1992) market prices for 1993 is

- A. \$900.
- B. \$1 100.
- C. \$1 200.
- D. \$1 490.

1995/CE/II/34

If a country's real GNP and price level both increase by 5%, this implies that

- A. the standard of living will remain unchanged.
- B. the nominal GNP will rise by 5%.
- C. the nominal GNP has a greater percentage increase than the real GNP.
- D. the nominal GNP will remain constant.

1997/CE/II/23

The following are data of Country X.

| Year                     | 1992          | 1997          |
|--------------------------|---------------|---------------|
| GDP                      | \$500 billion | \$700 billion |
| Price Index (1990 = 100) | 120           | 135           |

The growth rate of real GDP from 1992 to 1997 is:

- A. 24.4%
- B. 28.6%
- C. 40.0%
- D. 57.5%

1998/CE/II/23

Suppose a closed economy produces food and clothing only. The outputs of Years 1 and 2 are as follows:

| Year | Quantity of food (Unit) | Unit price of food (\$) | Quantity of clothing (Unit) | Unit price of clothing (\$) |
|------|-------------------------|-------------------------|-----------------------------|-----------------------------|
| 1    | 20                      | 4                       | 40                          | 12                          |
| 2    | 15                      | 10                      | 35                          | 30                          |

From Year 1 to Year 2, the real gross national product (real GNP) of this country has (98.23)

- A. worsened because the price level increases.
- B. worsened because the output of both goods decreases.
- C. improved because the nominal GNP increases.
- D. improved because the technology advances.

1998/CE/II/29

Suppose a country experiences a 2% increase in the production volume of goods and services as well as a 3% rise in the general price level in a year. We can conclude that

- (1) the real GNP will increase by 2%.
- (2) the nominal GNP will increase by 2%.
- (3) the nominal GNP will increase by 3%.
- (4) the nominal GNP will increase more than the real GNP by 1%.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (1), (3) and (4) only

1999/CE/II/25

Suppose the nominal GNP and the price level increase by 10% and 5% respectively, but the population decreases by 10%. Then the per capita nominal GNP will \_\_\_\_\_ and the per capita real GNP will \_\_\_\_\_.

- A. increase ..... increase
- B. decrease ..... decrease
- C. increase ..... remain unchanged
- D. remain unchanged ..... increase



2000/CE/II/36

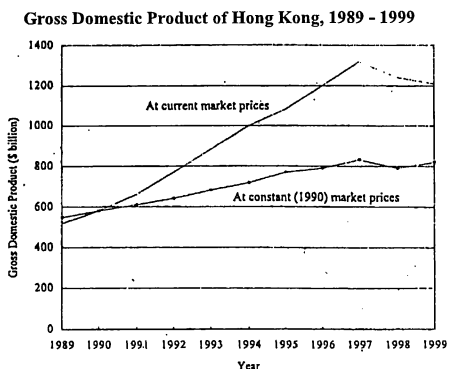
| Year | GNP at current market prices (\$billion) | GNP deflator |
|------|------------------------------------------|--------------|
| 1997 | 2 100                                    | 105          |
| 1998 | 2 800                                    | 125          |

Based on the above information, the growth rate of real gross national product (real GNP) between 1997 and 1998 is

- A. 12%.
- B. 16.3%
- C. 33.3%.
- D. There is insufficient information to find the answer.

2002/CE/II/30

Refer to the chart below.



*Source: The Census and Statistics Department*

From 1991 to 1998, GDP at current market prices is always greater than GDP at constant (1990) market prices because

- A. the inflation rate is increasing in this period.
- B. the real output level is rising in this period.
- C. the current price level is always higher than the price level of 1990.
- D. the inflation rate is higher than the real output growth rate.

2003/CE/II/28

Suppose the GDP deflator of an economy decreases from 100 to 90. This implies that

- A. its GDP decreases by 10%.
- B. the general price level decreases by 10%.
- C. people's real income increases by 10%.
- D. people's living standard decreases by 10%.

2003/CE/II/29

If both the nominal and real GDP of an economy are rising, the general price level of the economy

- A. is rising.
- B. is falling.
- C. remains unchanged.
- D. may be rising, falling or remain unchanged.

2005/CE/II/29

Study the following information about a country:

| Year | Nominal GDP (in million dollars) | Price index |
|------|----------------------------------|-------------|
| 2003 | 75 000                           | 90          |
| 2004 | 100 000                          | 100         |

As compared to 2003, the \_\_\_\_\_ of this country was higher in 2004.

- A. general living standard
- B. real GDP
- C. consumption expenditure
- D. average income

2007/CE/II/32

| Year | Nominal GDP (\$ billion) | Population (million) | Consumer Price Index |
|------|--------------------------|----------------------|----------------------|
| 1    | 3 000                    | 2                    | 100                  |
| 2    | 3 500                    | 2.5                  | 110                  |

According to the above information, from Year 1 to Year 2, the economy's real GDP has \_\_\_\_\_ and the per capita nominal GDP has \_\_\_\_\_.

- A. increased ..... decreased
- B. increased ..... increased
- C. decreased ..... decreased
- D. decreased ..... increased

2008/CE/II/32

The following table shows the change in GDP from Year 1 to Year 2.

|                               | Change |
|-------------------------------|--------|
| GDP at current market prices  | +5.1%  |
| GDP at constant market prices | +8.1%  |

We can conclude from the above data that the real output \_\_\_\_\_ and the general price level \_\_\_\_\_ in that period.

- A. increased ..... decreased
- B. increased ..... increased
- C. decreased ..... increased
- D. decreased ..... decreased

2009/CE/II/29

Refer to the following statistical data (in \$million) on an economy.

| Year | GDP at current market prices | GDP at constant (2000) market prices |
|------|------------------------------|--------------------------------------|
| 2007 | 142 900                      | 134 200                              |
| 2008 | 144 800                      | 132 300                              |

Compared with 2007, the general price level has \_\_\_\_\_ and the real output of goods and services has \_\_\_\_\_ in 2008.

- A. increased ..... decreased
- B. increased ..... increased
- C. decreased ..... decreased
- D. decreased ..... increased

| Year | Year-on-year percentage change |                                      |
|------|--------------------------------|--------------------------------------|
|      | GDP at current market prices   | GDP at constant (2000) market prices |
| 2007 | 9.5%                           | 6.4%                                 |
| 2008 | 3.8%                           | 2.4%                                 |

Based on the above information, we can conclude that in 2008,

- A. the general price level decreased.
- B. the real GDP decreased.
- C. the GDP deflator increased.
- D. the general living standard increased.

2012/DSE/II/23

Country A's general price level increases by 10% and its aggregate output and population drop by 2% and 10% respectively. As a result, Country A's nominal GDP will \_\_\_\_\_ and the per-capita real GDP will \_\_\_\_\_.

- A. rise ..... rise
- B. rise ..... fall
- C. remain unchanged ..... rise
- D. remain unchanged ..... fall

2015/DSE/II/25

Refer to the following table about an economy.

|                     | Growth rate (relative to previous year) (%) |        |
|---------------------|---------------------------------------------|--------|
|                     | Year 1                                      | Year 2 |
| Nominal GDP         | 4                                           | 0      |
| General price level | 3                                           | 1      |
| Population          | -1                                          | 2      |

Which of the following statements about the economy is correct?

- A. The per capita nominal GDP in year 2 is the same as that in year 1.
- B. The real output increased in year 2.
- C. The general price level decreased in year 2.
- D. The per capita real GDP decreased in year 2.

2017/DSE/II/26

The following table shows some data of an economy.

|             | Growth rate |      |
|-------------|-------------|------|
|             | 2015        | 2015 |
| GDP         | -3%         | -2%  |
| Price level | 1%          | 0%   |
| Population  | 4%          | 2%   |

Which of the following statements about the economy is correct?

- A. Real GDP in 2016 decreases.
- B. Per capita GDP in 2016 increases.
- C. The price level in 2016 decreases.
- D. The growth rate of real GDP in 2016 is lower than that in 2015.

2018/DSE/I/25

The following table shows the gross domestic product (GDP) data of an economy in a particular year:

| GDP components                | \$ billion |
|-------------------------------|------------|
| Capital consumption allowance | 40         |
| Net factor income from abroad | 36         |
| Production subsidies          | 14         |
| Direct taxes                  | 5          |
| Indirect taxes                | 47         |

Which of the following statements about the economy are correct?

- (1) The GDP is smaller than the gross national income (GNI).
- (2) The GDP at market price is smaller than the GDP at factor cost.
- (3) Depreciation is positive in the economy.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/23

The following table shows the gross domestic product (GDP) data of an economy in a certain year.

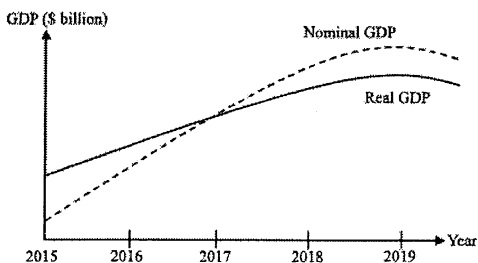
|                           |       |
|---------------------------|-------|
| Change in real GDP        | −2.6% |
| Change in nominal GDP     | −1.3% |
| Change in population size | −1.8% |

According to the information above, we can conclude that in that year, the price level \_\_\_\_\_ and the per capita nominal GDP \_\_\_\_\_.

- A. increased.....increased
- B. decreased.....decreased
- C. increased.....decreased
- D. decreased.....increased

2020/DSE/I/26

The following diagram shows the gross domestic product (GDP) of Country A.



Which of the following statements about Country A is correct?

- A. The price level increased between 2016 and 2018.
- B. Deflation occurred before 2017.
- C. The actual inflation rate was equal to the expected inflation rate in 2017.
- D. The nominal GDP has been increasing since 2016.

2021 DSE/I/24

Refer to the gross domestic product (GDP) data of an economy.

|                        | Growth rate (relative to previous year) |
|------------------------|-----------------------------------------|
| Nominal GDP            | 0                                       |
| Real GDP               | -1.2%                                   |
| Per-capita nominal GDP | -3.5%                                   |

Compared to the previous year, the general price level has \_\_\_\_\_ and population has \_\_\_\_\_ in the economy in the current year.

- A. increased ... increased
- B. increased ... decreased
- C. decreased ... increased
- D. decreased ... decreased

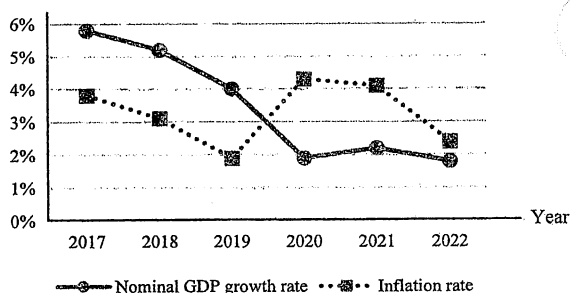
2022/DSE/I/26

Many workers in Country A emigrated to other countries. All the job vacancies resulting from the emigration were filled by unemployed people. As a result, the unemployment rate of Country A \_\_\_\_\_.

- A. would increase
- B. would decrease
- C. would remain unchanged
- D. cannot be determined

2024/DSE/I/25

The following diagram shows the nominal GDP growth rates and the inflation rates of an economy.



Based on the above information, we can conclude that from 2017 to 2022, \_\_\_\_\_ in the economy.

- (1) the real GDP increased in all consecutive years
- (2) the price level increased in all consecutive years
- (3) the nominal GDP growth rate was always higher than the real GDP growth rate

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

### Short & Structured Questions

1990/CE/I/3(a)(iv)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

|                                        | <u>\$ Billion</u> |
|----------------------------------------|-------------------|
| Private consumption expenditure        | 255               |
| Government consumption expenditure     | 30                |
| Gross domestic fixed capital formation | 109               |
| Increase in stocks                     | 10                |
| Domestic exports of goods              | 218               |
| Re-exports of goods                    | 275               |
| Imports of goods                       | 501               |
| Exports of services                    | 86                |
| Imports of services                    | 56                |

(The GDP deflator for 1980 = 100)

Apart from the above data (GDP at current prices for 1988 given as the above data), what other information is needed to calculate

- (I) Hong Kong's per capita GDP at current prices for 1988? (2 marks)
- (II) Hong Kong's GDP for 1988 at constant (1980) market prices? (2 marks)

1992/CE/I/5(a)

The national income of a country in 1991 is \$60 million.

- (ii) Given the price indexes for 1980 and 1991 were 100 and 150 respectively. Calculate the real national income for 1991 based on 1980 prices. (2 marks)
- (iii) Explain whether the nominal national income or the real national income is a better indicator of general living standard. (3 marks)

1996/CE/I/6

| Year | Price index (yearly average) | Peter's salary |
|------|------------------------------|----------------|
| 1994 | 120                          | \$ 10 000      |
| 1995 | 150                          | \$ 12 000      |

From the above data, explain whether Peter's real wage in 1995 has increased when compared to that in 1994. (3 marks)

2000/CE/I/6(b)

Study the following data about Hong Kong.

| Year | Quarter | Year on year % change in real gross domestic product (GDP) | Unemployment rate (%) | Composite consumer price index |
|------|---------|------------------------------------------------------------|-----------------------|--------------------------------|
| 1998 | 2nd     | -5.1                                                       | 4.4                   | 119.2                          |
|      | 3rd     | -6.8                                                       | 5.0                   | 118.6                          |
|      | 4th     | -5.7                                                       | 5.7                   | 116.1                          |
| 1999 | 1st     | -3.4                                                       | 6.2                   | 115.6                          |

Some worker's salaries were frozen during this period of time. Explain how their real income would change in this period. (3 marks)

2002/CE/I/12(b)(ii)

In order to cut expenses, Mr Wong reduces the monthly salaries of the staff working in the bookstore. Explain whether the real income of his staff would necessarily fall during deflation. (5 marks)

2003/CE/I/5

The following table shows data concerning a certain country.

| Year                                 | 1992  | 2002  |
|--------------------------------------|-------|-------|
| Consumption Expenditure (\$ million) | 2 500 | 2 679 |
| Population (million)                 | 5     | 6     |
| Price Index                          | 100   | 95    |

Based on the above data, explain in which year, 1992 or 2002, the country had a higher general living standard. Show your workings. (6 marks)

2004/CE/I/5

Refer to the following gross domestic product (GDP) data for Hong Kong.

| Year | GDP at current market prices (HK\$ million) | GDP at constant (2000) market prices (HK\$ million) |
|------|---------------------------------------------|-----------------------------------------------------|
| 2001 | 1 269 975                                   | 1 294 382                                           |
| 2002 | 1 259 771                                   | 1 323 650                                           |

- (a) Explain whether the real output level in 2001 is higher than that of 2002. (2 marks)
- (b) For both 2001 and 2002, explain why the GDP at current market prices is smaller than the GDP at constant market prices for the same year. (2 marks)

2007/CE/I/4(a)

The table below shows the gross domestic product (GDP) statistics of Hong Kong:

| Year | GDP at current market prices | GDP at constant (2000) market prices | (HK\$ million) |
|------|------------------------------|--------------------------------------|----------------|
|      |                              |                                      | GDP deflator   |
| 2003 | 1 233 983                    | 1 390 610                            | 88.7           |
| 2004 | 1 291 568                    | 1 510 182                            | 85.5           |
| 2005 | 1 382 052                    | 1 619 984                            | A              |

The value of A is \_\_\_\_\_.

(1 mark)

2009/CE/I/7(a)

Refer to the following statistical information on a country.

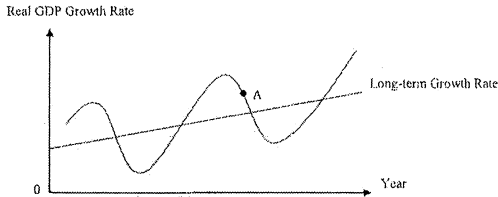
|                                                   | Year 2000 | Year 2008 |
|---------------------------------------------------|-----------|-----------|
| Nominal gross domestic product (GDP) (\$ million) | 16 000    | 24 840    |
| Price index                                       | 100       | 115       |
| Population (million)                              | 10        | 12        |

Calculate the per capita real GDP for the years 2000 and 2003.

(2 marks)

2010/CE/I/7(c)

Refer to the business cycle shown below.



During this phase of the business cycle, the nominal wage rate of some workers was reduced. Explain whether their real wage rate must also have decreased. (3 marks)

2012/DSE/II/11(b)

Many workers have their salaries increased during inflation. Explain whether the real income of these workers would necessarily rise. (3 marks)

2024/DSE/II/5

Refer to the following statistical information of an economy.

| Year | Nominal GDP (\$ million) | Year-on-year percentage change in implicit price deflator of GDP |
|------|--------------------------|------------------------------------------------------------------|
| 2022 | 2 850 000                | +3.8%                                                            |
| 2023 | 2 800 000                | +0.7%                                                            |

- (a) Based on the above information, how did the real output of the economy change from 2022 to 2023? Explain your answer. (2 marks)
- (b) 'As the nominal GDP in 2023 decreased, the general living standard in the economy deteriorated during that period.' Suggest **TWO** reasons why this statement may be incorrect. (2 marks)
- (c) Suppose people did not expect any change in the general price level in 2023. A tenant signed a rental contract with a landlord in 2022 for a fixed monthly rental over a 3-year contractual period. Who, the tenant or the landlord, would gain when the above change in the general price level occurred in 2023? Explain. (2 marks)



## 1.7 LIMITATIONS OF NATIONAL INCOME STATISTICS

### Multiple Choice Questions

1993/CE/II/41

The nominal Gross National Product (GNP) of a country may overstate the living standard of its people because the figure

- (1) does not reflect the improvement in the quality of the goods and services produced in the country
  - (2) does not reflect the effect of a rise in the price level
  - (3) excludes the undesirable effects of production
  - (4) excludes the goods not transacted in the market
- A. (1) and (2) only  
B. (1) and (4) only  
C. (2) and (3) only  
D. (3) and (4) only

1999/CE/II/30

Under which of the following circumstances will the per capita real GNP underrate the living standard?

- A. when the construction industry causes noise pollution  
B. when there is an increase in population due to immigration  
C. when Mrs Lam does the housework by herself instead of employing a servant  
D. when there is inflation

2002/CE/II/27

Country X has a higher GDP but a lower general living standard than Country Y. Which of the following is a possible reason for this?

- A. The net factor income from abroad of Country Y is smaller.  
B. The working hours of people in Country Y are longer.  
C. Capital goods make up a higher proportion of the output of Country Y.  
D. The population size in Country Y is smaller.

2006/CE/II/50

GDP at constant market prices would **NOT** be a good indicator to compare the living standard of two countries when the \_\_\_\_\_ of the two countries is different.

- (1) population size
  - (2) income distribution
  - (3) inflation rate
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2010/CE/II/29

The per capita real GDP of a country would overstate the living standard of its people because it

- (1) does not reflect the improvement in the quality of goods and services produced.
  - (2) does not reflect the uneven distribution of income.
  - (3) does not reflect the undesirable effects of production.
  - (4) excludes the calculation of the goods and services not transacted in the market.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

### Short & Structured Questions

1991/CE/I/3

Suppose there are only two countries and two commodities in the world. Every year each has 20 units of resources. Each uses 10 units of resources per year to produce each commodity. The annual output per unit of resources is shown below:

|           | Food (units) |    | Clothing (units) |
|-----------|--------------|----|------------------|
| Country A | 6            | OR | 12               |
| Country B | 5            | OR | 20               |

- (a) (i) Define 'Gross National Product' (GNP). (4 marks)
- (ii) In Country A, the market prices of food and clothing are \$2 and \$1, respectively. Calculate the GNP for country A. (4 marks)
- (b) To compare the general living standard of any two countries, what should we consider in addition to comparing their GNP figures? State and explain **THREE** of them. (9 marks)

1993/CE/I/4(a)(ii)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

|                                    | (Ratio to total GDP) |      |
|------------------------------------|----------------------|------|
| <u>GDP Components</u>              | 1980                 | 1990 |
| Private consumption expenditure    | 62%                  | 62%  |
| Government consumption expenditure | A%                   | 6%   |
| Investment                         | 36%                  | 28%  |
| Exports                            | 88%                  | 165% |
| Imports                            | 93%                  | 161% |

Although Hong Kong people spent the same percentage of GDP on consumption in 1980 and 1990, their living standard increased during the decade. Give **TWO** reasons to explain this. (4 marks)

1994/CE/I/11(d)

It is known that Country A has a lower GDP than Country B, but people in Country B prefer to live in Country A. Give **TWO** economic reasons to explain why this is so. (6 marks)

1996/CE/I/10(c)

Suppose after trade, Country B has a higher consumption level of both clothing and rice than Country A.

Give **THREE** reasons to explain why we cannot conclude that people in Country B generally enjoy a higher living standard as compared to Country A. (6 marks)

2005/CE/I/6

Answer Questions 6 and 7 by referring to the following information about the Gross Domestic Product (GDP) of Hong Kong.

**Table 1:**

| Year | Implicit price deflator of GDP | Per capita GDP at current market prices (HK\$) |
|------|--------------------------------|------------------------------------------------|
| 2001 | 98.1                           | 188 835                                        |
| 2002 | 94.6                           | 183 790                                        |
| 2003 | 89.6                           | 179 333                                        |

Other than the information given in Table 1, state **TWO** kinds of information that are needed for an accurate reflection of Hong Kong people's standard of living. Explain your answer. (4 marks)

2007/CE/I/5

During an economics class discussion, a student said, "If the per capita real GDP of country X is higher than that of country Y, then residents of country X must be enjoying a higher living standard than residents of country Y."

Give **TWO** reasons to explain why the student is wrong,

(4 marks)

2009/CE/I/7(b)

Explain with **TWO** reasons why a change in per capita real GDP cannot accurately reflect the change in the general living standard.

(4 marks)

**2022/DSE/II/3a**

Refer to the following data about Country A.

| Year                                                    | 2019     | 2020     |
|---------------------------------------------------------|----------|----------|
| Per capita disposable income                            | \$15 000 | \$20 000 |
| Gini coefficient (based on household income)            | 0.51     | 0.56     |
| Gini coefficient (based on household disposable income) | 0.51     | 0.44     |

- (a) State **TWO** reasons to explain why the increase in per capita disposable income may lead to an over-estimation of the improvement in living standard of Country A.

(2 marks)

## 1.8 UNCLASSIFIED

2007/CE/I/10(a)

Typhoons affect the production activities of economies.

It is given that the gross domestic product of Hong Kong per day is HK\$3.3 billion. When the typhoon signal number 8 is hoisted, the daily economic loss is estimated to be less than HK\$3.8 billion. Give **TWO** reasons to explain why. (4 marks)

2008/CE/II/11(d)

Suppose a country's export value of goods and services decreases by \$3 billion. In reality, the resulting decrease in GDP may be less than or more than \$3 billion.

- (i) Explain a factor that would lead to a less-than \$3 billion decrease in GDP. (3 marks)
- (ii) Explain a factor that would lead to a more-than \$3 billion decrease in GDP. (2 marks)

2016/DSE/II/11(a)

Medical service is one of the basic human needs.

Source A: a conversation outside a public clinic in Hong Kong

*Son: Dad, I feel very ill.*

*Father: Oh no! There is a long queue waiting.*

*Son: Why don't we go to a private doctor?*

*Father: The fee charged by public clinics is only \$45, much lower than that charged by private doctors.*

Refer to Source A. When a public clinic provides medical service for one patient, the resulting rise in gross domestic product will be \$45. Do you agree? Explain. (3 marks)

2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 - 25 are also required to join the military force for 2 years.

In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's general living standard. (3 marks)

## SECTION 2: MACROECONOMIC PROBLEMS

### 2.1 UNEMPLOYMENT

#### Multiple Choice Questions

1994/CE/II/37

Which of the following people would be classified as 'unemployed' in Hong Kong?

- A. Jack, aged 30, who has retired after winning the Mark Six
- B. Peter, aged 14, who cannot find a job after completing Form three
- C. John, who has quit his job and has gone on a trip to Europe
- D. Mary, who lost her job five weeks ago and has been looking for a new job for one month

1995/CE/II/37

Which of the following are the possible losses to society caused by unemployment?

- (1) loss of output
  - (2) a higher crime rate
  - (3) a greater expenditure in public assistance
  - (4) a reduction in the government's tax revenue
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only

1996/CE/II/33

David has quit his job for two months because he has been ill and is resting in bed. According to the Hong Kong government, he is

- A. unemployed.
- B. underemployed.
- C. employed.
- D. not in the labour force.

1997/CE/II/26

Study the following data about Hong Kong in a certain year:

|                          | Number of Persons |
|--------------------------|-------------------|
| Employed Population      | 2 931 000         |
| Underemployed Population | 33 000            |
| Unemployed Population    | 69 000            |

The unemployment rate is

- A. 2.27%
- B. 2.30%
- C. 3.36%
- D. 3.40%

1997/CE/II/55

An increase in the number of Form 7 graduates studying in the universities will result in

- (1) a decrease in the present labour supply.
  - (2) a decrease in the present unemployment rate.
  - (3) an increase in future average labour productivity.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

1998/CE/II/24

Which of the following are included in the calculation of the labour force of Hong Kong?

- (1) an employee with a foreign nationality working in a law firm in Hong Kong
  - (2) Mr Chan, who is unemployed and searching for a job
  - (3) Mr Wong, who works as a volunteer in a community centre after his retirement
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

1998/CE/II/28

If some Hong Kong residents who emigrated return to Hong Kong to fill up some posts which have been vacant for a long time, then Hong Kong's labour force would \_\_\_\_ and here unemployment rate would \_\_\_\_.

- A. increase ..... fall
- B. decrease ..... fall
- C. increase ..... rise
- D. decrease ..... rise

1999/CE/II/32

Many imported workers who had stayed in Hong Kong several years working on the new airport project, have gone back to their home countries. What will be the effect of their departure on the unemployment rate in Hong Kong?

- A. The unemployment rate will increase.
- B. The unemployment rate will decrease.
- C. The unemployment rate will remain constant.
- D. The effect cannot be determined.

2002/CE/II/29

|                             | Number of Persons |
|-----------------------------|-------------------|
| Population aged 15 or above | 10 000 000        |
| Employed population         | 6 800 000         |
| Unemployed population       | 1 200 000         |
| Underemployed population    | 800 000           |

According to the above table, which of the following statements is/are correct?

- (1) The labour force amounts to 8 000 000.
- (2) The underemployment rate is 10%.
- (3) The unemployment rate is 12%.

- A. (3) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

2002/CE/II/31

Which of the following are possible losses to a society caused by unemployment?

- (1) more government spending on public security due to a higher crime rate
- (2) more unemployment assistance given by the government
- (3) lower output level
- (4) lower cost of living

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (2) and (3) only
- D. (2), (3) and (4) only

2003/CE/II/30

Study the following data about Hong Kong in the period of July 2002 to September 2002.

|                          | Number of Persons |
|--------------------------|-------------------|
| Employed Population      | 3 243 000         |
| Underemployed Population | 101 000           |
| Unemployed Population    | 267 000           |

The unemployment rate in the period is

- A. 7.4%
- B. 7.6%
- C. 8.2%
- D. 10.2%

2004/CE/II/33

|                       | Number of Persons |
|-----------------------|-------------------|
| Employed population   | 18 400            |
| Unemployed population | 1 600             |

Now there are 1 000 additional job seekers in the economy. If 90% of them succeed in finding a job, the unemployment rate

- A. will increase.
- B. will decrease.
- C. will remain unchanged.
- D. may increase or decrease.



2005/CE/II/32

|                  | Population |
|------------------|------------|
| Aged 15 or above | 10 000 000 |
| Employed         | 6 800 000  |
| Unemployed       | 1 200 000  |
| Underemployed    | 1 600 000  |

According to the above data,

- A. the total labour force is 9 600 000.
- B. the underemployment rate is 20%.
- C. the unemployment rate is 12.5%.
- D. the unemployment rate is 16%.

2006/CE/II/30

Suppose the unemployed population of an economy is 500 000 while the unemployment rate is 5%. The employed population is

- A. 500 000
- B. 1 000 000
- C. 9 500 000
- D. 10 000 000

2007/CE/II/30

Unemployment is costly to society because

- A. the employed will pay more tax.
- B. the potential GDP will fall.
- C. the real output of the economy will fall.
- D. unemployment benefit is a burden to society.

2008/CE/II/30

Study the following figures of an economy.

|                          | Number of Persons |
|--------------------------|-------------------|
| Unemployed               | 20 000            |
| Under-employed           | 60 000            |
| Employed                 | 480 000           |
| Persons aged 15 or above | 1 000 000         |

The unemployment rate of the economy is \_\_\_\_\_.

- A. 2.0%
- B. 3.7%
- C. 4.0%
- D. 4.17%

2009/CE/II/32

|                        |         |
|------------------------|---------|
| Labour force (persons) | 600 000 |
| Unemployment rate      | 10%     |
| Underemployment rate   | 5%      |

According to the above information on an economy,

- A. the population aged 15 or above is 600 000.
- B. the employment rate is 85%.
- C. the employed population is 540 000.
- D. the number of unemployed takes up 10% of the population.

2010/CE/II/32

Below are the employment figures of a country.

|              | Number of Persons |
|--------------|-------------------|
| Employment   | 18 000            |
| Unemployment | 2 000             |

Suppose there are new job seekers entering into the labour market after graduation but only 85% of them succeed in finding a job. The unemployment rate \_\_\_\_\_.

- A. will increase
- B. will decrease
- C. will remain unchanged
- D. may increase or decrease

2012/DSE/I/24

Many Hong Kong construction workers stay in Macau to work for several years. If they are attracted by the job opportunities offered by new infrastructure projects in Hong Kong and return to seek jobs, what will be the effect on the unemployment rate in Hong Kong?

- A. The unemployment rate will increase.
- B. The unemployment rate will decrease.
- C. The unemployment rate will remain unchanged.
- D. The effect on the unemployment rate cannot be determined.

2016/DSE/I/25

Which of the following will reduce the unemployment rate of a country?

- A. Some university graduates join the labour force.
- B. Some factories move to a neighbouring country with lower labour cost.
- C. Some unemployed workers give up seeking jobs.
- D. The government increases unemployment benefits.

2017/DSE/I/27

If some second-generation of Hong Kong permanent residents returned to Hong Kong to fill up the posts which have been vacant for a long time, Hong Kong's labour force would \_\_\_\_\_ and the unemployment rate would \_\_\_\_\_.

- A. rise ..... remain unchanged
- B. rise ..... fall
- C. fall ..... remain unchanged
- D. fall ..... fall

2019/DSE/I/24

The following table shows the data of an economy.

|                                  |           |
|----------------------------------|-----------|
| Population aged 15 or above      | 6 500 000 |
| Labour force participation rate* | 60%       |
| Employed population              | 3 780 000 |
| Underemployed population         | 100 000   |

\*Labour force participation rate = proportion of labour force in population aged 15 or above

Based on the above data, the unemployment rate of the economy is \_\_\_\_\_.

- A. 1.85%
- B. 3.08%
- C. 3.38%
- D. 5.64%

2019/DSE/I/39

Which of the following results can be a negative number?

- A. gross investment *minus* net investment
- B. total exports *minus* re-exports
- C. money supply (M3) *minus* money supply (M2)
- D. employed population *minus* unemployed population

2020/DSE/I/24

The following table shows the employment data of Hong Kong from April to June in 2019.

|                       | Number of persons ('000) |
|-----------------------|--------------------------|
| Population            | 7 524                    |
| Aged 15 or above      | 6 590                    |
| Employed persons      | 3 871                    |
| Unemployed persons    | 114                      |
| Underemployed persons | 41                       |

According to the above data, the underemployment rate is \_\_\_\_\_.

- A. 0.55%
- B. 0.62%
- C. 1.03%
- D. 1.06%

2021/DSE/I/25

Suppose the unemployment rate of an economy is 8%. Which of the following would increase the unemployment rate

- (1) 15% of the new graduates could not find jobs successfully.
- (2) Some employers closed down their local businesses and migrated to other countries.
- (3) Some of the part-time workers lost their job due to automation of production.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

**2022/DSE/I/27**

Which of the following would be deducted from the GDP of Hong Kong to calculate the gross national income (GNI) of Hong Kong?

- A. the salary received by a Hong Kong professor who worked in a university in Japan on a permanent contract
- B. the dividend earned by a Filipino billionaire from his holding of shares of a Hong Kong company
- C. the salary received by an Indonesian domestic worker who worked for a Hong Kong family for two years
- D. the rental income earned from a residential property in the United Kingdom owned by a Hong Kong resident

**2023/DSE/I/27**

Study the following data of a country.

| Year                            | 2020  | 2021  |
|---------------------------------|-------|-------|
| Unemployed population (million) | 176.9 | 175.4 |
| Unemployment rate (%)           | 3.8   | 4.0   |

Which of the following best explains the above changes of the country from 2020 to 2021?

- A. More people look for jobs.
- B. More employed persons emigrate to other countries.
- C. The government raises the effective minimum wage rate.
- D. The government raises the amount of unemployment benefits.

**2023/DSE/I/40**

Which of the following would result in a rise in the price level of an economy and a fall in its employment level at the same time?

- A. The government reduces the profits tax rate.
- B. The economy's currency appreciates against the currencies of its trading partners.
- C. The government increases its spending on research and development.
- D. The prices of imported raw materials increase.

**2024/DSE/I/26**

Suppose the unemployment rate of an economy is 5%. Which of the following situations would lead to a decrease in the unemployment rate of the economy?

- (1) Foreign workers are imported to fill the vacancies in various industries.
  - (2) 96% of the new university graduates who enter the labour market are employed.
  - (3) Some underemployed workers work for more hours.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

### Short & Structured Questions

1994/CE/I/10(a)(i)

What losses to an economy are caused by unemployment? Give **TWO** of them.

(4 marks)

1995/CE/I/6

Every summer, many school leavers start to look for jobs and this affects the unemployment rate in September. Explain why the rate may increase or decrease. (5 marks)

2000/CE/I/7

A certain government announces that the unemployment rate has dropped but the number of unemployed has increased. Explain why the number of unemployed can increase despite a fall in the unemployment rate. (4 marks)

2003/CE/I/6

Suppose a number of civil servants retire under the government's voluntary retirement scheme. Explain whether this will increase the unemployment rate in Hong Kong. (4 marks)

2004/CE/I/7

Give **TWO** losses to society caused by unemployment. (4 marks)

2006/CE/I/9(c)

In the summer of last year, the growing business of many retail shops led to an increase in the employed population in Hong Kong. However, the unemployment rate during the same period of time remained unchanged.

Explain why the unemployment rate can still remain unchanged in spite of an increase in the employed population. (4 marks)

2007/CE/I/8(b)(i)

Suppose these top-quality Mainland students stay and work in Hong Kong after their graduation and the total number of job positions in Hong Kong remains unchanged.

Explain how this situation would affect the unemployment rate of Hong Kong. (4 marks)

2012/DSE/II/6(a)

Rising unemployment is one of the phenomena which occurs during economic recession.

State **TWO** losses to society caused by unemployment. (2 marks)

2013/DSE/II/11(b)(iii)

The government has launched the "Work Incentive Transport Subsidy Scheme", with the following objectives:

- (1) To relieve the burden of travelling expenses commuting to and from work on the part of low-income households with employed members
- (2) To promote sustained employment

Applicants must meet the monthly income and asset limits of the household (e.g. for a single person, the monthly income cannot exceed \$7 300 and the assets cannot exceed \$72 000) and work no less than 72 hours per month in order to apply for a subsidy of \$600 per month.

Discuss the effects of the scheme on the unemployment rate. (3 marks)

2015/DSE/II/5

Macau has developed rapidly in recent years and some workers in Hong Kong have been attracted to work there. Suppose the number of job positions in Hong Kong is constant. What would be the effect of the above phenomenon on the unemployment rate in Hong Kong? Explain your answer. (4 marks)

2016/DSE/II/6

Below are the employment data of a country.

|                          |           |
|--------------------------|-----------|
| Employed population      | 3 800 000 |
| Underemployed population | 800 000   |
| Unemployed population    | 200 000   |

- (a) Calculate the unemployment rate of the country. (2 marks)
- (b) Suggest **THREE** losses to the society caused by unemployment. (3 marks)

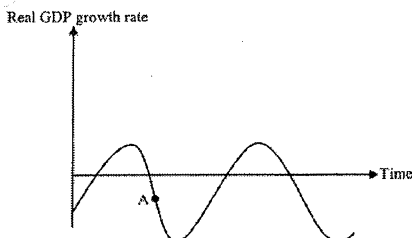
2018/DSE/II/5(b)

During peak flu seasons, there is not enough medical staff in public hospitals in Hong Kong.

In order to relieve the pressure of the medical staff, the government plans to recruit retired medical staff to re-join the public hospitals. Explain how the measure would affect the unemployment rate in Hong Kong. (4 marks)

2020/DSE/II/3

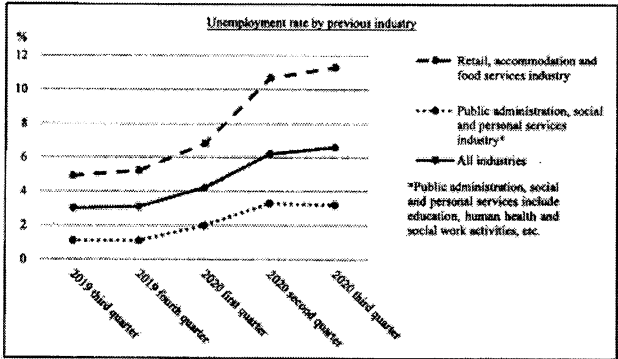
Below are the gross domestic product (GDP) data of a country.



- (a) Identify the phase of business cycle which point A is in. (1 mark)
- (b) Apart from increasing unemployment rate, list **TWO** general economic phenomena which occur at point A. (2 marks)
- (c) State **TWO** losses to society caused by unemployment. (2 marks)

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong\*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

|                                                                   | AlipayHK<br><br>AlipayHK | Octopus<br><br>八達通 Octopus | Tap & Go<br><br>Tap & Go                   | WeChat Pay HK<br><br>WeChat Pay |
|-------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| Public Transportation with the above payment facilities installed | MTR, bus, mini bus and ferry                                                                              | MTR bus, mini bus and ferry                                                                                 | Bus and mini bus                                                                                                             | None                                                                                                             |
| Promotions to consumption voucher users                           | 5e-coupons                                                                                                | First 2 million registered customers enjoy \$18 of stored value                                             | \$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50 | e-coupons                                                                                                        |

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

|                                                                                                                               |                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A housewife</p>                            | <p>I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!</p>                                                                                                                                       |
| <p>A former chef in a restaurant</p>          | <p>I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.</p> |
| <p>A doctor working in a public hospital</p>  | <p>Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.</p>                   |

(a) Refer to Source A.

- (ii) Why did the unemployment rate of retail, accommodation and food services industry increase faster than that of public administration, social and personal services industry during the pandemic? (2 marks)

2023/DSE/II/6

Study the following statistical data of Hong Kong.

| Year | Labour Force (thousand persons) |
|------|---------------------------------|
| 2020 | 3 918.5                         |
| 2021 | 3 870.4                         |

‘The above change in labour force necessarily implies a rise in the unemployment rate in 2021 in Hong Kong’. Do you agree? Explain your answer. (4 marks)

2024/DSE/II/12(b)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

Some football clubs in Saudi Arabia have established their own football academies to train young players.

- (b) Suppose some unemployed youngsters stopped seeking jobs and enrolled in the full-time training programmes of these football academies. Explain how the unemployment rate in Saudi Arabia would be affected. (4 marks)



## 2.2 THE GENERAL PRICE LEVEL

### Multiple Choice Questions

1991/CE/II/46

What will happen when there is inflation?

- A. The cost of living will fall.
- B. The budget deficit will decrease.
- C. The living standard will improve.
- D. The value of money will decrease.

1991/CE/II/48

Unexpected inflation will

- (1) increase government revenue.
  - (2) encourage exports.
  - (3) redistribute income.
  - (4) cause an inflow of short-term capital.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only

1991/CE/II/50

| Year                 | 1990 | 1991 |
|----------------------|------|------|
| Consumer price index | 100  | 125  |

According to the table above, which of the following statements is true?

- A. The cost of living was lower in 1990.
- B. The standard of living was lower in 1990.
- C. The purchasing power of money was higher in 1991.
- D. The consumption expenditure was higher in 1991.

1993/CE/II/42

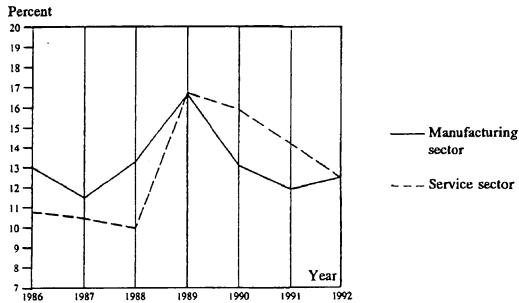
|                          | November 1991 | November 1992 |
|--------------------------|---------------|---------------|
| Consumer Price Index (A) | 117.7         | 128.5         |
| Consumer Price Index (C) | 118.7         | 129.9         |

The above table compares the indexes for November 1991 and November 1992. It shows that in November 1992, the \_\_\_\_\_ of the higher income group increased at a \_\_\_\_\_ rate than that of the lower income group.

- A. standard of living ..... faster
- B. standard of living ..... slower
- C. cost of living ..... faster
- D. cost of living ..... slower

1994/CE/II/20

The following diagram shows the percentage increase in the nominal wages of workers in the manufacturing and the service sectors of an economy



The above diagram shows that in the period 1986-92,

- A. manufacturing workers received higher total earnings than workers in the service sector.
- B. manufacturing workers had lower average labour productivity than workers in the service sector.
- C. if the inflation rate were below 10%, then real wages of workers in both sectors increased.
- D. there was a shortage of workers in the service sector.

1994/CE/II/34

For Question No. 34, consider the following data of an economy producing only bread and shirts:

|        | Price in 1992<br>(\$) | Price in 1993<br>(\$) | Output in 1993<br>(units) |
|--------|-----------------------|-----------------------|---------------------------|
| Bread  | 10                    | 12                    | 50                        |
| Shirts | 20                    | 25                    | 20                        |

The rate of inflation from 1992 to 1993 calculated by using the GNP deflator is:

- A. 18.2%
- B. 22.2%
- C. 33.3%
- D. 122.2%

1994/CE/II/38

Who will lose during an unanticipated inflation?

- A. Mrs Lee, who has hired a Filipino maid
- B. Mr Chan, who has bought ten coupons which can be exchanged for cakes at a bakery
- C. Mr Fu, who runs a restaurant
- D. Mr Wong, who has put all his money in his time deposit account

1995/CE/II/33

| Year         | 1994 | 1995 |
|--------------|------|------|
| GDP deflator | 120  | 132  |

Based on the above data, we may conclude that from 1994 to 1995, the economy's

- A. nominal GDP increased by 12%.
- B. real GDP increased by 10%.
- C. rate of deflation was 12%.
- D. general price level increased by 10%.

1995/CE/II/36

Which of the following people will gain in times of unexpected inflation?

- (1) holders of long-term government bonds
  - (2) holders of certificates of deposits
  - (3) those who have used credit cards to buy goods
  - (4) shareholders of companies which have issued long-term fixed-interest debentures
- A. (1) and (2) only  
 B. (1) and (4) only  
 C. (2) and (3) only  
 D. (3) and (4) only

1996/CE/II/32

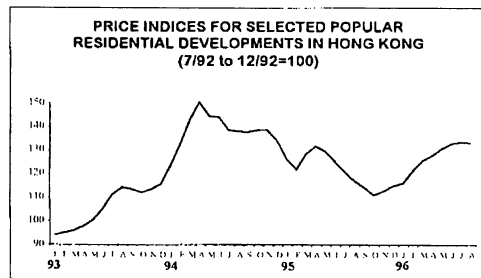
Study the following information about Country X:

| Year | Nominal national income<br>(\$mn) | Price index |
|------|-----------------------------------|-------------|
| 1988 | 8 000                             | 100         |
| 1989 | 10 000                            | 120         |

Comparing the year 1988 with 1989, we can conclude that

- A. the cost of living increased by 20% in 1989.
- B. the living standard in 1989 is generally higher.
- C. the real GNP growth rate in 1989 is 25%.
- D. the price of all goods and services increased by 20% in 1989.

1997/CE/II/25

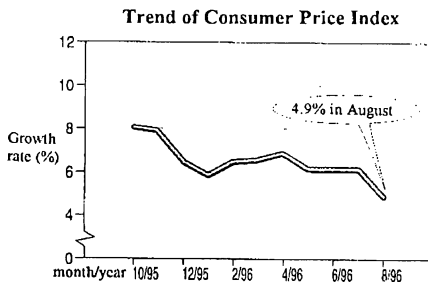


Source : *N.E. Asian Quarterly*, Standard Chartered, October 1996.

The above graph shows that in the first half of 1996,

- A. the high price of housing had led to a low consumption of the citizens.
- B. the living standard of Hong Kong people had improved.
- C. Hong Kong's property market was on the upswing.
- D. there was a lot of speculative activities in the property market of Hong Kong.

1997/CE/II/27



Source : *Hong Kong Economic Times*

The above data reflects that during this period,

- A. the consumption power of the people became weaker.
- B. the economy was on a downswing.
- C. the people consumed less but saved more.
- D. the increase in the cost of living had slowed down.

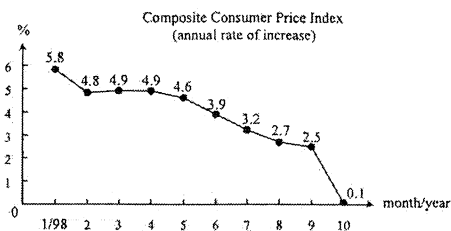
1997/CE/II/31

An increase in the GDP deflator from 100 to 110 in a certain year means that

- A. every household's cost of living has increased by 10%.
- B. the general price level has increased by 10%.
- C. the prices of all goods produced in the current year have increased by 10%.
- D. people's nominal incomes have increased by 10%.

1999/CE/II/33

Study the figure below concerning the changes in the Consumer Price Index.



Form the figure, we can conclude that

- A. Inflation has stopped as prices go down.
- B. Wages have decreased.
- C. The cost of living has been rising at a slower rate.
- D. Some debtors who purchased mortgages on flats recently have suffered a loss.

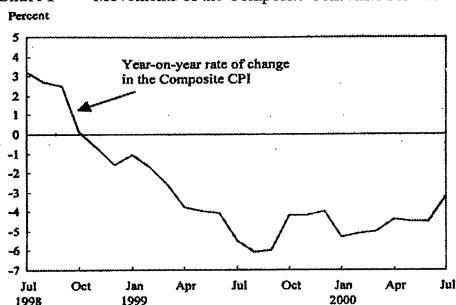
2000/CE/II/39

Mr A borrows money from a bank for a housing mortgage at a fixed interest rate of 7% p.a. After that the general price level falls continuously. In this event, Mr A loses and the bank gains. This is because.

- A. The value of the mortgaged house has been falling.
- B. Mr A's wage income has been falling
- C. The bank can sell the house if Mr A fails to repay the loan.
- D. When the general price level keeps on falling, the purchasing power of a fixed amount of interest will increase.

2001/CE/II/31

**Chart 1** Movements of the Composite Consumer Price Index



Based on the data in Chart 1, under what situation would Mr Chan have gained from July 1999 to July 2000?

- A. Before that period of time he had already borrowed a sum of money from a bank at a fixed interest rate.
- B. His salary remained unchanged during that period of time.
- C. He adjusted the rental charge to his tenant in a rental property according to the change in price level.
- D. He had a collection of antique vases.

2001/CE/II/32

Refer to the following data about an economy.

|              | Year 1 | Year 2 |
|--------------|--------|--------|
| GDP deflator | 150    | 180    |

We can conclude that from Year 1 to Year 2,

- A. the purchasing power of money has decreased.
- B. the real national income has decreased.
- C. the average standard of living has gone down.
- D. the income distribution has become more uneven.

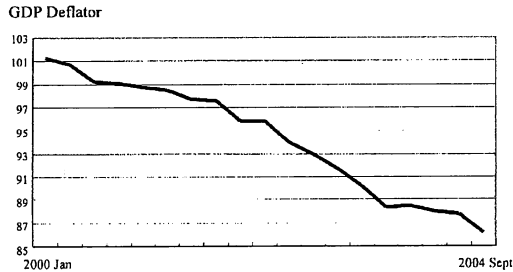
2005/CE/II/33

Which of the following would gain when unexpected inflation occurs?

- A. holders of fixed deposits with banks
- B. employees whose salaries are adjusted according to inflation
- C. people who receive a fixed amount of unemployment benefits
- D. a government which has issued bonds at fixed interest rates

2005/CE/II/34

Refer to the following diagram about the GDP deflator of Hong Kong from January 2000 to September 2004.



Source: Hong Kong SAR Government

Based on the above diagram, we can conclude that during this period,

- A. the nominal GDP was decreasing.
- B. the real GDP was decreasing.
- C. the cost of living was increasing.
- D. the purchasing power of money was increasing.

2006/CE/II/31

The Consumer Price Index (A) of Hong Kong in the third quarter of 2005 has increased. This means that \_\_\_\_\_ in Hong Kong has increased.

- A. the price of all goods
- B. the price of imported goods
- C. the nominal national income
- D. the cost of living

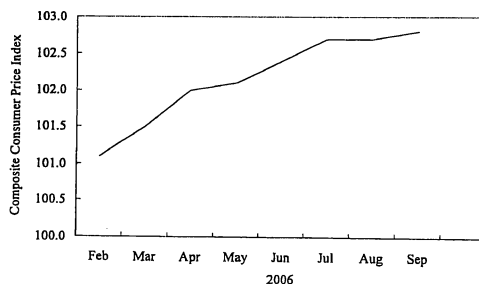
2007/CE/II/33

Which of the following statements about inflation is correct?

- A. A continuous increase in the price of a good is not inflation.
- B. During inflation, everyone suffers to the same extent.
- C. During inflation, incomes and prices increase at the same rate.
- D. Inflation may benefit some people, particularly those people whose incomes are fixed.

2007/CE/II/34

Refer to the following information about the composite consumer price index of Hong Kong.



Based on the above information, we can conclude that during this period in 2006,

- A. the nominal GDP was falling.
- B. the nominal GDP was increasing.
- C. the purchasing power of money was falling.
- D. the purchasing power of money was increasing.

2008/CE/II/31

Which of the following would lose during an unexpected inflation?

- A. a tenant who has signed a fixed rental contract before the unexpected inflation occurs
- B. an employer who has fixed the wage payment to his employees before the unexpected inflation occurs
- C. a creditor who has loaned out a sum of money at a fixed interest rate before the unexpected inflation occurs
- D. an insurer who is paying compensation, the amount of which was fixed before the unexpected inflation occurs

2008/CE/II/33

| Year | Consumer Price Index (A) |
|------|--------------------------|
| 2004 | 99.3                     |
| 2005 | 100.3                    |
| 2006 | 102.1                    |

Based on the above table, we can conclude that during this period of time,

- A. the per capita nominal GDP has increased.
- B. the living standard has worsened.
- C. the cost of living has increased.
- D. All of the above are correct.

2009/CE/II/33

When inflation is expected,

- (1) creditors will charge the debtors a higher nominal interest rate.
  - (2) workers will request for a raise in their nominal wage rates.
  - (3) people will tend to hold more monetary assets instead of real assets.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2009/CE/II/34

When the consumer price index of an economy increases from 100 to 110, it implies that

- A. the prices of all consumer goods involved in the calculation of the index have increased by 10%.
- B. the cost of living has increased.
- C. the standard of living has increased.
- D. people's nominal income has increased.

2012/DSE/I/32

The US government has accumulated a huge amount of debt, about US\$14 trillion in 2011. If there is unexpected inflation in the US, which of the following parties will most likely gain?

- A. Hong Kong residents holding cash in Hong Kong dollars under the linked exchange rate system
- B. US citizens holding time deposits
- C. countries holding a large amount of US government bonds, like China and Japan
- D. the US government

2013/DSE/I/34

Which of the following people will benefit from unanticipated inflation?

- A. A loan shark who lends out a sum of money at a floating interest rate
- B. A manager who receives a fixed salary with the period of a two-year contract
- C. A flat-owner who repays a fixed-rate mortgage loan
- D. A retired teacher who receives dividends from various listed companies

2014/DSE/I/40

Which of the following statements about inflation is/are correct?

- (1) Inflation occurs when the government handouts a large sum of cash to every citizen in a certain year.
- (2) Inflation redistributes wealth from lenders to debtors if it is anticipated.
- (3) People prefer holding real assets to cash under expected inflation.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

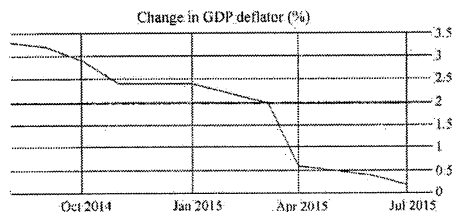
2015/DSE/I/36

When unanticipated deflation occurs, which of the following people will lose?

- A. people paying a fixed amount of rental payment
- B. people receiving interest from their savings deposits
- C. people repaying a mortgage loan at a floating interest rate
- D. people working under a fixed nominal wage contract



2016/DSE/I/24  
Study the diagram below.



The diagram shows that during the period from October 2014 to July 2015,

- A. the nominal GDP was falling.
- B. the purchasing power of money was increasing.
- C. the growth rate of real GDP was higher than that of nominal GDP.
- D. the nominal interest rate was higher than the realised real interest rate.

2016/DSE/I/37  
Which of the following people will gain in times of unexpected deflation?

- (1) holders of i-bonds issued by the Hong Kong Government
- (2) flat owners repaying floating rate mortgage loans
- (3) pensioners receiving fixed pensions

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2017/DSE/I/34  
When there is unexpected inflation, which of the following individual(s) will lose?

- A. A firm owner paying his workers a fixed wage
- B. A flat owner charging a rental with adjustment according to the change in price level
- C. A retired civil servant receiving a fixed monthly pension
- D. All of the above individuals will lose because the purchasing power of money will be lower.

2022DSE/I/39

If there is unexpected inflation, which of the following persons will lose?

- A. a consumer who used credit cards to buy goods
- B. an employer who signed fixed nominal wage contracts with his employees
- C. a holder of certificate of deposits
- D. an investor of bonds with the rate of return adjusted according to the inflation rate

**2023/DSE/I/38**

The table below shows the Composite Consumer Price Index of Hong Kong.

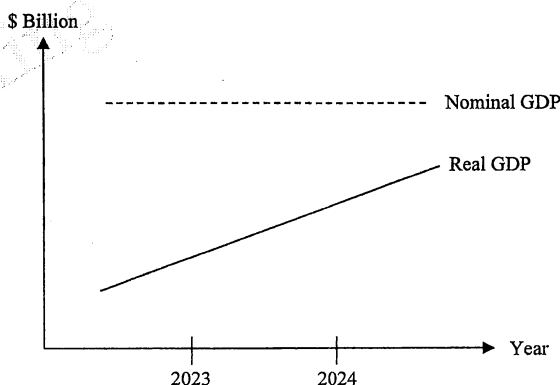
| Year | Composite Consumer Price Index |
|------|--------------------------------|
| 2020 | 99.9                           |
| 2021 | 101.4                          |

Suppose people did not expect any change in the price level from 2020 to 2021. Which of the following persons would gain when the above change in price level occurred?

- A. a lender who provided a one-year loan to an enterprise at a fixed interest rate in 2020
- B. an employee whose salary in 2021 was adjusted according to the inflation rate
- C. a student who paid a fixed tuition fee in both 2020 and 2021
- D. an elderly who held time deposits in a bank from 2020 to 2021

**2025/DSE/I/40**

Study the following diagram.



Suppose people did not expect any change in the general price level from 2023 to 2024. Which of the following persons would lose when the change in price level implied by the above diagram occurred?

- A. an investor holding a bond the interest rate of which is fixed at 2%
- B. a landlord receiving a fixed monthly rental
- C. an employer paying fixed salaries
- D. a debtor repaying a loan at a floating interest rate

### Short & Structured Questions

1990/CE/I/3(b)(ii)

Explain whether the following persons would gain or lose in times of inflation:

- (I) a businessman who has borrowed money from a bank at a fixed interest rate
- (II) a landlord whose premises have already been let at a fixed rent for the coming two years

(6 marks)

1993/CE/I/1(c)

Explain whether 'Yummy Yummy' will gain or lose if inflation occurs unexpectedly after

- (i) it has signed a contract with a hospital to supply a standardized lunch package to the patients at a fixed price for a year.
- (ii) it has deposited a sum of money with a bank at a fixed interest rate.

(6 marks)

1998/CE/I/1(a)

Define 'inflation'.

(2 marks)

1999/CE/I/11(c)

Some taxi-drivers buy taxis by borrowing from banks. If the general price level goes down unexpectedly, explain under what circumstances these taxi-drivers will

- (i) lose.
- (ii) have no gain or loss.

(6 marks)

2001/CE/I/9(d)

"If an import tax is introduced on all imports to Hong Kong, it would affect Hong Kong's general price level but would not necessarily lead to inflation in Hong Kong." Explain why this statement is correct.

(5 marks)

2003/CE/I/9(c)

Explain whether the following persons would gain or lose in times of unexpected deflation.

- (i) Suppose an individual has borrowed a housing mortgage loan from a bank at a fixed interest rate.
- (ii) Suppose a retired civil servant receives a fixed monthly pension from the government.

(6 marks)

2005/CE/I/7

Answer Questions 6 and 7 by referring to the following information about the Gross Domestic Product (GDP) of Hong Kong.

**Table 1:**

| Year | Implicit price deflator of GDP | Per capita GDP at current market prices (HK\$) |
|------|--------------------------------|------------------------------------------------|
| 2001 | 98.1                           | 188 835                                        |
| 2002 | 94.6                           | 183 790                                        |
| 2003 | 89.6                           | 179 333                                        |

Suppose people did not expect any change in the price level. Explain whether the following persons would gain or lose when the change in the price level indicated in Table 1 occurred.

- (a) a businessman who obtained a bank loan in 2001 at a fixed interest rate for 2 years
- (b) a businessman whose premises were let in 2001 at a fixed rent for 2 years

(4 marks)

2007/CE/I/4(b)

The table below shows the gross domestic product (GDP) statistics of Hong Kong:

| Year | GDP at current<br>market prices | GDP at constant (2000)<br>market prices | (HK\$ million) |
|------|---------------------------------|-----------------------------------------|----------------|
|      |                                 |                                         | GDP deflator   |
| 2003 | 1 233 983                       | 1 390 610                               | 88.7           |
| 2004 | 1 291 568                       | 1 510 182                               | 85.5           |
| 2005 | 1 382 052                       | 1 619 984                               | A              |

Suppose people did not expect any change in the price level in years 2003 to 2005. Explain whether the following persons would gain or lose when the changes in the price level indicated in the above table occurred.

- (i) a retired civil servant who receives a fixed monthly pension from the government
  - (ii) a person who borrowed a sum of money in 2003 from a bank at a fixed interest rate and repaid the loan in 2005
- (6 marks)

2009/CE/I/5

Refer to the following information on economy A.

| Year | Growth rate of GDP deflator |
|------|-----------------------------|
| 2006 | + 5%                        |
| 2007 | + 4%                        |
| 2008 | + 2%                        |

- (a) What is inflation?
  - (b) Suppose people did not expect any change in the price level in years 2006 to 2008. In 2006, Phelps borrowed a housing mortgage loan from a bank at a fixed interest rate. Explain whether Phelps would gain or lose when the changes indicated in the above table occurred.
- (2 marks)  
(3 marks)

2012/DSE/II/11(a)

Read the following news extract.

*Hong Kong's inflation rate rose to 7.9% last month - the sharpest jump in 16 years - confirming what many families already feared as they struggle to keep up with the runaway cost of food and rent .....*

What is inflation?

(2 marks)

2014/DSE/II/5

Study the following information about an economy.

| Year | Consumer price index (CPI) |
|------|----------------------------|
| 2012 | 120                        |
| 2013 | 126                        |

- (a) Calculate the inflation rate in 2013.
  - (b) Explain **ONE** difference between using CPI and Gross Domestic Product (GDP) deflator to measure the change in the price level.
  - (c) Suppose people did not expect any change in the price level from 2012 to 2013. Explain whether each of the following persons would gain or lose when the change in the price level in the above table occurred.
    - (i) In 2012, Kitman borrowed a housing mortgage loan from a bank at a fixed nominal interest rate.
- (1 mark)  
(2 marks)  
(2 marks)

2018/DSE/II/10(b)

Who, the employers or the foreign domestic helpers, will suffer a loss if there is an unexpected inflation in the contractual period? Explain. (2 marks)

2019/DSE/II/6

Study Tables 1 and 2 and answer the following questions.

Table 1: Change in composite consumer price index (CCPI)

| Year 2016 | Year 2017 |
|-----------|-----------|
| +2.3%     | +1.7%     |

Table 2: Minimum wage rates per hour

| Year 2016 | Year 2017 |
|-----------|-----------|
| \$32.5    | \$34.5    |

- (a) Based on Table 1, state the change in the general price level in 2017. (1 mark)
- (b) On 1 January 2017, Siu Keung expected a +2.3% change of the CCPI in that year, and he lent a sum of money to Kitman at 5% interest rate per annum. On 31 December 2017, Kitman repaid the sum plus the interest to him. With reference to Table 1, explain whether Siu Keung would gain or lose. (3 marks)
- (c) Kitman has been receiving the minimum wage rate per hour. With reference to Tables 1 and 2, explain how her real wage rate would change in 2017. (3 marks)

## 2.3 BUSINESS CYCLE

### Multiple Choice Questions

1994/CE/II/35

According to the data below, what do we call the phase of the business cycle that the economy was in 1991?

| Year                     | 1989 | 1990 | 1991 | 1992 | 1993 |
|--------------------------|------|------|------|------|------|
| Real GDP growth rate (%) | 1.5  | 0.0  | 2.1  | 2.8  | 3.5  |

- A. recovery
- B. peak
- C. recession
- D. through

1994/CE/II/36

During recession,

- (1) the growth rate of national income is steady.
- (2) the general price level begins to rise.
- (3) the unemployment rate increases.
- (4) the production level declines.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

1995/CE/II/35

Which of the following will happen in times of recession?

- (1) The total demand for goods and services will decrease.
- (2) The budget deficit will decrease.
- (3) The unemployment rate will increase.
- (4) The balance of payments deficit will increase.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1996/CE/II/59

Which of the following is **NOT** a characteristic of the phase of recession in a business cycle?

- A. The consumption expenditure decreases.
- B. The investment expenditure decreases.
- C. The unemployment rate increases.
- D. The government suffers from fiscal deficit as her tax revenue decreases and expenditure increases.

1997/CE/II/30

An economy is experiencing the following: the unemployment rate is declining, prices have stopped falling and started rising, and investment expenditure is expanding. It is in the \_\_\_\_\_ phase of a business cycle.

- A. recovery
- B. peak
- C. recession
- D. trough

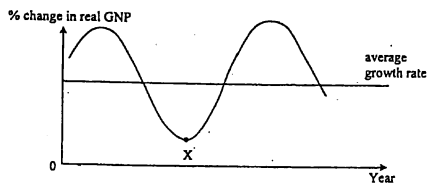
1998/CE/II/27

Which of the following indicates that the economy is beginning to recover from depression?

- A. decreasing price level
- B. increasing government fiscal deficit
- C. decreasing balance of payments deficit
- D. increasing employment rate

1999/CE/II/27

In the diagram below, X is situated in a certain phase of the business cycle. Which of the following is a characteristic of the phase?



- A. The real GNP has a zero growth rate.
- B. The nominal GNP is higher than the real GNP
- C. The investment expenditure of the economy is zero.
- D. The unemployment rate is high.

1999/CE/II/28

According to the government, Hong Kong experienced a recession in 1998 because three consecutive quarters, there was

- A. An increase in the unemployment rate.
- B. A fall in the average wage rate.
- C. A fall in the general price level.
- D. A negative growth rate of real gross domestic product (GDP)

2000/CE/II/37

The following phenomena are observed in an economy:

- (1) Industrial output on an upward trend
- (2) Increasing imports and exports
- (3) Growth of retail receipts
- (4) Forecast of economic growth being revised upwards.

Which phase of the business cycle is the economy in?

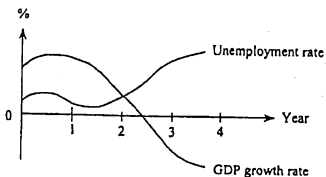
- A. peak
- B. recession
- C. trough
- D. recovery

2001/CE/II/38

If Hong Kong is in the stage of recovery in the business cycle,

- A. government expenditure will increase.
- B. the proportion of tax revenue in total government revenue will decrease.
- C. government revenue from direct taxes will increase.
- D. there will be a budgetary surplus for the government.

2002/CE/II/28



The information above shows that the economy is in a stage of \_\_\_\_\_ in Year 3.

- A. recession
- B. depression
- C. recovery
- D. prosperity

2004/CE/II/32

When an economy is in the recovery stage,

- (1) retail receipts will increase.
- (2) the government will have a budget surplus.
- (3) the unemployment rate will fall.
- (4) the balance of payments deficit will decrease.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2005/CE/II/31

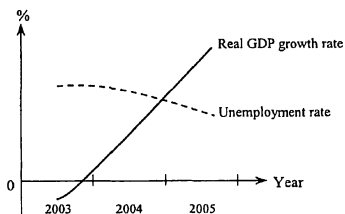
The following is observed in an economy: the unemployment rate is decreasing, the price level is no longer falling but rising instead, and the investment expenditure is increasing.

In which phase of the business cycle is the economy situated?

- A. recovery
- B. peak
- C. recession
- D. trough



2006/CE/II/27

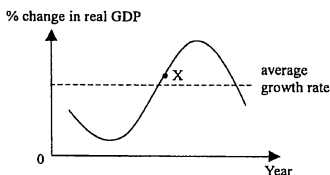


According to the above information, the economy is in a stage of \_\_\_\_\_ in 2004.

- A. recovery
- B. prosperity
- C. recession
- D. depression

2007/CE/II/31

In the diagram below, X is situation in a certain phase of the business cycle. Which of the following is a characteristic of this phase?



- A. The general price level is falling.
- B. The consumption expenditure is falling.
- C. The balance of payments surplus is increasing.
- D. The level of investment is increasing.

2008/CE/II/29

In the stage of economic \_\_\_\_\_, the percentage change in real GDP \_\_\_\_\_.

- A. recession ..... could be negative
- B. recovery ..... is equal to the inflation rate
- C. prosperity ..... will be constant
- D. depression ..... will be zero

2009/CE/II/31

The following phenomena are observed in an economy:

- ♦ Total sales value at the retail level is decreasing.
- ♦ Bankruptcy petitions are increasing.
- ♦ The inflation rate is falling.
- ♦ The forecast of economic growth has been revised downward.

Which phase of the business cycle is the economy in?

- A. peak
- B. recession
- C. trough
- D. recovery

2010/CE/II/31

The following phenomena are observed in an economy:

- ♦ Retail receipts are increasing.
- ♦ The employment of the manufacturing sector is increasing.
- ♦ The stock prices are increasing.
- ♦ The forecast of the real GDP growth rate has been revised upward.

Which phase of the business cycle is the economy in?

- A. peak
- B. recession
- C. trough
- D. recovery

2010/CE/II/44

Which of the following will increase in times of economic recovery?

- A. trade surplus
- B. budget deficit
- C. government expenditure
- D. direct tax revenue

2013/DSE/I/33

The following phenomena are observed in an economy:

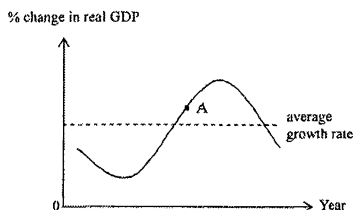
- (1) The unemployment rate is increasing.
- (2) The inflation rate is no longer rising but falling instead.
- (3) The inventories of producers are accumulating.
- (4) The forecast of economic growth is revised downward.

The economy is in the \_\_\_\_\_ phase of a business cycle.

- A. recession
- B. trough
- C. recovery
- D. peak

2014/DSE/I/39

In the diagram below, A is situated in a certain phase of the business cycle.

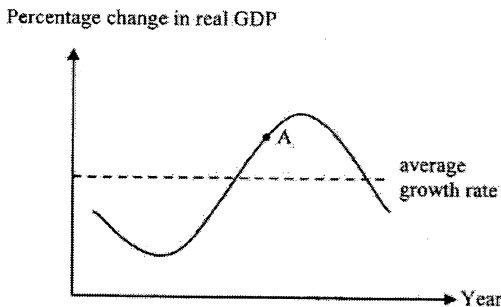


At Point A, there will be an increase in \_\_\_\_\_ in the economy.

- (1) the labour employment level
  - (2) the general price level
  - (3) the sales of firms
  - (4) transfer payments
- A. (1) and (2) only  
 B. (3) and (4) only  
 C. (1), (2) and (3) only  
 D. (1), (2), (3) and (4)

2021/DSE/I/39

Study the following diagram.

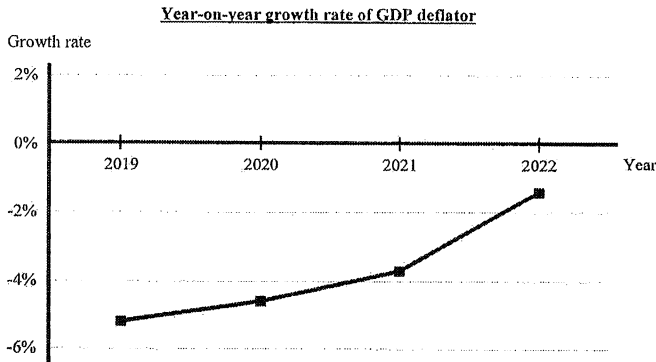


Which of the following are the features of an economy when it is operating at point A?

- (1) Labour supply is increasing.
  - (2) Purchasing power of money is decreasing.
  - (3) Government expenditure is increasing.
  - (4) Business confidence of companies is increasing.
- A. (1) and (3) only  
 B. (1) and (4) only  
 C. (2) and (3) only  
 D. (2) and (4) only

2023/DSE/I/39

The following chart shows the changes in the GDP deflator of a country.



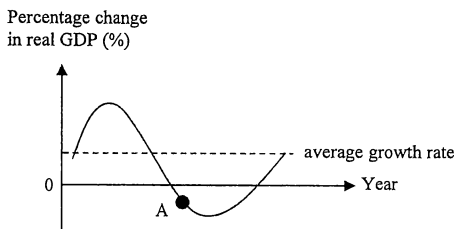
Based on the above chart, which of the following statements about the country during the above period are correct?

- (1) The purchasing power of money increased.
- (2) The nominal GDP growth rate was lower than the real GDP growth rate.
- (3) The cost of living increased.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2025/DSE/I/36

Study the following diagram.



Which of the following are economic phenomena that likely occur when an economy is operating at point A?

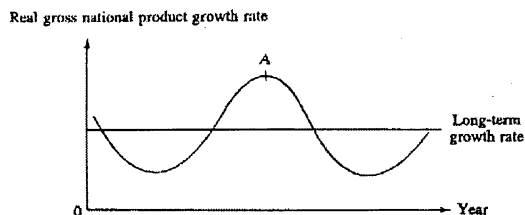
- (1) The percentage of shop premises that are vacant is increasing.
- (2) The frequency of non-repayment of bank loans is increasing.
- (3) The expenditure on imported goods is increasing.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

### Short & Structured Questions

1995/CE/1/7

Look at the business cycle shown below. Identify the phase which point A is in. Indicate **THREE** general economic phenomena which occur in this phase.



(4 marks)

1995/CE/1/6(a)

Study the following data about Hong Kong.

| Year | Quarter         | Year on year % change in real gross domestic product (GDP) | Unemployment rate (%) | Composite consumer price index |
|------|-----------------|------------------------------------------------------------|-----------------------|--------------------------------|
| 1998 | 2 <sup>nd</sup> | -5.1                                                       | 4.4                   | 119.2                          |
|      | 3 <sup>rd</sup> | -6.8                                                       | 5.0                   | 118.6                          |
|      | 4 <sup>th</sup> | -5.7                                                       | 5.7                   | 116.1                          |
| 1999 | 1 <sup>st</sup> | -3.4                                                       | 6.2                   | 115.6                          |

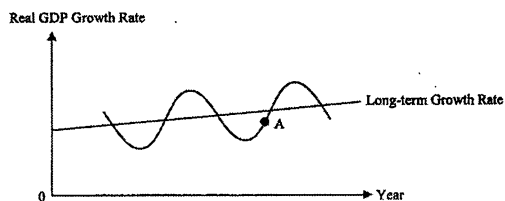
Identify the phase of business cycle the economy was in during the above period of time. Give the **THREE** economic phenomena of this phase as indicated by the above data.

(4 marks)

2008/CE/1/5

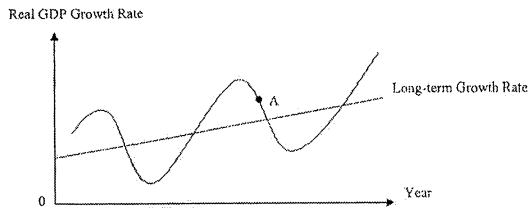
Refer to the business cycle shown below. Identify the phase which point A is in. Apart from the information about the real gross domestic product (GDP) growth rate in this phase, give **TWO** general economic phenomena which occur in this phase.

(3 marks)



2010/CE/I/7

Refer to the business cycle shown below.



- (a) Point A is in the \_\_\_\_\_ phase of the business cycle. (1 mark)
- (b) Apart from the change in the real gross domestic product (GDP) growth rate, give **TWO** general economic phenomena which occur in this phase. (2 marks)

2012/DSE/II/6(b)

Rising unemployment is one of the phenomena which occurs during economic recession.

Other than rising unemployment, give **TWO** other economic phenomena which would occur during economic recession. (2 marks)

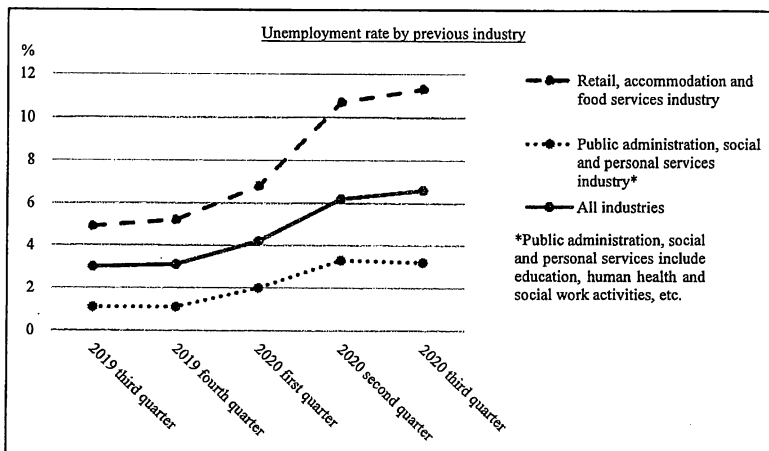
2016/DSE/II/6(c)

Suppose the country is in the phase of recovery. Apart from the reduction in unemployment rate, give **TWO** general economic phenomena during recovery. (2 marks)

## 2022/DSE/11/11a1

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong\*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

|                                                                   | AlipayHK<br><br>AlipayHK | Octopus<br><br>八達通<br>Octopus | Tap & Go<br><br>Tap & Go                   | WeChat Pay HK<br><br>WeChat Pay |
|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| Public transportation with the above payment facilities installed | MTR, bus, mini bus and ferry                                                                               | MTR, bus, mini bus and ferry                                                                                    | Bus and mini bus                                                                                                             | None                                                                                                              |
| Promotions to consumption voucher users                           | 5 e-coupons                                                                                                | First 2 million registered customers enjoy \$18 of stored value                                                 | \$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50 | e-coupons                                                                                                         |

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

|                                                                                                                               |                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A housewife</p>                            | <p>I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!</p>                                                                                                                                       |
| <p>A former chef in a restaurant</p>          | <p>I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.</p> |
| <p>A doctor working in a public hospital</p>  | <p>Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.</p>                   |

(a) Refer to Source A.

- (i) In which phase of business cycle the Hong Kong economy most likely was? Apart from the change in unemployment rate, list **ONE** other economic phenomenon of this phase. (2 marks)

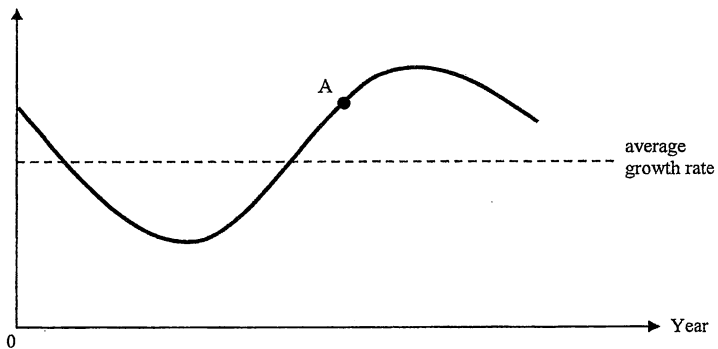


2024/DSE/II/4

Figure 1 shows the percentage change in real gross domestic product (GDP) of an economy.

Figure 1

Percentage change in real GDP (%)



- (a) Identify the phase of business cycle that point A is in. (1 mark)
- (b) Apart from the change in real GDP, list **TWO** economic phenomena which would generally occur at point A. (2 marks)

## 2.4 DISINFLATION, NOMINAL AND REAL INTEREST RATES

### Multiple Choice Questions

1990/AL/II/11

Which of the following statements about inflation are correct?

- (1) Inflation can exist in a barter economy.
- (2) In times of inflation, income will be redistributed from the general public to the government.
- (3) The nominal interest rate will be greater than the real interest rate when inflation is fully anticipated.
- (4) Inflation can be eliminated by price control.

- A. (1) and (3) only  
B. (1) and (4) only  
C. (2) and (3) only  
D. (2) and (4) only

1990/AL/II/24

The inflation rate and the real interest rate were expected to be 5% and 4% respectively. In reality, the actual inflation rate turned out to be 7%. What was the real interest rate?

- A. 1%      B. 2%
- C. 3%      D. 9%

1992/AL/II/21

If the nominal rate of interest is 10% but the real rate of interest is only 6%, the real return on holding cash will be

- A. 0%.  
B. -4%.  
C. -6%.  
D. -10%.

1993/AL/II/29

If the sum of the real interest rate and the anticipated inflation rate is greater than the nominal interest rate, which of the following will be **FALSE**?

- A. Nobody likes to lend money to others.
- B. People want to borrow money for consumption.
- C. People want to make investments themselves.
- D. The anticipation inflation rate will fall.

1995/AL/II/19

If the inflation rate falls and remains positive,

- A. the economy is experiencing unemployment.
- B. the price level is falling at a fixed rate.
- C. the price level increases and then decreases.
- D. the price level is rising.

1996/AL/II/21

When inflation occurs, the opportunity cost of holding money is equal to

- A. the nominal rate of interest.  
B. the expected rate of inflation.  
C. the actual rate of inflation.  
D. None of the above.

1999/AL/II/17

The inflation rate in an economy was 10% in 1996 and dropped to 5% in 1997. Which of the following must be true about the economy in the above period?

- A. There was a fall in the standard of living.
- B. There was a deflation in the year 1997.
- C. There was a rise in the prices of all goods.
- D. None of the above.

1999/AL/II/18

The expected inflation rate and the real rate of interest rate are 10% and 4% respectively. If the actual inflation rate turns out to be 9% only, the cost of holding cash is \_\_\_\_\_ and the real rate of return on holding cash is \_\_\_\_\_.

- A. 4% ..... -5%
- B. 4% ..... -9%
- C. 14% ..... -9%
- D. 14% ..... -10%

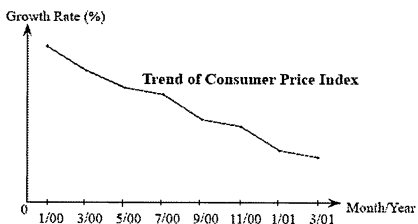
2002/AL/II/22

The nominal interest rate and the expected inflation rate are 10% and 7% respectively. If the actual inflation rate returns out to be 12%, then the realized real rate of interest will be \_\_\_\_\_ and the real rate of return on holding cash will be \_\_\_\_\_.

- A. -2% ..... -12%
- B. -2% ..... -10%
- C. 3% ..... -12%
- D. 3% ..... -10%

2002/AL/II/26

Study the diagram below.



The diagram shows that during the period,

- A. deflation occurred.
- B. the growth rate of money stock was greater than the growth rate of nominal output.
- C. the purchasing power of money was rising.
- D. the general price level was rising.

2003/AL/II/21

The real rate of return on holding non-interest-earning cash is positive if

- A. the rate of inflation is falling.
- B. the interest rate is falling.
- C. prices are falling.
- D. the velocity of circulation of money is falling.

2004/AL/II/15

Disinflation means that

- A. the inflation rate is at a disequilibrium level.
- B. inflation destabilizes the economy.
- C. the deflation rate is rising.
- D. the price level is increasing at a slower rate.

2004/AL/II/18

Suppose individuals can only choose to hold bonds or cash. The cost of holding cash is

- A. the real interest rate because the return from holding bonds will not be affected by a change in the price level.
- B. the real interest rate because it reflects the rate of return from investment.
- C. the nominal interest rate because it is the return from bonds.
- D. the nominal interest rate only when inflation rate can be accurately anticipated.

2005/AL/II/22

When there is deflation,

- A. the real interest rate will be negative.
- B. the nominal interest rate will be negative.
- C. the real interest rate will be higher than the nominal interest rate.
- D. All of the above.

2006/AL/II/08

If the nominal interest rate on one-year bond is 8% and the expected inflation rate is 3%, the nominal rate of return and the expected real rate of return of holding money are \_\_\_\_\_ and \_\_\_\_\_ respectively.

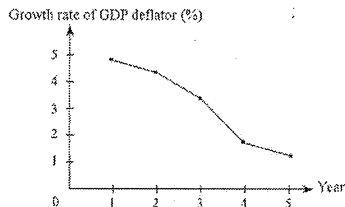
- A. 0% ..... -3%
- B. 0% ..... -5%
- C. -8% ..... -3%
- D. -8% ..... -5%

2006/AL/II/21

The real interest rate will be higher than the nominal interest rate if

- A. the actual inflation rate is lower than the expected inflation rate.
- B. the expected inflation rate is falling.
- C. the nominal interest rate is falling.
- D. the price level is expected to fall.

2006/AL/II/23



The above diagram shows that during the period

- A. there is disinflation in the economy.
- B. the growth rate of money stock is positive.
- C. the general price level is falling.
- D. the standard of living is falling.

2008/AL/II/21

The nominal interest rate is the same as

- A. the real interest rate when people expect no change in the general price level.
- B. the real interest rate when the central bank holds the interest rate constant at a target level.
- C. the real return of holding monetary assets.
- D. the real interest rate plus the actual inflation rate.

2008/AL/II/23

When there is inflation,

- A. net monetary debtors will gain because the real value of interest payments will fall.
- B. the cost of holding money is the real interest rate instead of the nominal interest rate.
- C. a positive growth rate of real income implies a positive growth rate of nominal income.
- D. a positive nominal interest rate necessarily implies a positive real interest rate.

2010/AL/II/19

Suppose the nominal interest rate on a one-year bond is 3% and the expected deflation rate is 2%. However, the general price level turns out to rise by 3%. The nominal rate of return and the actual real rate of return of holding the bond are \_\_\_\_\_ and \_\_\_\_\_ respectively.

- A. 3% ..... 5%
- B. 3% ..... 0%
- C. 0% ..... 5%
- D. 0% ..... 0%

2011/AL/II/18

Suppose the market rate of interest is 5% and the expected inflation rate is 3%. The opportunity cost of holding money is \_\_\_\_\_, and the real rate of return on holding money is \_\_\_\_\_.

- A. -5% ..... 2%
- B. 2% ..... -3%
- C. 5% ..... 3%
- D. 5% ..... -3%

2012/AL/II/21

The nominal interest rate and the expected inflation rate are 8% and 5% respectively. If the actual inflation rate is 10%, the real rate of return on holding cash will be \_\_\_\_\_.

- A. -10%
- B. -8%
- C. -5%
- D. -3%

2014/DSE/I/32

The nominal interest rate of a one-year bond and the expected inflation rate are 8% and 3% respectively. If the actual inflation rate is 6%, then the actual real interest rate is \_\_\_\_\_ and the actual rate of return of holding cash is \_\_\_\_\_.

- A. 2% ..... -6%
- B. 2% ..... -8%
- C. 5% ..... -6%
- D. 5% ..... -8%

2015/DSE/I/31

If the nominal interest rate is 5% and the expected inflation rate is 3%, the cost of holding money is \_\_\_\_\_, the nominal return of holding money is \_\_\_\_\_ and the expected real interest rate is \_\_\_\_\_.

- A. 5% ..... -3% ..... 2%
- B. 5% ..... 0% ..... 2%
- C. 8% ..... -3% ..... 3%
- D. 8% ..... 0% ..... 3%

2018/DSE/I/34

Assume that the real interest rate is 6% and the expected inflation rate is 3%. If the actual inflation rate is 5%, the cost of holding money will be \_\_\_\_\_.

- A. 4%
- B. 6%
- C. 9%
- D. 11%

2019/DSE/I/32

In times of inflation, suppose the nominal interest rate of a bond is higher than the expected inflation rate. If the actual inflation rate turns out to be higher than the expected inflation rate,

- (1) the actual inflation rate will be higher than the nominal interest rate of the bond.
- (2) the expected real rate of return of the bond will be greater than the actual real rate of return.
- (3) the actual real rate of return of the bond may be negative.
- (4) the real rate of return of holding cash will be higher than zero.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

2019/DSE/I/37

Under unexpected deflation, which of the following persons will lose?

- (1) Ms Mok holds a time deposit of one million dollars in a deposit taking company.
- (2) Mr Lo receives interest from Silver Bond of which the rate of return is linked to the inflation, subject to a minimum return of 3%.
- (3) Mr Chan signs a two-year contract with an online TV company to subscribe to its service by a fixed monthly payment.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

2020/DSE/I/34

When there is unexpected inflation, which of the following persons will gain?

- A. a landlord who adjusts his rental according to the price index
- B. a creditor who has loaned out a sum of money at a floating interest rate
- C. an employer who signs a fixed nominal wage contract with his employees
- D. a retired civil servant who receives a fixed monthly pension

2024/DSE/I/36

|                                |    |
|--------------------------------|----|
| Nominal interest rate on bonds | 6% |
| Expected inflation rate        | 4% |

Based on the above information, the \_\_\_\_\_ of holding money is 6%, and the expected real rate of return of holding \_\_\_\_\_ is -4%.

- A. cost.....money
- B. cost..... bonds
- C. nominal rate of return.....money
- D. nominal rate of return ..... bonds

**2025/DSE/I/35**

Suppose the nominal interest rate remains constant. When the actual inflation rate is lower than the expected inflation rate, the actual real interest rate will be higher than the \_\_\_\_\_.

- (1) expected real interest rate
- (2) nominal interest rate
- (3) actual inflation rate

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

### Short & Structured Questions

1994/AL/II/2

Explain why people reduce their cash holdings and savings deposit balances in banks when there is high inflation. (8 marks)

2003/AL/II/2

- (a) What is meant by deflation? Is it the same as a fall in the inflation rate (i.e., disinflation)? (2 marks)
- (b) What is the relation between the nominal and real interest rates when people expect deflation? Will the nominal rate be higher or lower than the real rate? (4 marks)

2007/AL/II/1(a)

Name one similarity and one difference between the terms in each of the following pairs: deflation; disinflation. (3 marks)

2012/DSE/II/11(a)

To relieve the effect of inflation on citizens, the government has issued inflation-linked bonds (ibonds) with interest paid to bondholders every six months. The interest rate is positively related to the actual inflation rate of the last half-year period.

- (c) What is the opportunity cost of holding cash instead of ibonds? (2 marks)
- (d) Explain how ibonds would relieve the effect of inflation on their holders. (2 marks)

2013/DSE/II/3

- (a) What is the relationship between nominal interest rate and real interest rate? (2 marks)
- (b) "When there is actual deflation, the nominal interest rate will be lower than the real interest rate." Do you agree? Explain. (3 marks)

2014/DSE/II/5(c)(ii)

Study the following information about an economy.

| Year | Consumer price index (CPI) |
|------|----------------------------|
| 2012 | 120                        |
| 2013 | 126                        |

Suppose people did not expect any change in the price level from 2012 to 2013. Explain whether each of the following persons would gain or lose when the change in the price level in the above table occurred.

- (ii) In 2012, Marlene invested in a project with an expected nominal rate of return of 12% per year. In 2013, she discovered that the actual nominal rate of return was 15% per year. (3 marks)



- (a) What is the opportunity cost of holding money? Explain. (2 marks)

**2022/DSE/II/6b**

- (b) 'If deflation is expected, the real interest rate will be higher than the nominal interest rate.' Why? (2 marks)

**2023/DSE/II/10b**

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

- (b) Suppose the expected inflation rate is 4.5% and there turns out to be an actual deflation of 1%.
- Calculate the expected and the actual real rates of return on the Silver Bonds. (2 marks)
  - Based on your answer in (b)(i), explain whether holders of the Silver Bonds would gain or lose. (2 marks)

**2025/DSE/II/9(Cross Topic)**

In the 2024-25 Budget, the Financial Secretary proposed to adjust the rate of the hotel accommodation tax (HAT) from 0% to 3% with effect from 1 January 2025. Hotels and guesthouses would be required to pay the HAT at the rate of 3% on accommodation charges.

- Explain whether the proposed HAT is a progressive tax, a proportional tax or a regressive tax. (3 marks)
- An economist comments, 'Both the indirect tax revenue and the direct tax revenue of the Government may be affected by the above proposed HAT.' Justify the economist's comment. (4 marks)

There are receptionists, bell boys, room attendants and managers working in hotels.

- What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)
- The following is a job advertisement for room attendants in a hotel.

|                                                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------|
| <p style="text-align: center;">Room attendants<br/>Major duty: tidying up hotel rooms<br/>Working hours: 10am – 2pm<br/>Salary: \$85 per hour</p> |
|---------------------------------------------------------------------------------------------------------------------------------------------------|

From the viewpoint of the hotel owners, give **ONE** advantage and **ONE** disadvantage of the above wage payment method over piece rate. (2 marks)

- Many hotels in Hong Kong charge a higher room rate during public holidays than on other days. Explain whether the opportunity cost of staying in those hotels in Hong Kong is *necessarily* higher during public holidays than on other days. (3 marks)

## SECTION 3: GOVERNMENT BUDGET

### 3.1 PRINCIPLES OF TAXATION

#### Multiple Choice Questions

1994/CE/II/46

In Hong Kong, salaries tax is normally paid by two instalments and the tax payment can be made through the post. This practice agrees with the \_\_\_\_\_ principle of taxation.

- A. equality
- B. convenience
- C. certainty
- D. economy

1996/CE/II/40

A Japanese electronics firm produces and sells its products in Hong Kong. Therefore, it has to pay profits tax to the Hong Kong government. Hong Kong is applying the

- A. source principle.
- B. residence principle.
- C. equity principle.
- D. convenience principle.

1997/CE/II/47

Which of the following descriptions of Hong Kong's taxation system is true?

- A. Only incomes derived from Hong Kong are liable to tax.
- B. Rates is a direct tax.
- C. Import duties are imposed on some goods in an attempt to protect local industries.
- D. The profits tax rate of corporations is the same as the standard tax rate.

2000/CE/II/40

The payment of salaries tax and profits tax can be made by the Payment by Phone Service (PPS) by which taxpayers can transfer money from their bank accounts to the government. This practice satisfies the \_\_\_\_\_ principle of taxation

- A. source
- B. certainty
- C. convenience
- D. equity

2002/CE/II/39

Suppose the government of an economy announces that the people will have to pay a general sales tax of 2% of the selling price when they purchase any goods and services. The government also launches a series of programmes to make sure that the public understands the new tax. Which of the following taxation principles is illustrated by the above measures of the government?

- A. equality
- B. certainty
- C. convenience
- D. economy

2003/CE/II/44

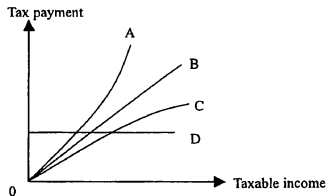
Which of the following statements about the tax system of Hong Kong is correct?

- A. The rental income derived from properties overseas is subject to the property tax of Hong Kong.
- B. All the business organizations in Hong Kong have to pay at the same profits tax rate, as it is a proportional tax.
- C. Interest income from deposits denominated in Hong Kong dollars is subject to interest tax in Hong Kong.
- D. The estate duty in Hong Kong is a progressive tax.

(Note: The estate duty was abolished in 2006.)

2006/CE/II/41

The following lines A, B, C and D indicate different relationships between tax payment and taxable income. Which of these four lines shows a relationship in accordance with the taxation principle of equality put forth by Adam Smith?



- A. line A
- B. line B
- C. line C
- D. line D

2007/CE/II/41

The introduction of a 5% Goods and Services Tax on specified items of goods and services is regressive in nature and will incur large administrative costs.

The above statement is concerned with the \_\_\_\_\_ principle of taxation put forward by Adam Smith.

- (1) equity
  - (2) certainty
  - (3) economy
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2009/CE/II/40

Which of the following statements about the tax system in Hong Kong is correct?

- A. Capital gains from the trading of stocks are subject to capital gains tax.
- B. Rental income from a residential flat in Mainland China is subject to Hong Kong income tax.
- C. Gasoline consumption is not subject to tax.
- D. The estimated rental value of owner-occupied residential flats is not subject to property tax.

2009/CE/II/41

In Hong Kong, citizens are allowed to make their tax payments through the Internet. This practice is in line with the \_\_\_\_\_ principle of taxation put forward by Adam Smith.

- A. equity
- B. certainty
- C. convenience
- D. source

2013/DSE/II/35

In July 2009, the government introduced an environmental levy of 50 cents on each plastic shopping bag at the retail level, with the first phase covering chain or large supermarkets, convenience stores and personal health and beauty product stores. Small shops are exempted in the first phase. Customers can pay the levy, with the original amount of purchase of goods, by credit card, Easy Pay System (EPS) or cash.

The collection of the above environmental levy is **LEAST** in line with the \_\_\_\_\_ principle of taxation put forward by Adam Smith.

- A. equality
- B. economy
- C. convenience
- D. certainty

2020/DSE/II/39

The following is an extract of the mission of the Inland Revenue Department.

**Our Mission**

We are committed to

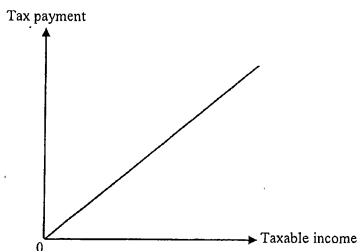
- collecting revenue efficiently and cost-effectively
- enabling staff to acquire the necessary knowledge, skills and attitude so that they can contribute their best to the achievement of our vision

The above mission is in line with the \_\_\_\_\_ principle of taxation put forward by Adam Smith.

- A. equality
- B. certainty
- C. convenience
- D. economy

2022/DSE/II/40

The following diagram shows the relationship between taxable income and tax payment in a tax system.



Which of the following statements about the above tax system is correct?

- A. It is in line with the equality principle put forth by Adam Smith.
- B. There is no tax allowance for the tax.
- C. Tax rate increases as taxable income increases.
- D. The tax system narrows the income gap between the rich and the poor.

### Short & Structured Questions

1990/CE/I/5(a)

Explain **THREE** principles which a government has to consider when introducing a new tax.

(6 marks)

1993/CE/I/5(b)(ii)

If Mr. Chan rents the flat to a tenant, he will have to pay property tax to the Hong Kong government for the rental income.

From the view point of the taxpayers, property tax follows certain taxation principles. Give **TWO** such principles. (6 marks)

1999/CE/I/10(c)

Mr. Ng is a Hong Kong citizen. He sets up a firm in Mainland China and earns profits.

(i) Explain whether Mr. Ng needs to pay profits tax to the government of Hong Kong. (2 marks)

(ii) Mr. Ng uses the Hong Kong International Airport when he flies to Mainland China. What tax does he have to pay to the government of Hong Kong? Which taxation principle is applied in this case? (2 marks)

2002/CE/I/8

State and explain **TWO** principles of taxation put forward by Adam Smith.

(4 marks)

2005/CE/I/8

Apart from 'convenience' and 'economy', explain **TWO** principles of taxation put forward by Adam Smith.

(4 marks)

2010/CE/I/6

Apart from 'certainty' and 'convenience', briefly explain **TWO** taxation principles put forth by Adam Smith.

(4 marks)

2014/DSE/II/6(a)

Karen, a Hong Kong resident, works as a photographer in a media group in Shanghai.

Would Karen's salary earned in Shanghai be taxed in Hong Kong? Explain your answer.

(2 marks)

2017/DSE/II/6(b)

Suggest **ONE** type of direct tax in Hong Kong that follows the tax principle of 'equality' put forward by Adam Smith.

Explain your answer.

(2 marks)

2018/DSE/II/6(b)

The government proposes the following changes in the profits tax system.

| Profit                   | Existing system | New two-tier system |
|--------------------------|-----------------|---------------------|
| On the first \$2 000 000 | 16.5%           | 8.25%               |
| Remainder                |                 | 16.5%               |

Evaluate the above changes in the tax system in terms of **ONE** principle of taxation put forward by Adam Smith. (2 marks)

**2022/DSE/II/5a**

Country D introduced a short-term capital gains tax (STCGT) on property market.

| Capital gains (\$) | STCGT rate (%) |
|--------------------|----------------|
| 10 000 or below    | 8              |
| 10 001 to 50 000   | 16             |
| 50 001 to 100 000  | 24             |
| 100 001 or above   | 32             |

STCGT is a tax on capital gains from the sale of a property held for less than 1 year.

A spokesman of the tax department said that a new computer system had been developed for STCGT. Although the system cost more than 1 billion dollars, it allowed tax payers to check and pay the amount of STCGT online easily.

- (a) Evaluate the new tax in terms of **TWO** principles of taxation put forward by Adam Smith. (4 marks)

### 3.2 TAXATION IN HONG KONG

#### Multiple Choice Questions

1990/CE/II/31

Which of the following are indirect taxes?

- (1) excise duty
  - (2) estate duty
  - (3) rates
  - (4) profits tax
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (4) only  
D. (3) and (4) only

1995/CE/II/44

In July 1994, Mr. Chan bought a new house in Shatin and moved in immediately. In this case, the taxes that Mr. Chan has to pay for the financial year 94-95 are:

- (1) stamp duty
  - (2) property tax
  - (3) rates
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

1997/CE/II/41

The following are the annual income of Peter in Hong Kong in 1996.

| Type of Income                                  | Amount (\$) |
|-------------------------------------------------|-------------|
| Salaries as a teacher in a secondary school     | 600 000     |
| Interest from local deposits                    | 4 000       |
| Rental income from letting a flat to a Japanese | 300 000     |

According to the taxation system of Hong Kong, Peter has to pay

- A. salaries tax only.  
B. salaries tax and interest tax.  
C. salaries tax and property tax.  
D. salaries tax, interest tax and property tax.

1998/CE/II/40

Mr Chan has the following incomes:

- (1) year-end bonus
- (2) dividend from shares
- (3) capital gain in foreign exchange speculation
- (4) rental income from leased properties

According to the tax system of Hong Kong, which of the above incomes are subject to taxation ?

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

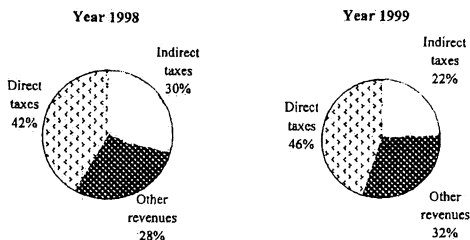
2000/CE/II/42

Which of the following is a direct tax in Hong Kong?

- A. estate duty
- B. rates
- C. interest tax
- D. sales tax

2001/CE/II/37

The following charts show the composition of the General Revenue Account of Hong Kong in 1998 and 1999.



Based on the above data, in the year 1999

- A. the ratio of direct taxes to indirect taxes increased.
- B. the total amount of tax revenue increased.
- C. the proportion of tax revenue in total government revenue increased.
- D. government revenue from rates decreased by 8%.

2002/CE/II/03

Mr Lee lives in his own house. He bears an opportunity cost from living in that house because

- (1) he could earn rental income from letting the house to others.
- (2) he has to pay property tax to the government.
- (3) he has paid a sum of money to buy the house.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only



2004/CE/II/44

Mr. Wong has the following expenses in Hong Kong:

- (1) three nights' room charge for a local hotel
- (2) bets on football at the Hong Kong Jockey Club
- (3) spending on cosmetics for his wife

Which of the above expenses are subject to an indirect tax in Hong Kong?

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2006/CE/II/40

In September 2005, Mr Chan bought 800 HSBC shares at \$120 per share and later sold them at \$130 per share on the Hong Kong stock market.

In this case, which of the following taxes should Mr Chan pay to the government of the HKSAR in the financial year 2005-06?

- A. stamp duty
- B. capital gains tax
- C. profits tax
- D. All of the above.

2008/CE/II/40

The following are Mary's sources of income and wealth in Hong Kong in 2008. Which is subject to taxation in Hong Kong?

- A. the rental income from letting her flat
- B. dividends earned from her shares in a listed company
- C. an estate inherited from her grand father
- D. the interest received from her time deposit in a bank

2010/CE/II/40

In 2009, Mr. Ng has the following kinds of income:

- (1) interest income from his bank deposits
- (2) money left to him by his deceased aunt
- (3) rental income from letting his house

According to the taxation system in Hong Kong, Mr. Ng has to pay

- A. property tax only.
- B. property tax and interest tax only.
- C. interest tax and estate duty only.
- D. estate duty and property tax only.

2012/DSE/I/33

Serine has the following incomes:

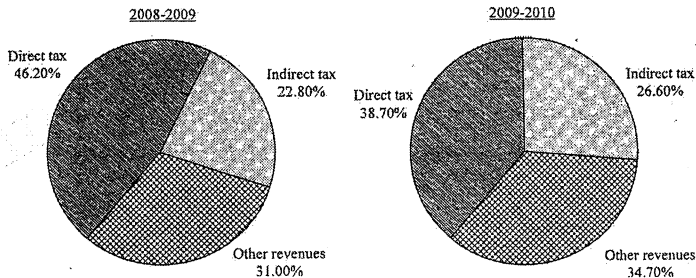
- (1) rental income from a leased flat
- (2) dividends from a local listed company
- (3) a gratuity (酬金) after completion of contract as a manager
- (4) commission received as an agent

According to the tax system of Hong Kong, which of the above incomes are subject to taxation?

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (3) and (4) only
- D. (1), (2), (3) and (4)

2012/DSE/I/35

The following charts show the composition of the General Revenue Account of Hong Kong in years 2008-2009 and 2009-2010.



Based on the above data, in the year 2009-2010,

- A. there was an economic recession in Hong Kong.
- B. the ratio of direct taxes to indirect taxes increased.
- C. the total amount of tax revenue decreased.
- D. the proportion of tax revenue in total government revenue decreased.

2015/DSE/I/34

Which of the following are indirect taxes in Hong Kong?

- (1) Property tax
  - (2) Rates on property
  - (3) Stamp duty on transfer of stock
  - (4) General sales tax
- A. (1) and (2) only
  - B. (2) and (3) only
  - C. (1), (3) and (4) only
  - D. (2), (3) and (4) only

2016/DSE/I/35

Mr Lam earns \$1 000 000 as a mobile app designer of an IT firm in Hong Kong. Also, he earns a \$50 000 dividend by holding shares issued by a local company. He buys a second-hand racing car and flies to the Maldives to spend his vacation through the Hong Kong International Airport.

Based on the above information, Mr Lam needs to pay \_\_\_\_\_ to the Hong Kong government.

- (1) salaries tax
  - (2) dividend tax
  - (3) first registration tax
  - (4) air passenger departure tax
- A. (1) and (4) only
  - B. (2) and (3) only
  - C. (1), (2) and (4) only
  - D. (1), (3) and (4) only

2018/DSE/I/40

A Hong Kong resident works for a Mainland company located in Shenzhen and he earns a monthly wage. He receives dividend from Hang Seng Bank and rental income from a leased apartment in Mongkok as well. He took a flight to Seoul departing from the Hong Kong International Airport last month. Which type(s) of direct tax does he need to pay in Hong Kong?

- (1) property tax
  - (2) profits tax
  - (3) salaries tax
  - (4) air passenger departure tax
- A. (1) only
  - B. (1) and (4) only
  - C. (1), (2) and (3) only
  - D. (2), (3) and (4) only

2020/DSE/I/40

Mr. Chan runs a factory in mainland China and earns a huge profit. Recently he has bought a flat and a second hand electric car in Hong Kong, and received dividends from his shares of HSBC.

According to the above information, which type(s) of tax does he need to pay to the Hong Kong government?

- (1) Property tax
  - (2) Stamp duty
  - (3) Profits tax
  - (4) First registration tax
- A. (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (1), (3) and (4) only

2021/DSE/I/41

Mr Li is a major shareholder of a Hong Kong listed company which makes huge profits. He has sold some of his residential properties, and received rental income from some leased commercial buildings.

According to the above information, which types of tax does Mr Li need to pay to the Hong Kong government?

- (1) profits tax
  - (2) stamp duty
  - (3) property tax
- 
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2023/DSE/I/35

Bobby lives in his newly bought property in Wan Chai. He gains \$ 100 000 from trading shares in the stock market of Hong Kong.

Based on the above information, Bobby needs to pay \_\_\_\_\_ to the Hong Kong Government.

- (1) capital gains tax
  - (2) property tax
  - (3) rates
  - (4) stamp duty
- 
- A. (1) and (3) only
  - B. (2) and (4) only
  - C. (3) and (4) only
  - D. (1), (2) and (3) only

2025/DSE/I/41

Mr Cheung earned huge profits as a sole proprietor in Hong Kong. He purchased a second-hand car and a second-hand apartment in Hong Kong for his own use.

Based on the above information, which types of indirect tax does Mr Cheung need to pay to the Hong Kong Government?

- (1) profits tax
  - (2) stamp duty
  - (3) rates
  - (4) motor vehicle first registration tax
- 
- A. (1) and (2) only
  - B. (2) and (3) only
  - C. (3) and (4) only
  - D. (1), (2), (3) and (4)

### Short & Structured Questions

1991/CE/1/1(a)

The following table gives the relative share of different sources of government revenue in Hong Kong:

| Fiscal Year | Direct Taxes (%) | Indirect Taxes (%) | Other Sources (%) |
|-------------|------------------|--------------------|-------------------|
| 85/86       | 35.4             | 25.8               | 38.8              |
| 86/87       | 35.6             | 28.7               | 35.7              |
| 87/88       | 37.0             | 28.5               | 34.5              |
| 88/89       | 41.0             | 26.0               | 33.0              |
| 89/90       | 43.0             | 24.0               | 33.0              |

- (i) Give **ONE** example of **EACH** source of government revenue. (3 marks)
- (ii) Based on the above data, what was the trend of the relative share of direct taxes in government revenue over the five years? (2 marks)
- (iii) Explain how **EACH** of the following would affect the relative share of indirect taxes in government revenue:
  - (I) the introduction of a sales tax (4 marks)
  - (II) a recession in Hong Kong (8 marks)

1994/CE/1/7

- (a) State whether each of the following taxes is a direct tax or an indirect tax:

- (i) property tax
- (ii) rates

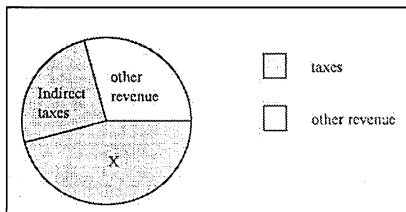
(2 marks)

- (b) Explain the difference in the tax incidence between property tax and rates.

(4 marks)

1997/CE/1/7

The following figure shows different sources of government revenue in Hong Kong.



- (a) Name X. (1 mark)
- (b) Explain why the government revenue from the source X is unstable. (4 marks)

2003/CE/1/8

Give **TWO** reasons to explain why the direct tax revenue of the Hong Kong government would decrease in times of economic recession. (4 marks)

2004/CE/1/9(a)

Hong Kong is facing a huge fiscal deficit and deflation.

Explain how government expenditure and government revenue are affected by Hong Kong's

- (i) economic downturn. (4 marks)
- (ii) ageing population. (4 marks)

2005/CE/1/11(b)

Two measures included in the Closer Economic Partnership Arrangement or 'Cepa' are:

- I. Zero tariff on 90% of Hong Kong-made products to the Chinese mainland
- II. Faster / easier market entry to the Chinese mainland for Hong Kong-based service providers in 18 service sectors

As a result, overseas companies not based in Hong Kong can take advantage of Cepa by partnering with a Cepa-qualified manufacturer or service provider in Hong Kong.

Source : Hong Kong SAR Government, 8 January 2005

Explain how the above measures would affect the direct tax revenue of Hong Kong. (4 marks)

2006/CE/1/11(b)

There are two issues for discussion concerning the public finance of Hong Kong : 'the tax base is narrow' and 'the government revenue is unstable'.

- (i) (I) Suppose a general sales tax is introduced in Hong Kong. Explain its effect on the tax base of Hong Kong. (2 marks)
- (ii) Explain how the government revenue generated from profits tax and salaries tax would be affected when there is a strong economic recovery. (4 marks)

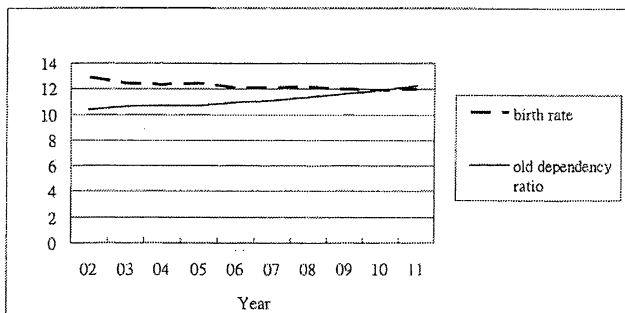
2007/CE/1/9

General sales tax has generated a lot of discussion.

- (a) Explain how the introduction of a general sales tax will affect the ratio of direct to indirect tax revenue (i.e., direct for revenue divided by indirect for revenue) in an economy. (2 marks)
- (b) Suppose economic depression occurs in an economy with a general sales tax. Explain how the economic depression will affect the ratio of direct to indirect tax revenue in this economy. (5 marks)

2014/DSE/II/10(a)

Aging is a serious problem in China. Source 1 below shows the trends of the old dependency ratio\* and the birth rate\*\* of China from 2002 to 2011.



\* Old dependency ratio refers to the ratio of the elderly population to the working-age population (expressed in percentage)

\*\*Birth rate refers to the total number of births per 1 000 population.

With reference to the trends shown in Source 1, briefly discuss the possible changes on

- (i) government tax revenue in the future.
- (ii) public health and welfare expenditure in the future.

(4 marks)

2015/DSE/II/11(b)

An accountant commented that the tax base of Hong Kong is narrow and suggested the government should introduce new types of indirect tax. Explain, with **ONE** example, how the introduction of a new indirect tax would broaden the tax base.

(2 marks)

2017/DSE/II/6(a)

Why can the introduction of a general sales tax stabilise government revenue in times of economic downturn?

(2 marks)

2019/DSE/II/10

The following table shows the changes in the individual income tax system in China effective from October 2018.

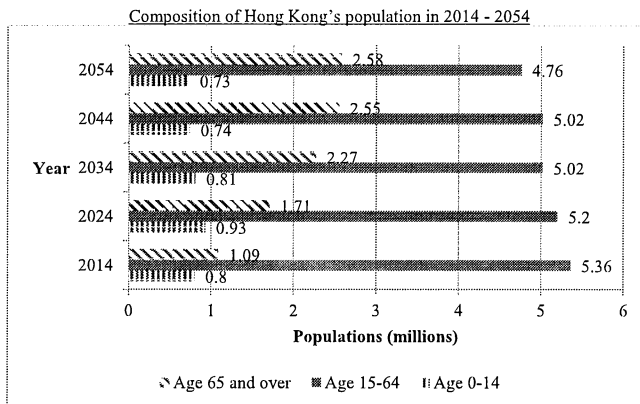
| Average tax rate | Range of monthly taxable income, in Renminbi (RMB) |                             |
|------------------|----------------------------------------------------|-----------------------------|
|                  | Old brackets                                       | New brackets                |
| 3%               | Less than or equal to 1 500                        | Less than or equal to 3 000 |
| 10%              | 1 501 – 4 500                                      | 3 001 – 12 000              |
| 20%              | 4 501 – 9 000                                      | 12 001 – 25 000             |
| 25%              | 9 001 – 35 000                                     | 25 001 – 35 000             |
| 30%              | 35 001 – 55 000                                    | Unchanged                   |
| 35%              | 55 001 – 80 000                                    | Unchanged                   |
| 45%              | Greater than 80 000                                | Unchanged                   |

- (a) Is the individual income tax in China progressive, proportional, or regressive? Explain your answer.

(2 marks)

2018/DSE/II/13(a)(ii)

The source below shows Hong Kong's population projection.



With reference to the above source, briefly discuss the possible effects of the change in composition of population on fiscal balance in the future. (3 marks)

2019/DSE/II/10a

The following table shows the changes in the individual income tax system in China effective from October 2018.

| Average tax rate | Range of monthly taxable income, in Renminbi (RMB) |                             |
|------------------|----------------------------------------------------|-----------------------------|
|                  | Old brackets                                       | New brackets                |
| 3%               | Less than or equal to 1 500                        | Less than or equal to 3 000 |
| 10%              | 1 501 – 4 500                                      | 3 001 – 12 000              |
| 20%              | 4 501 – 9 000                                      | 12 001 – 25 000             |
| 25%              | 9 001 – 35 000                                     | 25 001 – 35 000             |
| 30%              | 35 001 – 55 000                                    | Unchanged                   |
| 35%              | 55 001 – 80 000                                    | Unchanged                   |
| 45%              | Greater than 80 000                                | Unchanged                   |

- (a) Is the individual income tax in China progressive, proportional, or regressive? Explain your answer. (2 marks)



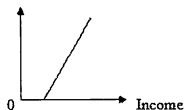
### 3.3 CLASSIFICATION AND EFFECTS OF TAXES

#### Multiple Choice Questions

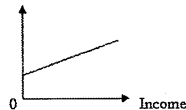
1990/CE/II/47

Which of the following diagrams approximates the structure of salaries tax in Hong Kong?

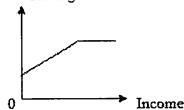
A. Average Tax Rate



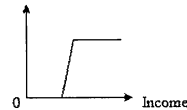
B. Average Tax Rate



C. Average Tax Rate



D. Average Tax Rate



1990/CE/II/55

Mei Ling's income has increased from \$50 000 to \$60 000 this year. The income tax is progressive if it increases from

- A. \$1 000 to \$1 200
- B. \$2 000 to \$2 500
- C. \$3 000 to \$3 600
- D. \$4 000 to \$4 700

1991/CE/II/37

A sales tax on food is regarded as \_\_\_\_\_ tax.

- A. a direct and regressive
- B. an indirect and regressive
- C. a direct and proportional
- D. an indirect and progressive

1992/CE/II/36

Suppose the government asks everybody to pay a tax of \$100 a year. This is an example of

- A. regressive tax.
- B. proportional tax.
- C. income tax.
- D. indirect tax.

1993/CE/II/45

Which of the following is a correct description of direct tax?

- A. Direct tax is regressive.
- B. The cost of collecting direct tax is greater than that of indirect tax.
- C. The revenue from direct tax will drop if there is a recession.
- D. Raising direct tax rates will lead to inflation.

1994/CE/II/47

If the amount of tax increases as income increases, the tax may be considered a \_\_\_\_\_ tax.

- (1) progressive
  - (2) proportional
  - (3) regressive
- A. (1) only
  - B. (1) or (2)
  - C. (2) or (3)
  - D. (1) or (2) or (3)

1995/CE/II/45

Direct taxes differ from indirect taxes in that

- A. direct taxes are collected directly from the taxpayers but indirect taxes are not.
- B. direct taxes are progressive whereas indirect taxes are regressive.
- C. the tax burden of direct taxes cannot be shifted but that of indirect taxes can.
- D. the direct tax revenue fluctuates with national income but the indirect tax revenue does not.

1995/CE/II/46

Study the following information carefully:

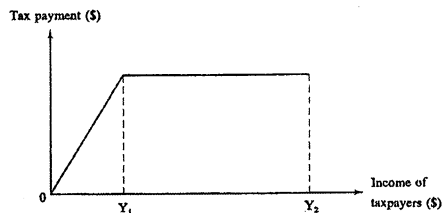
| Taxable income(\$) | Total tax payment (\$) |
|--------------------|------------------------|
| 10 000             | 1 000                  |
| 20 000             | 3 000                  |
| 30 000             | x                      |

If the tax is progressive, x must be larger than

- A. 3 000.
- B. 3 500.
- C. 4 000.
- D. 4 500.

1995/CE/II/48

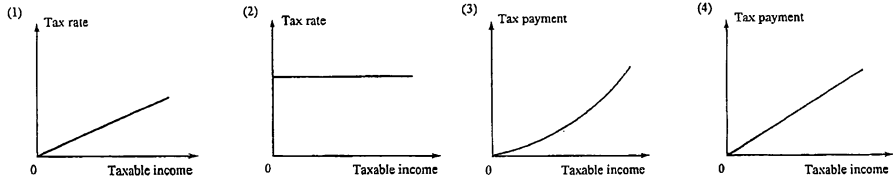
The following diagram shows the tax structure of Tax X:



Tax X is \_\_\_\_\_ within the income range OY<sub>1</sub>, and \_\_\_\_\_ within the income range Y<sub>1</sub>Y<sub>2</sub>.

- A. proportional ..... progressive
- B. proportional ..... regressive
- C. progressive ..... proportional
- D. progressive ..... regressive

1996/CE/II/41



Which two of the following diagrams describe a progressive tax?

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1996/CE/II/44

Suppose that inflation occurs and that money income increases at the same rate as inflation. A taxpayer under a proportional tax system will pay

- (1) a larger amount of tax.
  - (2) the same amount of tax.
  - (3) more tax in terms of purchasing power.
  - (4) the same amount of tax in terms of purchasing power.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

1997/CE/II/40

The below tax is a

| Taxable income (\$) | Tax payment (\$) |
|---------------------|------------------|
| 10 000              | 4 000            |
| 20 000              | 7 000            |
| 30 000              | 9 000            |
| 40 000              | 10 000           |

- A. progressive tax.
- B. proportional tax.
- C. regressive tax.
- D. lump-sum tax.

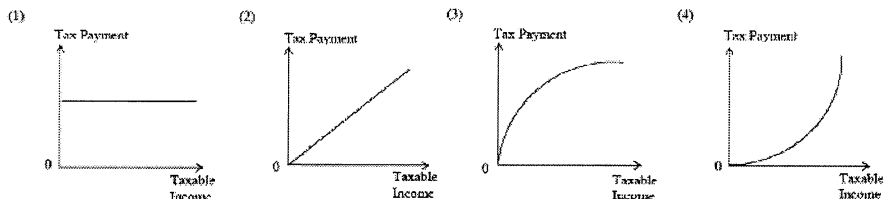
1998/CE/II/39

Which of the following statements about tax is correct?

- A. Progressive tax has higher tax rate than regressive tax.
- B. Progressive tax is tax on income while regressive tax is a tax on goods.
- C. The tax payment of a regressive tax decrease as the taxable income increases.
- D. The percentage of income as tax of a progressive tax increases when taxable income increases.

2000/CE/II/41

Which two of the following diagrams illustrate a regressive tax measured in terms of an average tax rate?



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2000/CE/II/43

| Taxable income (\$) | Tax payment (\$) |
|---------------------|------------------|
| 200 000             | 22 000           |
| 250 000             | 25 000           |
| 300 000             | 27 000           |

From the above information, we can conclude that

- A. The tax is a progressive tax as the tax payment increases with taxable income.
- B. The tax payment takes a decreasing portion of taxable income as taxable income increases.
- C. The taxation system helps to reduce the income gap.
- D. The taxation system reduces the work incentive.

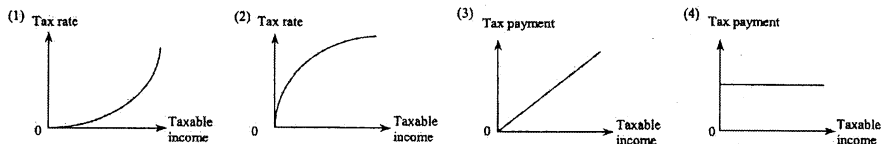
2002/CE/II/43

Tobacco duty in Hong Kong is a kind of

- A. direct and proportional tax.
- B. direct and regressive tax.
- C. indirect and proportional tax.
- D. indirect and regressive tax.

2003/CE/II/38

Which of the following taxes are progressive?



- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

2004/CE/II/41

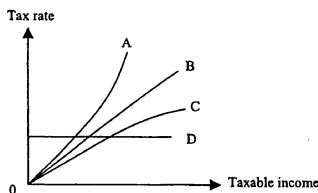
| Taxable income (\$) | Tax payment (\$) |       |       |
|---------------------|------------------|-------|-------|
|                     | Tax A            | Tax B | Tax C |
| 10 000              | 500              | 800   | 1 000 |
| 20 000              | 1 000            | 1 700 | 1 000 |
| 30 000              | 1 500            | 2 700 | 1 000 |

According to the above table, which of the following statements is correct ?

- A. None of the above taxes is a regressive tax.
- B. The taxation principle of equity put forth by Adam Smith applies to all the above taxes.
- C. Tax A is the most effective in achieving a more even income distribution.
- D. Tax B is a progressive tax.

2004/CE/II/42

Which of the following lines A, B, C or D shows the relationship between the tax rate and the taxable income under the profits tax system in Hong Kong?



- A. line A
- B. line B
- C. line C
- D. line D

2005/CE/II/39

Study the following data:

| Taxable income (\$) | Tax amount (\$) |
|---------------------|-----------------|
| 0                   | 0               |
| 10 000              | 1 500           |
| 20 000              | x               |

If the above tax is progressive, the value of x must be

- A. smaller than 3 000.
- B. equal to 3 000.
- C. greater than 3 000.
- D. There is not sufficient information to do the calculation.

2005/CE/II/40

Which of the following is/are the difference(s) between a direct tax and an indirect tax?

- A. The tax burden of a direct tax cannot be shifted onto other people, but the tax burden of an indirect tax can.
- B. A direct tax results in a more even income distribution, but an indirect tax results in a less even income distribution.
- C. The tax base of direct taxes is narrower, but the tax base of indirect taxes is broader.
- D. All of the above are correct.

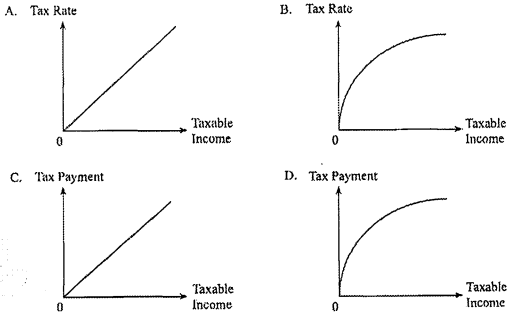
2007/CE/II/40

Which of the following taxes in Hong Kong is both 'direct' and 'progressive'?

- A. stamp duty
- B. profits tax
- C. property tax
- D. salaries tax

2008/CE/II/43

Which of the following diagrams describes a regressive tax?



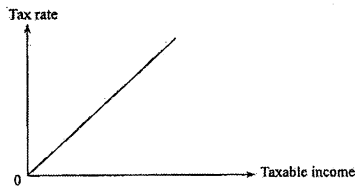
2009/CE/II/42

An economy levies a 5% general sales tax on all goods and services. This tax is a/an

- A. proportional tax as everyone will pay 5% of their expenditure on goods and services as tax.
- B. progressive tax as the tax payment increases with the price of the goods and services.
- C. regressive tax as the proportion of tax payment to income decreases when income increases.
- D. indirect tax as consumers indirectly bear all the tax burden.

2009/CE/II/43

Refer to the following relationship between the tax rate and the taxable income of a certain tax.



Which of the following statements is correct?

- A. The taxation principle of equity put forth by Adam Smith applies to this tax.
- B. The tax rate remains constant when the taxable income increases.
- C. The imposition of this tax would lead to an increase in the ratio of indirect tax revenue to direct tax revenue.
- D. When the taxable income increases, the percentage increase of the tax payment is greater than the percentage increase of the taxable income.

| Taxable income (\$) | Tax Payment (\$) |              |
|---------------------|------------------|--------------|
|                     | Tax System A     | Tax System B |
| 100 000             | 4 000            | 5 000        |
| 200 000             | 4 000            | 10 000       |
| 300 000             | 4 000            | 15 000       |

Refer to the above data. Tax system A is \_\_\_\_\_ while tax system B is \_\_\_\_\_.

- A. proportional ..... progressive
- B. progressive ..... proportional
- C. regressive ..... proportional
- D. regressive ..... progressive

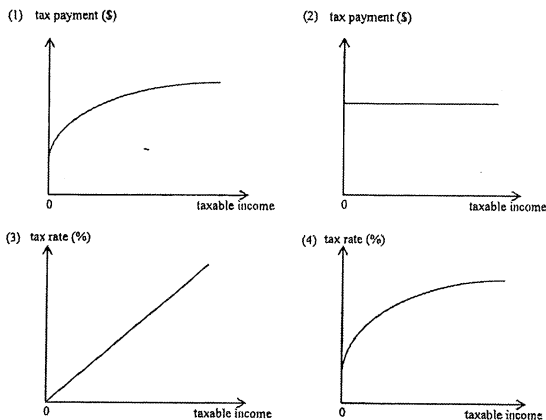
2014/DSE/II/36

The government plans to impose a new tax under which the tax payment drops when taxable income drops. Which of the following statements about the new tax is correct?

- A. The tax is regressive as the tax rate increases when the taxable income drops.
- B. The tax is proportional as the taxable income and the tax payment are positively related.
- C. The tax cannot be progressive as the tax rate increases when the tax payment drops.
- D. The tax can be progressive, proportional or regressive.

2017/DSE/II/35

Which of the following diagrams describe a regressive tax?



- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

1990/CE/II/59

Which of the following is **INCORRECT** if a general sales tax is imposed in Hong Kong?

- A. The fluctuations of government tax revenue will be reduced
- B. The proportion of direct tax in the government tax revenue will increase
- C. There will be a redistribution of income
- D. The general price level will increase

1991/CE/II/37

A sales tax on food is regarded as \_\_\_\_\_ tax.

- A. a direct and regressive
- B. an indirect and regressive
- C. a direct and proportional
- D. an indirect and progressive

1991/CE/II/39

| Income (\$) | Tax Amount (\$) |          |
|-------------|-----------------|----------|
|             | Policy A        | Policy B |
| 10 000      | 1 000           | 1 000    |
| 50 000      | 5 000           | 4 000    |
| 100 000     | 10 000          | 7 000    |
| 500 000     | 50 000          | 30 000   |

Which of the following is likely to take place if the government changes from Policy A to Policy B?

- A. less incentive to work
- B. more uneven income distribution
- C. a lower rate of economic growth
- D. a fall in the consumption expenditure

1992/CE/II/43

In the financial year 1990-91, the government increased the tax allowance by about 5%. The inflation rate at the same period was about 10%. Which one of the following was a consequence of the above situation?

- A. The government had to introduce a sales tax.
- B. More people fell into the tax net.
- C. The real income of Hong Kong people increased.
- D. The government collected more indirect tax revenue.

1993/CE/II/46

Taxpayers with the same net chargeable income paid different amounts of tax in the two fiscal years 1990/91 and 1991/92. Several examples are shown below to illustrate this:

| Total net chargeable income (\$) | Total tax payment (\$) for the fiscal year of |                |
|----------------------------------|-----------------------------------------------|----------------|
|                                  | <u>1990/91</u>                                | <u>1991/92</u> |
| 10 000                           | 200                                           | 200            |
| 20 000                           | 600                                           | 400            |
| 30 000                           | 1 500                                         | 1 300          |
| 40 000                           | 2 700                                         | 2 200          |
| 50 000                           | 4 200                                         | 3 900          |
| 60 000                           | 6 000                                         | 5 600          |
| 70 000                           | 8 100                                         | 8 100          |
| 80 000                           | 10 600                                        | 10 600         |

How does the change in the total tax payment affect the income distribution in Hong Kong?

- A. It gives a more even income distribution.
- B. It gives a more uneven income distribution.
- C. It has no effect on income distribution.
- D. The effect on income distribution is uncertain.



1993/CE/II/47

If the government increases the personal allowance on the salaries tax, then

- A. the taxpayers paying at the standard tax rate will have a higher work incentive.
- B. we are not certain how the total tax revenue will change.
- C. the government will have to cut its expenditure.
- D. the tax base will be widened.

1993/CE/II/48

Which of the following government measures will increase the inequality of wealth distribution in Hong Kong?

- A. removing the tax on soft drinks
- B. selling more flats under the Home Ownership Scheme at lower prices
- C. increasing fees for medical service in government hospitals
- D. increasing the personal allowance on the salaries tax

1994/CE/II/48

The aim of the Hong Kong government in increasing the proportion of indirect taxes to total taxation is to

- A. increase the total tax revenue.
- B. stabilize the tax revenue in different phases of a business cycle.
- C. narrow the gap between the rich and the poor.
- D. narrow the tax base.

1996/CE/II/43

Which of the following will lead to a more uneven income distribution?

- A. decreasing the sales tax rate
- B. imposing more indirect taxes on luxuries
- C. increasing the housing allowance of senior civil servants
- D. increasing the standard tax rate of the salaries tax

1996/CE/II/45

Which of the following statements is true about progressive tax in Hong Kong?

- A. It will lead to a more uneven distribution of income.
- B. It is a tax levied on good and services.
- C. The tax burden can be shifted.
- D. It may discourage working incentive.

1997/CE/II/45

Suppose the Hong Kong government increases the salaries tax allowance by 5% while both the wage rates and the inflation rate of the economy in the year increase by 10%. It follows that

- A. more people would fall into the tax net.
- B. the ratio of tax payment to income would decrease.
- C. the tax revenue would increase and the income distribution would be more even.
- D. the real income of the people after tax would remain unchanged.

1998/CE/II/37

A progressive tax is more effective than a proportional tax in achieving the following aim:

- A. to increase government revenue
- B. to lower the administrative costs of the government
- C. to achieve a more equitable income distribution
- D. to reallocate the resources of the economy

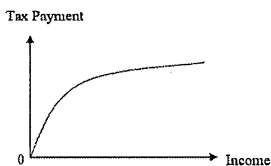
1998/CE/II/42

If the government of Hong Kong raises the tax allowance on the salaries tax,

- A. the income distribution will be more uneven.
- B. less people will fall into the tax net.
- C. the working incentive of those paying at the standard tax rate will increase.
- D. the tax bands will be widened.

1999/CE/II/40

The following diagram shows a tax system:



Which of the following statements concerning the above tax is correct?

- A. It is a progressive tax as the tax payment increases when income increases.
- B. It would lead to an uneven distribution of income.
- C. It would encourage the working incentive of workers.
- D. The progressivity of the tax rate will increase when income rises.

1999/CE/II/42

During a recession, the refund of rates by the government to the people would

- A. lead to a more efficient allocation of resources.
- B. decrease the foreign exchange and gold reserves of Hong Kong.
- C. increase the incentive to invest.
- D. increase the consumption expenditure of the lower income group.

1999/CE/II/43

Which of the following government policies would lead to more even distribution of income?

- A. lowering the tax rates of regressive taxes
- B. imposing more indirect taxes on necessities
- C. increasing the depreciation allowance of the profits tax.
- D. reducing the standard tax rate of the salaries tax

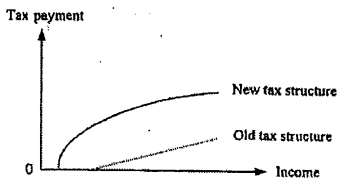
1999/CE/II/44

If the income of Hong Kong people falls by 5% in a fiscal year,

- A. more people will fall into the tax net.
- B. the tax bands of the salaries tax will be narrowed.
- C. the government revenue from the salaries tax will fall by more than 5%.
- D. the wealth distribution of people in Hong Kong will remain unchanged.

2001/CE/II/35

The following graph shows the relationship between tax payment and income before and after a change in the structure of a tax.



Compared to the old tax structure, the new tax structure

- A. results in a less even income distribution.
- B. has a lower tax rate for the same level of income.
- C. has a larger tax allowance.
- D. has no effect on working incentive.

2001/CE/II/36

| Taxable Income (\$) | Tax Payment Under Tax A (\$) | Tax Payment Under Tax B (\$) |
|---------------------|------------------------------|------------------------------|
| 10 000              | 1 500                        | 2 000                        |
| 20 000              | 3 800                        | 3 800                        |
| 30 000              | 6 600                        | 5 400                        |

From the above data, we can conclude that

- A. Tax A is a direct tax and Tax B is an indirect tax.
- B. there would be a more even income distribution under Tax A.
- C. the tax rate of Tax A is lower than that of Tax B for all levels of income.
- D. the fluctuations of government tax revenue would be smaller under Tax A than under Tax B when income fluctuates.

2001/CE/II/39

Which of the following will widen the tax base of Hong Kong?

- A. an increase in the tax allowance
- B. a decrease in the standard tax rate
- C. an increase in the profits tax rate
- D. the introduction of a sales tax

2002/CE/II/40

If a general sales tax is introduced in Hong Kong,

- A. the tax base would be widened.
- B. the wealth gap would be reduced.
- C. less Hong Kong people would shop in Shenzhen.
- D. the proportion of direct tax in the government tax revenue would increase.

2002/CE/II/42

Suppose the government of an economy cuts the salaries tax allowance by 10% while both the wage rates and the general price level in the year fall by 5%. It follows that

- A. the tax revenue would increase.
- B. more people would fall into the tax net.
- C. the real income of people before tax would generally increase.
- D. the ratio of people's tax payment to their nominal income would generally decrease.

2003/CE/II/39

Suppose the salaries tax allowance in Hong Kong decreases and the salaries of taxpayers remain constant. It results that

- A. some taxpayers paying at the standard tax rate may pay at a lower tax rate.
- B. the middle-income group would have to pay a larger proportion of their income as tax.
- C. less people would fall into the tax net.
- D. the after-tax income of all taxpayers would decrease.

2003/CE/II/40

If the government raises the profits tax rate,

- A. the government revenue will increase.
- B. the unemployment rate will fall.
- C. the incentive for investment will decrease.
- D. the general price level will rise.

2003/CE/II/41

The following table describes a tax:

| Taxable Income (\$) | Tax Payment (\$) |
|---------------------|------------------|
| 10 000              | 2 000            |
| 20 000              | 3 800            |
| 30 000              | 5 400            |
| 40 000              | 6 800            |
| 50 000              | 8 000            |

The above tax would

- A. lead to a less even distribution of income.
- B. reduce the working incentive of workers.
- C. improve the resource allocation of the economy.
- D. increase the consumption expenditure of the lower income group.

2004/CE/II/41

| Taxable income (\$) | Tax payment (\$) |       |       |
|---------------------|------------------|-------|-------|
|                     | Tax A            | Tax B | Tax C |
| 10 000              | 500              | 800   | 1 000 |
| 20 000              | 1 000            | 1 700 | 1 000 |
| 30 000              | 1 500            | 2 700 | 1 000 |

According to the above table, which of the following statements is correct ?

- A. None of the above taxes is a regressive tax.
- B. The taxation principle of equity put forth by Adam Smith applies to all the above taxes.
- C. Tax A is the most effective in achieving a more even income distribution.
- D. Tax B is a progressive tax.

2004/CE/II/43

Suppose there is a change in an income tax as follows:

| Marginal Tax Band             | Marginal Tax Rate (%) |            |
|-------------------------------|-----------------------|------------|
|                               | Old System            | New System |
| First \$30 000 taxable income | 2.0                   | 2.0        |
| Next \$30 000                 | 7.5                   | 8.0        |
| Next \$30 000                 | 13.0                  | 14.0       |
| Remainder                     | 18.5                  | 20.0       |

Under the new system,

- A. the ratio of direct tax revenue to indirect tax revenue will decrease.
- B. the government will have a budget surplus.
- C. more people will fall into the tax net.
- D. the income gap will be reduced.

2005/CE/II/41

Which of the following government policies would lead to a less even income distribution of Hong Kong citizens?

- A. raising the standard tax rate of the salaries tax
- B. reducing the personal allowance of the salaries tax
- C. raising the profits tax rate
- D. lowering the excise tax rate of tobacco and wine

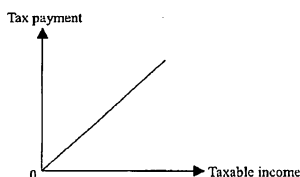
2005/CE/II/42

The introduction of a general sales tax would lead to

- A. inflation.
- B. lower output.
- C. higher consumption expenditure.
- D. higher GDP.

2005/CE/II/43

Refer to the following relationship between the tax payment and the taxable income of a certain tax.



Which of the following is correct?

- A. The above tax would lower the working incentives of workers.
- B. The above tax is in accordance with the equality principle put forth by Adam Smith.
- C. The tax allowance for the above tax is zero.
- D. Every employee has to pay the above tax.

2006/CE/II/39

Suppose the salaries tax of an economy changes from tax system A to tax system B.

| Taxable income | System A          | System B          |
|----------------|-------------------|-------------------|
|                | Marginal tax rate | Marginal tax rate |
| First \$20 000 | 3%                | 2%                |
| Next \$20 000  | 6%                | 5%                |
| Next \$20 000  | 10%               | 8%                |
| Remainder      | 15%               | 12%               |

As a result,

- A. less people would fall into the tax net.
- B. the working incentive of workers would increase.
- C. the income gap would be reduced.
- D. the ratio of direct tax revenue to indirect tax revenue would increase.

2006/CE/II/42

Which of the following would widen the tax base of Hong Kong?

- A. a reduction in the tax allowance
- B. abolition of the first registration tax on motor vehicles
- C. an increase in the progressivity of salaries tax
- D. an increase in the profits tax rate

2007/CE/II/42

| Taxable income (\$) | Tax Payment (\$) |              |
|---------------------|------------------|--------------|
|                     | Tax System A     | Tax System B |
| 100 000             | 6 000            | 5 000        |
| 200 000             | 12 000           | 12 000       |
| 300 000             | 18 000           | 21 000       |

Refer to the above data. When the tax system changes from A to B,

- A. the income gap between the rich and the poor will be reduced.
- B. the work incentive of workers will increase.
- C. the tax base of the economy will be widened.
- D. the government budget position will be improved.

2007/CE/II/43

In order to increase the competitiveness of Hong Kong, some businessmen propose to reduce the profits tax rate. When the profits tax rate decreases,

- A. the foreign exchange and good reserve of Hong Kong would increase.
- B. the investment incentive would increase.
- C. the government tax revenue would decrease.
- D. the size of the public sector would decrease.

2008/CE/II/41

When the government reduces the profits tax rate,

- A. the unemployment rate will increase.
- B. the investment incentive will increase.
- C. the government tax revenue will decrease.
- D. the income inequality will be reduced.

2008/CE/II/44

Suppose the salaries tax system of Hong Kong changes as follows:

| Old System                    |              | New System                    |              |
|-------------------------------|--------------|-------------------------------|--------------|
| Marginal Tax Band             | Tax Rate (%) | Marginal Tax Band             | Tax Rate (%) |
| First \$30 000 taxable income | 2.0          | First \$40 000 taxable income | 2.0          |
| Next \$30 000                 | 7.0          | Next \$40 000                 | 7.0          |
| Next \$30 000                 | 13.0         | Next \$40 000                 | 13.0         |
| Remainder                     | 19.0         | Remainder                     | 19.0         |
|                               |              |                               |              |
| Standard Rate                 | 16.0         | Standard Rate                 | 16.0         |

Under the new system, with the salaries of all taxpayers unchanged

- A. fewer people will fall into the tax net.
- B. fewer people will have to pay at the standard rate.
- C. the income gap will not be affected.
- D. the government will run into a budget deficit.

2009/CE/II/42

An economy levies a 5% general sales tax on all goods and services. This tax is a/an

- A. proportional tax as everyone will pay 5% of their expenditure on goods and services as tax.
- B. progressive tax as the tax payment increases with the price of the goods and services.
- C. regressive tax as the proportion of tax payment to income decreases when income increases.
- D. indirect tax as consumers indirectly bear all the tax burden.

2009/CE/II/44

In the financial year of 2008-09, the standard rate of salaries tax was reduced from 16% to 15%. Other things being equal, the above measure would

- A. reduce the number of people falling into the tax net.
- B. increase the progressivity of the salaries tax system of Hong Kong.
- C. increase the consumption expenditure of people in Hong Kong.
- D. increase the after tax income of low-income people in Hong Kong.

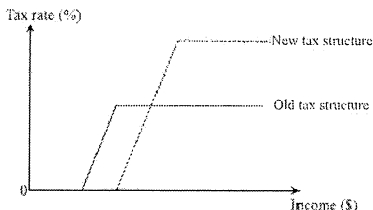
2010/CE/II/42

There was a one-off tax reduction up to a maximum of \$6 000 on the salaries tax and the tax under personal assessment for 2008-09. This would

- A. reduce the income gap between the rich and the poor.
- B. narrow the tax base of Hong Kong.
- C. increase the working incentive of those paying at the standard tax rate.
- D. increase the consumption expenditure of those entitled to the tax reduction.

2013/DSE/I/36

The following diagram shows the change in the salaries tax structure of an economy.

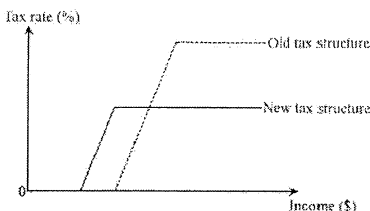


Compared to the old salaries tax structure, the new tax structure

- A. has a smaller personal allowance.
- B. has a lower standard tax rate.
- C. will narrow the income gap between the rich and the poor.
- D. will widen the tax base.

2016/DSE/I/36

The following diagram shows the changes in the salaries tax structure of an economy.



Compared to the old tax structure, the new tax structure will \_\_\_\_\_.

- A. result in a more even income distribution
- B. reduce the work incentive of all workers
- C. broaden the tax base
- D. lead to an increase in total tax revenue

2018/DSE/I/35

Suppose the salaries tax system in Hong Kong has the following changes:

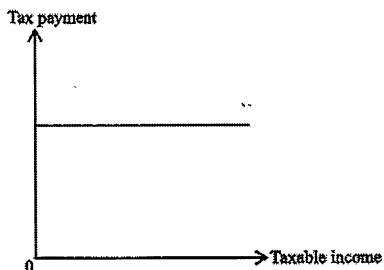
| Old System            |          | New System            |          |
|-----------------------|----------|-----------------------|----------|
| Net chargeable income | Tax rate | Net chargeable income | Tax rate |
| First \$50 000        | 2%       | First \$60 000        | 2%       |
| Next \$50 000         | 7%       | Next \$60 000         | 7%       |
| Next \$50 000         | 12%      | Next \$60 000         | 12%      |
| Remainder             | 17%      | Remainder             | 17%      |
| Standard Rate         | 15%      | Standard Rate         | 15%      |

If the basic tax allowance remains unchanged, which of the following is most likely to be a result of the above changes in the tax system?

- A. Fewer people will fall into the tax net.
- B. Fewer people will have to pay at the standard tax rate.
- C. People's work incentive will decrease.
- D. Consumption expenditure will decrease.



The following diagram shows the relationship between taxable income and tax payment in a tax system.



Which of the following statements about the above tax system is correct?

- A. The lower income group pays a smaller percentage of their taxable income as tax payment.
- B. It violates the tax principle of equity put forward by Adam Smith.
- C. It is a proportional tax.
- D. It leads to a more even income distribution.

In 2019, the Japanese government increases the general sales tax rate on most of the goods and services from 8% to 10%. As a result,

- (1) income inequality will be higher.
- (2) the fiscal deficit will be eliminated.
- (3) the invisible trade deficit will decrease.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

In the case **WITHOUT** tax exemption, John needs to pay \$15 000 and Mary needs to pay \$35 000 as income tax.

Suppose the government proposes the following income tax exemption measures:

|            | Amount of tax exemption              |
|------------|--------------------------------------|
| Measure I  | 75% of income tax, maximum \$30 000  |
| Measure II | 100% of income tax, maximum \$20 000 |

John will prefer \_\_\_\_\_ while Mary will prefer \_\_\_\_\_.

- A. measure I.....measure I
- B. measure I.....measure II
- C. measure II.....measure I
- D. measure II.....measure II

2023/DSE/I/23

Study the following data about an economy.

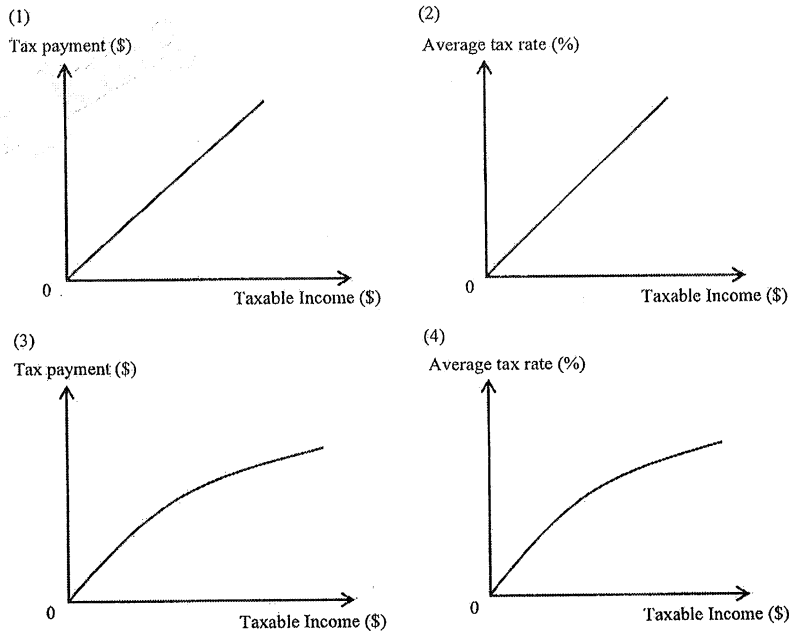
|                                                                          | 2016  | 2021  |
|--------------------------------------------------------------------------|-------|-------|
| Gini coefficient based on post-tax post-social transfer household income | 0.398 | 0.407 |

Which of the following are possible explanations for the above change from 2016 to 2021?

- (1) The progressive tax system changed to a regressive one,
  - (2) The tax bands of the progressive salaries tax are widened,
  - (3) The transfer payments provided to the low-income households increased.
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2023/DSE/I/36

Which of the following diagrams describe a progressive tax?



- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (4) only  
D. (3) and (4) only

### Short & Structured Questions

1990/CE/I/5(b)(i)

Suppose the Hong Kong government adopts the following tax policies :

Policy A: introducing a 3% sales tax on all commodities

Policy B: cutting down the standard tax rate by 3%

Explain how **EACH** of the above policies affects the distribution of income between the rich and the poor.

(Assuming in Hong Kong, the poor spend a higher ratio of their income on consumption than the rich.)

(8 marks)

1992/CE/I/5(c)(i)

It has now been decided that a new airport will be built at Chek Lap Kok

Suggest **THREE** possible government measures, other than printing money, to obtain enough capital to construct the new airport. State **ONE** disadvantage to Hong Kong's economy of each of the methods you have mentioned.

(9 marks)

1993/CE/I/5

(b) If Mr. Chan rents the flat to a tenant, he will have to pay property tax to the Hong Kong government for the rental income.

(i) Explain whether property tax is progressive, regressive or proportional.

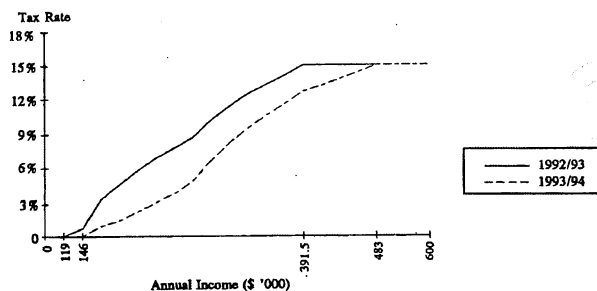
(3 marks)

(d) Some people suggest that a capital gains tax (資產增值稅) should be imposed on those flat-owners who gain money from the resale of housing units in Hong Kong. From the view point of the government, give **ONE** reason for and **ONE** reason against this suggestion.

(4 marks)

1994/CE/I/10(b)

The Hong Kong government revised the salaries tax structure for the fiscal year 1993/94. The following graph helps to illustrate some of these changes.



\*The above graph shows the effective tax rate for a typical single income family of four.

Refer to the above graph.

(i) Explain whether the salaries tax is progressive, regressive or proportional over the income range.

(4 marks)

(ii) (I) Point out **TWO** major changes to the tax structure shown on the graph.

(4 marks)

(II) Which tax structure shown on the graph would give a more even distribution of income in Hong Kong, other things being equal? Explain.

(6 marks)

(iii) Give **ONE** reason to explain why it is possible that the salaries tax revenue collected from these families might increase after the changes in the tax structure.

(3 marks)

1995/CE/I/5

Define progressive tax and proportional tax. Name a local example of each.

(6 marks)

1996/CE/I/10(b)

Suppose Country A plans to impose tariffs on its imports. Explain whether this tax is progressive, proportional or regressive.

(4 marks)

1996/CE/I/12(d)

Suppose the government increases the progressivity of the salaries tax in order to provide unemployment benefits to the unemployed. Explain how this would affect Hong Kong's income distribution.

(3 marks)

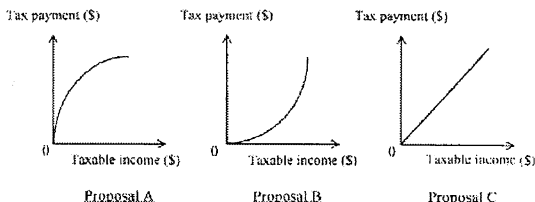
1997/CE/I/9(d)(ii)

Suppose a general sales tax is introduced to finance the construction of the new railway. Explain the effect of this tax on Hong Kong's income distribution.

(3 marks)

1998/CE/I/5

The following shows three different proposals for an income tax of an economy.



Explain the differences among the three proposals in terms of the relationship between the tax payments and the taxable incomes. Then point out which proposal would be the most effective in achieving a more even distribution of income.

(7 marks)

1998/CE/I/7(b)

Suppose the salaries tax allowance in Hong Kong remains unchanged. Explain why the total tax revenue from this tax would increase at times of inflation.

(3 marks)

1999/CE/I/8

|                |          |          |          |
|----------------|----------|----------|----------|
| Taxable income | \$10 000 | \$20 000 | \$30 000 |
| Tax amount     | \$1 000  | \$1 900  | \$2 700  |

Explain whether the tax described above is progressive. Show your working.

(5 marks)

2000/CE/I/8

In 1999, the government refunded 10% of the salaries tax and profits tax to taxpayers. Explain how this would affect the wealth gap between the low-income group and the high-income group.

(4 marks)

2000/CE/I/9(a)

Study the following information.

| <u>Gasoline Bill</u> |             |       |
|----------------------|-------------|-------|
| Quantity sold:       | 50L (liter) |       |
| Price per liter:     | 3.780 \$/L  | \$189 |
| Government tax:      | 6.060 \$/L  | \$303 |
| Sales total:         |             | \$492 |

- (i) Define regressive tax and explain whether the above gasoline tax is progressive, proportional or regressive. (5 marks)
- (ii) Give **TWO** economic reasons for the government to levy tax on gasoline. (4 marks)

2001/CE/I/7

Suppose the Hong Kong government introduces a general sales tax.

- (a) Explain whether a sales tax is a direct tax or an indirect tax. (2 marks)
- (b) Explain what would be the effect of the introduction of a general sales tax on Hong Kong's income distribution. (3 marks)

2001/CE/I/11(b)

Suppose the government significantly reduces the stamp duty on the sale of property. Explain how this would affect

- (i) investment
- (ii) employment opportunities
- in the construction industry. (4 marks)

2002/CE/I/12(c)

Mr Wong's bookstore has to pay profits tax and rates.

- (i) Explain which of the above two taxes is an indirect tax.
- (ii) Explain whether profits tax is progressive, proportional or regressive. (5 marks)

2003/CE/I/10(d)

The first registration tax on a newly imported car is a fixed percentage of the car's value. Explain whether the tax is proportional. (3 marks)

2004/CE/I/10(e)

In Hong Kong, the air passenger departure tax is \$120 per adult passenger. Explain whether the tax is a progressive tax, a proportional tax or a regressive tax. (3 marks)

2006/CE/I/11(b)(i)(II)

Explain whether general sales tax is a direct tax or an indirect tax. (2 marks)

2008/CE/I/8

In Hong Kong, red wine is subject to an excise tax of 40% of its value.

- (a) Explain whether this tax is progressive, regressive or proportional. (4 marks)
- (b) Explain whether this tax is a direct tax or an indirect tax. (2 marks)

2009/CE/I/11

In the fiscal year 2008-09, the government took some measures to reduce the tax burden on the public.

- (a) The corporate profits tax rate was reduced from 17.5% to 16.5%. Explain whether the government revenue from profits tax would necessarily decrease as a result of a reduction in the profits tax rate. (4 marks)
- (b) Rates (差餉) were waived for most properties. Explain whether this tax is a direct tax or an indirect tax. (2 marks)

2012/DSE/II/4

According to a report of the United Nations in 2008, the Gini coefficients of Hong Kong and Beijing were 0.53 and 0.22 respectively.

- (a) Was the income gap between the rich and the poor in Hong Kong wider or narrower than that in Beijing? (1 mark)
- (b) Explain how an increase in the standard tax rate of salaries tax will affect the post-tax Gini coefficient of Hong Kong. (3 marks)

2013/DSE/II/8

Suppose a government is facing a budget deficit. Some politicians have proposed that the government should raise the income tax rate to reduce the budget deficit. Evaluate their proposal. (4 marks)

2014/DSE/II/6(b)

Karen, a Hong Kong resident, works as a photographer in a media group in Shanghai.

Is salaries tax a direct or an indirect tax? Explain your answer. (2 marks)

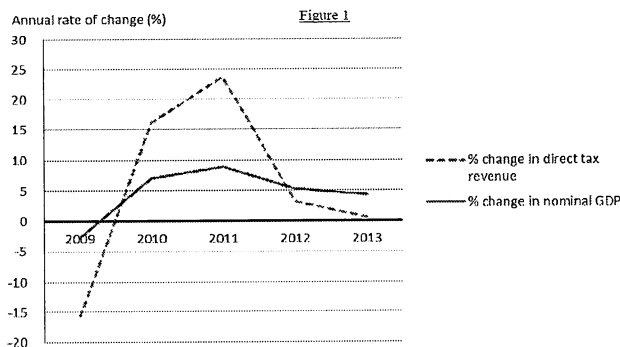
2014/DSE/II/7(a)

In an attempt to reduce its growing fiscal deficits, the US government has tried to increase tax on the one hand and decrease fiscal spending on the other. But many worry that such a policy would give rise to undesirable side effects.

Explain **TWO** possible undesirable effects of the above fiscal policy on the US economy as a whole. (4 marks)

2015/DSE/II/11(a)

Figure 1 shows the percentage changes in direct tax revenue and nominal GDP in Hong Kong for the years 2009-2013.



- (i) With reference to Figure 1, describe the relationship between the percentage change in direct tax revenue and the percentage change in nominal GDP for the years 2009-2013 and compare their trends. (2 marks)
- (ii) Briefly explain the relationship you described in (a)(i). (2 marks)

2017/DSE/II/13(b)

To finance the scheme, there are different proposals which include:

Proposal A: increase the standard tax rate and the progressivity of salaries tax

Proposal B: use the fiscal reserves in the government

Discuss the effects of these two proposals on economic variables which include

(ii) income distribution

(iii) **ONE** other economic variable.

(7 marks)

2018/DSE/II/6(a)

The government proposes the following changes in the profits tax system.

| Profit                   | Existing system | New two-tier system |
|--------------------------|-----------------|---------------------|
| On the first \$2 000 000 | 16.5%           | 8.25%               |
| Remainder                |                 | 16.5%               |

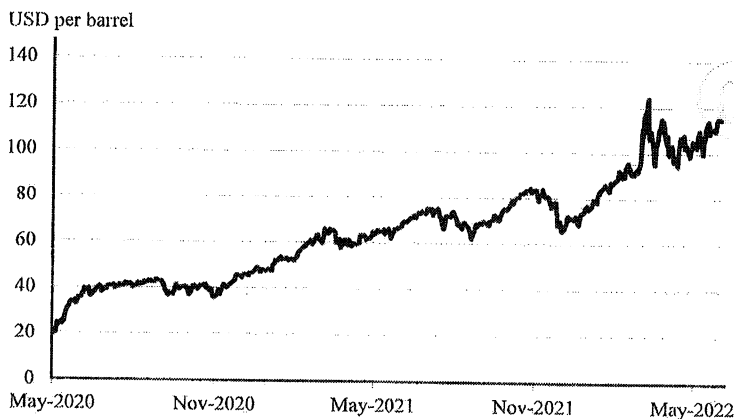
Would the above changes in tax system *necessarily* result in a drop in profits tax revenue? Explain.

(4 marks)

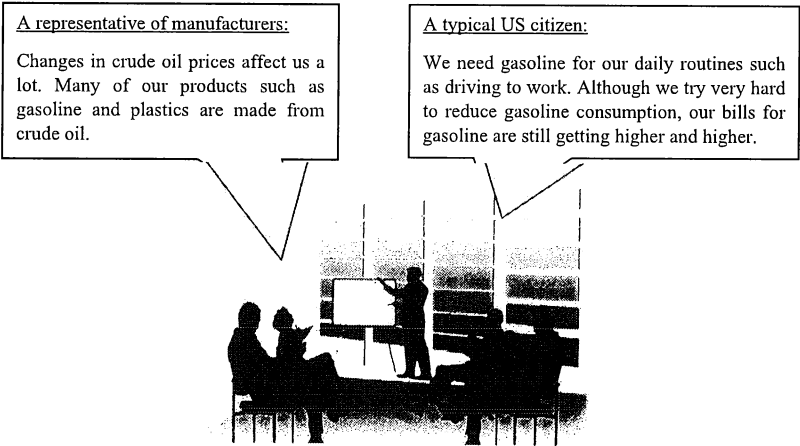
2023/DSE/II/12d

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



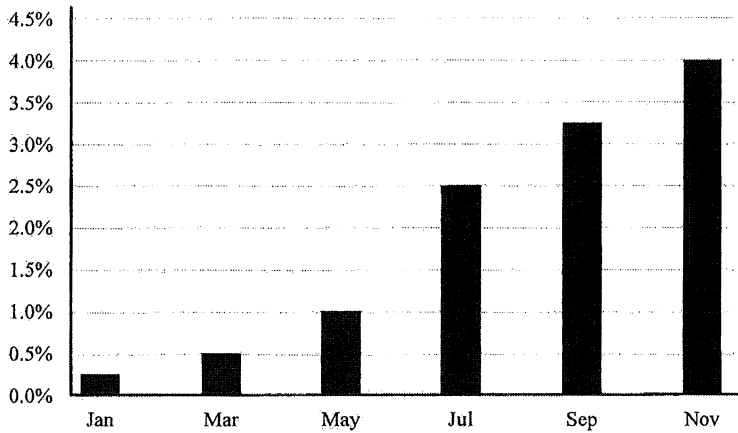
Source B: Some views about energy prices expressed by participants in a forum



Source C: Money supply in the US

|                            | May 2020 | May 2021 |
|----------------------------|----------|----------|
| Money supply (USD Billion) | 17766.9  | 20 319.6 |

Source D: Discount rate of the Federal Reserve\* of the US from January to November 2022



\*Federal Reserve is the central bank of the US.



Source E: Some comments on the US tariffs on Chinese imports

|                                                                                                        |                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A US producer</p>  | <p>We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.</p>                                          |
| <p>An economist</p>   | <p>The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.</p> |

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Apart from adjusting the discount rate, two other strategies have been suggested to address the problem of inflation in the US.

|            |                                                         |
|------------|---------------------------------------------------------|
| Strategy 1 | Raising the salaries tax rate for the high-income group |
| Strategy 2 | Cancelling the tariffs on Chinese imports               |

With reference to Sources A to E and your own knowledge in Economics, discuss the effects of **EACH** strategy on the US economy in terms of

- price level,
- equity, and
- trade balance,

(14marks)

#### 2024/DSE/II/12(d)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

- (d) Neymar is a famous Brazilian footballer. He has been recruited by a football club in Saudi Arabia recently. Suppose he is required to pay an income tax of 20% on his taxable income to the Government of Saudi Arabia. Explain whether the income tax paid by Neymar is

- (i) a direct tax or an indirect tax.

(2 marks)

- (ii) progressive, proportional or regressive.

(2 marks)

**2025/DSE/II/9(Cross Topic)**

In the 2024-25 Budget, the Financial Secretary proposed to adjust the rate of the hotel accommodation tax (HAT) from 0% to 3% with effect from 1 January 2025. Hotels and guesthouses would be required to pay the HAT at the rate of 3% on accommodation charges.

- (a) Explain whether the proposed HAT is a progressive tax, a proportional tax or a regressive tax. (3 marks)
- (b) An economist comments, 'Both the indirect tax revenue and the direct tax revenue of the Government may be affected by the above proposed HAT.' Justify the economist's comment. (4 marks)

There are receptionists, bell boys, room attendants and managers working in hotels.

- (c) What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)
- (d) The following is a job advertisement for room attendants in a hotel.

|                                                                                                             |
|-------------------------------------------------------------------------------------------------------------|
| Room attendants<br>Major duty: tidying up hotel rooms<br>Working hours: 10am – 2pm<br>Salary: \$85 per hour |
|-------------------------------------------------------------------------------------------------------------|

From the viewpoint of the hotel owners, give **ONE** advantage and **ONE** disadvantage of the above wage payment method over piece rate. (2 marks)

- (e) Many hotels in Hong Kong charge a higher room rate during public holidays than on other days. Explain whether the opportunity cost of staying in those hotels in Hong Kong is *necessarily* higher during public holidays than on other days. (3 marks)

### 3.4 PUBLIC SECTOR AND FISCAL POLICY

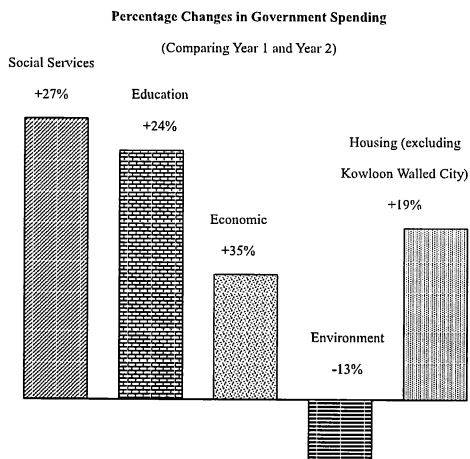
#### Multiple Choice Questions

1990/CE/II/44

Which of the following is a fiscal policy used to reduce inflation?

- A. a direct control on the rise in wages of workers.
- B. an increase in unemployment benefits.
- C. an increase in the required reserve ratio of banks.
- D. a decrease in the spending on an environmental protection scheme.

1991/CE/II/38



The above chart indicates that

- A. economic services was the largest item of government spending.
- B. the price level was higher in Year 2 than that Year 1.
- C. the government spent less on environment protection in Year 2 than in Year 1.
- D. the spending on the Kowloon Walled City was financed by China.

1991/CE/II/40

Which of the following are tools of fiscal policy in Hong Kong?

- (1) the linked exchange rate
  - (2) government expenditure on infrastructure
  - (3) the standard tax rate
  - (4) the minimum cash reserve ratio
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

1992/CE/II/40

Which of the following is an expansionary fiscal policy?

- A. the introduction of a new tax
- B. the construction of a new airport
- C. the cutting of expenditure in some government departments
- D. the increased purchase of water from China

1992/CE/II/41

A surplus budget will lead to

- A. a decrease in government expenditure.
- B. a fiscal surplus.
- C. a balance of payments surplus.
- D. a contraction of the economy.

1993/CE/II/49

In an economy with unemployment, a deficit budget will lead to

- A. a lower rate of unemployment.
- B. a lower level of national income.
- C. a lower rate of household consumption.
- D. a decrease in government debt.

1994/CE/II/49

| Year               | 1987-88 | 1988-89 | 1989-90 | 1990-91 |
|--------------------|---------|---------|---------|---------|
| Public Expenditure | 536     | 648     | 819     | 950     |
| GDP                | 3 690   | 4 336   | 4 990   | 6 588   |

According to the above table, the size of the public sector as measured by the **RATIO** of public expenditure to GDP over the period 1987-1991 was

- A. getting bigger.
- B. getting smaller.
- C. bigger at the beginner but smaller at the end.
- D. stagnant.

1994/CE/II/50

A \_\_\_\_\_ budget is one in which the \_\_\_\_\_ government revenue is greater than the \_\_\_\_\_ government expenditure.

- A. surplus ..... actual ..... actual
- B. surplus ..... estimated ..... estimated
- C. deficit ..... estimated ..... actual
- D. deficit ..... actual ..... estimated

1995/CE/II/49

In general, a deficit budget will

- A. reduce a country's foreign exchange and gold reserves.
- B. have an expansionary effect on economic activity.
- C. lead to a more uneven distribution of income.
- D. increase the government's debt.

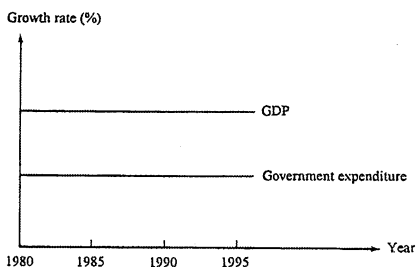
1996/CE/II/39

If the government greatly increases the salaries tax rate to finance the provision of more public assistance to the unemployed,

- A. The government budget will be balanced because the increase in government expenditure will be financed by the increase in tax revenue.
- B. The total consumption of the economy will not change as the decrease in consumption of the rich will be compensated by an increase in the consumption of the poor.
- C. The working incentive will decrease because a higher proportion of salary income will be taxed.
- D. The size of the public sector will remain unchanged because the increased expenditure is matched by the increased tax revenue.

1996/CE/II/42

Refer to the following diagram of an economy:



During the period 1980 to 1995, which of the following can be concluded from the above diagram?

- A. Both the GDP and the government expenditure have not changed in this period.
- B. The GDP increases at the same rate as the government expenditure.
- C. The ratio of government expenditure to GDP decreases over this period.
- D. The growth rate of GDP remains constant because the government expenditure increases at a constant rate.

1997/CE/II/43

Hong Kong's public expenditure as a percentage of GDP has risen steadily in recent years. Which of the following is/are reason(s) for this?

- (1) the progress of the construction projects of the government and the new airport
  - (2) a fall in the GDP in this period
  - (3) a large increase in government welfare payments to the unemployed
- A. (1) only
  - B. (2) only
  - C. (1) and (2) only
  - D. (1), (2) and (3)

1999/CE/II/41

A surplus budget could turn out to be a budgetary deficit if the actual government revenue is \_\_\_\_\_ than the actual government expenditure and the estimated government revenue is \_\_\_\_\_ than the estimated government expenditure.

- A. greater ..... greater
- B. smaller ..... greater
- C. greater ..... smaller
- D. smaller ..... smaller

2000/CE/II/44

Suppose the government uses a great amount of its fiscal reserve to develop information technology in education. Which of the following is correct?

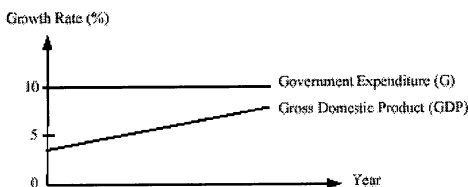
- A. Government expenditure in other sectors will decrease.
- B. The government will have a budget deficit.
- C. The average labour productivity will be higher.
- D. The banking system will be less able to create deposits.

2000/CE/II/45

The government will participate in the project for establishing Disneyland in Hong Kong. During the period of construction, it must

- A. increase the tax burden on taxpayers.
- B. increase the size of the public sector.
- C. increase the ratio of public expenditure to GDP.
- D. discourage the incentive of private investment.

2002/CE/II/41



According to the above graph, the ratio of G to GDP is

- A. increasing.
- B. decreasing.
- C. first increasing and then decreasing.
- D. first decreasing and then increasing.

2008/CE/II/42

According to the 2007-08 Policy Address of the Chief Executive, the Government will launch 10 major infrastructure projects in the coming years. This will result in

- (1) an increase in the GDP of Hong Kong.
- (2) an increase in the size of the public sector.
- (3) government budget deficits in the years of construction.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2009/CE/II/45

An increase in the Hong Kong government's expenditure on infrastructure must lead to an increase in

- A. the ratio of public expenditure to GDP in Hong Kong.
- B. the government budget deficits.
- C. the wage rate of workers in Hong Kong.
- D. the potential GDP of Hong Kong in the future.

2010/CE/II/43

During a recession, a government plans to promote economic growth through infrastructural development. As a result,

- (1) the size of the public sector would increase.
- (2) the employment opportunity would increase.
- (3) the government budget would run into a deficit.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2010/CE/II/44

Which of the following will increase in times of economic recovery?

- A. trade surplus
- B. budget deficit
- C. government expenditure
- D. direct tax revenue

2014/DSE/I/25

| Year | Year-on-year percentage change in nominal GDP | Year-on-year percentage change in nominal government spending |
|------|-----------------------------------------------|---------------------------------------------------------------|
| 2011 | 9.0                                           | 12.0                                                          |
| 2012 | 5.5                                           | 6.0                                                           |

Based on the above information, which of the following statements are correct?

- (1) The size of the public sector in the economy increased in 2012.
- (2) Both the nominal GDP and the nominal government spending dropped in 2012.
- (3) A drop in both the real GDP and the real government spending was possible in 2012.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

#### Short & Structured Questions

1993/CE/I/5(e)

State **THREE** general aims of a fiscal policy.

(6 marks)

2019/DSE/I/34

Both the wage rate and general price level increase by 8% in a certain year. If the government increases the salaries tax allowance by 5%.

- A. more people will fall into the tax net.
- B. income distribution will become more even,
- C. government's tax revenue will decrease,
- D. people's real income after tax will increase.

**2022/DSE/I/34**

The following table shows the monetary base and money supply of a country.

| Date           | Monetary base (\$ billion) | Money supply (\$ billion) |
|----------------|----------------------------|---------------------------|
| 1 January 2020 | 150                        | 500                       |
| 1 January 2021 | 150                        | 800                       |

Which of the following could explain the above data?

- (1) The central bank bought bonds from the public in 2020.
- (2) The central bank increased the discount rate in 2020.
- (3) The central bank lowered the required reserve ratio in 2020.

- A. (3) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

**2023/DSE/I/41**

Which of the following are examples of an expansionary fiscal policy?

- (1) increasing the child allowance of salaries tax
- (2) launching a consumption voucher scheme
- (3) lowering required reserve ratio

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)



### 3.5 EFFECT OF A BALANCED BUDGET

#### Multiple Choice Questions

1997/AL/II/04 (modified)

Suppose a government reduces its expenditure on goods and services and at the same time increases its transfer payments to the public by the same amount, then

- A. (out of syllabus)
- B. aggregate demand would remain unchanged.
- C. aggregate demand would decrease.
- D. aggregate demand would increase by the same amount as the change in government expenditure.

2016/DSE/I/38

If the government simultaneously increases its expenditure and income tax by the same amount, the effect on the aggregate output is \_\_\_\_\_.

- A. contractionary
- B. neutral
- C. expansionary
- D. indeterminate

2021/DSE/I/40

Suppose a government finances its expenditure by collecting tax from the households and the amount of expenditure equals the amount of tax collected. The effect on aggregate demand will be \_\_\_\_\_.

- A. expansionary
- B. contractionary
- C. neutral
- D. indeterminate

### Short & Structured Questions

1993/AL/II/7

If the new airport project costs HK\$170 billion over the next four years, and the government decides to finance this expenditure entirely by taxation without borrowing, will such a fiscal policy be expansionary, contractionary, or neutral? Explain.

(10 marks)

2009/AL/II/6(a) (modified)

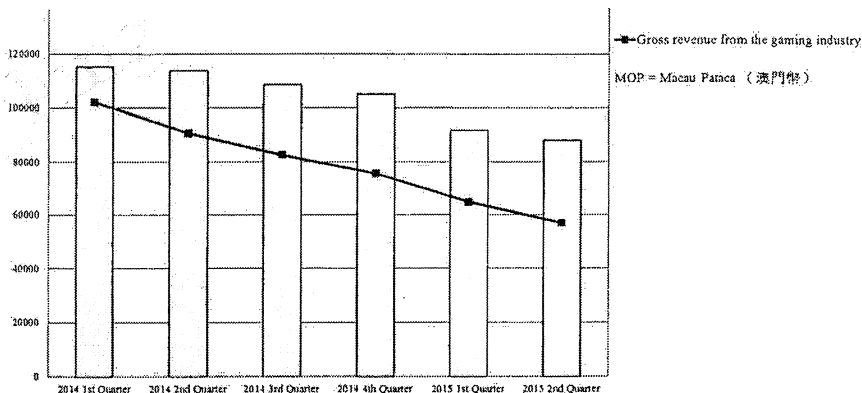
In the face of recent economic hardship, it has been proposed that the Hong Kong government introduces some stimulative measures. One sure measure is to inject cash directly into people's pockets by providing transfer payment.

- Explain how the above cash transfers would affect consumption and aggregate demand.
- Does it make any difference to the effect of aggregate demand if, instead of providing the cash transfers, the government simply uses the cash to increase its own expenditure? Explain your answer.

(5 marks)

2016/DSE/II/12

Gaming industry (博彩業) is a major sector in Macau's export of services. The following diagram shows the revenue from the gaming industry and the aggregate output of Macau.



- With reference to the above diagram, describe and explain the trend of the importance of the gaming industry relative to the aggregate output of Macau.

(2 marks)

The Macau government implements a cash-sharing scheme, under which every resident receives cash from the government.

The recent decline in the gaming industry results in a drop in tax revenue. Hence, the government considers reducing its spending on investment but still keeping the cash-sharing scheme. However, an economist suggests that the government should suspend the cash-sharing scheme and allocate the sum of money to investment instead.

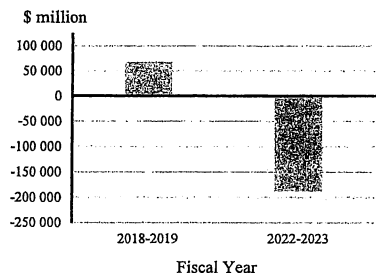
- Discuss the suggestion of the economist by giving arguments **FOR** and **AGAINST** it.

(5 marks)

2024/DSE/II/13(a)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source B: Exchange rate of US dollar (USD) to Renminbi (RMB) before and after the pandemic

| Date            | Exchange Rate    |
|-----------------|------------------|
| 1 April 2019    | USD 1 = RMB 6.71 |
| 1 November 2023 | USD 1 = RMB 7.32 |

Source C: News extract about the catering industry in Hong Kong in 2023

According to a representative of the catering industry in Hong Kong, local restaurants are unable to recruit enough waiters even though they are offering wages that are more than 50% above the statutory minimum.

Source D: Wage rates of waiters in Hong Kong in 2023

|                              |                 |
|------------------------------|-----------------|
| Statutory minimum wage rate  | \$40 per hour   |
| Average wage rate of waiters | \$62.4 per hour |

Source E: Some data and views on the Hong Kong economy

|                                                                                                                  |                                                                                                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  <p>A banker</p>               | Influenced by the contractionary monetary policy in the US, the interest rate in Hong Kong rose drastically from mostly below 2% in 2018 to over 5% by the end of 2023.                                                                          |
|  <p>An economist</p>          | The inflation rate in the Mainland remained lower than that in Hong Kong throughout 2023. Negative growth in the general price level was recorded in October and November in the Mainland.                                                       |
|  <p>A government official</p> | Reviving the night-time economy is essential in facilitating the economic recovery in the short term, whereas innovation and technology development is a significant engine for driving high-quality economic growth in the medium-to-long term. |

- (a) Refer to Source A. How may an economic downturn affect the fiscal balance of the Hong Kong Government? Explain your answer with reference to the possible effects of an economic downturn on the government's revenue and expenditure.

(4 marks)

## SECTION 4: MONEY AND BANKING (I)

### 4.1 MONEY: NATURE AND FUNCTIONS

#### Multiple Choice Questions

1990/CE/II/29

To serve as a unit of account, money has to be

- A. homogeneous.
- B. portable.
- C. scarce.
- D. durable.

1990/CE/II/30

The Canadian Maple Leaf gold coins (加拿大楓葉金幣) can be an example of \_\_\_\_\_ in Hong Kong.

- A. legal tender
- B. credit money
- C. bank assets
- D. token coins

1990/CE/II/40

Which of the following is the most acceptable means to settle a debt in Hong Kong?

- A. credit cards
- B. personal cheques
- C. Japanese yen
- D. Bank drafts

1990/CE/II/41

The value of money is reflected by its

- A. face value.
- B. intrinsic value.
- C. purchasing power.
- D. owner's subjective value.

1990/CE/II/58

Which of the following statements is **INCORRECT**?

- A. A credit card is money because it is a means of payment.
- B. The use of money eliminates the need for the double coincidence of wants in transactions.
- C. Money performs less satisfactorily as a store of value when inflation is serious.
- D. In a barter economy, when a person buys a good, he must be also selling another good.

1991/CE/II/29

Which of the following can best serve as money in a desert?

- A. shells
- B. sand
- C. water
- D. potatoes

1992/CE/II/33

A time deposit fulfils the function of money as a

- A. medium of exchange.
- B. store of value.
- C. unit of account.
- D. standard of deferred payments.

1992/CE/II/57

The potato is **NOT** a good form of money mainly because it is

- A. indivisible.
- B. portable.
- C. homogeneous.
- D. perishable.

1992/CE/II/59

Which of the following descriptions about barter is **FALSE**?

- A. Barter means a direct exchange of goods and services.
- B. Barter is possible only when there is double coincidence of wants.
- C. Barter exists only in societies without a medium of exchange.
- D. Usually it is more difficult to practise barter in international trade than in domestic trade.

1993/CE/II/31

Nowadays one can use a credit card or coins to make phone calls from public telephones. The telephone company accepts the use of credit cards for phone calls because

- (1) a credit card is legal tender
  - (2) a credit card is a means of deferred payment
  - (3) credit card holders are more trustworthy people
  - (4) the cost of handling coins can be reduced
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only

1993/CE/II/58

Money will **NOT** exist if

- A. there is no banking system.
- B. only credit cards are accepted for payment.
- C. there is only one man on earth.
- D. trade is totally banned among countries.

1994/CE/II/41

Banknotes are preferred to cheques as means of payment because the former are more

- A. divisible.
- B. generally acceptable.
- C. portable.
- D. scarce.

1994/CE/II/44

Which of the following descriptions of 'demand deposits' is correct?

- A. They can be accepted by deposit-taking companies in Hong Kong.
- B. They are legal tender in Hong Kong.
- C. They are a form of credit money.
- D. They are an interest-bearing asset.

1995/CE/II/38

Which of the following about money is correct?

- A. It must have intrinsic value.
- B. It must be backed up by law to be the medium of exchange.
- C. It must be convertible into some precious metal.
- D. It must be generally acceptable as the medium of exchange.

1995/CE/II/39

Banknotes is a better form of money than demand deposits because the former is more

- A. generally acceptable.
- B. divisible.
- C. durable.
- D. portable.

1995/CE/II/40

Arrange the following assets in terms of liquidity in descending order:

- (1) ordinary shares
  - (2) real estate
  - (3) bank notes
  - (4) demand deposits
- A. (1), (3), (4), (2)
  - B. (3), (4), (1), (2)
  - C. (3), (4), (2), (1)
  - D. (4), (3), (2), (1)

1995/CE/II/50

Exchange with the use of money differs from barter exchange in that the former

- A. is controlled by the government but the latter is not.
- B. has a price for each good but the latter has not.
- C. does not require the double coincidence of wants but the latter does.
- D. involves competition but the latter does not.

1996/CE/II/34

During war time, gold is a better form of money than paper money mainly because gold is more

- A. durable.
- B. portable.
- C. generally acceptable.
- D. homogeneous.

1996/CE/II/38

Arrange the following bank assets in descending order of liquidity:

- (1) loans and advances
  - (2) deposits with other banks
  - (3) real estates owned by the bank
- A. (1), (2), (3)
  - B. (1), (3), (2)
  - C. (2), (1), (3)
  - D. (3), (2), (1)

1997/CE/II/32

99 gold is a better form of money than diamond because the former is more

- (1) easily divisible.
  - (2) scarce.
  - (3) homogenous.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

1997/CE/II/38

Which of the following is/are the function(s) of money performed by credit cards?

- (1) standard for deferred payment
  - (2) means of payment
  - (3) unit of account
  - (4) store of value
- A. (1) only
  - B. (2) only
  - C. (1) and (2) only
  - D. (3) and (4) only

1997/CE/II/39

Holders of a/an \_\_\_\_\_ has the least risk and the highest liquidity.

- A. long-term corporate bond
- B. ordinary share
- C. preference share
- D. savings deposit

1998/CE/II/32

Cheques are preferred to banknotes and coins when used as medium of exchange in large transactions because cheques are more

- A. durable.
- B. generally acceptable.
- C. scarce.
- D. portable.

1999/CE/II/35

9999 Gold is better as a form of money than jade because the former is more

- (1) generally acceptable.
  - (2) easily divisible.
  - (3) homogeneous.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2001/CE/II/48

In Hong Kong, drivers can buy tickets from tunnel companies for using tunnel services. These tickets are **NOT** a standard of deferred payment. In other words,

- A. the purchasing power stored in the tickets can only be used for certain tunnel services.
- B. most people in Hong Kong do not use the tickets for the tunnel services.
- C. the value of most goods and services are not measured in terms of the tickets.
- D. payment in the future in general is not denominated in the tickets.

2002/CE/II/34

Which of the following statements about money are correct?

- (1) The purchasing power of money will remain unchanged in times of deflation.
  - (2) A wider use of electronic money will reduce the cash held by the public.
  - (3) Money helps people to accumulate their purchasing power.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2003/CE/II/50

Fish are **NOT** good units of account mainly because they are **NOT**

- A. durable.
- B. scarce.
- C. homogeneous.
- D. portable.



2004/CE/II/35

When a barter economy changes to an economy that uses money in exchange,

- (1) finding trading partners becomes easier.
  - (2) making transactions involving future settlement of debt becomes easier.
  - (3) agreeing upon prices takes a longer time.
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2004/CE/II/36

A time deposit is better than a demand deposit in serving the \_\_\_\_\_ function of money because the former \_\_\_\_\_.

- A. unit of account ..... has a common unit  
B. store of value ..... bears interest income  
C. medium of exchange ..... is generally acceptable  
D. standard of deferred payments ..... is a liquid asset

2004/CE/II/40

Which of the following kinds of assets has the lowest liquidity?

- A. cash in hand  
B. ordinary shares  
C. demand deposits  
D. savings deposits

2005/CE/II/35

Country A used gold as its currency. Suppose the scientists in the country have found a method to produce gold at nearly zero cost. As a result, the government has decided to give up using gold as its currency. This illustrates that good money has to be

- A. portable.  
B. divisible.  
C. scarce.  
D. durable.

2006/CE/II/33

Which of the following statements about money are correct?

- (1) Under the electronic payment system, transactions are still settled with money.
  - (2) Deflation reduces the purchasing power of money.
  - (3) With the use of money in exchange, there is no need to have double coincidence of wants.
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2006/CE/II/34

9999 gold is a better form of money than grains of wheat because the former is more

- (1) durable.
  - (2) homogeneous.
  - (3) easily divisible.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2007/CE/II/35

During inflation, people are less willing to keep their wealth in the form of money. This is because at that time the function of money to serve as a \_\_\_\_\_ is weakened.

- A. medium of exchange
- B. store of value
- C. unit of account
- D. means of payment

2008/CE/II/34

An economy that changes from barter to using money in exchange would reduce

- A. the need for specialization.
- B. the need for exchange.
- C. the time for searching trading partners.
- D. the frequency of making payments.

2008/CE/II/35

As a form of money, polymer notes (塑質鈔票) are more

- A. homogenous
- B. durable
- C. divisible
- D. portable

2008/CE/II/36

A more popular use of electronic money can bring about the following advantages:

- (1) a smaller amount of coins and notes to be handled
  - (2) a lower chance of receiving fake banknotes
  - (3) more interest earned by keeping the money in banks for a longer period of time
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2009/CE/II/35

Which of the following assets has the highest liquidity?

- A. real estates
- B. government bonds
- C. savings deposits
- D. time deposits



When the price of a good is quoted in Renminbi (RMB) on a price tag in some shops in Hong Kong, RMB is performing as

- A. legal tender.
- B. a store of value.
- C. a unit of account.
- D. a standard of deferred payment.

2010/CE/II/34

Which of the following statements about money are correct ?

- (1) The use of money reduces the information cost of searching for trading partners.
  - (2) Money would not exist if there are no banks.
  - (3) Money still exists if all transactions are settled by electronic transfer (or settled online).
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2010/CE/II/37

Holders of \_\_\_\_\_ have the lowest liquidity.

- A. negotiable certificates of deposits
- B. ordinary shares
- C. savings deposits
- D. real estates

2015/DSE/I/35

Refer to the following news extract.

Yu'e Bao (餘額寶) is a new online investment fund introduced by Alibaba. Much of the popularity of Yu'e Bao has come from its ability to give customers the convenience of a demand deposit—meaning they can withdraw their funds whenever they like—but with returns well above what a bank could offer. It recently advertised an annualised return of 5.25%, but that level has on occasion risen to above 7% since the fund was set up. By contrast, banks offer 3.3% as interest for a one-year fixed deposit and close to nothing on savings deposits.

Yu'e Bao is a better \_\_\_\_\_ as compared with bank deposits because \_\_\_\_\_.

- A. unit of account ..... it provides a homogeneous means of payment
- B. unit of account ..... it can facilitate people's buying and selling of goods and services
- C. store of value ..... It allows customers to have higher purchasing power in the future
- D. store of value ..... the customers can keep their unused funds in Yu'e Bao

2016/DSE/I/30

Refer to the following diagram.



Ken read the above advertisement and bought a new mobile phone by installments. In this payment, which of the following functions did money perform?

- (1) store of value
- (2) unit of account
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/30

Refer to the following hypothetical case.

The currency of Country T, T-Dollar, has depreciated by 40 percent from the beginning of 2018 after the US announced a series of trade sanctions against Country T. As a result, some shops in Country T quoted prices in US Dollar instead of T-Dollar. Shops in black markets refused to accept T-Dollar. Some citizens bought foreign currencies to safeguard their assets.

Which functions of money of the T-Dollar were weakened?

- (1) medium of exchange
  - (2) unit of account
  - (3) store of value
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

Study the following news extract about Bitcoin (比特幣).

In 2018, Kentucky Fried Chicken Canada launched 'Bitcoin Bucket'. The company set up a Facebook live feed, displaying the number of bitcoins needed to pay for the meal as in the picture below. The 'Bitcoin Bucket' could only be purchased online and would be delivered to the buyers' home later.



In the above case, Bitcoin performed as a \_\_\_\_\_.

- (1) medium of exchange
- (2) unit of account
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

#### 2024/DSE/I/31

9999 gold is better than diamond in performing the \_\_\_\_\_ function of money because the former has a higher \_\_\_\_\_

- (1) medium of exchange.....divisibility
- (2) unit of account.....homogeneity
- (3) store of value ..... portability

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

#### 2025/DSE/I/31

Refer to the following hypothetical case.

Country P experiences a long period of hyperinflation. When workers receive wages in P dollar (the legal tender of Country P), they would quickly use the P dollar to buy gold or convert it into US dollar. Some workers even only accept jobs with wages denominated in US dollar. Lenders generally do not accept repayment of loans in P dollar when lending money.

Based on the above information, which functions of money of the P dollar were weakened?

- (1) medium of exchange
- (2) store of value
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

### Short and Structured Questions

1991/CE/1/5(a)

State **THREE** functions of money.

(3 marks)

1993/CE/1/3(d)(ii)



Explain why stored value tickets cannot perform the following functions of money:

- (I) medium of exchange
- (II) store of value

(4 marks)

1994/CE/1/6

Employer: If you work for me this month, I'll give you 30 metres of cloth in payment at the end of the month.

Employee: Please pay me cash. I won't accept cloth in payment.

According to the employer, what function of money does the cloth perform, apart from acting as a medium of exchange?

Also explain why cloth in general cannot perform this function.

(6 marks)

1995/CE/10(b)(i)

In Hong Kong, a demand or savings deposit holder can use an EPS card to pay for his purchases in certain shops. The function of an EPS card is that the amount of money is immediately transferred from the customer's bank deposit account to the shop's bank deposit account.

Name the function of money which savings deposits together with EPS cards can perform in the above example. (2 marks)

1996/CE/1/8

Explain which **TWO** functions of money would be affected in times of inflation.

(4 marks)

1997/CE/1/4

On an island, people sell their goods and services in exchange for salt and use salt to buy what they want.

(a) 'There is no money in this economy.' Explain whether you agree with this statement or not. (2 marks)

(b) Explain **TWO** difficulties that the people on the island may encounter when using salt in exchange for goods and services. (4 marks)

1998/CE/1/6

One prediction about future commercial cities is: '.....with technological advancement, trading of goods and services will be done without cash. There will be no cash in these advanced economies.'

John said, 'Money will not exist in these economies as there is no cash.'

Explain whether John's comment is correct.

(4 marks)

1999/CE/I/11(d)

It is suggested that 'Octopus cards (八達通卡)' can be used as a store of value and as a means of payment for taxi service.

Name the other two functions of money and explain why Octopus cards cannot perform these two functions. (4 marks)

2000/CE/I/5

Barbarian A: I want to exchange some of my bananas for some of your vegetables.

Barbarian B: But what I want now is some wood.

Define money and explain how money helps to solve the problem of exchange in this case. (4 marks)

2001/CE/I/5

Explain why banknotes would be more generally-accepted as a medium of exchange than diamonds. (4 marks)

2002/CE/I/11(c)

Students in the tutorial school with good academic achievements are awarded coupons. These coupons can be used to purchase books in some specified bookstores. Explain whether these coupons are 'money'. (3 marks)

2003/CE/I/7

In some Asian countries, the prices of goods and services in tourist areas are expressed in US dollars. Suppose tourists pay cash in US dollars for their purchases.

(a) Name **TWO** functions of money performed by the US dollar as illustrated in the above situation. (2 marks)

(b) Name and explain the other **TWO** functions of money. (4 marks)

2004/CE/I/9(b)

Which function of money does cash perform better in times of deflation than in times of inflation? Explain. (3 marks)

2004/CE/I/11(c)(ii)

A famous chain of fashion stores opens a new branch.

To celebrate the new opening, the chain stores issue cash coupons to their customers who can use them as cash in these stores Explain why the cash coupons are not money. (2 marks)

2005/CE/I/4

State and explain **TWO** functions of money. (4 marks)

2006/CE/I/7

The 'individual travel scheme' brings many tourists from Mainland China to Hong Kong. In the following table, fill in the blanks to indicate the function of money that is performed by Renminbi (RMB) in each case.

|                                                                                            | The function of money performed by RMB |
|--------------------------------------------------------------------------------------------|----------------------------------------|
| Case 1 : The prices of goods and services in some shops in Hong Kong are expressed in RMB. |                                        |
| Case 2 : Some shops in Hong Kong accept cash payment in RMB.                               |                                        |
| Case 3 : Some banks in Hong Kong accept RMB savings deposits.                              |                                        |

(3 marks)

2007/CE/I/6

Many shops in Macau accept payment in Hong Kong dollars. Banks in Macau also accept Hong Kong dollar deposits.

Name **TWO** functions of money performed by the Hong Kong dollar as illustrated in the above situation. Explain these functions. (4 marks)

2009/CE/I/9(d)

Some bookstores issue book coupons which the holders can use to pay for their purchases in these bookstores.

- (i) Apart from 'store of value' and 'standard of deferred payment', name **TWO** other functions of money. (2 marks)
- (ii) Book coupons cannot perform the two functions of money mentioned in the answer to (d)(i). Explain. (2 marks)

2010/CE/I/5

- (a) Money is defined as ..... (2 marks)
- (b) Explain with **TWO** reasons why pearls are not a good form of money. (4 marks)

2012/DSE/II/7

"9999 gold is preferred to cigarettes when used as money." Give **TWO** reasons to explain this argument. (4 marks)

2017/DSE/II/5

Due to political instability, the currency of a country depreciates sharply and becomes highly volatile. Which **TWO** functions of money may be weakened? Explain. (4 marks)

2018/DSE/II/12(b)

Source 1: search result from a hotel booking website

|                                           |                                                       |                   |                                                 |
|-------------------------------------------|-------------------------------------------------------|-------------------|-------------------------------------------------|
| Hotel A<br>Tsim Sha Tsui East,<br>Kowloon | ☆☆☆☆☆<br>30 square metres<br>2 Twin Beds              | Free cancellation | <b>Book now!</b><br>HK\$2 100<br>OR<br>RMB¥1750 |
| Hotel B<br>Tsim Sha Tsui East,<br>Kowloon | ☆☆☆☆☆<br>32 square metres<br>2 Twin Beds<br>Free WIFI | Non- refundable   | <b>Book now!</b><br>HK\$2 040<br>OR<br>RMB¥1700 |

Which **TWO** functions of money does the Renminbi perform in Source 1? Explain. (4 marks)

2020/DSE/II/5b

- (b) Peter owes Mary \$100 and he has no cash in his wallet. He suggests repaying Mary by a cash coupon (with a face value of \$100) issued by a supermarket chain. Give **TWO** economic reasons to explain why Mary would refuse to accept the cash coupon as a repayment of Peter's debt. (4 marks)



2021/DSE/II/7

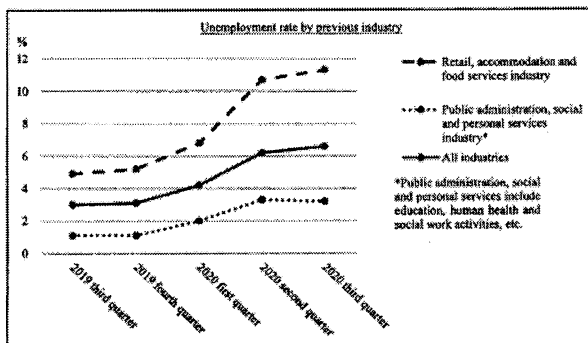
In a country, most of the prisoners in a correctional institution (懲教所) use cigarettes as a medium of exchange, but citizens in society refuse to settle payment by using cigarettes. Apart from not being generally acceptable, explain with **TWO** reasons why cigarettes are **NOT** a good form of money in society.

(4 marks)

2022/DSE/II/11d

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong\*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

|                                                                   | AlipayHK                                                                                       | Octopus                                                                                               | Tap & Go                                                                                                                     | WeChat Pay HK                                                                                     |
|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
|                                                                   | <br>AlipayHK | <br>八達通<br>Octopus |                                            | <br>WeChat Pay® |
| Public transportation with the above payment facilities installed | MTR, bus, mini bus and ferry                                                                   | MTR, bus, mini bus and ferry                                                                          | Bus and mini bus                                                                                                             | None                                                                                              |
| Promotions to consumption voucher users                           | 5 e-coupons                                                                                    | First 2 million registered customers enjoy \$18 of stored value                                       | \$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50 | e-coupons                                                                                         |

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

|                                                                                                                                |                                                                                                                                                                                                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A housewife</p>                            | <p>I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!</p>                                                                                                                                       |
| <p>A former chef in a restaurant</p>          | <p>I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.</p> |
| <p>A doctor working in a public hospital</p>  | <p>Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.</p>                   |

- (d) Refer to Source D. Some citizens claimed, 'I would rather receive \$5 000 cash instead of consumption vouchers.' In terms of functions of money, explain such a claim with **TWO** reasons. (4 marks)

2024/DSE/II/6

Refer to the following conversation between two villagers in a barter economy.

Villager A: I want to exchange my beans for your pork.

Villager B: But what I want now is rice.

- (a) A problem that hinders exchanges in a barter economy is revealed in the above situation. Identify the problem. (1 mark)
- (b) (i) What is money? (1 mark)
- (ii) Explain how the use of money can facilitate exchanges. (2 marks)

## 4.2 BANKING SYSTEM AND THE CENTRAL BANK

1993/CE/II/34

In Hong Kong a restricted licensed bank faces more restrictions than a licensed bank with reference to :

- (1) the types of deposits it can accept
  - (2) the minimum deposit it can accept
  - (3) the maximum deposit interest rates it can offer
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

1994/CE/II/39

Fanny plans to deposit HK\$250 000 in a financial intermediary for three months. Which of the following institutions can accept her deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2000/CE/II/31

Mr Cheung has \$100 000 cash in hand. He needs the money two months later to use as partial payment for his new house. He may deposit the money into

- (1) a licensed bank
  - (2) a restricted licence bank
  - (3) a deposit-taking company
- A. (1) only  
B. (1) and (2) only  
C. (1) and (3) only  
D. (2) and (3) only

2001/CE/II/27

John wants to deposit \$80 000 for 4 months in Hong Kong. Which of the following financial institutions can accept his deposit?

- A. a licensed bank
- B. a restricted licence bank
- C. a deposit taking company
- D. All of the above.

2002/CE/II/32

Which of the following financial institutions in Hong Kong can accept savings deposits?

- A. licensed banks
- B. restricted licence banks
- C. deposit-taking companies
- D. All of the above are correct.

2003/CE/II/33

Sue wants to deposit \$300 000 for 1 month. Which of the following institutions can accept her deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2005/CE/II/36

Mr Chan plans to deposit \$500 000 for one month. Which of the following institutions can accept his deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2007/CE/II/38

If an individual plans to deposit HK\$200 000 in a financial institution in Hong Kong for three months, which of the following institutions can accept this deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2010/CE/II/38

David plans to deposit HK\$400 000 in a Hong Kong financial institution for six months. Which of the following can accept his deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2014/DSE/1/31

Maggie plans to deposit \$500 000 in a financial institution in Hong Kong for two months. Which of the following institutions can accept this deposit?

- (1) licensed banks
  - (2) restricted licence banks
  - (3) deposit-taking companies
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2), (3)

2018/DSE/1/31

Brian wants to deposit \$80 000 for two months in an authorised institution in Hong Kong in the form of a negotiable certificate of deposit. Which of the following statements is correct?

- A. As the term of maturity is longer than one month, a deposit-taking company can accept his deposit.  
B. As the term of maturity is shorter than three months, a restricted licence bank can accept his deposit.  
C. As the amount of deposit is less than \$500 000, a restricted licence bank cannot accept his deposit.  
D. As negotiable certificates of deposit are not available in a licensed bank, a licensed bank cannot accept his deposit.

1993/CE/II/59

Which of the following is **NOT** a function performed by the Exchange Fund?

- A. to issue certificates of indebtedness to the note-issuing banks  
B. to manage foreign exchange reserves for the government  
C. to issue Exchange Fund bills  
D. to determine bank deposit interest rates

1995/CE/II/41

Which of the following are the central-bank functions performed by the Hong Kong Monetary Authority?

- (1) supervision of banking activities
  - (2) financing the budget deficit
  - (3) maintaining the stability of the exchange rate of the Hong Kong dollar
  - (4) cheque clearing
- A. (1) and (3) only  
B. (1) and (4) only  
C. (2) and (3) only  
D. (2) and (4) only

1996/CE/II/60

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. managing fiscal reserves for the government  
B. acting as a clearing house  
C. supervising the banking system  
D. acting as the lender of last resort

2000/CE/II/32

Which of the following about the central bank functions performed in Hong Kong is correct?

- A. The Hong Kong Bank is responsible for the central clearance of the banking system.
- B. The Exchange Fund acts as the government's banker.
- C. The Hong Kong Monetary Authority carries out monetary policies for the government.
- D. The Hong Kong Association of Banks supervises banking activities.

2001/CE/II/49

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. to manage the foreign exchange reserves
- B. to carry out monetary policy
- C. to act as lender of last resort
- D. to determine the best lending rate

2003/CE/II/37

Which of the following central bank functions are performed by the Hong Kong Monetary Authority?

- (1) managing the foreign exchange reserves
  - (2) determining the deposit interest rates of banks
  - (3) acting as the lender of last resort
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2), (3)

2007/CE/II/37

Which of the following functions are performed by the Hong Kong Monetary Authority?

- (1) maintaining the stability of the linked exchange rate
  - (2) supervising the liquidity position of the private banking institutions
  - (3) determining the market interest rate in Hong Kong
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2), (3)

2009/CE/II/37

In the financial system of Hong Kong, the Hong Kong Monetary Authority plays the role of

- (1) operating the day to day business of the clearing house.
  - (2) stabilizing the exchange rate of the Hong Kong dollar.
  - (3) the lender of last resort.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2), (3)

2012/DSE/I/29

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. determining the inter-bank offered rate in Hong Kong
- B. supervising the liquidity position of the private banking institutions
- C. managing and investing the Exchange Fund
- D. maintaining the stability of the linked exchange rate

2018/DSE/I/33

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. to stabilise the mortgage rate
- B. to issue currency notes
- C. to supervise the commercial banks
- D. to manage the Exchange Fund

2019/DSE/I/29

Which of the following is/are the function(s) of the Hong Kong Monetary Authority?

- (1) Managing the Exchange Fund
  - (2) Supervising the implementation of fiscal policy
  - (3) Determining Hong Kong's market interest rate
- A. (1) only
  - B. (2) only
  - C. (3) only
  - D. (1), (2) and (3)

2021/DSE/I/32

Jack wants to deposit \$400 000 for 5 months. Which of the following financial institutions in Hong Kong can accept his deposit?

- (1) a restricted licence bank
  - (2) a virtual bank which is classified as a licensed bank
  - (3) a deposit-taking company
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2022/DSE/I/31

David plans to deposit \$1 million to a financial institution in Hong Kong as savings deposit. Which of the following types of institution can receive this amount of savings deposit?

- (1) a licensed bank
  - (2) a restricted licence bank
  - (3) a deposit-taking company
- A. (1) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

**2023/DSE/II/31**

Which of the following is a function of the Hong Kong Monetary Authority?

- A. providing loans to licensed banks and the public
- B. managing foreign exchange reserves
- C. determining the market interest rates
- D. collecting taxes for the government

**2024/DSE/I/32**

Which of the following are functions of the Hong Kong Monetary Authority?

- (1) acting as the lender of last resort for commercial banks
  - (2) setting the prime rate (最優惠利率) of bank loans
  - (3) issuing Hong Kong dollar coins
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)



Short & Structured Questions

1992/CE/I/3(c)(i)

Name **TWO** central bank functions performed by The Hongkong and Shanghai Banking Corporation (HSBC). (4 marks)

2001/CE/I/10(a)

What is the basic economic role of commercial banks? (2 marks)

2002/CE/I/7

List **TWO** functions of a central bank. (2 marks)

© 2003

### 4.3 MONEY SUPPLY DEFINITIONS: M1, M2 & M3

#### Multiple Choice Questions

1990/CE/II/32

If Mr. Wong transfers HK\$100 from his savings account to his current account,

- A. the total amount of bank deposits will increase.
- B. the total money supply as measured by M1 will decrease.
- C. the total money supply as measured by M2 will not change.
- D. the total money supply as measured by M3 will increase.

1991/CE/II/34

Which of the following is a component of Hong Kong's money supply M2?

- A. savings deposits with licensed banks
- B. time deposits with deposit-taking companies
- C. negotiable certificates of deposit held by banks
- D. one-thousand-dollar gold coins issued by the Hong Kong government and held by banks

1992/CE/II/32

In Hong Kong, savings deposits with licensed banks are

- A. legal tender.
- B. included in the money supply M1.
- C. included in the money supply M2.
- D. included in the money supply M2, but excluded from the money supply M3.

1994/CE/II/43

If an individual receives a cheque for \$1 000 from his friend and deposits it in his savings account, Hong Kong's money supply M1 will \_\_\_\_\_ and M2 will \_\_\_\_\_.

- A. increase; increase
- B. remain unchanged; increase
- C. decrease; remain unchanged
- D. remain unchanged; remain unchanged

1995/CE/II/43

Mr. Chan withdraws \$600 000 from his savings deposit with a commercial bank and then deposits \$500 000 with a restricted licence bank. The remaining \$100 000 is kept at home. The immediate effect is that

- A. M1 will increase by \$100 000.
- B. M2 will decrease by \$600 000.
- C. M2 will not change.
- D. M3 will increase by \$500 000.

1996/CE/II/37

Mr. Chan paid \$200 000 in cash to buy from Mr. Wong a certificate of deposit issued by a deposit-taking company. Mr. Wong then deposited this \$200 000 into his savings account. The immediate effects are

- (1) M1 decreases by \$200 000
  - (2) M2 remains unchanged
  - (3) M3 increases by \$200 000
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1) , (2) and (3)

1997/CE/II/35

In Hong Kong, a demand or savings account holder can use an EPS card to pay for his purchases in certain shops. The function of an EPS card is that the amount of money is immediately transferred from the customer's bank account to the shop's bank account.

The popular use of EPS in Hong Kong will

- A. increase the ability of credit creation of the banking system.
- B. increase the buyer's cost of purchasing goods and services.
- C. increase the money supply M1 in Hong Kong.
- D. enable all bank deposits to act as a medium of exchange.

1997/CE/II/36

Which of the following will increase M1 in Hong Kong?

- A. a repayment of HK\$5000 by cheque on a bank loan in Hong Kong
- B. the lending of HK\$5000 in cash by a bank to a citizen in Hong Kong
- C. a new deposit of HK\$5000 in a savings account with a bank in Hong Kong
- D. a withdrawal of HK\$5000 in cash from a current account with a bank in Hong Kong

1997/CE/IV/37

Suppose the money supply data of Hong Kong is as follows:

|                                                                                                                                                                                                                                      | \$ billion |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Total issue of legal tender                                                                                                                                                                                                          | 3          |
| Legal tender in circulation                                                                                                                                                                                                          | 2          |
| Demand deposits                                                                                                                                                                                                                      | 7          |
| Deposits with licensed banks <b>AND</b> negotiable certificates of deposit issued by licensed banks (other than those held by authorised institutions)                                                                               | 10         |
| Deposits with restricted licence banks and deposit-taking companies <b>AND</b> negotiable certificates of deposit issued by restricted licence banks and deposit-taking companies (other than those held by authorised institutions) | 80         |

The money supply M2 is

- A. \$9 billion.
- B. \$12 billion.
- C. \$13 billion.
- D. \$92 billion.

1998/CE/II/35

In Hong Kong, the users of some services can use the Payment by phone Service (PPS) to pay their bills over the telephone. After registration, they can make a phone call and transfer money from their bank accounts (savings or current ) to the bank account of the service provider.

When the use of PPS becomes more popular,

- A. The money supply M1 will decrease.
- B. The money supply M2 will decrease.
- C. The money supply M3 will decrease.
- D. The amount of savings or current deposit of banks will decrease.

1998/CE/II/36

Which of the following will cause an immediate change in the money supply of M1 of Hong Kong?

- A. You receive \$500 cash from your father and deposit it in your current account.
- B. You pay \$4 000 cash to the landlord, who puts the money in his safe.
- C. A fire burnt most of the banknotes kept in a bank.
- D. You buy \$10 000 worth of furniture with a cheque. The shop owner deposits it into his time deposit account.

1999/CE/II/39

Suppose in a bank in Hong Kong, Mary withdraws HK\$3 000 from her saving account and changes it for US dollars in cash. Which of the following statements about the Hong Kong dollar money supply is correct?

- A. HK\$ M1 will increase while HK\$ M2 will remain unchanged
- B. HK\$ M1 will remain unchanged while HK\$ M3 will decrease.
- C. Both HK\$ M1 and HK\$ M3 will remain unchanged.
- D. Both HK\$ M1 and HK\$ M2 will decrease.

2000/CE/II/27

Mr Wong withdraws \$500 000 in cash from a deposit-taking company. He then deposits \$300 000 with a bank as a time deposit and remits the remaining \$200 000 overseas for the settlement of debts. Which of the following about the money supply M1 and M3 is correct?

- A. Both M1 and M3 will increase.
- B. Both M1 and M3 will decrease.
- C. M1 will remain unchanged and M3 will decrease.
- D. Both M1 and M3 will remain unchanged.

2000/CE/II/28

Suppose the money supply of Hong Kong in a certain year was as follows:

|                                                                                                                                      | \$billion |
|--------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Legal tender in circulation                                                                                                          | 10        |
| Legal tender held by all deposit-taking institutions                                                                                 | 2         |
| Demand deposits with licensed banks                                                                                                  | 15        |
| Savings and time deposits with licensed banks                                                                                        | 60        |
| Negotiable certificates of deposits issued by licensed banks and held by the public                                                  | 25        |
| Deposits with restricted licence banks and negotiable certificates of deposits issued by restricted licence banks held by the public | 32        |

The money supply M2 (in \$ billion) was

- A. 85
- B. 110
- C. 112
- D. 144

2001/CE/II/25

In using the Easy Pay System (EPS) to settle a payment in exchange, an amount of money is immediately transferred from the buyer's bank account to the seller's. In response to an increase in EPS's service charge, some shops have stopped accepting payment by EPS.

Which of the following would be the immediate effect of the above change on the money supply M1 and M2?

- A. Both M1 and M2 will increase.
- B. M1 will increase and M2 will remain unchanged.
- C. M1 will increase and M2 will decrease.
- D. Both M1 and M2 will decrease.

2002/CE/II/33

'Currency in public circulation' and 'savings deposits' are both included in Hong Kong's money supply

- (1) M1.
  - (2) M2.
  - (3) M3.
- A. (2) only
  - B. (3) only
  - C. (1) and (2) only
  - D. (2) and (3) only

2003/CE/II/32

Mr Chan withdraws HK\$50 000 from his savings account with a bank in Hong Kong and remits HK\$40 000 through a bank to the U.K. He changes the remaining HK\$10 000 into the newly issued HK\$10 notes and puts them into his safety deposit box in a bank.

Which of the following would be the immediate effect of the above actions on the Hong Kong dollar money supply?

- A. Both the HK\$ M2 and M3 will decrease by HK\$40 000.
- B. HK\$ M1 will increase by HK\$ 10 000 while HK\$ M2 will decrease by HK\$50 000.
- C. HK\$ M2 will decrease by HK\$50 000 while HK\$ M3 will remain unchanged.
- D. HK\$ M1 will remain unchanged while HK\$ M2 will decrease by HK\$40 000.

2004/CE/II/37

Which of the following would decrease the money supply M2 in Hong Kong?

- A. Mr Au repays a HK\$10 000 loan in cash to a licensed bank in Hong Kong.
- B. Mr Bean withdraws HK\$20 000 from a savings account with a licensed bank in Hong Kong and holds it as cash.
- C. Mr Chan transfers HK\$30 000 from his savings account to his current account with a licensed bank in Hong Kong.
- D. Mr Ding withdraws HK\$40 000 from his time deposit in a restricted licence bank in Hong Kong and remits the money overseas.

2005/CE/II/38

Suppose Mrs Wong withdraws HK\$300 000 from her savings deposit with a commercial bank. She converts HK\$200 000 of the above amount into Renminbi (人民幣) and deposits it into a Renminbi savings deposit with the same bank. She keeps the remaining HK\$ 100 000 at home. The immediate effect of the above events is:

- A. Hong Kong dollar money supply M1 would increase by \$100 000.
- B. Hong Kong dollar money supply M2 would decrease by \$300 000.
- C. Hong Kong dollar money supply M2 would remain unchanged.
- D. Hong Kong dollar money supply M3 would increase by \$100 000.

2006/CE/II/35

Mr Chan withdraws HK\$20 000 from his deposit in a restricted licence bank in Hong Kong. He later puts HK\$15 000 as time deposit in a licensed bank in Hong Kong and holds the remaining HK\$5 000 as cash.

The immediate effect of the above actions on the Hong Kong dollar money supply would be:

- A. Both M2 and M3 decrease.
- B. Both M1 and M2 remain unchanged.
- C. M1 increases while M2 remains unchanged.
- D. M1 increases while M3 remains unchanged.

2007/CE/II/39

If an individual deposits \$600 000 cash into a time deposit account with a deposit-taking company, Hong Kong's money supply M1 will \_\_\_\_\_ and M2 will \_\_\_\_\_.

- A. decrease ..... decrease
- B. decrease ..... remain unchanged
- C. remain unchanged ..... increase
- D. increase ..... increase

2008/CE/II/37

Suppose, after making a series of unsuccessful add-value transactions through EPS in which their bank accounts were debited, more Octopus cardholders use cash to make their add-value transactions. This would immediately increase

- A. the money supply M1.
- B. the money supply M2.
- C. the amount of savings deposits of banks.
- D. the amount of time deposits of banks.

2010/CE/II/39

Grace receives a remittance of HK\$530 000 from overseas. She saves HK\$500 000 of the total amount as time deposits in a restricted licence bank and the rest as demand deposits in a licensed bank. What will be the immediate effect of the above actions on the money supply of Hong Kong?

- A. M1 will increase by HK\$30 000 and M2 will increase by HK\$530 000.
- B. M1 will increase by HK\$30 000 and M3 will increase by HK\$500 000.
- C. M2 will increase by HK\$30 000 and M3 will increase by HK\$500 000.
- D. M2 Will increase by HK\$30 000 and M3 will increase by HK\$5 30 000.

2012/DSE/I/28

Winnie withdraws HK\$500 000 from her time deposit with a deposit-taking company. Then she deposits HK\$200 000 as a time deposit and HK\$100 000 as a demand deposit with a licensed bank. She keeps \$50 000 in a safe at home and remits the remainder overseas.

What will be the immediate effect of the above actions on the Hong Kong dollar money supply?

- A. M1 will increase by HK\$50 000 and M2 will increase by HK\$350 000.
- B. M1 will increase by HK\$150 000 and M3 will decrease by HK\$150 000.
- C. M2 will increase by HK\$150 000 and M3 will decrease by HK\$150 000.
- D. M2 will increase by HK\$350 000 and M3 will decrease by HK\$500 000.

2013/DSE/I/25

Which of the following is included in the money supply M2?

- (1) legal tender held by licensed banks
  - (2) demand deposits with licensed banks
  - (3) time deposits with restricted licence banks
  - (4) negotiable certificates of deposit issued by licensed banks held by the non-bank public
- A. (2) and (3) only  
B. (2) and (4) only  
C. (1), (2) and (4) only  
D. (1), (3) and (4) only

2015/DSE/I/30

Which of the following transactions would increase the money supply (M2) of Hong Kong?

- A. Ms Chan transfers \$500 000 from her time deposit account in a restricted licence bank to her time deposit account in a licensed bank.  
B. Mr Lee transfers \$200 000 from his current account to his savings account in a licensed bank.  
C. Mr Man deposits \$100 000 cash into his savings account in a licensed bank.  
D. Ms Chung deposits \$600 000 cash into her time deposit account in a deposit-taking company.

2016/DSE/I/32

Winnie withdraws HK\$500 000 from her savings account with a licensed bank. She puts half of it into her current account and deposits the other half at a deposit-taking company. Which of the following shows the immediate effects on the money supply of Hong Kong?

- A. M1 increases and M2 decreases.  
B. M1 increases and M3 decreases.  
C. Both M1 and M2 decrease.  
D. Both M2 and M3 decrease.

2017/DSE/I/33

Refer to the following data about Hong Kong's money supply.

| Components                                                                                                                                                   | \$ billion |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Total issue of legal tender                                                                                                                                  | 300        |
| Legal tender held by all authorised institutions                                                                                                             | 80         |
| Demand deposits                                                                                                                                              | 100        |
| All types of deposits with licensed banks and negotiable certificates of deposit issued by licensed banks (other than those held by authorised institutions) | 3 000      |

The money supply M2 is \_\_\_\_\_.

- A. \$320 billion  
B. \$3 180 billion  
C. \$3 220 billion  
D. \$3 300 billion

2019/DSE/I/31

When a Hong Kong citizen transfers \$500 000 from her time deposit account with a restricted licence bank to her savings account with a licensed bank,

- (1) money supply (M1) will increase,
- (2) money supply (M2) will increase.
- (3) money supply (M3) will increase.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

2020/DSE/I/29

The legal tender in Hong Kong held by licensed banks is included in \_\_\_\_\_.

- (1) monetary base
- (2) money supply M2
- (3) money supply M3

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2022/DSE/I/41

Which of the following results **CANNOT** be a negative number?

- A. total exports *minus* total imports
- B. money supply (M2) *minuss* money supply (M1)
- C. factor income received from abroad *minus* factor income paid abroad
- D. GDP at market price *minus* GDP at factor cost

2023/DSE/I/33

Carmen withdraws HK\$600 000 from her savings deposits with a licensed bank in Hong Kong. She puts one-third of the amount into her current account and remits the remaining amount overseas.

What will be the immediate effects of the above actions on the Hong Kong dollar money supply?

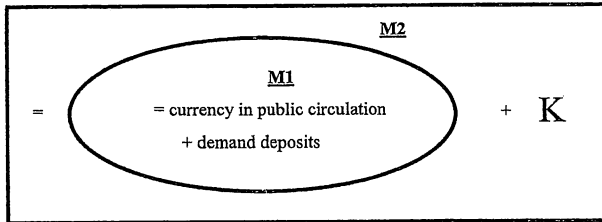
- (1) M1 increases by HK\$200 000.
- (2) M2 decreases by HK\$600 000.
- (3) M3 decreases by HK\$400 000.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)



**2024/DSE/I/33**

The following diagram shows the relationship between money supply M1 and M2 in Hong Kong.



In the above diagram,  $M2 = M1 + K$ . Which of the following are components of K?

- A. all types of deposits with licensed banks, restricted licence banks and deposit-taking companies
- B. time deposits with restricted licence banks and negotiable certificates of deposit issued by restricted licence banks held by non-bank public
- C. savings deposits and time deposits with licensed banks and negotiable certificates of deposits issued by licensed banks held by non-bank public
- D. reserves of licensed banks, restricted licence banks and deposit-taking companies

**2025/DSE/I/32**

Miss Ho uses HK\$500 000 cash to buy from Mr Lai a negotiable certificate of deposit issued by a deposit-taking company. Mr Lai then deposits HK\$200 000 cash to his Hong Kong dollar savings account and remits the remaining amount to his parents in Australia.

What will be the immediate effect of the above actions on the Hong Kong dollar money supply?

- A. M1 will increase while M3 will remain unchanged.
- B. M1 will remain unchanged while M3 will decrease.
- C. Both M1 and M3 will decrease.
- D. Both M1 and M3 will remain unchanged.

### Short & Structured Questions

1991/CE/1/5(c)

- (i) Name **THREE** types of Hong Kong dollar deposits that a licensed bank in Hong Kong can accept. (3 marks)
- (ii) A person has a sum of money and is considering depositing it in a bank. Explain **TWO** factors that would affect his choice among the three types of Hong Kong dollar deposits. (6 marks)

1992/CE/1/3

- (a) (i) Which of the following components is/are included in the money supply M1 in Hong Kong? (2 marks)

*Cash held by the non-bank public*  
*Savings deposits*  
*Demand deposits*  
*Time deposits*

- (ii) Explain why cash held by banks is not included in the calculation of M1. (3 marks)
- (b) In Hong Kong, Miss Wong puts \$1 000 cash into The Hongkong and Shanghai Banking Corporation Limited (HSBC) as a demand deposits.
- (i) What would be the immediate effect on M1? Explain. (3 marks)

1993/CE/1/5(c)(i)

Suppose Mr. Chan sells his flat to a friend in Canada and receives an overseas remittance which amounts to HK\$3 million. He deposits the HK\$3 million in his savings account with a bank in Hong Kong.

Explain the immediate effect on Hong Kong's money supply M<sub>1</sub> and M<sub>2</sub>. (4 marks)

1995/CE/10(b)(ii)

In Hong Kong, a demand or savings deposit holder can use an EPS card to pay for his purchases in certain shops. The function of an EPS card is that the amount of money is immediately transferred from the customer's bank deposit account to the shop's bank deposit account.

Explain whether the money supply M<sub>2</sub> will be affected when a person uses an EPS card to buy goods. (2 marks)

1996/CE/1/7

The following are the consolidated balance sheets of all commercial banks for January and February in a certain year:

January:

| Assets (\$mn) |    | Liabilities (\$mn) |    |
|---------------|----|--------------------|----|
| Cash Reserve  | 40 | Demand Deposits    | 20 |
| Loans         | 60 | Savings Deposits   | 40 |
|               |    | Time Deposits      | 40 |

February:

| Assets (\$mn) |    | Liabilities (\$mn) |    |
|---------------|----|--------------------|----|
| Cash Reserve  | 50 | Demand Deposits    | 30 |
| Loans         | 50 | Savings Deposits   | 40 |
|               |    | Time Deposits      | 30 |

According to the above consolidated balance sheets, what are the changes in M<sub>1</sub> and M<sub>2</sub> from January to February? Show your calculation. (4 marks)

1999/CE/I/5

Define money supply M1 and M2.

(4 marks)

2002/CE/I/6

In Hong Kong, Mr Lee withdrew \$300 000 from his savings account in Bank A. He deposited 50% of this amount with a deposit-taking company and remitted through a bank another 20% of this amount overseas. He put the rest of the money in his safety box in Bank B.

What is the immediate effect of the above transactions on Hong Kong's money supply M1 and M3? Explain your answer.

(6 marks)

2008/CE/I/6

In Hong Kong, the money supply M2 consists of five components. One is given in the following figure. Fill in the other four components in the appropriate blanks.

(4 marks)

**M2 =**

**M1 =**

(1) \_\_\_\_\_

\_\_\_\_\_

+

(1) \_\_\_\_\_

\_\_\_\_\_ placed with banks

+ Time deposits placed with banks

+ (3) \_\_\_\_\_

\_\_\_\_\_ placed with banks

+ (4) \_\_\_\_\_

\_\_\_\_\_ issued by banks held

outside the banking sector

2020/DSE/I/8

Study the following balance sheet of the banking system in Country A .

| Assets (\$million) |       | Liabilities (\$ million) |       |
|--------------------|-------|--------------------------|-------|
| Reserves           | 1 000 | Deposits                 | 4 000 |
| Loans              | 3 000 |                          |       |

Suppose the public always hold \$800 million cash and the banking system does not hold excess reserves.

(a) Find the monetary base and money supply in Country A . (2 marks)

(b) Suppose firms withdraw \$700 million from the banking system and remit the whole amount overseas.

(i) Find the change in monetary base in Country A. (1 mark)

(ii) Calculate the maximum possible change in money supply in Country A. Show your workings. (3 marks)

2020/DSE/II/9C

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

- (c) Instead of obtaining bank loans to finance the infrastructure development, it is suggested that Ocean Park can be listed in the stock market and issue shares to raise capital. State TWO advantages of issuing shares over obtaining loans from banks for raising capital. (2 marks)

### 2025/DSE/II/10(Cross Topic)

The monetary policy of the US receives much attention. (a) The table below shows some data on the US economy.

|                                                                                               | May 2022 | May 2023 |
|-----------------------------------------------------------------------------------------------|----------|----------|
| Money supply (USD Billion)                                                                    | 21 691.3 | 20 837.4 |
| Inflation rate (measured by year-on-year percentage change in implicit price deflator of GDP) | 7.0%     | 3.6%     |

- (i) Calculate the money supply growth rate in the US from May 2022 to May 2023. (1 mark)
- (ii) Based on the above data, what was the real output growth rate in the US from May 2022 to May 2023 as implied by the quantity theory of money? Explain your answer. (3 marks)

The Federal Reserve (the central bank of the US) began to lower the discount rate in September 2024.

- (b) **WITHOUT** using a diagram, explain how the equilibrium nominal interest rate would be affected by the lowering of the discount rate. (3 marks)
- (c) With the aid of an AS-AD diagram, explain how the real output in the US would be affected in the short run by the lowering of the discount rate. (5 marks)
- (d) To achieve the same effect on the real output as in part (c), an economist suggested that the US Government should increase its expenditure on infrastructure instead of having the Federal Reserve lower the discount rate. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

## 4.4 DEPOSIT CREATION

### Multiple Choice Questions

1990/CE/II/45

Which of the following will increase the money supply in an economy?

- A. A citizen withdraws cash from a bank and keeps it in a safe.
- B. A manufacturer repays a bank loan.
- C. A bank grants a loan to a real estate developer.
- D. A bank increases the amount of excess reserves it holds.

1991/CE/II/31

The withdrawal of money from banks causes

- A. a decrease in the value of the maximum possible banking multiplier.
- B. a decrease in the cash reserves held by banks.
- C. an increase in the deposits created.
- D. a decrease in the minimum legal reserve ratio.

1991/CE/II/32

Bank A has total deposits of \$ 1 000 million. Its reserves are \$ 240 million. Suppose the reserve ratio required by the government is 25 %. Which of the following will help Bank A fulfil reserve requirement?

- A. Bank A increases its lending to customers by \$ 40 million.
- B. Bank A borrows \$ 10 million from the inter-bank market.
- C. Customers increase deposits with Bank A by \$ 10 million.
- D. Customers withdraw deposits from Bank A by \$ 40 million.

1992/CE/II/34

Assuming that a 20% reserve ratio is required by law, when the banking system has excess reserves of \$20 000, it can at most increase its deposits by

- A. \$80 000.
- B. \$100 000.
- C. the amount of its total reserves.
- D. the amount of its excess reserves.

1992/CE/II/35

The table below shows the total reserves, loans, and deposits of a bank:

| Assets (\$) |     | Liabilities (\$) |     |
|-------------|-----|------------------|-----|
| Reserves    | 200 | Deposits         | 500 |
| Loans       | 300 |                  |     |

From the table, we can say that

- A. the legal minimum reserves are \$200.
- B. the bank holds excess reserves of \$100.
- C. the actual banking multiplier is 4.
- D. the actual reserve ratio is 40%.

1992/CE/II/32

The following is a balance sheet of a banking system. The required reserve ratio is 20%

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 150   | Deposits         | 1 000 |
| Loans       | 850   |                  |       |
| Total       | 1 000 |                  | 1 000 |

Which of the following statements about the banking system is correct?

- A. It has excess reserves.
- B. It has to increase its reserves by \$100.
- C. It has to reduce loans by a total of \$250.
- D. The deposit multiplier is 4.

1994/CE/II/40

If the required reserve ratio for banks is 100%, which of the following is correct?

- A. The money supply will not change if banks accept deposits from the public.
- B. The total amount of bank loans must be equal to the total amount of deposits.
- C. Banks have no chance to make profits.
- D. The banking multiplier is zero.

1994/CE/II/42

Suppose the required minimum reserve ratio for banks is 25%. The table below shows the balance sheet of a certain bank.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 600 | Deposits         | 1 500 |
| Loans       | 900 |                  |       |

Which of the following statements is correct?

- A. The actual reserve ratio of the bank is 45%.
- B. The excess reserves of the bank is \$300.
- C. The banking multiplier is 5.
- D. The banking system can expand its loan to customers by a maximum of \$900.

1995/CE/II/42

Suppose the legal reserve ratio is 100%. If a person deposits \$500 cash into his current account,

- (1) the currency in circulation will decrease by \$500.
  - (2) the bank deposits will remain unchanged.
  - (3) the bank loans will increase by \$500.
  - (4) the money supply will remain unchanged.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

For Questions 35 and 36, refer to the following balance sheet of the banking system

| Assets (\$)  |     | Liabilities (\$) |       |
|--------------|-----|------------------|-------|
| Cash reserve | 250 | Deposits         | 1 000 |
| Loans        | 750 |                  |       |

Assume that legal minimum reserve ratio is 25 % and a person withdraws \$ 40 from a bank.

1996/CE/II/35

How much would the cash reserve in the banking system fall short of the legal requirement?

- A. \$10
- B. \$20
- C. \$30
- D. \$40

1996/CE/II/36

What would be the maximum amount of deposits that the banking system can hold after the withdrawal?

- A. \$750
- B. \$840
- C. \$880
- D. \$960

1997/CE/II/33

Suppose the legal reserve ratio is 25%. If a person deposits \$200 cash into his savings account, the maximum possible change in

- A. bank loans is an increase of \$800.
- B. bank reserves is an increase of \$200.
- C. M1 is a decrease of \$50.
- D. M2 is an increase of \$800.

1997/CE/II/34

If a \$100 deposit of newly-printed money into a bank results in a \$400 increase in the total deposit of the banking system, we can conclude that

- A. the banking multiplier of the above deposit creation is 4.
- B. the legal reserve ratio is 0.25.
- C. the money supply increases by \$500.
- D. there is no cash leakage.

1998/CE/II/33

Study the following balance sheet of Bank B.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 1 000 | Deposits         | 3 000 |
| Loans       | 2 000 |                  |       |

Suppose the required reserve ratio for banks is raised from 20% to 25%, what will be the decrease in Bank B's excess reserves?

- A. \$150
- B. \$250
- C. \$400
- D. \$600

1998/CE/II/34

Suppose the required reserve ratio for banks is 20%. The table below shows the balance sheet of the banking system.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 500 | Deposits         | 1 000 |
| Loans       | 500 |                  |       |

Which of the following statements is correct?

- A. The excess reserves of the banking system is \$200.
- B. The actual banking multiplier of the banking system is 5.
- C. The banking system can expand its total deposits to \$5 000.
- D. The maximum amount of loans the banking system can make is \$2 000

1998/CE/II/52

An amount of cash deposited into a bank will **NOT** lead to

- A. an increase in bank loan made to the public
- B. an increase in the total deposits of the banks.
- C. an increase in the value of the maximum banking multiplier.
- D. an increase in the cash reserves held by banks.

1999/CE/II/36

Refer to the following balance sheet of a banking system:

| Assets (\$) |     | Liabilities (\$) |     |
|-------------|-----|------------------|-----|
| Reserves    | 100 | Deposits         | 400 |
| Loans       | 300 |                  |     |

The legal reserve ratio is 20%. Suppose that all banks loan out their excess reserves and all loans are re-deposited into the banking system.

After the credit creation process is completed, the amount of reserves held by banks is \_\_\_\_\_ and the amount of loans will increase by \_\_\_\_\_.

- A. less than \$100 ..... more than \$100
- B. equal to \$100 ..... \$100
- C. equal to \$100 ..... more than \$100
- D. more than \$100 ..... less than \$100

1999/CE/II/38

Which of the following would reduce the amount of deposits created in the process of multiple credit creation?

- A. An increase in the holding of cash by the public
- B. An increase in the use of cheques by the public
- C. An increase in the use of electronic money by the public
- D. An increase in the bank loans made to the public

2000/CE/II/29

A bank accepts a deposit of \$1 000 from a foreign country. Through the credit creation process, the amount of deposit of the whole banking system increases by \$4 000.

Base on the above information, we can conclude that

- A. The legal reserve ratio is 25%
- B. Banks do not keep excess reserves.
- C. The total money supply has increased by at least \$4 000.
- D. There is a cash leakage in the credit creation process.



2000/CE/II/30

As the use of the Octopus card (八達通卡) for public transport becomes much more popular,

- A. The money supply will increase because the card can perform the functions of money.
- B. The volume of the legal tender in circulation will drop.
- C. The value of money will drop because the demand for cash will be smaller.
- D. The maximum amount of deposits created by the banking system will decrease.

2001/CE/II/26

The following is the balance sheet of banking system.

| Assets (\$) |     | Liabilities (\$) |     |
|-------------|-----|------------------|-----|
| Reserves    | 200 | Deposits         | 600 |
| Loans       | 400 |                  |     |

Suppose the legal reserve ratio of the banking system is 20%. If all banks no longer hold excess reserves, the maximum increase in bank deposits is

- A. \$80
- B. \$160
- C. \$400
- D. \$1 000

Answer Questions 35 and 36 by referring to the following balance sheet of a banking system which has an excess reserve of \$200.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 500 | Deposits         | 1 200 |
| Loans       | 700 |                  |       |

2002/CE/II/35

The required reserve ratio is

- A. 15%
- B. 20%
- C. 25%
- D. 30%

2002/CE/II/36

Suppose someone has withdrawn \$250 from the banking system. As a result, what would the maximum possible amount of bank deposits be?

- A. \$200
- B. \$600
- C. \$800
- D. \$1 000

2002/CE/II/37

Which of the following will reduce the deposit creation ability of the banking system?

- (1) an increase in the use of credit cards by the public
  - (2) an increase in the amount of cash held by the public
  - (3) an increase in the legal reserve requirement for banks
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2002/CE/II/38

Assume the whole banking system does not hold excess reserves and the required reserve ratio is 20%. If a person withdraws \$100 from a bank,

- A. the amount of loans made by the banks to the public will fall by at most \$400.
- B. money supply will fall by at least \$400.
- C. the amount of deposits in the banking system will fall by at least \$500.
- D. the amount of cash reserve of the banks will fall by at most \$80.

2003/CE/II/34

If the actual reserve is larger than the required reserve in a banking system, it follows that

- A. there is cash leakage in the banking system.
- B. some banks decide to hold excess reserves.
- C. the demand for loans is insufficient.
- D. the banking system can create more deposits.

Answer Questions 35 and 36 by referring to the following balance sheet of a banking system. Suppose the required reserve ratio is 20%.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 500   | Deposits         | 2 000 |
| Loans       | 1 500 |                  |       |

2003/CE/II/35

Which of the following statements about the above banking system is correct?

- A. The maximum banking multiplier is 4.
- B. The maximum possible increase in loans will be the same as the maximum possible increase in deposits.
- C. The actual reserve ratio is equal to the required reserve ratio.
- D. The amount of reserves will decrease if all banks loan out their excess reserves.

2003/CE/II/36

If the government increases the required reserve ratio to 40%, which of the following statements about the above banking system is correct?

- A. The amount of reserves will increase to \$800.
- B. The amount of deposits will not change.
- C. The maximum amount of loans will be \$750.
- D. The maximum amount of deposits will be \$1 600.

2004/CE/II/38

The following table shows the balance sheet of a bank in an economy:

| Assets (\$)           |     | Liabilities (\$) |       |
|-----------------------|-----|------------------|-------|
| Cash reserves         | 500 | Deposits         | 1 250 |
| Loans and investments | 750 |                  |       |

Suppose its customers withdraw \$50 cash from the bank. Immediately after the withdrawal, the cash reserves and the deposits would be \_\_\_\_\_ and \_\_\_\_\_ respectively.

- A. \$450 ..... \$1 200
- B. \$450 ..... \$1 250
- C. \$500 ..... \$1 200
- D. \$500 ..... \$1 250

2004/CE/II/39

Refer to the following balance sheet of a banking system which has an excess reserve of \$200.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 500   | Deposits         | 1 500 |
| Loans       | 1 000 |                  |       |

Suppose \$300 worth of deposits is withdrawn from the banking system. What will the maximum possible amount of bank deposits be?

- A. \$500
- B. \$1 000
- C. \$1 200
- D. \$6 000

2005/CE/II/37

Below is the balance sheet of a banking system.

| Assets (\$)   |       | Liabilities (\$) |       |
|---------------|-------|------------------|-------|
| Cash reserves | 500   | Deposits         | 2 000 |
| Loans         | 1 500 |                  |       |

Suppose the banking system has no excess reserves. After a withdrawal of \$100 from the banks, the maximum possible amount of deposits of the banking system would be

- A. \$1 600
- B. \$1 700
- C. \$1 800
- D. \$1 900

2005/CE/II/50

The central bank of Country B increases the legal reserve ratio in order to discourage the overheating activities of lending and borrowing in the economy. Suppose the banking system has no excess reserves. The above measure adopted by the central bank would **NOT** reduce

- A. the ability of deposit creation of the banking system.
- B. the amount of reserves of the banking system.
- C. the banking multiplier.
- D. the money supply.

2006/CE/II/36

The table below shows the balance sheet of a banking system. The amount of its excess reserves is \$800.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 1 000 | Deposits         | 2 000 |
| Loans       | 1 000 |                  |       |

Which of the following statements about the banking system is correct?

- A. The required reserve ratio is 50%.
- B. The maximum amount of deposits is \$8 000.
- C. The maximum banking multiplier is 5.
- D. The actual banking multiplier is 2.

2006/CE/II/37

During the period around Lunar new year every year, many people in Hong Kong withdraw cash from their deposit accounts with banks. Thus the amount of cash held by the public increases.

Which of the following is a definite consequence of the above situation?

- A. The value of the maximum banking multiplier of the banking system of Hong Kong decreases.
- B. The maximum possible amount of deposits of the banking system of Hong Kong decreases.
- C. The amount of bank loans made to the public decreases.
- D. The money supply of Hong Kong decreases.

2006/CE/II/38

Which of the following may reduce the size of the actual banking multiplier of a banking system?

- A. an increase in the use of cheques by the public
- B. an increase in the demand for bank loans
- C. an increase in the risk of non-repayment of bank loans
- D. a reduction in the required reserve ratio

2007/CE/II/36

The table below shows the balance sheet of a banking system, which has an excess reserve of \$50.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 250 | Deposits         | 1 000 |
| Loans       | 750 |                  |       |

Which of the following is correct?

- A. The required reserve ratio is 25%.
- B. The actual reserve ratio is 20%.
- C. If \$100 cash is deposited into the banking system, the total amount of deposits will be \$1500.
- D. If \$100 is withdrawn from the banking system, the maximum possible total deposits will be \$750.

2008/CE/II/38

Study the following balance sheet of a banking system which never holds excess reserves.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 600   | Deposits         | 3 000 |
| Loans       | 2 400 |                  |       |

Suppose the public in this economy always holds the same amount of cash. If \$200 is withdrawn from the bank deposits, the maximum possible amount of loans of the banking system would become \_\_\_\_\_.

- A. \$1 200
- B. \$1 600
- C. \$2 000
- D. \$2 200

2008/CE/II/39

Which of the following will increase the maximum banking multiplier?

- A. Octopus cards are widely used.
- B. The economy grows fast and investment opportunities flourish.
- C. Banks keep more reserves to avoid the risk of bank runs.
- D. Commercial banks are allowed to increase the proportion of customers' deposits that can be loaned out.

2009/CE/II/38

Suppose the actual banking multiplier is smaller than the maximum banking multiplier in a certain banking system. Which of the following would be a possible reason for this?

- A. There is insufficient demand for bank loans.
- B. The banking system is facing a reserve shortage.
- C. The maximum possible amount of total deposits of the banking system will decrease.
- D. The actual reserve ratio is smaller than the required reserve ratio.

2009/CE/II/39

Below is the balance sheet of a banking system which has \$50 excess reserves.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 350 | Deposits         | 1 200 |
| Loans       | 850 |                  |       |

Suppose all banks lend out their excess reserves and all loans will be redeposited into the banking system.

After the deposit creation process is completed, the amount of reserves held by banks would be \_\_\_\_\_ and the amount of loans would be \_\_\_\_\_.

- A. \$300 ..... \$1 400
- B. \$300 ..... \$1 100
- C. \$350 ..... \$1 400
- D. \$350 ..... \$1 050

2010/CE/II/35

The maximum banking multiplier of a banking system will decrease when

- A. the amount of excess reserves held by banks increases.
- B. the required reserve ratio increases.
- C. the amount of cash leakage from the banking system increases.
- D. the demand for loans decreases.

2010/CE/II/36

| Assets (\$) |       | Liabilities (\$) |        |
|-------------|-------|------------------|--------|
| Reserves    | 2 500 | Deposits         | 10 000 |
| Loans       | 7 500 |                  |        |

The above table shows the balance sheet of a banking system which has an excess reserve of \$5 00. Suppose the public withdraw \$1 000 cash from the banking system. If the banks do not hold any excess reserves and there is no cash leakage, what will happen eventually after the process of deposit contraction is completed?

- A. Bank deposits will fall by \$5 000.
- B. Bank loans will fall by \$2 500.
- C. The money supply will fall by \$1 500.
- D. Both B and C are correct.

2012/DSE/I/27

The table below shows the balance sheet of a banking system.

| Assets (\$ million) |     | Liabilities (\$ million) |       |
|---------------------|-----|--------------------------|-------|
| Reserves            | 400 | Deposits                 | 1 000 |
| Loans               | 600 |                          |       |

Suppose the required reserve ratio for the banking system is 25%. Which of the following statements is correct?

- A. The excess reserves of the banking system are \$200 million.
- B. The actual banking multiplier of the banking system is 4.
- C. The banking system can expand its total deposits to \$1 600 million.
- D. The maximum amount of loans the banking system can make is \$1 000 million.

2013/DSE/I/26

Initially, a banking system has an excess reserve of \$160 million and the public holds \$200 million cash. The balance sheet of the banking system is as follows:

| Assets (\$ million) |     | Liabilities (\$ million) |       |
|---------------------|-----|--------------------------|-------|
| Reserves            | 400 | Deposits                 | 1 200 |
| Loans               | 800 |                          |       |

Suppose \$100 million is withdrawn from the banking system and held as cash by the public. What will the money supply be if the banks lend out all excess reserves?

- A. \$1 500 million
- B. \$1 700 million
- C. \$1 800 million
- D. \$2 300 million

2014/DSE/I/30

Refer to the following balance sheet of a banking system.

| Assets (\$ million) |     | Liabilities (\$ million) |       |
|---------------------|-----|--------------------------|-------|
| Reserves            | 400 | Deposits                 | 1 200 |
| Loans               | 800 |                          |       |

Suppose the required reserve ratio is 25%. If all banks loan out their excess reserves, which of the following statements about the above banking system is correct?

- A. The amount of reserves held by the banks will decrease.
- B. The maximum banking multiplier will increase.
- C. The money supply will remain unchanged.
- D. The maximum possible increase in loans will be the same as the maximum possible increase in deposits.

2016/DSE/I/31

Refer to the following balance sheet of a banking system. Its excess reserve is \$125 million.

| Assets (\$ million) |     | Liabilities (\$ million) |     |
|---------------------|-----|--------------------------|-----|
| Reserves            | 250 | Deposits                 | 500 |
| Loans               | 250 |                          |     |

Which of the following statements is **INCORRECT**?

- A. The required reserve ratio is 25%.
- B. The maximum amount of loans is \$750 million.
- C. The banking system can expand its total deposit to \$1 000 million.
- D. The actual banking multiplier is 4.

2016/DSE/I/33

In a fractional reserve banking system, the actual deposit created is often below the maximum possible deposit created. The gap between these two amounts will be narrowed when

- A. the popularity of electronic payment increases.
- B. the central bank tightens the restrictions imposed on mortgage loans from banks.
- C. the central bank buys bonds from the public.
- D. the central bank reduces the legal reserve ratio for banks.

2017/DSE/I/31

The following table shows the balance sheet of a banking system.

| Assets (\$ million) |     | Liabilities (\$ million) |     |
|---------------------|-----|--------------------------|-----|
| Reserves            | 300 | Deposits                 | 900 |
| Loans               | 600 |                          |     |

Suppose the public does not hold cash and the required reserve ratio is reduced to 25%. After deposit creation, the amount of loans in the banking system is \$750. Which of the following statements about the banking system is correct?

- A. The money supply increases by \$300.
- B. The actual banking multiplier is 3.5.
- C. The deposits increase by \$600.
- D. Bank reserves are \$450.

2019/DSE/I/28

The following table shows the balance sheet of Country A's banking system. The money supply in Country A is \$2 800 and all banks do not hold excess reserves.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 500   | Deposits         | 2 500 |
| Loans       | 2 000 |                  |       |

Suppose the public deposits \$200 cash into the banking system. Which of the following statements about the banking system is correct after the deposit creation process is completed?

- A. The deposits would increase by \$3 500.
- B. The money supply would increase by \$1 000.
- C. The monetary base would increase by \$200.
- D. The loans will increase by \$800.

2020/DSE/I/33

Which of the following will increase the actual banking multiplier?

- A. The public tends to hold more cash.
- B. The use of credit card becomes more popular.
- C. The central bank increases the required reserve ratio.
- D. The interest rate of bank deposit decreases.

**2022/DSE/I/30**

The balance sheet of a banking system is as follows.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 500   | Deposits                 | 2 000 |
| Loans               | 1 500 |                          |       |

The required reserve ratio is 20% and the public does not hold cash initially.

Suppose a customer withdraws \$200 million from his bank account and holds it as cash. If all banks do not hold any excess reserves, the amount of money supply is \_\_\_\_\_ after the process of credit creation/contraction has been completed.

- A. \$1 200 million
- B. \$1 400 million
- C. \$1 500 million
- D. \$1 700 million

**2022/DSE/I/32**

Suppose the central bank requires the commercial banks to keep all deposits as reserves. Which of the following statements is **INCORRECT**?

- A. The monetary base will be equal to the money supply.
- B. The required reserve ratio will be equal to one.
- C. The maximum banking multiplier will be equal to zero.
- D. The money creation ability of the banking system will be smaller than that of a fractional reserve banking system.

**2023/DSE/I/34**

Refer to the following balance sheet of a banking system which has excess reserves of \$125 million.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 500   | Deposits                 | 1 500 |
| Loans               | 1 000 |                          |       |

Which of the following statements about the above banking system is correct?

- A. The actual banking multiplier is 4.
- B. If the banking system loans out all the excess reserves, the amount of reserves will decrease after the deposit creation process is completed.
- C. If the banking system loans out all the excess reserves, the maximum possible increase in loans will be \$500 million.
- D. If the public withdraws \$125 million from the banking system and holds it as cash, the amount of excess reserves will decrease to zero immediately.



**2024/DSE/I/34**

The table below shows the balance sheet of a banking system. Suppose there are excess reserves of \$20 million in the banking system and the public always holds a fixed amount of cash.

| Assets (\$ million) |    | Liabilities (\$ million) |     |
|---------------------|----|--------------------------|-----|
| Reserves            | 40 | Deposits                 | 100 |
| Loans               | 60 |                          |     |

Suppose some banks lend out their excess reserves. After deposit creation, the loans in the banking system increase by \$20 million. Which of the following statements about the banking system is correct?

- A. The reserves of the banking system become \$20 million.
- B. The excess reserves of the banking system become \$16 million.
- C. The banking system has a reserve shortage of \$8 million.
- D. The amount of deposits in the banking system becomes \$200 million.

**2025/DSE/I/34**

Study the following balance sheet of a banking system.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 250 | Deposits         | 1 000 |
| Loans       | 750 |                  |       |

Initially, the banking system has an excess reserve of \$50.

Suppose the public decides to reduce cash holdings by depositing \$100 cash into the banking system. When the maximum deposit of the banking system is reached, which of the following will be its new balance sheet?

A.

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 300 | Deposits         | 1 200 |
| Loans       | 900 |                  |       |

B.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 350   | Deposits         | 1 400 |
| Loans       | 1 050 |                  |       |

C.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 300   | Deposits         | 1 500 |
| Loans       | 1 200 |                  |       |

D.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 350   | Deposits         | 1 750 |
| Loans       | 1 400 |                  |       |

### Short & Structured Questions

1990/CE/2/(d)(ii)

Suppose the banks in Hong Kong do not hold excess reserves and the legal minimum reserve ratio is 25%. Mr Chan withdraws HK\$10 000 from his savings account with Bank A and keeps the money at home.

- (I) Calculate the amount of reserves by which Bank A is falling short of the legal requirement. Suggest **ONE** possible way that Bank A can satisfy the reserve requirement again. (5 marks)
- (II) Calculate the maximum possible change in the total deposits of the banking sector. (3 marks)

1991/CE/1/5(b)

Suppose there are only two banks, A and B, in an economy. They are subject to the same required cash reserve ratio. Bank B has no excess cash reserves. Their balance sheets are as follows:

| Bank A      |    |                  |     |
|-------------|----|------------------|-----|
| Assets (\$) |    | Liabilities (\$) |     |
| Cash        | 50 | Deposits         | 100 |
| Loans       | 50 |                  |     |

| Bank B      |     |                  |     |
|-------------|-----|------------------|-----|
| Assets (\$) |     | Liabilities (\$) |     |
| Cash        | 200 | Deposits         | 800 |
| Loans       | 600 |                  |     |

- (i) Calculate the required cash reserve ratio in the economy. (2 marks)
- (ii) Calculate the amount of excess cash reserves of Bank A. (2 marks)
- (iii) Now assume Bank A chooses not to hold excess cash reserves. Calculate the maximum possible increase in the deposits created by the whole banking system. (3 marks)

State **TWO** assumptions, other than those mentioned above, in arriving at your answer. (4 marks)

1992/CE/1/3(b)(ii)

In Hong Kong, Miss Wong puts \$1 000 cash into The Hongkong and Shanghai Banking Corporation Limited (HSBC) as a demand deposit.

Explain **TWO** situations under which this \$1 000 deposit will not lead to a further increase in deposits. (6 marks)

1993/CE/1/5(c)(ii)

Suppose Mr. Chan sells his flat to a friend in Canada and receives an overseas remittance which amounts to HK\$3 million. He deposits the HK\$3 million in his savings account with a bank in Hong Kong.

Given a reserve ratio of 25%, calculate the possible maximum increase in deposit (including the initial \$3 million) of the local banking system. Show your working. (3 marks)

1994/CE/1/5

Suppose in a certain economy all the banks keep no excess reserves, and their balance sheet is as follows:

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 240 | Deposits         | 1 200 |
| Loans       | 960 |                  |       |

Suppose someone deposits \$100 cash into his bank. What will be the maximum amount of deposits (including the initial \$100) the banking system can create? Show your working. (4 marks)

1995/CE/I/10(a)(iii)

The audience withdrew \$M from their deposits with banks in the US to buy the concert tickets. Suppose the required reserve ratio of US banks was 20%, they never kept excess reserve and there was no cash drain. What would happen to the amount of the total deposit of banks in the US after the withdrawal and donation to Rwanda? Explain briefly the changing process.

(8 marks)

1996/CE/I/11(c)

Suppose a newspaper publisher raises \$5 million capital by issuing shares and deposits the full amount into the banks in Hong Kong. Assume that the required reserve ratio of the banks in Hong Kong is 25 % that they do not hold excess reserves and that there is no cash leakage.

Explain what would happen to the amount of the total deposit of the banks in Hong Kong after the shares issuing is complete if

- (i) all the shares are purchased by local people who withdraw deposits from their banks in Hong Kong. (3 marks)
- (ii) all the shares are purchased by foreigners who remit the money required from overseas to settle the purchase. (4 marks)

1997/CE/I/9(c)

Suppose the government builds a railway in northwest New Territories.

Suppose that the banks in Hong Kong have no excess reserves and the minimum reserve ratio is 25% and that \$10 billion is borrowed overseas to construct the new railway.

Using the process of deposit creation, explain why the actual amount of bank deposits thus created in Hong Kong is smaller than the maximum amount of bank deposits can be created.

(8 marks)

1998/CE/I/9(a)

Mr Wong received a remittance of HK\$1 million from abroad and deposited the entire sum in a bank in Hong Kong. Later he used part of the money to buy shares and the rest to set up a restaurant.

Suppose the required reserve ratio of the banks in Hong Kong is 25% and the banks have no cash leakage and do not keep excess reserves.

Explain briefly the process of deposit creation of the local banking system caused by the injection of \$1 million. Calculate the total amount of deposits created (including the initial \$1 million).

(8 marks)

1999/CE/I/6(a)

Suppose the legal reserve ratio for banks is 25 % and Bank A does not keep excess reserves. Aaron won an overseas scholarship and received a remittance of \$10 000. He deposited it in Bank A. Bank A lent out all the excess reserves to GiGi. She then deposited the money into Bank B, but Bank B could not find any borrowers.

Calculate the amount of deposits thus created in the economy.

(4 marks)

2000/CE/I/10(a)

The balance sheet of the banking system of Economy A is shown below. Suppose all banks do not hold excess reserves and the public holds \$50 mn cash in hand.

| Assets (\$ mn) |     | Liabilities (\$ mn) |       |
|----------------|-----|---------------------|-------|
| Cash reserves  | 200 | Deposits            | 1 000 |
| Loans          | 800 |                     |       |

Suppose the public now withdraws \$10 million cash from the banks.

- (i) Calculate the change in the total deposits of the banking system. (3 marks)
- (ii) Calculate with explanation the change in the money supply. (4 marks)

2001/CE/I/10(b)

The balance sheet of a banking system is as follows:

| Assets (\$m) |     | Liabilities (\$m) |       |
|--------------|-----|-------------------|-------|
| Reserves     | 250 | Deposits          | 1 000 |
| Loans        | 750 |                   |       |

- (i) Given that the legal reserve ratio is 20%, calculate the actual reserve ratio and the amount of excess reserve of the banking system. (4 marks)
- (ii) A depositor withdraws \$40 m from the banking system and invests the money overseas. If all banks lend out their remaining excess reserves, what is the maximum possible amount of total deposits in the banking system? Explain your answer. (4 marks)

2002/CE/I/10(a)

The balance sheet of a banking system is as follows:

| Assets (\$mn) |    | Liabilities (\$mn) |     |
|---------------|----|--------------------|-----|
| Reserves      | 20 | Deposits           | 100 |
| Loans         | 80 |                    |     |

The public deposits \$10 million of cash into the banking system.

- (i) Suppose the banks do not hold excess reserves. Calculate the maximum possible change in the money supply. Explain your answer. (5 marks)
- (ii) Give **TWO** possible reasons why the actual change in the money supply could be less than the maximum possible change. (4 marks)

2003/CE/I/11

- (b) (ii) Using the process of deposit creation, explain how a decrease in demand for loans could affect the deposit creation ability of the banking system. (4 marks)
- (c) Suppose the banking system has an excess reserve of \$50 million and its balance sheet is as follows:

| Assets (\$m) |     | Liabilities (\$m) |       |
|--------------|-----|-------------------|-------|
| Reserves     | 250 | Deposits          | 1 000 |
| Loans        | 750 |                   |       |

What is the maximum possible amount of total deposits in the banking system if no banks hold excess reserves? Show your workings. (4 marks)

2004/CE/I/6(b)

The balance sheet of Economy A's banking system is shown below. The public in this economy always holds \$50 million in cash. Initially, the excess reserve of the banks is \$100 million

| Assets (\$mn) |       | Liabilities (\$mn) |       |
|---------------|-------|--------------------|-------|
| Reserves      | 500   | Deposits           | 2 000 |
| Loans         | 1 500 |                    |       |

Suppose \$140 million worth of deposits is withdrawn from these banks and remitted overseas

Explain briefly the process of deposit contraction of the above withdrawal. (4 marks)

2005/CE/I/5

Study the following balance sheet of a banking system:

| Assets (\$mn) |     | Liabilities (\$mn) |       |
|---------------|-----|--------------------|-------|
| Reserves      | 120 | Deposits           | 1 000 |
| Loans         | 880 |                    |       |

Suppose the legal reserve ratio is 10%

- (a) Calculate the amount of excess reserve of the banking system. (2 marks)
- (b) Suppose all banks lend out all their excess reserves. Calculate the maximum possible amount of total deposits in the banking system. (2 marks)

2006/CE/I/6

The following is the balance sheet of a banking system.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 500   | Deposits         | 1 500 |
| Loans       | 1 000 |                  |       |

- (a) Suppose the excess reserve of the banks is \$350. What is the required reserve ratio?  
The required reserve ratio is \_\_\_\_\_ %. (1 mark)
- (b) Suppose there is a cash withdrawal of \$350 from the banks. Explain whether the banks still have excess reserves immediately after the withdrawal. (3 marks)

2007/CE/I/7

Study the following balance sheet of a banking system:

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 1 700 | Deposits         | 7 500 |
| Loans       | 5 800 |                  |       |

Suppose the legal reserve ratio is 20%.

- (a) The excess reserve of the banking system is \$ \_\_\_\_\_. (1 mark)
- (b) Suppose Mr Chan withdraws \$100 from the banking system, of which 70 % is held as cash and the rest is remitted overseas.
- (i) The immediate change in total deposits of the banking system is \_\_\_\_\_. (1 mark)
- (ii) Therefore, the immediate change in the overall amount of the money supply is \_\_\_\_\_. (2 marks)

2008/CE/I/10

The government may reduce the money supply to cool down the overheated economy. The balance sheet of the banking system is as follows:

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 1 000 | Deposits                 | 5 000 |
| Loans               | 4 000 |                          |       |

Suppose the public in this economy always holds the same amount of cash and the banking system never holds excess reserves. The central bank increases the minimum reserve ratio of the banks by 5%.

- Explain briefly the process of deposit contraction resulting from the above change in the reserve ratio. (4 marks)
- Calculate and explain the change in money supply in the economy resulting from the above deposit contraction. (5 marks)

2009/CE/I/6

Study the following balance sheet of a banking system:

| Assets (\$) |     | Liabilities (\$) |       |
|-------------|-----|------------------|-------|
| Reserves    | 300 | Deposits         | 1 000 |
| Loans       | 700 |                  |       |

Suppose the legal reserve ratio is 20%.

- Calculate the excess reserve of the banking system. (2 marks)
- Suppose all the excess reserve is loaned out. Calculate the maximum possible amount of total deposits in the banking system. (2 marks)

2010/CE/I/11(b)

The 2008 financial tsunami had a huge impact on Economy A.

Suppose the balance sheet of the banking system was as follows:

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 2 000 | Deposits                 | 8 000 |
| Loans               | 6 000 |                          |       |

During the credit crisis, the banks increased the reserve ratio to 40% for safety purposes. This resulted in a change in the bank deposits.

- Calculate the maximum possible change in the bank deposits. (3 marks)
- Explain briefly the process of deposit contraction resulting from the above change in the reserve ratio. (4 marks)

*(Note: Although the topic of deposit creation was included in the HKAL syllabus, most questions are out of the current DSE syllabus, and the focus of the rest was mainly on the concepts of monetary base and monetary policy.)*

1997/AL/II/9

Consider the following balance sheet of a banking system.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 1 000 | Deposits         | 4 000 |
| Loans       | 3 000 |                  |       |

Assumes that the public does not hold any cash.

- (a) Suppose banks are fully loaned up. What is the required reserve ratio? (1 mark)
- (b) Suppose the maximum demand for loan is \$4 500. Since the banking system has only extended \$3 000 in loan, there is still an excess demand for loan of \$1 500. If the government changes the required ratio to 10%, what will be the money supply? Explain your answer. (5 marks)
- (c) Based on your answer in (b), comment on whether a government can completely control the money supply. (4 marks)

1998/AL/II/9

Consider the following balance sheet of a banking system.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 1 000 | Deposits         | 4 000 |
| Loans       | 3 000 |                  |       |

Suppose the public holds \$500 cash and the banks are fully loaned up.

- (a) What is the money supply? (2 marks)
- (b) Suppose the public only wants to hold \$400 cash and deposits any excess cash into the banking system. Explain the impact of this on the balance sheet of the banking system and on the money supply in the economy in each of the following two situations.
  - (i) Banks cannot lead out any amount of the excess reserves. (3 marks)
  - (ii) Banks can lead out all the excess reserves. (3 marks)
- (c) Using your results in (a) and (b), explain the impact on the money supply of a reduction in the public's desire to hold cash. (2 marks)

2017/DSE/II/8

The following table shows the balance sheet of a banking system which has excess reserves of \$250.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 1 000 | Deposits                 | 3 000 |
| Loans               | 2 000 |                          |       |

- (a) Find the required reserve ratio. (1 mark)
- (b) Suppose the banks lend out all excess reserves and the public does not hold cash, Calculate the change in deposits after credit creation, Show your working. (2 marks)

2019/DSE/II/7

The following is the balance sheet of a banking system.

| Assets (\$million) |     | Liabilities (\$million) |       |
|--------------------|-----|-------------------------|-------|
| Reserves           | 300 | Deposits                | 1 000 |
| Loans              | 700 |                         |       |

Suppose the legal reserve ratio is 20% and the public holds \$200 million cash.

- (a) Calculate the excess reserves of the banking system. (1 mark)
- (b) Suppose the public no longer holds cash and all banks lend out all excess reserves. Calculate the maximum possible change in money supply. Show your workings. (4 marks)

2021/DSE/II/6

The following table shows the balance sheet of a banking system.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 600   | Deposits                 | 1 500 |
| Loans               | 1 200 |                          |       |

Initially the banks hold excess reserves of \$300 million and the public always holds \$100 million cash.

- (a) Find the required reserve ratio. (1 mark)
- (b) Suppose the required reserve ratio is reduced by 5% and banks lend out all excess reserves. Calculate the new money supply after the credit creation/contraction. Show your workings. (3 marks)

2022/DSE/IB/8

The following table shows the balance sheet of a banking system.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 1 000 | Deposits                 | 4 000 |
| Loans               | 3 000 |                          |       |

The public initially holds \$1 000 million cash and the banks are fully loaned up.

- (a) Calculate the required reserve ratio. (1 mark)
- (b) Suppose the public only wants to hold \$400 million cash and deposits the remaining cash into the banks. Calculate the maximum change in money supply. Show your workings. (3 marks)

2023/DSE/II/10i, ii

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

- (c) Suppose a large number of senior citizens withdraw money from their bank accounts to purchase Silver Bonds.
- (i) Describe the process of deposit creation/contraction which may result from the above withdrawal. (3 marks)
- (ii) Explain with **ONE** reason why the above withdrawal does not necessarily lead to deposit creation/contraction in reality. (2 marks)



**2024/DSE/II/8**

Suppose in an economy, the public increases their cash holding by withdrawing bank deposits. Immediately after the withdrawal, the banking system of the economy faces a reserve shortage of \$100 million.

The following table shows the balance sheet of the banking system immediately after the withdrawal.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 600   | Deposits                 | 3 500 |
| Loans               | 2 900 |                          |       |

- (a) Find the required reserve ratio. (1 mark)
- (b) Suppose the required reserve ratio is reduced by 5 percentage points. Calculate the maximum possible change in deposits after deposit creation/contraction. Show your workings. (3 marks)

## SECTION 5: MONEY AND BANKING (II)

### 5.1 MONETARY BASE (M0) AND MONETARY POLICY

#### Multiple Choice Questions

1994/AL/II/18

When the central bank buys government bonds from the non-bank public, the immediate impact on commercial banks is that the reserves are \_\_\_\_\_ the amount of the purchase.

- A. increased by
- B. increased by a portion of
- C. decreased by
- D. decreased by a multiple of

Study the following balance sheet of a banking system and answer questions 16 and 17.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 4 000 | Demand Deposits  | 8 000 |
| Loans       | 3 000 |                  |       |
| Investment  | 1 000 |                  |       |

1995/AL/II/16

Suppose the banking system has \$2 000 excess reserves. When the central bank buys \$2 000 worth of government bonds from the non-bank public, the excess reserves of the banking system would increase by

- A. \$0.
- B. \$1 000.
- C. \$1 500.
- D. \$2 000.

1995/AL/II/17

If the banks engage in credit creation after the purchase of government bonds by the central bank, which of the following statements will be true?

- (1) The maximum amount of demand deposits will be \$24 000.
  - (2) The loans will increase.
  - (3) The excess reserves will decrease.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. All of the above

1995/AL/II/28

Which of the following events will **NOT** increase the reserves of a commercial bank?

- A. A customer deposits a cheque with the bank.
- B. The central bank purchase a government bond from one of the bank's depositors.
- C. The bank purchases a government bond from another commercial bank.
- D. The bank borrows from the central bank.

1996/AL/II/19

The total amount of currency issued is \$100 billion. Half is held by the non-bank public and half is held by commercial banks as reserves. Suppose the minimum reserve ratio is 20% and banks do not keep excess reserves, the money supply will be

- A. \$60 billion.
- B. \$100 billion.
- C. \$250 billion.
- D. \$300 billion.

For Question 15, consider the following balance sheet of a banking system.

| Assets (\$) |       | Liabilities (\$) |        |
|-------------|-------|------------------|--------|
| Reserves    | 3 000 | Deposits         | 12 000 |
| Loans       | 4 000 |                  |        |
| Investment  | 5 000 |                  |        |

Suppose the banking system has \$600 excess reserves, the public does not hold any cash and deposits all cash into the banking system.

1999/AL/II/15

Suppose the central bank sells \$500 worth of government bonds to the commercial banks, the money supply in the economy will

- A. decrease by \$500.
- B. decrease by \$2 500.
- C. remain unchanged.
- D. increase by \$500.

2001/AL/II/13

When the central bank purchases government bonds from the commercial banks,

- A. the reserve of the banking system will decrease.
- B. the required reserves of the banking system will decrease.
- C. the banking multiplier will increase.
- D. the maximum loan that the banking system can create will increase.

2002/AL/II/21

Study the following balance sheet of a banking system and answer question 21. Suppose the required reserve ratio is 25%.

| Assets (\$) |       | Liabilities (\$) |       |
|-------------|-------|------------------|-------|
| Reserves    | 3 000 | Deposits         | 8 000 |
| Loans       | 5 000 |                  |       |

Newly printed bank notes worth \$400 are issued resulting in a \$200 increase in cash held by the non-bank public and a \$1 000 increase in the money supply. The total amount of excess reserves in the banking system will be

- A. \$800
- B. \$950
- C. \$1 000
- D. \$1 600

Study the following balance sheet of a banking system and answer Questions 19 and 20.

| Assets (\$) |       | Liabilities (\$) |        |
|-------------|-------|------------------|--------|
| Reserves    | 2 000 | Deposits         | 10 000 |
| Loans       | 7 000 |                  |        |
| Investment  | 1 000 |                  |        |

2005/AL/II/19

Suppose the banking system does not hold any excess reserve. The immediate effect(s) of a withdrawal of \$500 cash from the banking system is/are

- (1) the reserve shortage is \$100.
- (2) the money supply remains unchanged.
- (3) the monetary base remains unchanged.

- A. (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2005/AL/II/20

After the credit contraction process is completed, the money supply will decrease by \_\_\_\_\_ and the monetary base will \_\_\_\_\_.

- A. \$1 500 ..... decrease by \$500
- B. \$1 500 ..... remain unchanged
- C. \$2 000 ..... decrease by \$500
- D. \$2 000 ..... remain unchanged

2007/AL/II/7

The monetary base will increase if

- A. the central bank issues more banknotes.
- B. the commercial banks hold more reserves.
- C. the central bank reduces the required reserve ratio.
- D. All of the above.

2011/AL/II/20

Which of the following will lead to a fall in monetary base?

- A. a fall in the velocity of circulation of money.
- B. an increase in the required reserve ratio
- C. an open market sale of government bonds by the central bank.
- D. All of the above

2014/DSE/I/33

Study the following information about an economy.

|                                              |               |
|----------------------------------------------|---------------|
| Monetary base                                | \$500 billion |
| The coins and notes circulated in the public | \$300 billion |
| Required reserve ratio                       | 20%           |

If all the banks are fully loaned up, the amount of deposits will be \_\_\_\_\_.

- A. \$1 000 billion
- B. \$1 500 billion
- C. \$2 500 billion
- D. \$4 000 billion

2015/DSE/I/29

Study the following balance sheet of a banking system. The required reserve ratio is 20%.

| Assets (\$ million) |     | Liabilities (\$ million) |       |
|---------------------|-----|--------------------------|-------|
| Reserves            | 300 | Deposits                 | 1 000 |
| Loans               | 700 |                          |       |

If the central bank issues newly printed banknotes worth \$200 million, the cash held by the non-bank public will increase by \$100 million and the money supply will increase by \$500 million. The total amount of excess reserves in the banking system will then be \_\_\_\_\_.

- A. \$100 million
- B. \$120 million
- C. \$280 million
- D. \$400 million

2015/DSE/I/32

The monetary base increases when

- A. the commercial banks hold less excess reserves.
- B. the commercial banks buy government bonds from the public.
- C. the central bank buys government bonds from the public.
- D. the central bank increases the discount rate.

2018/DSE/I/32

Refer to the following information about an economy.

|                      |          |
|----------------------|----------|
| Money supply         | \$35 000 |
| Actual reserve ratio | 25%      |
| Excess reserves      | \$1150   |

Suppose the public always holds \$12 000 cash. If all banks loan out their excess reserves and all the loans are re-deposited into the banking system,

- A. the maximum possible amount of money supply will be \$28 750.
- B. the monetary base of the economy will be \$16 600.
- C. the maximum possible amount of loans will be \$23 000.
- D. the maximum banking multiplier will be 4.

1990/AL/II/03

The most feasible and frequently used instrument of monetary policy in Hong Kong is:

- A. open market operations in foreign exchange
- B. change in discount rates
- C. variations in reserve requirements
- D. moral suasion

1990/AL/II/04

Which of the following are pre-conditions for open market operations to be effective?

- (1) There is a large stock of government securities.
  - (2) Commercial banks have a propensity to keep excess reserves.
  - (3) There is a well-developed securities market.
  - (4) There is a Central Bank.
- A. (1), (2) and (3) only.
  - B. (1), (2) and (4) only.
  - C. (1), (3) and (4) only.
  - D. (2), (3) and (4) only.

1991/AL/II/23

Other things being equal, an open market sale of bonds by the central bank to the non-bank public will

- (1) curb the credit creation power of the commercial banks.
  - (2) raise the market rate of interest.
  - (3) increase the amount of securities held by the commercial banks.
  - (4) lead to a fall in national income.
- A. (1), (2) and (3) only
  - B. (1), (2) and (4) only
  - C. (1), (3) and (4) only
  - D. (2), (3) and (4) only

1992/AL/II/04

If the demand for money increases and the monetary authorities want the interest rate to remain unchanged, which of the following policies should be recommended?

- A. raising the discount rate.
- B. buying bonds in the open market.
- C. raising the legal minimum reserve ratio.
- D. None of the above.

1993/AL/II/16

Which of the following has a contractionary effect on the money supply?

- A. There is an increase in the cash drain ratio.
- B. There is a decrease in the rediscount rate.
- C. There is a decrease in the legal reserve ratio.
- D. The government buys bonds in the open market.

1996/AL/II/18

Which of the following are examples of contractionary policy?

- (1) an increase in the tax rate
  - (2) a reduction in the discount rate
  - (3) a sale of government bonds by the central bank
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. All of the above.

1997/AL/II/08

Assuming banks are fully loaned up, the money supply will decrease when the government \_\_\_\_\_ bonds and \_\_\_\_\_ the reserve ratio.

- A. sells ..... increases
- B. buys ..... increases
- C. sells ..... reduces
- D. buys ..... reduces

1998/AL/II/17

Suppose the demand for money increases, other things begin equal, which of the following measures can stabilize the interest rate?

- (1) a fall in the discount rate
  - (2) a fall in the required reserve ratio
  - (3) an open market sale of government bonds
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2000/AL/II/08

Suppose banks are fully loaned up. Which of the following will lead to a decrease in money supply?

- (1) an increase in reserve ratio
  - (2) a reduction in the public's desire to hold cash
  - (3) an open market sale of government bonds by the central bank to the non-bank public
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2003/AL/II/12

A central bank can increase the money supply through

- (1) an open market purchase of government bonds
  - (2) a reduction in the discount rate
  - (3) a drop in the required reserve ratio
- A. (1) only
  - B. (1) and (2) only
  - C. (2) and (3) only
  - D. All of the above.

2004/AL/II/04

Which of the following are examples of an expansionary monetary policy?

- (1) a reduction in the required reserve ratio
  - (2) an increase in discount rate
  - (3) an open market purchase of government bonds by the central bank
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2005/AL/II/17

A rise in the discount rate will

- A. reduce the money supply because it increases the cash held by the public.
- B. reduce the money supply because it reduces the reserves borrowed by commercial banks from the central bank.
- C. increase the money supply because it raises the ability of commercial banks to create loans.
- D. increase the money supply because it reduces the reserves held by commercial banks.

2006/AL/II/07

Which of the following may cause an increase in the money supply?

- (1) Banks loan out their excess reserves.
  - (2) There is a decrease in the required reserve ratio.
  - (3) A commercial bank purchases government bonds from another commercial bank.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2007/AL/II/10

Which of the following are examples of a contractionary monetary policy?

- (1) an open market sale of bonds by the central bank
  - (2) an increase in the discount rate
  - (3) a devaluation of domestic currency
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2010/AL/II/18

When the central bank sells government bonds to the public, \_\_\_\_\_ will increase.

- A. the general price level
- B. the interest rate
- C. money supply
- D. money demand



2012/AL/II/14

When the central bank keeps purchasing bonds from the market, which of the following is **LEAST** likely to occur?

- A. The market interest rate will rise.
- B. The real output level will rise.
- C. The general price level will rise.
- D. The asset price will rise.

2012/DSE/I/30

On-line shopping has become more popular, and hence people hold less cash for transaction purposes. Which of the following measures can be adopted by a central bank to reduce the effect of the above situation on the interest rate?

- (1) an increase in discount rate
  - (2) an increase in required reserve ratio
  - (3) an open market purchase of government bonds
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

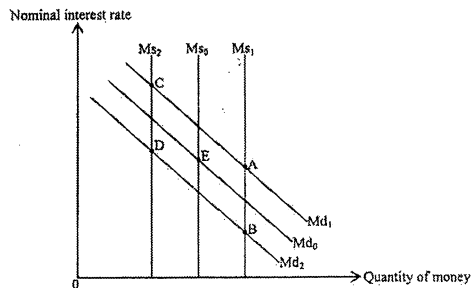
2013/DSE/I/28

An expansionary monetary policy is adopted in China when

- (1) the Ministry of Finance (財政部) provides cash subsidies to agricultural workers.
  - (2) the People's Bank of China (中國人民銀行) reduces the required reserve ratio of all commercial banks.
  - (3) the Bank of China lowers its lending rate to small and medium-sized enterprises.
- A. (1) only
  - B. (2) only
  - C. (3) only
  - D. (1), (2) and (3)

2017/DSE/I/32

The diagram below shows the money demand and supply curves of an economy. The original equilibrium point is at E.



Suppose the risk of holding interest bearing assets (such as bonds) increases and the central bank reduces the discount rate. The new equilibrium point will be at \_\_\_\_\_.

- A. A
- B. B
- C. C
- D. D

2017/DSE/I/37

Which of the following policies would most likely lead to a drop in aggregate output?

- A. The government bought bonds from the public and raised the tax allowance at the same time.
- B. The government sold bonds to the public and reduced transfer payment to the poor at the same time.
- C. The government reduced required reserve ratio and raised the progressivity of income tax at the same time.
- D. The government increased the discount rate and lowered profits tax rate at the same time.

2019/DSE/I/41

Study the following table.

| Policy I                                                                                                                           | Policy II                                                                                                                                   | Policy III                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>an open market purchase of government bonds</li> <li>a rise in the discount rate</li> </ul> | <ul style="list-style-type: none"> <li>an open market purchase of government bonds</li> <li>a rise in the salaries tax allowance</li> </ul> | <ul style="list-style-type: none"> <li>a rise in the salaries tax allowance</li> <li>a rise in the discount rate</li> </ul> |

Which of the policies in the above table is/are expansionary?

- A. Policy I only
- B. Policy II only
- C. Policy III only
- D. Policy I and Policy III only

2020/DSE/I/30

Refer to the following information about an economy. Suppose all banks do not hold any excess reserves.

|                                | \$ million |
|--------------------------------|------------|
| Currency in public circulation | 10         |
| Monetary base                  | 30         |
| Money supply                   | 110        |

If the public deposits all the cash into the banking system,

- A. the actual banking multiplier will be 4.
- B. the maximum amount of loans will be \$120 million.
- C. the maximum amount of deposits will be \$140 million.
- D. the new money supply will be \$160 million.

2020/DSE/I/32

Which of the following is a contractionary monetary policy?

- A. an increase in the discount rate
- B. an increase in the salaries tax rate
- C. a decrease in the required reserve ratio
- D. a decrease in the quota for migration

2021/DSE/I/34

Suppose the actual inflation rate and the nominal interest rate are  $-1\%$  and  $3\%$  respectively. Which of the following statements are correct?

- (1) The cost of holding cash is  $3\%$ .
  - (2) The expected real interest rate is higher than the nominal interest rate.
  - (3) The actual real rate of return on holding cash is  $1\%$ .
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2021/DSE/I/35

Which of the following would offset the effect on aggregate output of an expansionary fiscal policy?

- A. The public held more cash.  
B. The use of electronic wallets became more popular.  
C. The interbank rate decreased.  
D. The government increased quota on the importation of foreign domestic helpers.

2023/DSE/I/32

Which of the following will lead to an increase in monetary base?

- A. The central bank raises the discount rate.  
B. The central bank reduces the required reserve ratio.  
C. The central bank buys government bonds from the public.  
D. The central bank replaces some of the paper banknotes in circulation with polymer banknotes.

2024/DSE/I/28

Suppose the central bank of Country A lowers the discount rate. Which of the following situations would weaken the effect of the above policy on the aggregate output of Country A in the short run?

- A. The use of digital money becomes more popular in Country A.  
B. Some major trading partners of Country A experience an economic recession.  
C. The government of Country A relaxes the restrictions on the importation of foreign workers.  
D. The government of Country A increases its investment on local infrastructure.

2024/DSE/I/35

The table below shows the monetary data of a country. The public always holds a fixed amount of cash.

|                      |              |
|----------------------|--------------|
| Money supply         | \$95 million |
| Cash held by public  | \$15 million |
| Actual reserve ratio | 25%          |
| Excess reserves      | \$4 million  |

Based on the above information, which of the following statements are correct?

- (1) The monetary base is \$35 million.
- (2) The maximum banking multiplier is 5.
- (3) When all banks are fully loaned up, the maximum amount of money supply is \$115 million.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

**2024/DSE/I/39**

A contractionary monetary policy is adopted in China when

- (1) the People's Bank of China (中國人民銀行) increases the required reserve ratio of commercial banks.
  - (2) the People's Bank of China cuts the interest rate on its loans to commercial banks,
  - (3) the Chinese Government raised the tax rates of the individual income tax.
- A. (1) only
  - B. (3) only
  - C. (1) and (2) only
  - D. (2) and (3) only

### Short & Structured Questions

1994/AL/II/3

- (a) Explain briefly how purchases of government bonds by the central bank would affect the money supply. (3 marks)
- (b) If the reserve ratio is 0.2, what is the impact on the money supply if the central bank purchases bonds worth 1 million dollars? List **TWO** of the assumptions you have made in your calculation. (5 marks)

1996/AL/II/5(a)

Explain how the sale of government bonds by the central bank to the public affects the money supply. (4 marks)

2004/AL/II/1(c)

Name one similarity and one difference between each pair of the following terms.  
monetary base (or high-powered money); money supply. (3 marks)

2007/AL/II/3(a)

What is meant by the monetary base? What is meant by the money supply? Why is money supply often a multiple of base money? When will the banking multiplier equal unity? (5 marks)

2008/AL/II/1(c)

Name one similarity and one difference between the following pairs of terms:  
discount rate; interbank rate. (3 marks)

2012/DSE/II/13

The following table shows the balance sheet of the banking system of an economy.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 500   | Deposits                 | 2 000 |
| Loans               | 1 500 |                          |       |

Suppose the public does not hold cash and there are \$100 million excess reserves in the banking system.

- (a) Find the required reserve ratio. Show your working. (2 marks)
- (b) Find the maximum possible amount of deposits if the banks are fully loaned up. Show your working. (2 marks)
- (c) The central bank injects \$200 million newly-printed banknotes into the banking system. If the banks lend out all of their excess reserves, what will the amount of money supply be in the economy? Show your working. (4 marks)

2013/DSE/II/12

The following table shows the balance sheet of the banking system of an economy.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 400   | Deposits                 | 2 000 |
| Loans               | 1 600 |                          |       |

The public holds \$1 000 million cash and all banks are fully loaned up.

- (a) Calculate the monetary base and the money supply in the economy. Show your workings. (4 marks)
- (b) If the required reserve ratio is adjusted to 25%, calculate the new money supply in the economy. Show your workings. (2 marks)

2014/DSE/II/7(b)

In an attempt to reduce its growing fiscal deficits, the US government has tried to increase tax on the one hand and decrease fiscal spending on the other. But many worry that such a policy would give rise to undesirable side effects.

An alternative policy is to finance the fiscal deficits by printing money. Briefly discuss **ONE** advantage and **ONE** disadvantage of this alternative policy on the US economy as opposed to the above fiscal policy. (4 marks)

2014/DSE/II/12

The Prime Minister of Japan, Shinza Abe, adopted a series of policy measures in 2013 to expand the Japanese economy. One of the policy measures was stepping up the scale of the purchase of government bonds and other financial assets by the central bank.

- (a) If the Japanese central bank purchases government bonds from Japanese commercial banks, explain whether the monetary base of Japan would be affected. (3 marks)
- (b) Describe the process of deposit creation/contraction which may result from the purchase of government bonds by the central bank. Explain whether the process would further affect the monetary base of Japan. (5 marks)

2015/DSE/II/6

Study the following balance sheet of the banking system in Country A.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 1 000 | Deposits                 | 5 000 |
| Loans               | 4 000 |                          |       |

Suppose all banks are fully loaned up and never hold excess reserves. The public always holds \$150 million in cash.

- (a) Calculate the following items of this banking system:
  - (i) legal reserve ratio (1 mark)
  - (ii) money supply (2 marks)

A firm in Country A has received \$50 million from abroad and deposited the sum of money into a bank.

- (b) Calculate the new monetary base in Country A. Show your workings. (2 marks)
- (c) Calculate the new money supply in Country A. Show your workings. (3 marks)

2016/DSE/II/8

The following is the balance sheet of a banking system.

| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 1 000 | Deposits                 | 4 000 |
| Loans               | 3 000 |                          |       |

Suppose the public always holds \$500 million of cash and the banking system does not hold excess reserves.

- (a) Calculate the monetary base and money supply. (2 marks)

The central bank increases the required reserve ratio to 50%.

- (b) Calculate the change in monetary base and the change in money supply. Show your working. (4 marks)
- (c) (i) Why is money supply often a few times more than monetary base? (3 marks)
- (ii) Under what situation will money supply be equal to monetary base? (1 mark)

2018/DSE/II/7(a)

The following is the balance sheet of a banking system.

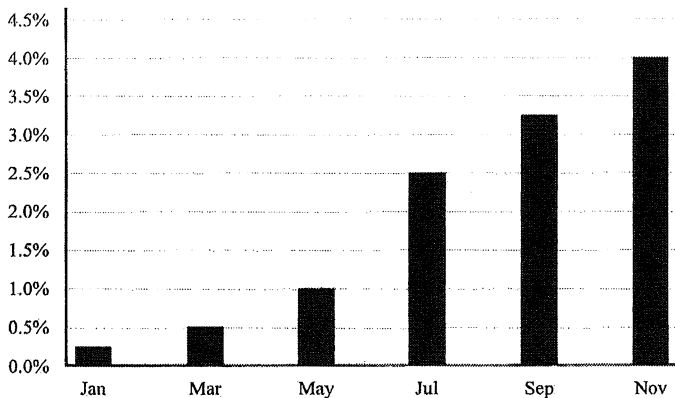
| Assets (\$ million) |       | Liabilities (\$ million) |       |
|---------------------|-------|--------------------------|-------|
| Reserves            | 500   | Deposits                 | 2 000 |
| Loans               | 1 500 |                          |       |

Initially the banks held \$100 million excess reserves and the public held \$100 million cash. Suppose the central bank buys \$40 million worth of government bonds from the public.

- (i) Calculate the new monetary base. Show your workings. (2 marks)
- (ii) State **TWO** assumptions under which the actual change in money supply would equal the maximum possible change in money supply. (2 marks)
- (iii) Calculate the maximum possible change in money supply. Show your workings. (4 marks)

2023/DSE/II/12c

Source D: Discount rate of the Federal Reserve\* of the US from January to November 2022



\*Federal Reserve is the central bank of the US.

- (c) Refer to Source D. How may the change in discount rate as shown in the source help relieve the pressure on rising price level? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand. (5 marks)

**2025/DSE/II/10(Cross Topic 5.1 /5.2 /5.3 /6.1)**

The monetary policy of the US receives much attention. (a) The table below shows some data on the US economy.

|                                                                                               | May 2022 | May 2023 |
|-----------------------------------------------------------------------------------------------|----------|----------|
| Money supply (USD Billion)                                                                    | 21691.3  | 20 837.4 |
| Inflation rate (measured by year-on-year percentage change in implicit price deflator of GDP) | 7.0%     | 3.6%     |

- (i) Calculate the money supply growth rate in the US from May 2022 to May 2023. (1 mark)
- (ii) Based on the above data, what was the real output growth rate in the US from May 2022 to May 2023 as implied by the quantity theory of money? Explain your answer. (3 marks)

The Federal Reserve (the central bank of the US) began to lower the discount rate in September 2024.

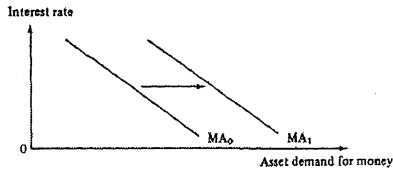
- (b) **WITHOUT** using a diagram, explain how the equilibrium nominal interest rate would be affected by the lowering of the discount rate. (3 marks)
- (c) With the aid of an AS-AD diagram, explain how the real output in the US would be affected in the short run by the lowering of the discount rate. (5 marks)
- (d) To achieve the same effect on the real output as in part (c), an economist suggested that the US Government should increase its expenditure on infrastructure instead of having the Federal Reserve lower the discount rate. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)



## 5.2 MONEY DEMAND

### Multiple Choice Questions

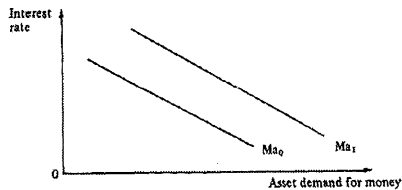
1990/AL/II/13



Which of the following correctly explains the rightward shift of the asset demand function from  $MA_0$  to  $MA_1$ ?

- A. a rise in the interest rate
- B. a rise in investment
- C. an increase in the sale of government bonds
- D. a rise in the risk of holding bonds

1991/AL/II/15



Which of the following correctly explains the shift of the asset demand for money curve from  $MA_0$  to  $MA_1$ ?

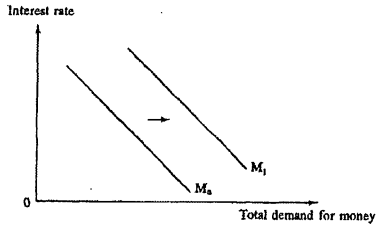
- (1) a fall in the interest rate
  - (2) a preference for higher liquidity
  - (3) a widespread use of credit cards
  - (4) expectations of a fall in bond prices
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only

1993/AL/II/28

Which of the following about money demand is **NOT** true?

- A. It is positively related with the anticipated inflation rate.
- B. It is positively related with wealth.
- C. It is negatively related with the real rate of interest.
- D. It is positively related with income.

1995/AL/II/14



Refer to the above diagram. Which of the following correctly explains the shift of the total demand for money curve from  $M_0$  to  $M_1$ ?

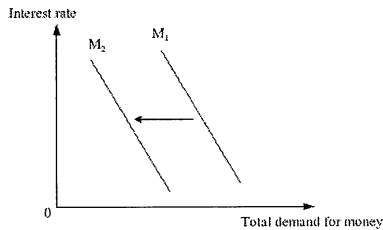
- A. a fall in the interest rate
- B. a rise in national income
- C. expectations of a rise in bond prices
- D. a purchase of bonds by the government in the open market

1995/AL/II/15

If people expect a rise in the market rate of interest, they will hold \_\_\_\_\_ money for asset purposes as bond prices will \_\_\_\_\_ and they will tend to buy \_\_\_\_\_ bonds.

- A. more ..... rise ..... more
- B. more ..... fall ..... less
- C. less ..... rise ..... more
- D. less ..... fall ..... less

2001/AL/II/22



Refer to the above diagram. Which of the following can explain the shift of the total demand for money curve from  $M_1$  to  $M_2$ ?

- (1) a rise in the interest rate
- (2) more shops accepting the Easy Pay System (EPS) payment method
- (3) a fall in the national income

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

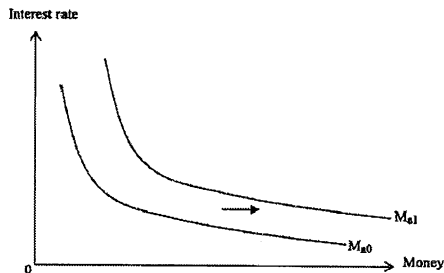
2005/AL/II/15

Which of the following can explain the rightward shift of the total demand for money curve?

- A. more extensive use of credit cards
- B. an increase in the velocity of circulation of money
- C. a fall in interest rates
- D. higher risk of holding bonds

2008/AL/II/20

Refer to the following diagram.



The asset demand for money will shift from  $M_{a0}$  to  $M_{a1}$  when

- A. income increases.
- B. the interest rate decreases.
- C. the general price level increases.
- D. the interest rate is expected to increase.

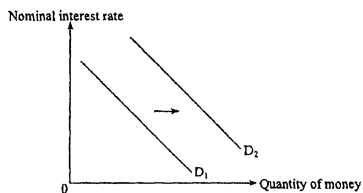
2009/AL/II/15

Which of the following statements about money demand is true?

- (1) Transaction demand for money tends to be more stable than asset demand for money.
  - (2) The shorter the time interval between wage receipts, the higher the transaction demand for money.
  - (3) The higher the volatility of the financial market, the higher the asset demand for money.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2013/DSE/I/27

Refer to the following diagram.

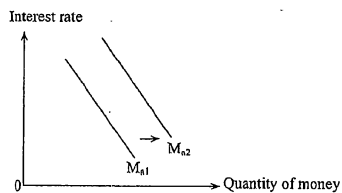


Which of the following will cause the money demand curve to shift from  $D_1$  to  $D_2$ ?

- A. a fall in the nominal interest rate
- B. a rise in national income
- C. more widespread use of electronic money
- D. an open market purchase of bonds by the central bank

2015/DSE/I/28

Refer to the following diagram.

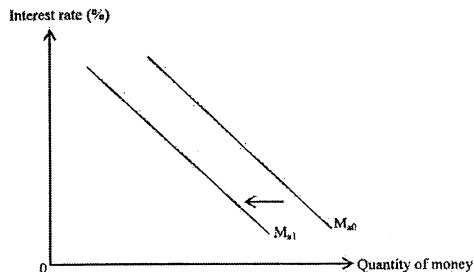


The curve of asset demand for money will shift from  $M_{a1}$  to  $M_{a2}$  when

- A. the risk of investing in the stock market increases.
- B. the interest rate decreases.
- C. the general price level rises.
- D. the government reduces the income tax rate.

2016/DSE/I/29

Refer to the following diagram.

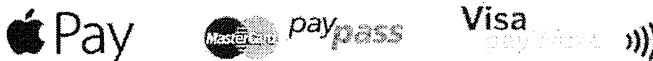


Which of the following would lead to the above change in the asset demand for money curve?

- A. The stock market becomes less volatile.
- B. The general price level is expected to fall continuously.
- C. The central bank raises the discount rate.
- D. There is a fall in disposable income of households.

2017/DSE/I/30

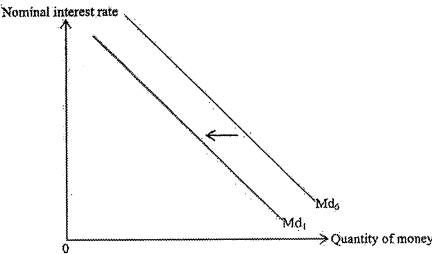
Electronic payment systems allow customers to pay without cash. ApplePay, Visa payWave and MasterCard paypass are some of the examples.



When more shops accept these electronic payment systems as a method of payment,

- (1) their cost of handling coins and notes will fall.
  - (2) the actual banking multiplier may increase.
  - (3) transactions demand for money will increase.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2018/DSE/I/29

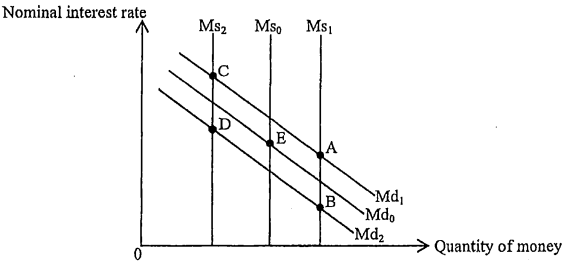


Which of the following would result in the above change in money demand?

- A. The central bank issues larger denomination banknotes for circulation.
- B. The expected inflation rate drops.
- C. The risk of investing in stock market decreases.
- D. Security problems have been found in the major electronic payment system.

2019/DSE/I/33

The diagram below shows the money supply and money demand curves of an economy. The original equilibrium point is at E.

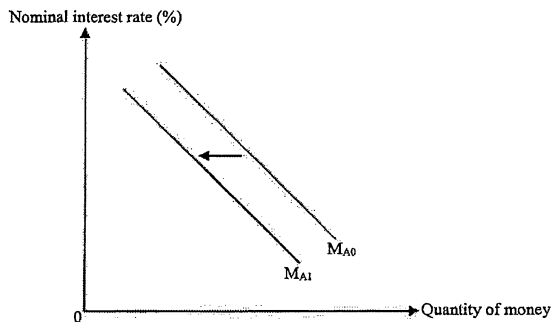


Suppose electronic payments become more common, and the central bank increases the legal reserve ratio of the commercial banks. The new equilibrium point will be at \_\_\_\_.

- A. A
- B. B
- C. C
- D. D

2020/DSE/I/28

The following diagram shows the asset demand for money of an economy.

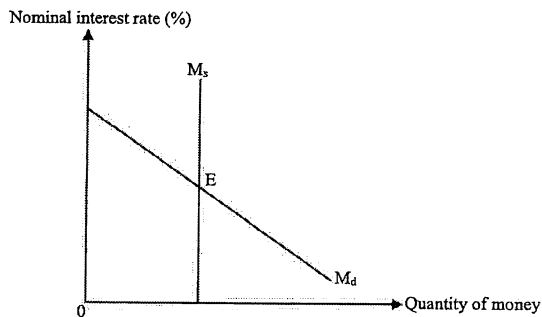


Which of the following will cause the above change in asset demand for money?

- A. The nominal interest rate increases.
- B. There is a contraction of monetary base.
- C. The use of electronic wallets such as Alipay (支付宝) becomes more popular.
- D. The expected rate of return of holding bonds increases.

2020/DSE/I/31

The following diagram indicates the money supply curve ( $M_s$ ) and money demand curve ( $M_d$ ) of a certain economy. Suppose the initial equilibrium point is at E.



If the income of the public increases and the central bank sells government bonds to the public, the interest rate \_\_\_\_\_ and the quantity of money \_\_\_\_\_.

- A. will decrease.....will increase
- B. will increase.....may increase or decrease
- C. may increase or decrease.....will decrease
- D. will increase.....will decrease

2020/DSE/I/37

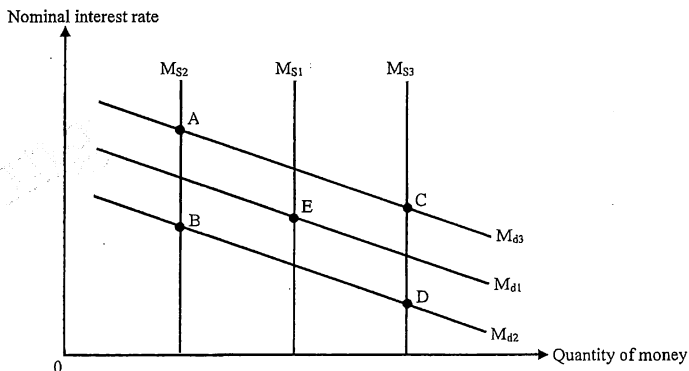
An economist said, 'The continuous fall in stock prices in our country has already affected the consumption expenditure as well as the money demand. We should implement a policy to relieve the effects on the output level and the interest rate.' Which of the following policies can stabilise the output level and the interest rate in the country at the same time in the short run?

(Assume the interest rate is mainly affected by the asset demand for money in this case.)

- A. The government increases cash subsidy to the poor.
- B. The government gives tariff exemption to the imports of goods.
- C. The central bank instructs the commercial banks to tighten the requirement of personal loans.
- D. The central bank buys government bonds from the public.

2022/DSE/I/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose most of the employers in the economy change the payment of salaries from monthly to bi-weekly. At the same time, the commercial banks tend to hold more excess reserves. The new equilibrium point will be at \_\_\_\_\_.

- A. A
- B. B
- C. C
- D. D

2022/DSE/I/35

The nominal interest rate on a one-year deposit is 1% and the inflation rate is 3%. The cost of holding cash is \_\_\_\_\_ and the real rate of return of holding cash is \_\_\_\_\_.

- A. 1%.....-3%
- B. 1%.....-2%
- C. 3%.....-3%
- D. 3%.....-2%

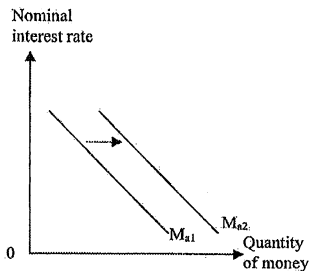


2023/DSE/I/29

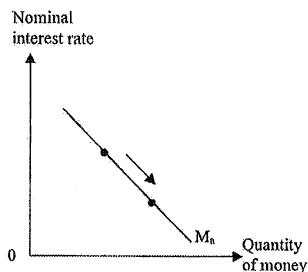
Suppose the stock market becomes more volatile. Which of the following diagrams best illustrates the effect of the above change on the money market?

$M_a$  = asset demand for money  
 $M_t$  = transaction demand for money

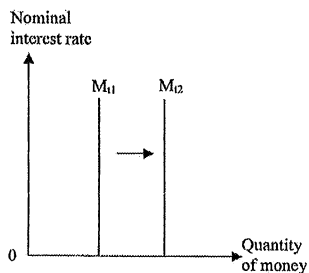
A.



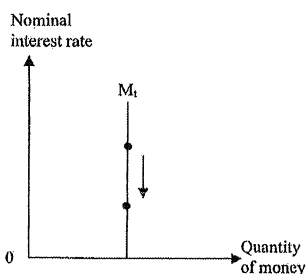
B.



C.



D.



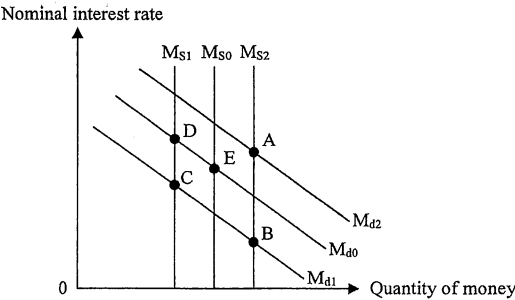
2024/DSE/I/27

If there is an increase in the tax allowance of salaries tax, transactions demand for money will \_\_\_\_\_ and the equilibrium nominal interest rate will \_\_\_\_\_.

- A. increase.....increase
- B. increase.....decrease
- C. decrease.....increase
- D. decrease.....decrease

2025/DSE/1/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose more and more people in the economy like to make payments for daily expenses using wallets. At the same time, the central bank of the economy performs an open market purchase government bonds. The new equilibrium point in the above diagram will be at point\_\_\_\_\_.

- A. A
- B. B
- C. C
- D. D

### Short & Structured Questions

1991/AL/II/1

'The real interest rate is the opportunity cost of holding money.' Explain this statement.

(10 marks)

2002/AL/II/3(a)

In microeconomics, we learn that the demand curve for any commodity shows the relationship between its price and quantity demanded. In macroeconomics, however, the demand curve for money shows the relationship between the interest rate and the quantity demanded of money.

Can we interpret the interest rate as the 'price' of holding money? Why or why not?

(4 marks)

2003/AL/II/4

Money is commonly believed to be the most liquid and perhaps the safest asset on Earth.

(a) What is meant by liquidity?

(2 marks)

(b) Explain why money is not necessarily a 100% risk-free asset.

(4 marks)

(c) Why are people willing to hold money even though its expected rate of return is lower than that of other assets (such as bonds and stocks)?

(4 marks)

2009/AL/II/2

(c) How are the real rate of interest and the nominal rate of interest related to the inflation rate? Explain clearly whether the inflation rate is expected or actual.

(3 marks)

(d) Which of these two interest rates can be interpreted as the opportunity cost of holding money? Explain.

(4 marks)

2020/DSE/II/9A

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

(a) What is the market structure of the theme park industry in Hong Kong? List **TWO** features of this market structure.

(3 marks)

2023/DSE/II/10a

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

(a) From the viewpoint of senior citizens, explain **ONE** advantage and **ONE** disadvantage of holding Silver Bonds over holding cash.

(4 marks)

### 5.3 THE QUANTITY THEORY OF MONEY (QTM)

#### Multiple Choice Questions

1990/AL/II/14

Consider the following data of a hypothetical economy:

| Year | Money Stock<br>(\$ million) | GDP<br>(\$ million, current prices) |
|------|-----------------------------|-------------------------------------|
| 1    | 45                          | 400                                 |
| 2    | 50                          | 600                                 |

Which of the following statements about the economy must be correct?

- A. There was a fall in real GDP.
- B. There was a fall in the general price level.
- C. There was a rise in the income velocity of money.
- D. There were fluctuations in the demand for money.

1990/AL/II/26

The Quantity Theory implies that in the short-run a change in the money stock will affect

- A. real output only.
- B. the price level only.
- C. both the real output and the price level.
- D. the income velocity of money.

1991/AL/II/14

During Christmas and Chinese New Year, people tend to carry more cash. Assuming banks do not hold excess reserves, there will be

- A. a decrease in the money supply.
- B. an increase in the money supply.
- C. no change in the money supply but a higher velocity of circulation.
- D. no change in the money supply but a higher demand for goods and services.

1991/AL/II/16

Which of the following ratios gives the correct definition of the velocity of the circulation of money?

- A. nominal GNP to the stock of money
- B. nominal GNP to the flow of money
- C. real GNP to the stock of money
- D. real GNP to the flow of money

1992/AL/II/20

The equation of exchange

- (1) is an identity which cannot be refuted.
  - (2) is valid only when the economy is at full employment.
  - (3) predicts that money affects both the price level and real output in the short run and only real output in the long run.
  - (4) state that total expenditure is always equal to total output value.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

1994/AL/II/17

According to the equation of exchange, if the money supply is fixed at a time when both the nominal and the real income are increasing, we can conclude that

- A. full employment is achieved.
- B. the unemployment rate is rising.
- C. the velocity of the circulation of money is falling.
- D. the velocity of the circulation of money is rising.

1994/AL/II/22

Given that the velocity of money and the real output remain unchanged, an increase in the money supply

- A. will decrease the nominal rate of interest.
- B. decrease the inflation rate.
- C. increase the real rate of interest.
- D. increase the price level.

1994/AL/II/24

Inflation will occur when

- A. the government carries out expansionary policies.
- B. the growth rate of money is greater than the growth rate of real output.
- C. the income of the economy grows.
- D. the prices of some of the goods start to rise.

1995/AL/II/18

The Quantity Theory of Money is

- A. always true because total expenditure are always equal to total output.
- B. valid because the price level is rigid in the short run.
- C. valid because it is an identity.
- D. None of the above

1996/AL/II/14

Which of the following statements about the quantity theory of money are correct?

- (1) Nominal income increases at the same rate as money supply.
  - (2) Velocity of circulation of money is assumed to be constant.
  - (3) The government cannot change the money supply.
- A. (1) and (2) only.
  - B. (1) and (3) only.
  - C. (2) and (3) only.
  - D. All of the above.

1996/AL/II/20

If the velocity of circulation of money is constant, an increase in the money supply will lead to an increase in

- A. the price level.
- B. real output.
- C. nominal value of output.
- D. None of the above

1997/AL/II/12

The classical quantity theory of money

- (1) predicts that a change in the money supply affects the price level only.
  - (2) is always true.
  - (3) assumes that the velocity of money circulation is constant.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3) only

1997/AL/II/22

The equation of exchange

- A. assumes that the velocity of money circulation is predictable.
- B. regards real output as more or less constant.
- C. explains the effects of changes in the stock of money on the price level.
- D. cannot be refuted.

1998/AL/II/14

According to the equation of exchange, the money supply grows more slowly than the nominal gross national product (GNP), we can conclude that

- A. the inflation rate is rising.
- B. the unemployment rate is rising.
- C. the velocity of circulation is rising.
- D. the growth rate of real GNP is higher than the inflation rate.

1999/AL/II/14

The equation of exchange says that

- A. the velocity of circulation of money is constant.
- B. nominal income will increase at the same rate as money supply.
- C. the economy is producing at the full employment level.
- D. None of the above

2000/AL/II/16

According to the equation of exchange, if money supply is fixed, which of the following is correct?

- A. Price level must be constant.
- B. Both price level and real output must be constant.
- C. The velocity of circulation of money will change at the same rate as real output.
- D. None of the above

2000/AL/II/22

Which of the following statements concerning money supply and inflation is correct?

- A. Any upward pressure on price level must be the result of an increase in money supply.
- B. An increase in aggregate demand must be accompanied by an increase in money supply and inflation rate.
- C. There can never be a simultaneous decrease in real output and increase in price level if the money supply does not decrease.
- D. None of the above

2001/AL/II/23

According to the equation of exchange, when the money supply is fixed,

- A. the growth rate of nominal income is constant.
- B. the growth rate of real output is the same as the inflation rate.
- C. the growth rate of nominal income is the same as the growth rate of the velocity of circulation of money.
- D. the inflation rate is zero.

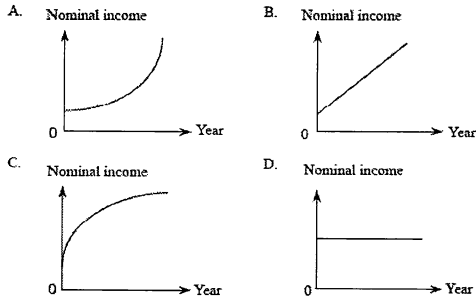
2002/AL/II/19

According to the equation of exchange, if money supply grows at the same rate as nominal income, we can conclude that

- A. the price level is rising.
- B. real output is constant.
- C. the velocity of circulation of money is constant.
- D. All of the above

2002/AL/II/23

If the velocity of circulation of money is constant and the money supply increases by a fixed amount each year, which of the following diagrams shows the value of nominal income over time?



2003/AL/II/11

According to the equation of exchange, if money supply grows during a time of deflation, it is possible that

- A. the velocity of circulation of money and real output decline at the same rate.
- B. the velocity of circulation of money and real output grow at the same rate.
- C. the growth rate of the velocity of circulation of money is higher than that of real output.
- D. the growth rate of the velocity of circulation of money is less than that of real output.

2004/AL/II/19

Consider the following data on an economy:

| Year | Money Supply<br>(\$ million) | GDP<br>(\$ million, current prices) |
|------|------------------------------|-------------------------------------|
| 1    | 45                           | 400                                 |
| 2    | 50                           | 600                                 |

From year 1 to year 2, which of the following statements about the economy must be correct?

- A. There was a rise in real GDP.
- B. There was a rise in the general price level.
- C. There was a rise in the velocity of circulation of money.
- D. The demand for money curve has shifted to the right.

2005/AL/II/14

The ratio of the value of transactions in an economy during a given period to the stock of money in that period measures

- A. money demand.
- B. the rate of growth of money supply.
- C. the velocity of circulation of money.
- D. the money multiplier.

2005/AL/II/18

Suppose the velocity of circulation of money is held constant. According to the equation of exchange, if the growth rate of money supply is smaller than that of the real gross national product (GNP), we can conclude that

- A. there is deflation.
- B. the inflation rate is falling.
- C. the unemployment rate is rising.
- D. the growth rate of real GNP is higher than the inflation rate.

2005/AL/II/21

When the velocity of circulation of money is constant, an increase in the money supply will lead to

- A. inflation.
- B. deflation.
- C. an increase in real output.
- D. an increase in nominal output.

2007/AL/II/11

An increase in the velocity of circulation of money will

- A. have no effect on real output whether or not money supply and price level are constant.
- B. lead to a rise in nominal output in the absence of changes in money supply.
- C. result in an increase in price level if the economy attains full employment.
- D. result in decrease in money supply if price level grows at the same rate as real output.



2008/AL/II/18

Which of the following statements about the velocity of circulation of money is correct?

- A. Velocity of circulation of money is measured by the ratio of nominal gross domestic product (GDP) to nominal money stock.
- B. The growth rate of velocity of money can be positive in some years and negative in others.
- C. The growth rate of velocity of circulation of money is assumed to be zero in the classical quantity theory of money.
- D. All of the above

2009/AL/II/22

Consider the following data of an economy.

|                                  | Year 1     | Year 2     |
|----------------------------------|------------|------------|
| Money supply (\$)                | 40 million | 48 million |
| Velocity of circulation of money | 5          | 5.5        |
| Real output (unit of goods)      | 20 million | 24 million |

According to the equation of exchange, what is the inflation rate of Year 2?

- A. 8%
- B. 9.1%
- C. 10%
- D. 11%

2011/AL/II/24

If the real output is decreasing at a faster rate than the velocity of circulation of money,

- A. money supply will be increasing at a rate slower than that of the price level.
- B. money supply will be decreasing at a rate slower than that of the price level.
- C. money supply will increase when there is inflation.
- D. there will be deflation when money supply remains unchanged.

2012/AL/II/16

If an economy attains full employment, an increase in money supply will increase \_\_\_\_\_.

- A. the nominal interest rate
- B. the real interest rate
- C. the level of nominal output.
- D. the level of real output

2012/AL/II/20

Which of the following statements about the equation of exchange is correct?

- A. It predicts that money is neutral.
- B. It still holds even if there is a change in institutional factors.
- C. It predicts that a 1% increase in money supply leads to a 1% increase in the price level.
- D. It assumes that the technological level is constant.

2013/DSE/I/32

The real output of an economy grows at a lower rate than the money supply. According to the quantity theory of money, we can conclude that

- (1) the price level is increasing.
  - (2) the unemployment rate is decreasing.
  - (3) the velocity of circulation of money is decreasing.
  - (4) the nominal output is increasing.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

2014/DSE/I/37

Suppose the velocity of circulation of money remains constant. If a central bank reduces money supply by 10%,

- A. the price level will decrease by 10%.
- B. real output will decrease by 10%.
- C. nominal output may decrease by less than 10%.
- D. real output may decrease by less than 10%.

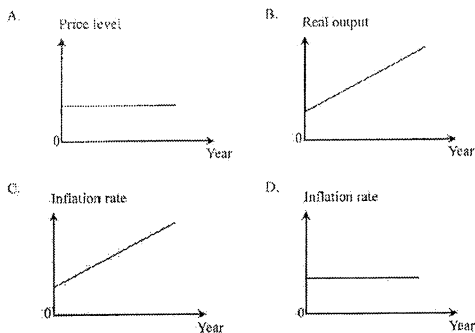
2015/DSE/I/33

The quantity theory of money implies that

- A. an increase in money supply will lead to a rise in price level when real output is falling.
- B. the economy is always at the full employment output level.
- C. an increase in money supply will lead to a decrease in the velocity of circulation of money when real output is kept constant.
- D. an increase in money supply will lead to a same-proportional increase in real output.

2016/DSE/I/34

According to the classical quantity theory of money, which of the following diagrams is correct when money supply is growing at a constant percentage each year?



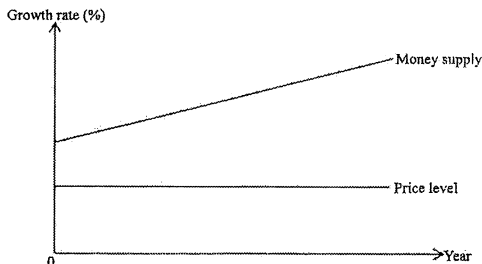
2017/DSE/I/36

According to the quantity theory of money, if a central bank increases money supply,

- A. the price level will increase.
- B. real output will remain constant.
- C. nominal output will increase.
- D. the unemployment rate will decrease.

2018/DSE/I/37

Refer to the following diagram.



According to the quantity theory of money, which of the following statements is correct?

- A. The inflation rate is zero.
- B. The growth rate of real output is increasing.
- C. The growth rate of money supply is constant.
- D. The growth rate of nominal income is constant.

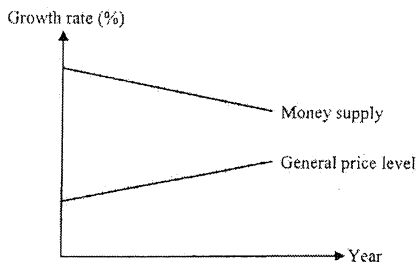
2019/DSE/I/35

Which of the following statements about quantity theory of money are correct?

- (1) If money supply is growing too fast relative to the supply of goods in the economy, inflation will occur.
  - (2) If money supply increases, nominal output will increase by the same percentage.
  - (3) If inflation rate is constant, real output will grow at the same percentage as money supply.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2021/DSE/I/38

Study the following diagram.



According to the quantity theory of money, which of the following statements is correct?

- A. Real output is increasing.
- B. Nominal output is decreasing.
- C. Money supply is decreasing.
- D. The velocity of circulation of money is decreasing.

2023/DSE/I/37

According to the classical quantity theory of money, if the money supply of an economy increases by 8%, \_\_\_\_\_.

- A. the government's income tax revenue will increase by 8%
- B. the nominal output will increase by 8%
- C. the real output will increase by 8%
- D. the price level may increase by less than 8%

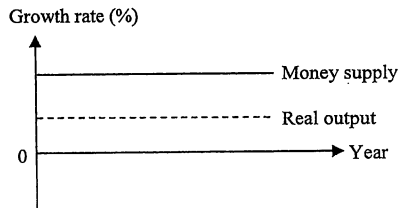
2024/DSE/I/37

Which of the following about the quantity theory of money is correct?

- A. An increase in money supply will not affect the nominal output in the long run.
- B. If the money supply growth rate is constant, the price level will also be constant in the long run.
- C. If the price level is constant, a decrease in real output will lead to a decrease in money supply.
- D. If the real output growth rate is zero, the price level growth rate will be equal to the money supply growth rate.

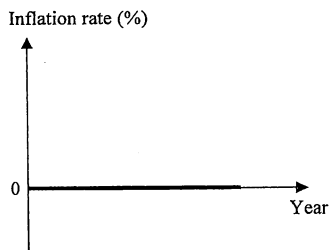
2025/DSE/I/39

Study the following diagram.

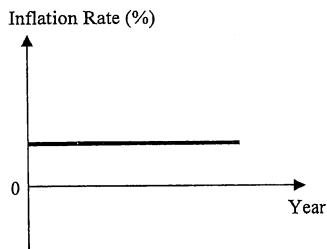


Based on the above information, which of the following is an implication of the quantity theory of money?

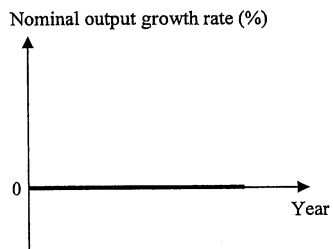
A.



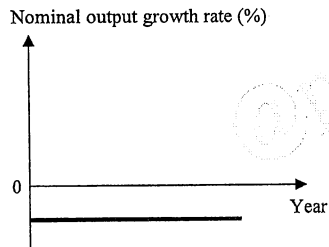
B.



C.



D.



### Short & Structured Questions

1990/AL/II/8(a)(ii)

Explain whether inflation would occur in the following situations:

a continuous increase in the money supply when the economy is also growing.

(8 marks)

1991/AL/II/2

'The classical Quantity Theory of Money is a theory of full employment.' Do you agree? Explain your answer. (10 marks)

1993/AL/II/4

If the national income and the money supply of a country grow at 5% and 10% a year respectively, what is the rate of

inflation predicted by the Quantity Theory of Money? Explain.

(8 marks)

1999/AL/II/4

(a) Milton Friedman once made the statement, 'Inflation is always and everywhere a *monetary* phenomenon.' In what sense do you think inflation is related to monetary factors? (4 marks)

(b) Using the quantity theory of money, explain why, in the absence of changes in money supply, inflation can also be 'caused' by real factors such as changes in real output. (4 marks)

2000/AL/II/8

(a) 'If the velocity of circulation of money is constant, we can predict the impact of changes in money supply on nominal income. However, to know the impact of changes in money supply on price level, we need an additional assumption on the behaviour of real income.' Discuss. (6 marks)

(b) Consider the following table.

| Year         | 1     | 2     | 3     |
|--------------|-------|-------|-------|
| Money Supply | \$100 | \$110 | \$121 |

Suppose the velocity of circulation of money is constant.

(i) Find the growth rate of nominal income in year 2 and year 3. (3 marks)

(ii) Suppose the growth rates of real income in year 2 and year 3 are 0% and 3% respectively. Find the inflation rates in year 2 and year 3. (2 marks)

(c) Based on the above answers, explain the rationale behind the policy of setting the growth of money supply at a specific level. (2 marks)

2002/AL/II/2(a)

State whether each of the following statements is true or false, and provide a brief explanation to support your answer.

'The quantity theory of money predicts that inflation is not necessarily a consequence of money growth.' (5 marks)

2007/AL/II/3(b)

What is meant by the velocity of circulation of money? How can we measure such velocity in practice?

(2 marks)

2010/AL/II/2(c)

Explain why the product of the nominal stock of money (M) and the velocity of circulation (V) is always equal to the product of the price level (P) and real income (y) – i.e.,  $MV = Py$ . How can we use this relation as a theory (to identify the various sources) of inflation? (6 marks)

2012/DSE/II/13(d)

The central bank injects \$200 million newly-printed banknotes into the banking system.

Based on the quantity theory of money, predict the effect of the monetary policy on the price level. State the assumption(s) needed to reach your conclusion. (4 marks)

2018/DSE/II/7(b)

Based on the quantity theory of money, predict the effect of an open market purchase of government bonds by the central bank on the price level. State the assumption(s) needed to reach your conclusion. (4 marks)

2020/DSE/II/4C

Study the following information of an economy.

| Year | Consumer price index (CPI) |
|------|----------------------------|
| 2018 | 110                        |
| 2019 | 117                        |

- (c) 'The continuous open market purchase of government bonds by the central bank *is* the cause of inflation in the economy.' Justify the statement with reference to the classical quantity theory of money. (4 marks)

2022/DSE/II/6a

- (a) 'Deflation will occur if the amount of goods and services produced is growing faster than money supply,' Explain this statement in terms of the quantity theory of money. (4 marks)

2023/DSE/II/12b

Source C: Money supply in the US

|                            | May 2020 | May 2021 |
|----------------------------|----------|----------|
| Money supply (USD Billion) | 17766.9  | 20 319.6 |

- (b) Refer to Source C. According to the quantity theory of money, explain under what condition the change in money supply as shown in the source would result in an increase in the general price level in the short run. (3 marks)

## SECTION 6: AGGREGATE DEMAND AND AGGREGATE SUPPLY

*(Note: Despite the fact that the AD-AS model was not explicitly required in the CE and AL syllabuses, in tackling a number of CE/AL questions, the AD-AS framework can still be applied.)*

### 6.1 DEMAND- AND SUPPLY-SIDE FACTORS AFFECTING NATIONAL INCOME

#### Multiple Choice Questions

1990/CE/II/37

The national income of a country will tend to increase if

- A. the government increases its budget surplus.
- B. the government raises the interest rates.
- C. the government reduces the profits tax rates.
- D. the demand for exports decreases.

1991/CE/II/41

Which of the following is the main reason for the building of a new airport on Lantau Island in the near future?

- A. to solve the problem of the labour shortage in Hong Kong
- B. to improve the infrastructure of Hong Kong
- C. to control the rising inflation rate
- D. to improve the occupational mobility of construction workers

1991/CE/II/45

Which of the following is most likely to lead to a fall in the inflation rate?

- A. an increase in the money supply
- B. an increase in the interest rate
- C. an increase in government expenditure
- D. an increase in indirect tax

1992/CE/II/49

Which of the following can help to control cost-push inflation in Hong Kong?

- A. an increase in indirect tax rates
- B. a significant increase in productivity
- C. a ban on the importation of labour
- D. an increase in the interest rate

1993/CE/II/38

Which of the following government policies will have an expansionary effect on the economy?

- A. increasing the transfer payments by using its fiscal reserves
- B. spending more money on imports
- C. introducing a general sales tax
- D. raising the reserve requirements of commercial banks



1993/CE/II/43

In Hong Kong, inflation at the consumer level has remained at around 10% for the past few years. Which of the following are two possible reasons for this phenomenon?

- (1) a recession affecting western economies
  - (2) the surplus budgetary policy of the government
  - (3) low interest rates for bank deposits and loans
  - (4) an inflow of capital from China
- A. (1) and (2) only  
B. (1) and (4) only  
C. (2) and (3) only  
D. (3) and (4) only

1993/CE/II/51

An increase in exports and a decrease in imports will cause the national income to

- A. increase  
B. decrease  
C. remain unchanged  
D. either increase or decrease

1997/CE/II/22

It is expected that there will be a record-high number of tourists visiting Hong Kong in the year 1997. This will increase Hong Kong's

- A. GDP.  
B. visible trade.  
C. net external factor income flows.  
D. consumer price index (A).

1997/CE/II/44

Which of the following would have an expansionary effect on the Hong Kong economy?

- A. a raise of the rental of public housing units  
B. the sale of existing public housing units to their tenants  
C. the introduction of a new tax to suppress speculative activities in the property market  
D. an increase in the construction of Home-Ownership-Scheme housing

1997/CE/II/46

Suppose the Hong Kong government spends \$2 billion in the construction of a new highway which is financed by its fiscal reserve. Which of the following would most likely occur?

- A. a narrower wealth gap between the rich and the poor  
B. an increase in the employment rate  
C. an increase in the inflation rate  
D. a budget deficit in the years of construction

2000/CE/II/34

More Hong Kong people shop in Shenzhen and the real interest rate in Hong Kong is increasing and being sustained at a higher level.

Which of the following GDP components of Hong Kong would be least likely affected by the above situation?

- A. domestic consumption (C)
- B. private investment (I)
- C. government expenditure (G)
- D. net export ( $X - M$ )

2000/CE/II/38

Which of the following would **MOST LIKELY** increase employment during an economic downturn?

- A. restructuring of private firms to improve their efficiency.
- B. increasing computerization and automation of production process
- C. government's injection of a large amount of funds to help small enterprise.
- D. increasing real interest rates

2001/CE/II/30

Which of the following changes would reduce unemployment?

- A. The government introduces a minimum wage law.
- B. The profits tax rate is raised.
- C. Many domestic firms try to use more labour-saving machines.
- D. The demand for the country's exports increases.

2004/CE/II/31

Which of the following is both a demand-side factor and a supply-side factor affecting national income?

- A. the government's productivity-enhancement projects
- B. the government's promotion of tourism
- C. a 'buying local products' campaign
- D. a firework show sponsored by private firms

2005/CE/II/30

Which of the following would result in an increase in Hong Kong's GDP?

- A. The government increases the profits tax rate.
- B. There is a fall in the total export value of Hong Kong made toys.
- C. The government develops the Western Kowloon cultural district.
- D. There are more Hong Kong people traveling in foreign countries.

2006/CE/II/32

Which of the following would most likely raise the potential GDP (i.e., production capacity) of an economy?

- A. an increase in the social welfare benefit
- B. an increase in the reserve ratio of the banking system
- C. an increase in the government expenditure on tertiary education
- D. an increase in the demand for the economy's exports

2008/CE/II/28

If the government constructs the Tuen Mun-Chek Lap Kok Link (屯門至赤鱗角連接路) to link up Shenzhen and the Hong Kong International Airport, the \_\_\_\_\_ of Hong Kong will increase.

- (1) employment
- (2) actual GDP
- (3) potential GDP

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/27

Country A is an oil-importing country. Which of the following will result in a rightward shift of its short-run aggregate supply curve?

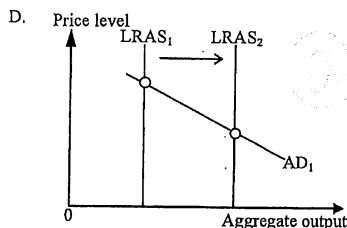
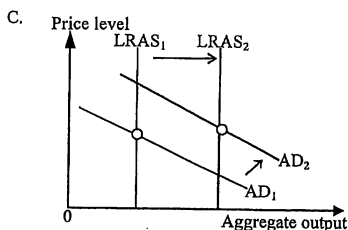
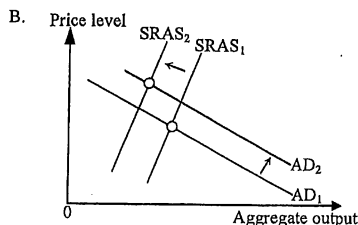
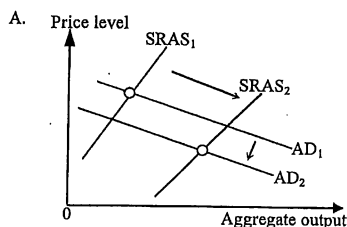
- A. All oil-exporting countries decide to increase the daily production of oil.
- B. Extreme cold weather sharply raises the consumption of oil for heating in Country A.
- C. The government of Country A provides tax relief for research in new energy aiming to lessen the reliance on oil.
- D. An earthquake destroys an oil refinery factory in Country A.

2019/DSE/I/38

The government carried out the following two policies:

|             |                                                                                         |
|-------------|-----------------------------------------------------------------------------------------|
| Policy one: | Reduce the profits tax rate for corporations with profit less than two million dollars. |
| Policy two: | Inject fifty billion dollars to develop innovation and technology.                      |

Which of the following AD-AS diagrams could most likely show the effect on aggregate output caused by the above two policies?



2020/DSE/I/27

Which of the following is a reason for a leftward shift of the short run aggregate supply curve in a country?

- A. There is a continuous increase in price level.
- B. The largest market of the country's exports suffers from an economic recession.
- C. More citizens emigrate to foreign countries.
- D. The wages of labour slowly adjust downward due to institutional factors.

2020/DSE/I/35

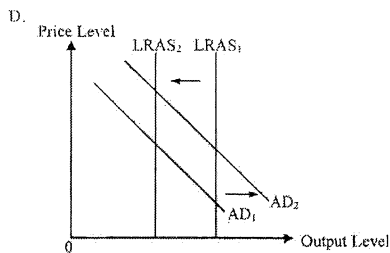
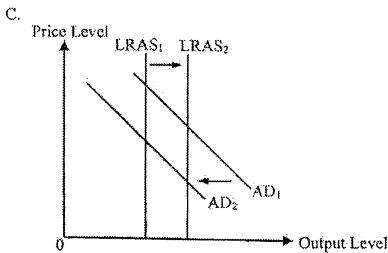
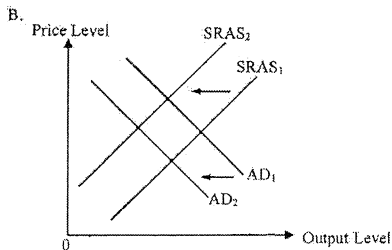
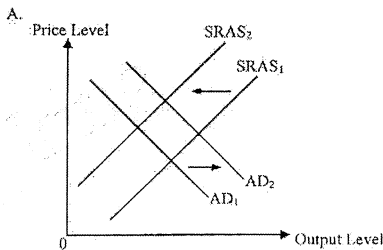
Which of the following policies would offset the effect of an increase in the willingness to invest on the price level?

- (1) an increase in profits tax rate
  - (2) an increase in transfer payment
  - (3) a decrease in tax allowance
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2021/DSE/I/36

Due to the COVID-19 outbreak, most of the flights were cancelled, leading to a significant drop in the number of tourists visiting Hong Kong. At the same time, many employees in Hong Kong were forced to take no pay leave.

Which of the following diagrams can best describe the consequence of the above incidents?



2022/DSE/I/28

Which of the following will result in a leftward shift of the short run aggregate supply curve?

- A. The general price level falls.
- B. The stock market becomes more volatile.
- C. There is a decrease in birth rate.
- D. The transportation cost of raw materials rises.

**2022/DSE/II/37**

Which of the following may lead to a rise in aggregate output and an improvement in equity in Hong Kong at the same time?

- (1) a charity fund donating HK\$10 billion to set up non-governmental organisations in order to provide services for the underprivileged
  - (2) a cash payout of HK\$10 000 to each permanent resident aged 18 or above by the Government
  - (3) a 1% reduction in the standard tax rate of salaries tax
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

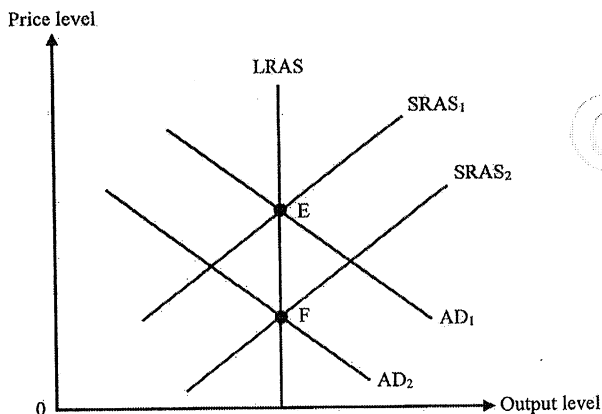
**2023/DSE/I/28**

Suppose there is a fall in the national income of a country's major trading partner. Which of the following would offset its effect on the aggregate output of the country?

- A. The government increases the amount of tax rebate on salaries tax.
- B. The government imposes stricter quarantine requirements for inbound travellers.
- C. Firms become pessimistic about the economic prospect of the country.
- D. Landlords raise the rent of their office and retail premises.

**2023/DSE/I/30**

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of an economy. The economy initially operates at point E.



Which of the following will result in a change in the long run equilibrium point from E to F?

- A. Households' desire to save increases.
- B. Prices of factor inputs decrease.
- C. The government offers more retraining programmes to workers.
- D. The required reserve ratio decreases.

**2025/DSE/I/37**

In an economy, a large number of workers migrate overseas together with their family members. In the short run, the price level of the economy \_\_\_\_\_ and its real output \_\_\_\_\_.

- A. will rise ..... will fall
- B. will fall ..... may rise or fall
- C. may rise or fall ..... will fall
- D. may rise or fall ..... may rise or fall

Short & Structured Questions

1990/CE/I/3/(b)(i)

Explain how a depreciation of the Hong Kong dollar might lead to a higher inflation rate in Hong Kong. (6 marks)

1990/CE/I/05(b)(ii)

Suppose the Hong Kong government adopts the following tax policies:

Policy A: introducing a 3% sales tax on all commodities

Policy B: cutting down the standard tax rate by 3%

Explain how **EACH** of the above policies affects the general price level. (6 marks)

1992/CE/I/5(c)

It has now been decided that a new airport will be built at Chek Lap Kok

(ii) What is meant by inflation? (2 marks)

(iii) Explain briefly how the construction of the new airport might cause inflation in Hong Kong. (4 marks)

1994/CE/I/10(a)(ii)

A government borrows a large sum of money from foreign countries and spends it on infrastructure. State the benefits of the increase in government spending on the local construction workers and the economy as a whole. (4 marks)

1995/CE/I/9(c)

The World Cup of 1994 was held in the USA. People from all over the world went to the US to watch the matches.

(i) Name any **TWO** demand side factors affecting national income. (2 marks)

(ii) The holding of the World Cup was favourable to the gross domestic product (GDP) of the US. Explain this by referring to the **TWO** demand side factors you mentioned in (c)(i). (6 marks)

1996/CE/I/12(c)

The government has organised a worker retraining programme for the unemployed. Explain, with **ONE** demand side factor and **ONE** supply side factor, the effect of such a programme on Hong Kong's GDP. (5 marks)

1997/CE/1/9(d)(i)

Suppose a general sales tax is introduced to finance the construction of the new railway. Explain the effect of this tax on Hong Kong's price level. (2 marks)

2004/CE/1/10(c)

To lessen the negative effect of SARS on our economy, the government partially rebated the salaries tax to taxpayers. Explain how the tax rebate could lead to an increase in the GDP of Hong Kong. (4 marks)

2005/CE/1/11(a)

Two measures included in the Closer Economic Partnership Arrangement or 'Cepa' are:

- I. Zero tariff on 90% of Hong Kong-made products to the Chinese mainland
- II. Faster / easier market entry to the Chinese mainland for Hong Kong-based service providers in 18 service sectors

As a result, overseas companies not based in Hong Kong can take advantage of Cepa by partnering with a Cepa-qualified manufacturer or service provider in Hong Kong.

Source : Hong Kong SAR Government, 8 January 2005

Explain, separately, how the above two measures would affect the gross domestic product of Hong Kong. (5 marks)

2007/CE/1/8(b)(ii)

The universities in Hong Kong do not only admit local students. Since last year, these universities have begun to admit a large number of top-quality Mainland students. Suppose all students pay the same tuition fees. Suppose these top-quality Mainland students stay and work in Hong Kong after their graduation and the total number of job positions in Hong Kong remains unchanged.

Give **TWO** reasons to explain how this situation would lead to an increase in the potential gross domestic product of Hong Kong. (2 marks)

2009/CE/1/10(a)

The direct cross-strait flights (兩岸直航) between mainland China and Taiwan introduced in 2008 facilitate the trading activities between these two places.

The GDP of Taiwan would probably increase with the introduction of the direct cross-strait flights. With reference to **TWO** demand-side factors, explain why there is such a possibility. (4 marks)

2010/CE/1/9(c)

Ocean Park Hong Kong is undergoing a major redevelopment plan. Ocean Park will expand to double the number of its attractions. In addition, Ocean Park is planning three themed hotels (the Spa Hotel, Ocean Hotel, and Fisherman's Wharf Hotel) in the area for an expected increase in visitors.

For each of the following situations explain your answer with reference to **ONE** demand-side factor. Why would the above expansion increase the gross domestic product (GDP) of Hong Kong

(i) during the construction period? (2 marks)

(ii) after the completion of the construction? (2 marks)



2019/DSE/II/10

The following table shows the changes in the individual income tax system in China effective from October 2018.

| Average tax rate | Range of monthly taxable income, in Renminbi (RMB) |                             |
|------------------|----------------------------------------------------|-----------------------------|
|                  | Old brackets                                       | New brackets                |
| 3%               | Less than or equal to 1 500                        | Less than or equal to 3 000 |
| 10%              | 1 501 – 4 500                                      | 3 001 – 12 000              |
| 20%              | 4 501 – 9 000                                      | 12 001 – 25 000             |
| 25%              | 9 001 – 35 000                                     | 25 001 – 35 000             |
| 30%              | 35 001 – 55 000                                    | Unchanged                   |
| 35%              | 55 001 – 80 000                                    | Unchanged                   |
| 45%              | Greater than 80 000                                | Unchanged                   |

- (b) Suppose there is a deflationary (output) gap in China economy. With the aid of an AS-AD diagram, explain how the above change of the individual income tax system would affect the deflationary (output) gap in the short run. (7 marks)
- (c) To achieve the same effect on the deflationary (output) gap as in part (b), an economist suggested the government should lower the required reserve ratio of banks instead of implementing the above change in tax system. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

2020/DSE/II/9D

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

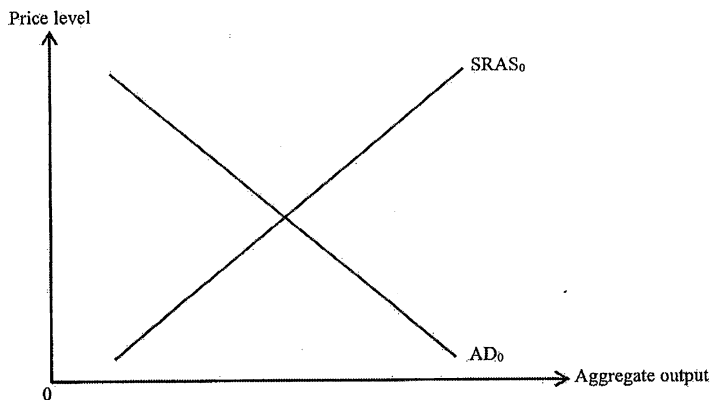
- (d) The contribution of the infrastructure development of Ocean Park to Hong Kong's GDP in 2019 could be smaller than the total amount invested in the two hotels and the water park. Explain why the statement may be correct with **TWO** reasons. (4 marks)

2023/DSE/II/7b

There exists a deflationary (output) gap in a country.

- (b) To attract travellers, the government relaxes the quarantine requirements for inbound tourists. With the aid of Figure 1, explain how the deflationary (output) gap would be affected. (5 marks)

**Figure 1**



## 6.2 LONG RUN AND SHORT-RUN EQUILIBRIUM

### Multiple Choice Questions

1994/AL/II/9

The existence of a deflationary gap indicates that

- (1) the equilibrium income is below the full employment income.
- (2) a surplus budget should be used to eliminate the gap.
- (3) the economy has insufficient aggregate demand to achieve full employment.
- (4) the real income is smaller than the nominal income.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1997/AL/II/21

Which of the following policies can be used to offset the effect of an increase in the saving of the households on the national income of an economy?

- A. an increase in the tax rate.
- B. a decrease in money supply.
- C. sales of government bonds by the central bank.
- D. a cut on the required reserve ratio of the banking sector.

1999/AL/II/4

The existence of an inflationary gap indicates that

- A. there is a gap between the actual inflation rate and the expected inflation rate.
- B. there is a gap between real income and nominal income, and the gap is caused by inflation.
- C. there is excess demand for aggregate output at the full employment level of income, which therefore falls short of the equilibrium level of income.
- D. All of the above.

2000/AL/II/20

Which of the following can raise the employment level of an economy?

- (1) export promotion
- (2) increase in foreign investment in the economy
- (3) reduction in the income tax rate

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2001/AL/II/14

Suppose country A and country B trade with each other and the imports of each country are a function of its own national income. If there is an increase in investment expenditure in country A, then

- A. the national income of both country A and country B will increase.
- B. the national income of country A increases but the national income of country B remains unchanged.
- C. the national income of country A increases but the national income of country B may either increase or decrease.
- D. the national income of each country may either increase or decrease.

2012/AL/II/30

With the existence of a deflationary gap

- A. real income is lower than nominal income.
- B. the economy has a rising deflation rate.
- C. the economy has insufficient aggregate demand to achieve full employment.
- D. the government can employ a surplus budget to eliminate the gap.

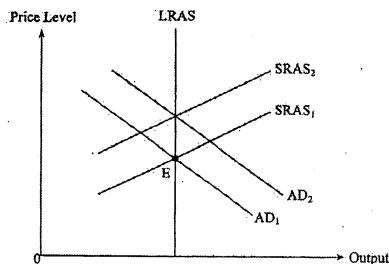
2012/DSE/I/25

Which of the following will lead to a decrease in aggregate demand?

- A. a rise in private saving
- B. a rise in investment expenditure
- C. a fall in imports
- D. a fall in the progressivity of income tax

2012/DSE/I/26

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of a country. Point E is the initial equilibrium point.



When there is an economic recovery in the country's major trading partner, \_\_\_\_\_ in the short run and \_\_\_\_\_ in the long run.

- A. AD<sub>1</sub> will shift to AD<sub>2</sub> ..... SRAS<sub>1</sub> will shift to SRAS<sub>2</sub>
- B. AD<sub>1</sub> will shift to AD<sub>2</sub> ..... AD<sub>2</sub> will shift back to AD<sub>1</sub>
- C. SRAS<sub>1</sub> will shift to SRAS<sub>2</sub> ..... AD<sub>1</sub> will shift to AD<sub>2</sub>
- D. SRAS<sub>1</sub> will shift to SRAS<sub>2</sub> ..... SRAS<sub>2</sub> will shift back to SRAS<sub>1</sub>

2012/DSE/I/34

Suppose the government spends \$3 billion on the construction of a cruise terminal which is financed from its reserves. This will result in

- (1) an increase in aggregate output in the short run.
  - (2) an increase in aggregate output in the long run.
  - (3) an increase in employment in the short run.
  - (4) a budget deficit in the years of construction.
- A. (1) and (3) only
  - B. (2) and (4) only
  - C. (1), (2) and (3) only
  - D. (1), (3) and (4) only

2012/DSE/I/36

Which of the following can offset the effect of a decrease in income tax rate on aggregate demand?

- A. a decrease in the asset demand for money
- B. a decrease in the desire to import
- C. an increase in the desire to invest
- D. an increase in the required reserve ratio

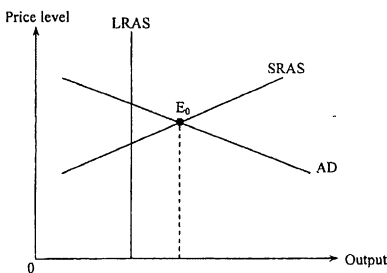
2013/DSE/I/23

The aggregate demand curve will shift to the right if

- A. there is a fall in the price level
- B. there is an improvement in technology
- C. the government reduces the import tariff
- D. the government reduces the salaries tax rate

2013/DSE/I/24

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curve and the long run aggregate supply (LRAS) curve of an economy.

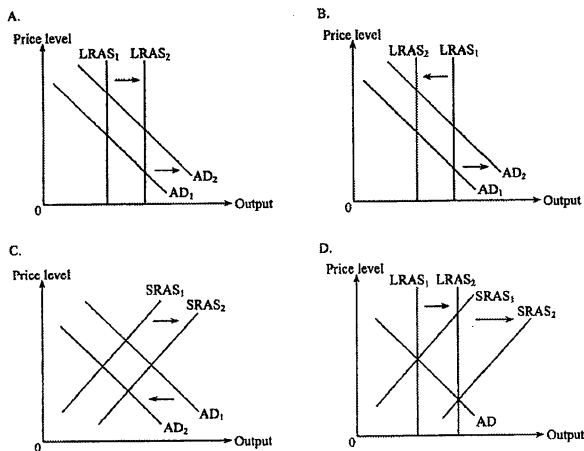


Suppose initially the economy operates at  $E_0$ . There is a/an \_\_\_\_\_ and \_\_\_\_\_ can help restore the long run equilibrium.

- A. inflationary (output) gap ..... a rise in transfer payments to the poor
- B. inflationary (output) gap ..... a rise in the discount rate
- C. deflationary (output) gap ..... a rise in transfer payments to the poor
- D. deflationary (output) gap ..... a rise in the discount rate

2013/DSE/I/29

Suppose the government greatly increases the tax allowance on continuing education. Which of the following can best explain the effect of the above change on the price and output levels?

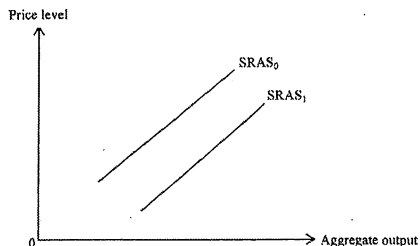


2013/DSE/I/30

If there is a decrease in the desire to consume, the net exports of an economy will \_\_\_\_\_ and the amount of money held for transaction purposes will \_\_\_\_\_.

- A. decrease ..... decrease
- B. decrease ..... remain constant
- C. increase ..... increase
- D. increase ..... decrease

2014/DSE/I/27



Refer to the above diagram. Which of the following would most likely lead to the shift of the short run aggregate supply curve from  $SRAS_0$  to  $SRAS_1$ ?

- A. to relax the quota for foreign domestic helpers
- B. to reduce the subsidy in research and development
- C. to increase the profits tax rate
- D. to increase the number of places in tertiary education

2014/DSE/I/28

Old Age Living Allowance (長者生活津貼) introduced by the Hong Kong government increases the \_\_\_\_\_ in GDP and results in a \_\_\_\_\_ shift of the aggregate demand curve.

- A. government consumption expenditure ..... rightward
- B. government consumption expenditure ..... leftward
- C. private consumption expenditure ..... rightward
- D. private consumption expenditure ..... leftward

2014/DSE/I/29

If there is a decrease in national income of a major trading partner of an economy, the employment of the economy will \_\_\_\_\_ and the price level will \_\_\_\_\_ in the short run.

- A. increase ..... increase
- B. increase ..... decrease
- C. decrease ..... increase
- D. decrease ..... decrease

2014/DSE/I/34

Deflationary (output) gap

- A. will be widened when there is a depreciation of the domestic currency.
- B. will be eliminated by a rightward shift of the aggregate demand curve when the market adjusts from short run equilibrium to long run equilibrium.
- C. will result in a downward pressure on the prices of inputs.
- D. will exist if the aggregate demand falls short of the short run aggregate supply.

2014/DSE/I/35

Which of the following policies can the government introduce to reduce the price and unemployment levels at the same time?

- A. to raise the discount rates
- B. to raise the subsidies to small and medium-sized enterprises
- C. to raise the salaries tax rate
- D. to raise the expenditure on social welfare

2014/DSE/I/38

Which of the following government policies will lead to an increase in the aggregate output of a country in the long run?

- (1) to tighten regulations on environmental protection
  - (2) to grant an amnesty (特赦) to illegal immigrants
  - (3) to ban the importation of foreign domestic helpers
  - (4) to build more international schools for attracting expatriates to work in the country
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

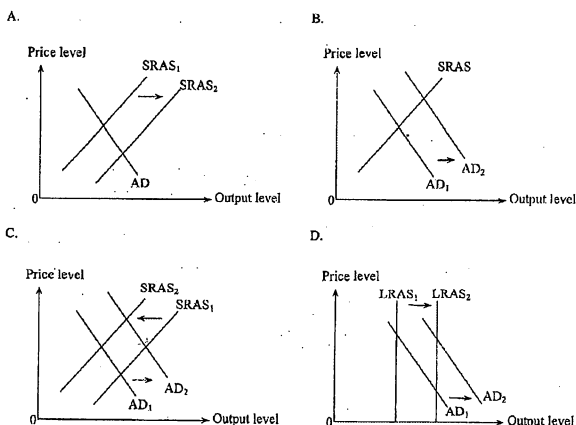
2015/DSE/I/26

Which of the following will result in a rightward shift of the aggregate demand curve of a country?

- A. The central bank reduces the discount rate.
- B. The minimum wage rate is increased.
- C. The general price level decreases.
- D. Its trading partners suffer from an economic recession.

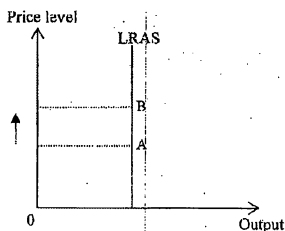
2015/DSE/I/27

The government provides cash subsidies for new-born children from their birth to age 10. Which of the following diagrams best illustrates the effect of the subsidies on the economy after twenty years?



2015/DSE/I/37

Refer to the following aggregate supply diagram.



When the economy moves from point A to point B, which of the following will NOT change?

- (1) real output
  - (2) nominal output
  - (3) potential output
- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

2015/DSE/I/38

Initially an economy operates at the long-run equilibrium. Which of the following will lead to a deflationary (output) gap in the economy?

- A. The government increases the salaries tax rate.
- B. The government reduces the profits tax rate.
- C. The government invests in the construction of a cross-border express raillink.
- D. The central bank reduces the required reserve ratio.

2015/DSE/I/39

In an economy with severe inflation and income inequality, the government can lower the price level and reduce the income gap by

- A. increasing the environmental tax on handling household sewage.
- B. increasing the salaries tax and its progressivity.
- C. reducing its spending on social welfare.
- D. reducing the personal allowance of the salaries tax.

2016/DSE/I/26

The aggregate demand of a country will drop if

- A. the price level of the country rises.
- B. the currency of its major trading partner appreciates.
- C. the government spending on social welfare rises.
- D. the required reserve ratio rises.

2016/DSE/I/27

If the government builds new infrastructures, there will be an increase in

- (1) employed population during the construction period.
- (2) the price level during the construction period.
- (3) potential output after the construction is completed.
- (4) the price level after the construction is completed.

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (3) only
- D. (1), (2), (3) and (4)

2016/DSE/I/28

The 'multiple entry permit' (一簽多行) for the permanent Shenzhen residents to visit Hong Kong has been replaced by a 'one trip per week cap' (一週一行). This would reduce Hong Kong's \_\_\_\_\_ and \_\_\_\_\_.

- A. aggregate demand ..... output level in the long run
- B. aggregate demand ..... price level in the long run
- C. short-run aggregate supply ..... output level in the short run
- D. long-run aggregate supply ..... output level in the long run

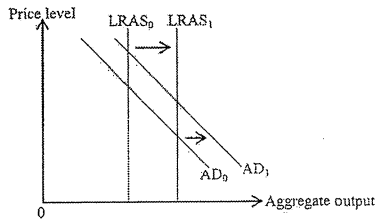
2017/DSE/I/28

The aggregate demand curve of Hong Kong will shift to the left if

- A. the implicit GDP deflator rises continuously.
- B. the government raises the retirement age of all civil servants.
- C. the number of tourists from the Mainland decreases.
- D. the Mainland stock market booms.



2017/DSE/I/29



The diagram above shows the aggregate demand curves and long run aggregate supply curves of an economy. Which of the following best explains the above changes?

- A. a decrease in people's desire to save
- B. an enhancement in production technology
- C. an increase in national income of the economy's trading partners
- D. an increase in government subsidy on private research and development

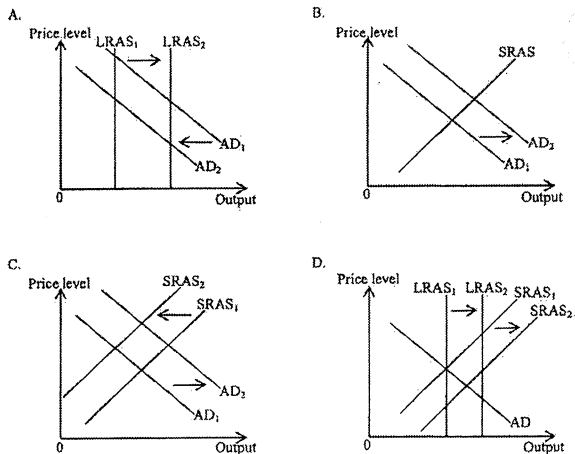
2017/DSE/I/37

Which of the following policies would most likely lead to a drop in aggregate output?

- A. The government bought bonds from the public and raised the tax allowance at the same time.
- B. The government sold bonds to the public and reduced transfer payment to the poor at the same time.
- C. The government reduced required reserve ratio and raised the progressivity of income tax at the same time.
- D. The government increased the discount rate and lowered profits tax rate at the same time.

2017/DSE/I/40

In his 2016-17 Budget, the Financial Secretary proposed to waive business registration fees for 2016-17. At the same time, the personal basic tax allowance was raised from \$120 000 to \$132 000. Which of the following best illustrates the effect of the above changes on the price and output levels?



2018/DSE/I/26

The short run aggregate supply curve will shift to the right if

- A. the government relaxes the importation quota of foreign workers.
- B. the government increases the profits tax rate.
- C. the central bank sells government bonds to the public.
- D. there is an increase in the price level.

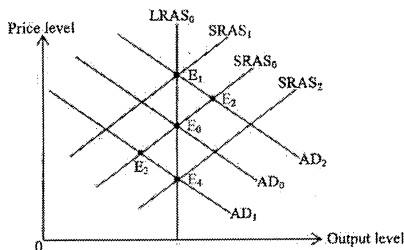
2018/DSE/I/27

Which of the following will lead to an increase in both price level and aggregate output in the short run?

- A. There is an improvement in production technology.
- B. There is an increase in the oil price.
- C. There is a decrease in money supply.
- D. There is a decrease in the desire to save.

2018/DSE/I/28

The diagram below shows the aggregate demand (AD) curves, short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of an economy. The economy initially operates at  $E_0$ .



If the government gives \$10 000 cash to every citizen every year, the short-run equilibrium will be at \_\_\_\_\_ and the long-run equilibrium will be at \_\_\_\_\_.

- A.  $E_2$  .....  $E_0$
- B.  $E_2$  .....  $E_1$
- C.  $E_3$  .....  $E_0$
- D.  $E_3$  .....  $E_4$

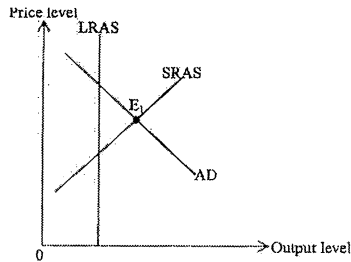
2018/DSE/I/38

Suppose there is a reduction in the basic allowance of the salaries tax in an economy. Which of the following can offset its effect on aggregate demand?

- A. People's desire to save increases.
- B. The price level decreases.
- C. The central bank carries out an open market sale of government bonds.
- D. The required reserve ratio in the banking system decreases.

2018/DSE/I/39

Refer to the AS-AD diagram below.

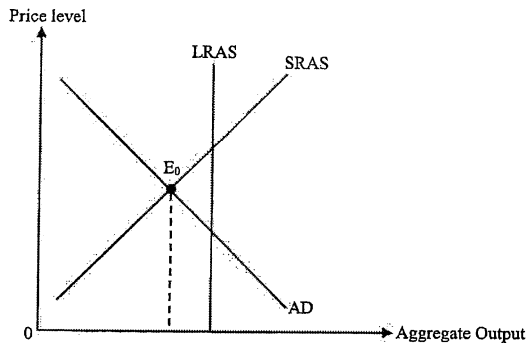


The economy operates at  $E_1$  initially. Which of the following can help the economy restore to the long run equilibrium

- (1) to reduce the subsidies to small enterprises
  - (2) to increase the required reserve ratio
  - (3) to reduce the discount rate
  - (4) to reduce property tax
- A. (1) and (2) only
  - B. (3) and (4) only
  - C. (1), (2) and (3) only
  - D. (2), (3) and (4) only

2020/DSE/I/36

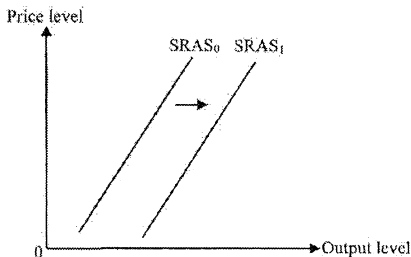
The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy.



Suppose the economy initially operates at  $E_0$  and the total import value equals to the total export value. If the government decreases the amount of social security assistance for the elderly, in the short run, the deflationary (output) gap will become \_\_\_\_\_ and there will be a \_\_\_\_\_.

- A. narrower.....trade surplus
- B. narrower.....trade deficit
- C. wider ..... trade surplus
- D. wider.....trade deficit

2021/DSE/I/27

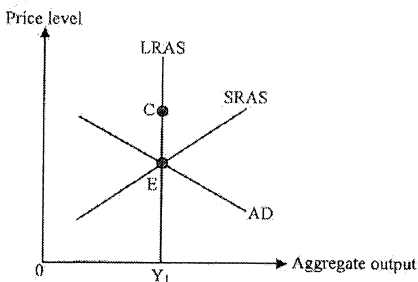


Which of the following is a possible reason of the above shift of the short run aggregate supply curve?

- A. The cost of production increases due to an increase in global demand for oil.
- B. The profitability of firms increases with the rise in price level, since the difference between output prices and input prices increases.
- C. An increase in interest rate leads to an increase in cost of investment.
- D. The operation of labour market resumes to normal after a massive labour strike.

2021/DSE/I/28

Study the following diagram.



The initial equilibrium point of an oil importing country is at E. If the new long run equilibrium point is at C, which of the following is a possible reason for the change in the equilibrium point?

- A. There is an increase in oil prices.
- B. There is a decrease in production subsidy.
- C. The public tends to save less.
- D. The government increases the salaries tax rate.

**2022/DSE/I/29**

A country relaxed its immigration requirements to attract foreigners to work, live and study there. It is estimated that 200 000 foreigners will be settling there this year. Which of the following statements about the relaxation of immigration requirements is correct?

- (1) The aggregate demand of the country will rise.
- (2) The labour productivity of the country will rise.
- (3) The short run aggregate supply of the country will rise.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

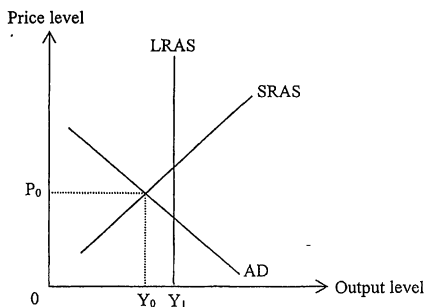
**2022/DSE/I/36**

Which of the following will widen the deflationary (output) gap of a country?

- A. Its trading partners experience an economic recovery.
- B. Credit cards are more widely used.
- C. There is a decrease in transfer payment.
- D. The central bank prints more money.

**2022/DSE/I/38**

Study the following diagram.

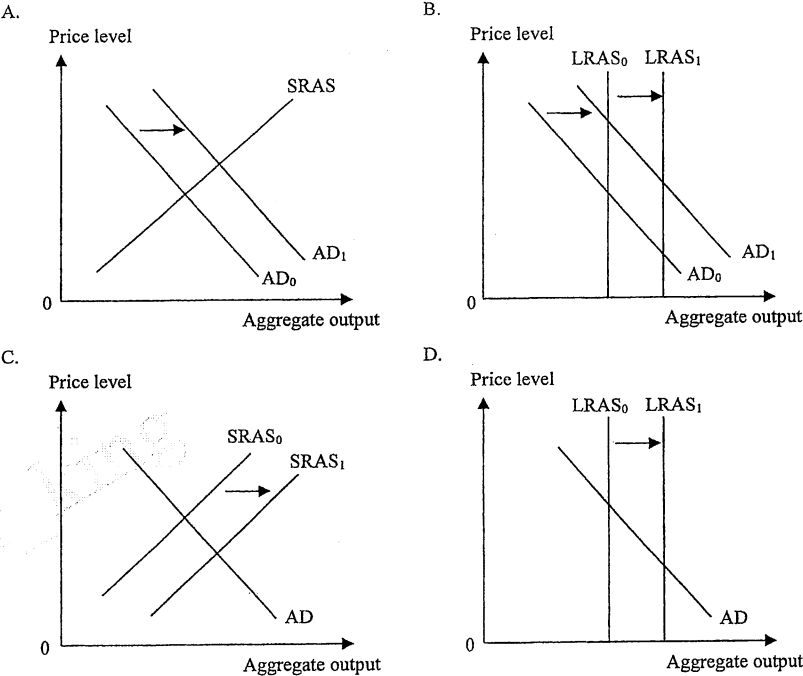


The initial output level of the economy is  $Y_0$ . Suppose scientists have invented a new oil-refining technology. In the long run,

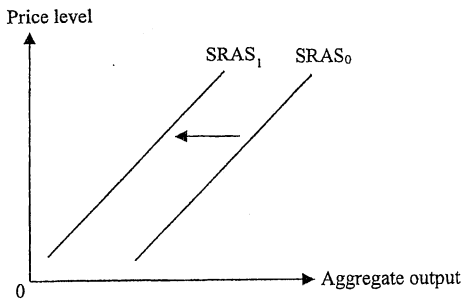
- (1) the price level will be lower than  $P_0$ .
- (2) the output level will be higher than  $Y_1$ .
- (3) the aggregate demand curve will shift to the right to attain equilibrium.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Suppose a large number of highly skilled foreign talents have been admitted to live and work in Hong Kong. Which of the following diagrams best illustrates the effects on Hong Kong's economy?



The following diagram shows the short run aggregate supply (SRAS) curves of a country.

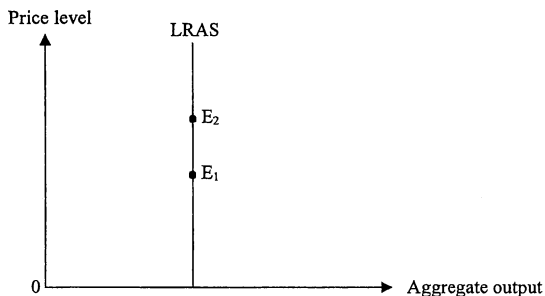


Which of the following is a possible reason for the above shift of the SRAS curve from SRAS<sub>0</sub> to SRAS<sub>1</sub>?

- A. The government of the country provides subsidies to the core technology industries.
- B. The currency of the country appreciates against that of its trading partners.
- C. A large-scale hill fire occurs in the country and leads to massive destruction of production facilities.
- D. The central bank of the country raises the money supply.

2025/DSE/I/28

The diagram below shows the long run aggregate supply curve of a country.



Which of the following would result in a change in the long run equilibrium point from  $E_1$  to  $E_2$ ?

- A. The production of the country is disrupted by extreme weather.
- B. The infrastructure of the country is improved by a government construction project.
- C. There is a persistent increase in the price level.
- D. Households' desire to save decreases.

2025/DSE/I/29

Which of the following can explain why a long run aggregate supply curve is vertical?

- (1) Input prices can be perfectly adjusted in the long run.
- (2) Firms are unable to adjust their output levels in the long run.
- (3) Technological level is not constant in the long run.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

2025/DSE/I/30

When the short run aggregate output exceeds the full-employment output level, \_\_\_\_\_.

- A. an increase in the required reserve ratio by the central bank may help bring the aggregate output back to the full-employment output level
- B. the aggregate output would fall back to the full-employment output level due to a decrease in aggregate demand through the market adjustment mechanism
- C. there would be an excess supply in the factor market
- D. the full-employment output level would increase until it is equal to the short run aggregate output

## Short & Structured Questions

2012/DSE/II/10(c)

In 2011, the Financial Secretary announced the “Scheme \$6 000” which provides \$6 000 to each Hong Kong permanent resident who is 18 years old or above.

With the aid of a diagram, explain how the “Scheme \$6 000” would affect the price and output levels of Hong Kong in the long run. (8 marks)

2013/DSE/II/4

- (a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)
- (b) Suppose there is an increase in the price of raw materials. With reference to the market adjustment mechanism from the short run equilibrium to the long run equilibrium, explain the long run effect of the above change on the price level with the aid of Figure 1. (9 marks)

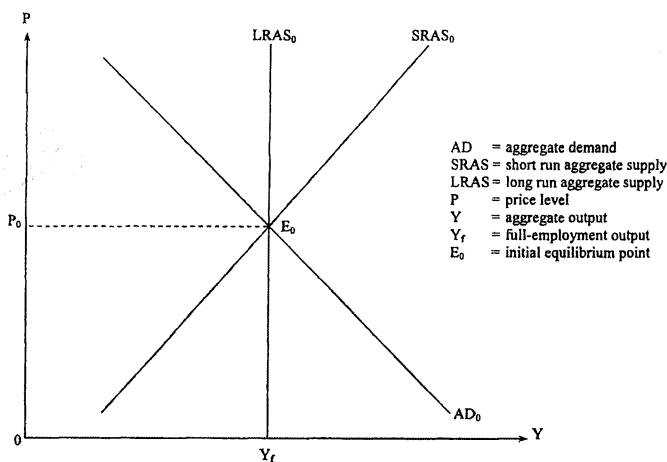


Figure 1

2013/DSE/II/12(c)

With the aid of an aggregate-demand-aggregate-supply diagram, explain the short run effects of an upward adjustment of the required reserve ratio on output and the price level of the economy. (8 marks)

2014/DSE/II/10(b)

Source 2 below is an extract from a newspaper article.

Addressing the potential threat brought about by the trends of the birth rate and old dependency ratio in China, government officials are considering relaxing the one-child policy in an effort to boost the birth rate.

\*The policy restricts urban couples to only one child, while allowing additional children in several cases, including twins, rural couples, ethnic minorities, and couples who are both the only child in their respective families.

With reference to Source 2, discuss the possible effect on the aggregate output in the long run as a result of the relaxation of the one-child policy. (3 marks)



2014/DSE/II/12(c)

The Prime Minister of Japan, Shinza Abe, adopted a series of policy measures in 2013 to expand the Japanese economy. One of the policy measures was stepping up the scale of the purchase of government bonds and other financial assets by the central bank.

What would be the short run effects of the above policy on the output and price levels of the Japanese economy? Explain your answer with the aid of an aggregate-supply-aggregate-demand diagram. (8 marks)

2015/DSE/II/8

The government is considering spending a certain sum of its budget surplus on the following two proposals:

Proposal 1: To extend the free education to 15 years

Proposal 2: To provide unemployment benefits

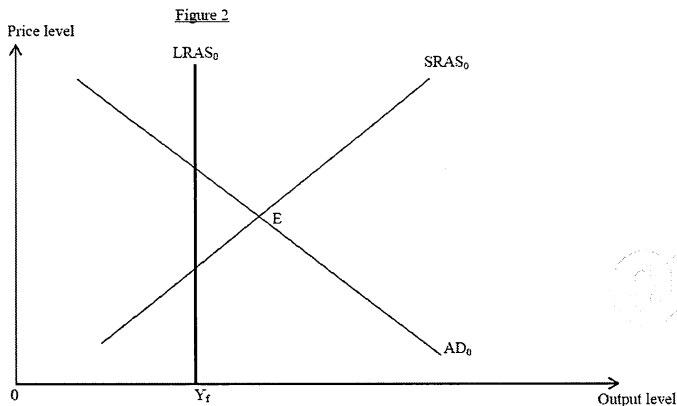
Evaluate the two proposals in terms of the effect on aggregate output.

(4 marks)

2015/DSE/II/12

Research shows that the “Individual Visit Scheme” of mainland tourists has brought economic benefits to Hong Kong.

An economist uses the AS-AD model to analyse the current situation in Hong Kong. In his analysis, point E in Figure 2 represents the initial short-run equilibrium of the Hong Kong economy.



- (b) He points out that the government can help the economy restore to its long-run equilibrium. With the aid of Figure 2, explain how the reduction in the number of tourists from the mainland can lower the output level to  $Y_f$ . (5 marks)
- (c) He also states that even without the help of the government, market forces can restore the economy to its long-run equilibrium. **WITHOUT** using a diagram, explain how market forces can lower the output level to  $Y_f$  in the long run. (4 marks)

2016/DSE/II/5

Explain, with **ONE** reason, why the short-run aggregate supply curve is upward-sloping.

(3 marks)

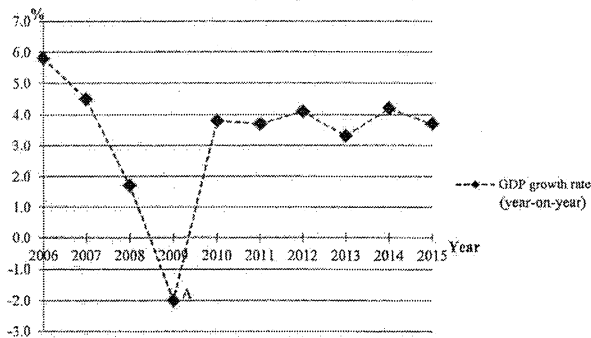
2016/DSE/II/12(b)

The Macau government implements a cash-sharing scheme, under which every resident receives cash from the government.

With the aid of an AS-AD diagram, explain how the cash-sharing scheme would affect output and price levels in the short run. (6 marks)

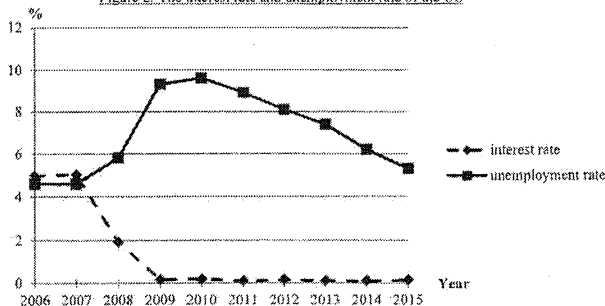
Figures 1 and 2 show some macroeconomic data of the US.

Figure 1: GDP growth rate of the US



- (a) Refer to Figure 1, Identify the phase of business cycle which point A is in. (1 mark)
- (b) How may a reduction in interest rate help the US economy in 2009? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand. (3 marks)

Figure 2: The interest rate and unemployment rate of the US



- (c) Discuss whether the data in Figures 1 and 2 are consistent with your answer in (b). (4 marks)
- (d) Suggest ONE policy that will help increase the aggregate output in the long run. Briefly explain your answer. (2 marks)

2017/DSE/II/12(b)

Before the British people voted against staying in the European Union (EU), i.e. Brexit, workers from the EU were free to work in Britain and vice versa. Brexit has shocked the economies in Europe and the following table shows some views on Brexit:

British politicians : Low-skilled EU workers should be required to apply for a visa to work in Britain.

British firm owners : The new visa requirement for EU workers affects most of the firms in the British economy.

Global investors : Political uncertainty in Britain increases the risk of investment projects there.

Referring to the views of the British firm owners and global investors, discuss the effect of Brexit on the aggregate output of Britain in the short run with the aid of a diagram. (8 marks)

2017/DSE/II/13(b)

To finance the scheme, there are different proposals which include:

Proposal A: increase the standard tax rate and the progressivity of salaries tax

Proposal B: use the fiscal reserves in the government

Discuss the effects of these two proposals on economic variables which include

(i) aggregate output

(4 marks)

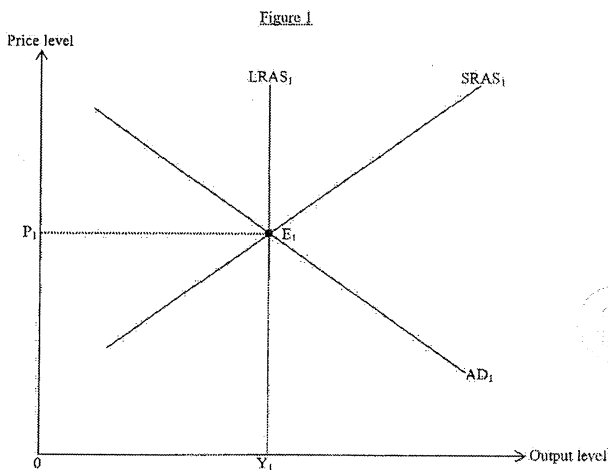
2018/DSE/II/9

The Express Rail Link (XRL) project (Hong Kong Section) is expected to be completed in 2018. It will shorten the estimated journey time between Hong Kong and various Mainland cities. Below are some opinions on the XRL project.

Government officials : With better infrastructure, the overall economic development of Hong Kong will be enhanced.

Small medium enterprise owners : We expect that the XRL could bring more Mainland travellers to Hong Kong.

Suppose the Hong Kong economy operates at  $E_1$ . With reference to the above opinions, show why the price level of Hong Kong may rise in the long run after the completion of XRL project in Figure 1. (3 marks)



2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 -25 are also required to join the military force for 2 years.

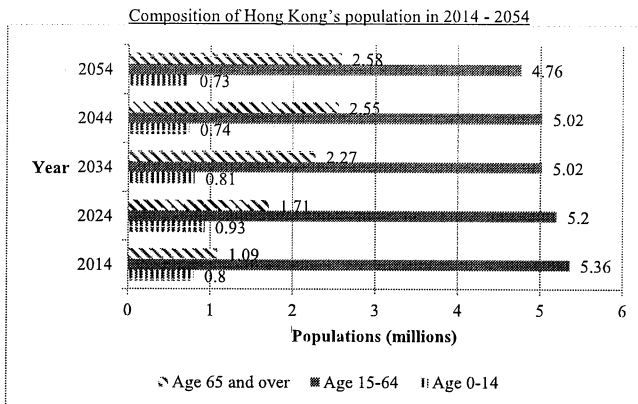
In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's aggregate output in the short run.

(3 marks)

2018/DSE/II/13(a)(i)

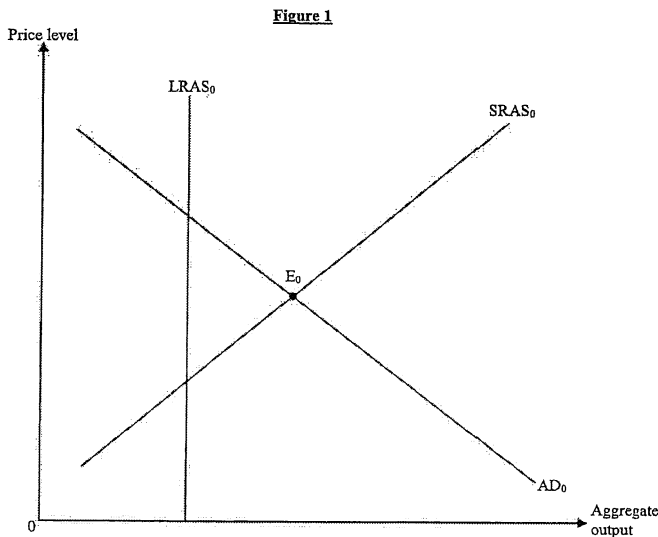
The source below shows Hong Kong's population projection.



With reference to the above source, briefly discuss the possible effects of the change in composition of population on potential output in the future. (3 marks)

2020/DSE/II/6

Refer to Figure 1.



Suppose an economy initially operates at E<sub>0</sub>. With the aid of Figure 1, explain how market forces can restore the aggregate output level to the full-employment output level in the long run. (5 marks)

2020/DSE/II/9B

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

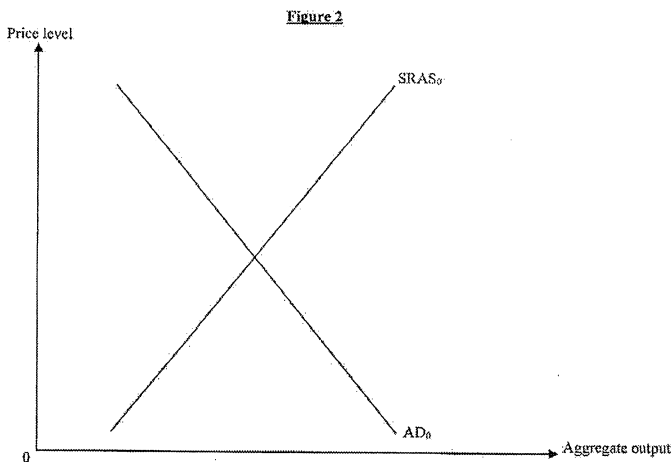
The first hotel in Ocean Park was launched in 2018 while the second hotel and the water park were scheduled to be opened before 2021. It is expected that such infrastructure development can attract more tourists to stay longer in Hong Kong.

- (b) Other things being equal, what will be the effects of the infrastructure development on Hong Kong's aggregate demand and long run aggregate supply in the future? How about on aggregate output? Explain your answers with the aid of a diagram.

(8 marks)

2021/DSE/II/11

There exists a deflationary (output) gap in Country F.



- (a) Define deflationary (output) gap and show the gap in Figure 2.

(2 marks)

- (b) A natural disaster has struck Country F. A large number of factories have closed down temporarily. Many people have lost their jobs and become pessimistic about their future.

With the aid of Figure 2, explain why the natural disaster would lead to a wider deflationary (output) gap in Country F.

(7 marks)

- (c) Without using a diagram, explain how the central bank of Country F could use an open market operation to narrow the deflationary (output) gap.

(4 marks)

**2022/DSE/II/9b**

The Mainland government introduced the Targeted Poverty Alleviation Campaign (精準扶貧政策) in 2014.

After analysing the situations of people living in poverty, the government officials came up with tailor-made measures. The following are two examples of the campaign.

|           |                                                                                                                                                                                                                                                                             |
|-----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Example 1 | A village in Yunnan province has beautiful natural landscape. The government of Yunnan province promoted the village to attract more travellers. Apart from farming, the villagers also set up hostels to serve travellers in order to earn more income.                    |
| Example 2 | The government provided funding and invited private firms to develop hydroelectric power plants in six provinces (such as Hubei and Jiangxi). Such development would help improve transportation, irrigation and flood prevention in the rural villages in these provinces. |

- (b) Refer to Example 2. With the aid of a diagram, explain how aggregate output in these six provinces would be affected in the long run. (8 marks)

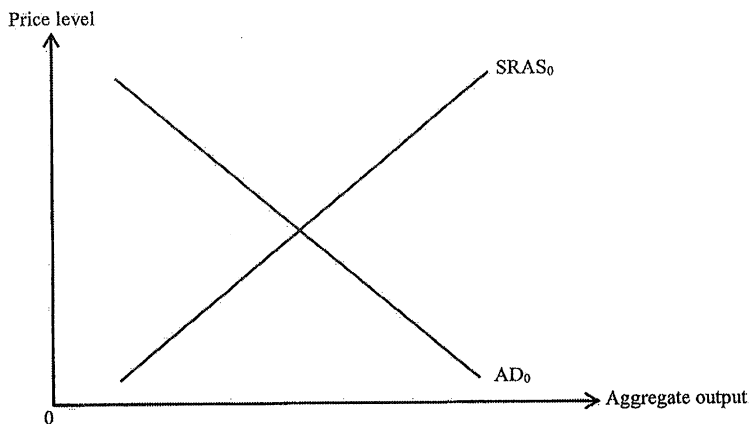
**2023/DSE/II/7**

There exists a deflationary (output) gap in a country.

- (a) Indicate the deflationary (output) gap in Figure 1. (1 mark)

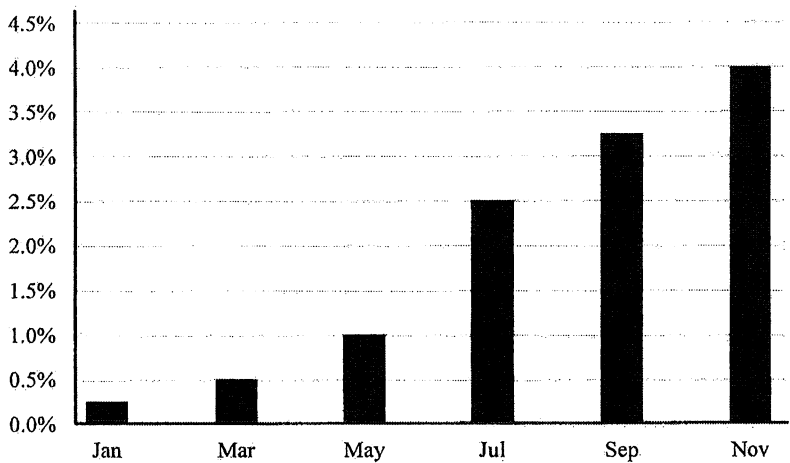
- (b) To attract travellers, the government relaxes the quarantine requirements for inbound tourists. With the aid of Figure 1, explain how the deflationary (output) gap would be affected. (5 marks)

**Figure 1**



Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source D: Discount rate of the Federal Reserve\* of the US from January to November 2022



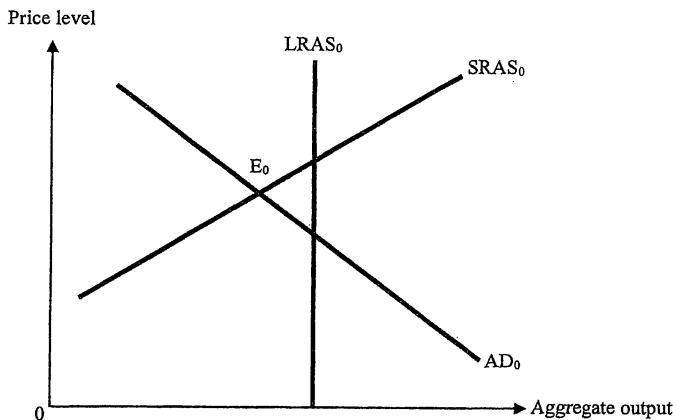
\*Federal Reserve is the central bank of the US.

- (c) Refer to Source D. How may the change in discount rate as shown in the source help relieve the pressure on rising price level? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand.

(5 marks)

Figure 2 shows the aggregate demand (AD), short run aggregate supply (SRAS) and long run aggregate supply (LRAS) curves of an economy.

Figure 2



- (a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)
- (b) Suppose the economy initially operates at  $E_0$ . With the aid of Figure 2, explain how the market adjustment mechanism can restore the aggregate output to the full-employment output level in the long run. (5 marks)

**2024/DSE/II/12(a)**

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

- (a) Suppose a football club in Saudi Arabia constructs a large football stadium there. With the aid of a diagram, explain how Saudi Arabia's aggregate output in the short run will be affected during the construction period of the stadium. (5 marks)



### 6.3 FISCAL BALANCE AND TRADE BALANCE

#### Multiple Choice Questions

1996/AL/II/26

If a country has a trade deficit, a rise in national income will

- A. enlarge the trade deficit.
- B. narrow the trade deficit.
- C. achieve an equilibrium in its balance of payments.
- D. increase the value of net exports.

2003/AL/II/26

Which of the following can explain the co-existence of unemployment, budget deficit and trade deficit?

- A. a fall in consumption expenditure
- B. a fall in investment expenditure
- C. a fall in exports
- D. a fall in government expenditure

2012/DSE/I/31

In an open economy, the government expenditure is equal to tax revenue and the value of exports is equal to the value of imports. If there is an increase in private consumption expenditure, the government will have \_\_\_\_\_ and there will be \_\_\_\_\_

- A. a budget deficit ..... a trade deficit
- B. a budget deficit ..... a trade surplus
- C. a budget surplus ..... a trade deficit
- D. a budget surplus ..... a trade surplus

2013/DSE/I/31

Initially an economy operates at the full-employment equilibrium and the government expenditure equals its tax revenue. Which of the following will result in a coexistence of deflationary (output) gap and budget deficit?

- A. a reduction in taxes
- B. a reduction in money supply
- C. a reduction in government expenditure
- D. a reduction in desire to import

2016/DSE/I/39

Suppose Country A initially operates at the full-employment equilibrium and the fiscal budget of the government is balanced. In the short run, an economic recovery of Country A's trading partners will result in \_\_\_\_\_ and \_\_\_\_\_ of Country A.

- A. an inflationary (output) gap ..... a fiscal surplus
- B. an inflationary (output) gap ..... a fiscal deficit
- C. a deflationary (output) gap ..... a fiscal surplus
- D. a deflationary (output) gap ..... a fiscal deficit

2016/DSE/I/40

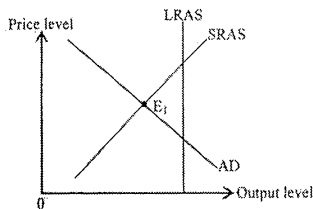
Under which of the following situations may a fiscal deficit and a trade deficit be eliminated at the same time?

- (1) a decrease in nominal interest rate
- (2) a depreciation of the economy's currency
- (3) an increase in income tax

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2017/DSE/I/39

The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy.



Suppose the economy initially operates at  $E_1$  and the total import value equals total export value. If the government decreases the social security assistance to the elderly, in short run, the deflationary (output) gap will be \_\_\_\_\_ and there will be a \_\_\_\_\_.

- A. narrower ..... trade surplus
- B. wider ..... trade deficit
- C. narrower ..... trade deficit
- D. wider ..... trade surplus

2018/DSE/I/36

Suppose a deflationary (output) gap and a fiscal deficit exist in a country. Which of the following would narrow the deflationary (output) gap and reduce the fiscal deficit at the same time?

- A. increasing government expenditure on infrastructure
- B. reducing the profits tax rate
- C. increasing the tax rebate on salaries tax
- D. allowing more tourists to travel to the country visa-free

2019/DSE/I/40

Suppose an inflationary (output) gap and a fiscal surplus exist in an economy. Which of the following measures would help narrow the inflationary (output) gap and attain a balanced fiscal condition at the same time?

- A. reducing quota for inbound tourists
- B. raising income tax rate
- C. adopting a universal retirement protection scheme for all elderly aged 65 or above
- D. increasing government spending on infrastructure

2021/DSE/I/29

The outbreak of COVID-19 results in a significant decline in employment level and the volume of exports of a country.

Which of the following policies can most likely relieve the above two problems?

- A. The central bank reduces the discount rate.
- B. The government distributes cash to citizens aged 18 years old or above.
- C. The government imposes 'employment support scheme' to industries that are adversely affected.
- D. The country devalues its currency against the currencies of its major trading partners.

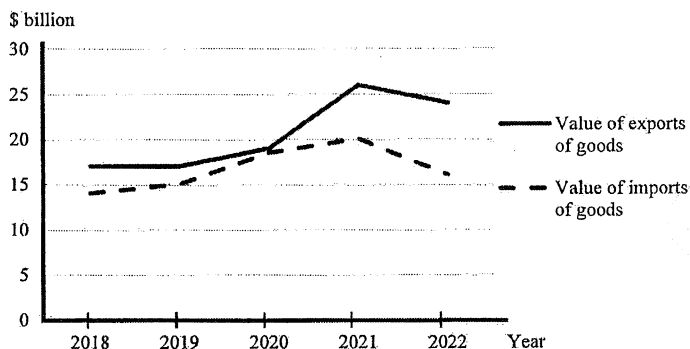
2021/DSE/I/37

Which of the following policies may narrow a deflationary (output) gap and reduce the budget deficit at the same time?

- A. an open market purchase of government bonds
- B. an increase in income tax allowance
- C. a reduction in transfer payment
- D. an increase in required reserve ratio

2023/DSE/I/45

The figure below shows the values of a country's exports and imports of goods from 2018 to 2022.



From year \_\_\_\_\_ to year \_\_\_\_\_, the country had an increase in the value of imports of goods and an increase in visible trade surplus at the same time.

- A. 2018.....2019
- B. 2019.....2020
- C. 2020.....2021
- D. 2021 .....2022

**2025/DSE/I/13**

The supply curve of Good X is vertical and its demand curve is downward-sloping.

Suppose the supply of Good X decreases while the demand for Good X increases. As a result, the equilibrium price of Good X \_\_\_\_\_ and its equilibrium quantity \_\_\_\_\_.

- A. will increase ..... will decrease
- B. will increase ..... may increase, decrease or remain unchanged
- C. will decrease ..... will decrease
- D. will decrease ..... may increase, decrease or remain unchanged

**2025/DSE/I/14**

Good X and Good Y are substitutes. If the cost of production of Good X increases, \_\_\_\_\_.

- (1) the quantity demanded for Good Y decreases
- (2) the quantity supplied of Good Y increases
- (3) the supply of Good Y increases
- (4) the total revenue of Good Y increases

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

**2025/DSE/I/38**

Suppose both a fiscal deficit and a trade deficit exist in an economy. Which of the following may eliminate both the fiscal deficit and the trade deficit at the same time?

- (1) The government imposes tariffs on a wide range of imported goods.
- (2) The government raises the rate of the salaries tax.
- (3) The government devaluates its currency against that of its major trading partners.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

### Short & Structured Questions

2002/AL/II/6

Suppose the Hong Kong economy was initially in full employment with a fiscal budget balance and a trade balance. The economy is currently suffering from problems of unemployment and the 'twin deficits' (i.e., the coexistence of trade deficits and fiscal deficits).

- (a) There explanations, all of which involve a reduction in autonomous spending, have been proposed: (i) a fall in private consumption, (ii) a fall in private investment, (iii) a fall in exports. Evaluate the ability of each of these factors to explain the coexistence of unemployment and the twin deficits. (6 marks)
- (b) As a fourth possibility, is a fall in government expenditure a valid explanation for these three problems? To balance its budget, the government has to find ways to increase its revenue and/or cut its expenditure. Will such fiscal actions help resolve the unemployment and trade deficits problems simultaneously? If not, how will unemployment and trade deficits be affected by such actions? (4 marks)

2006/AL/II/6(a)(i)

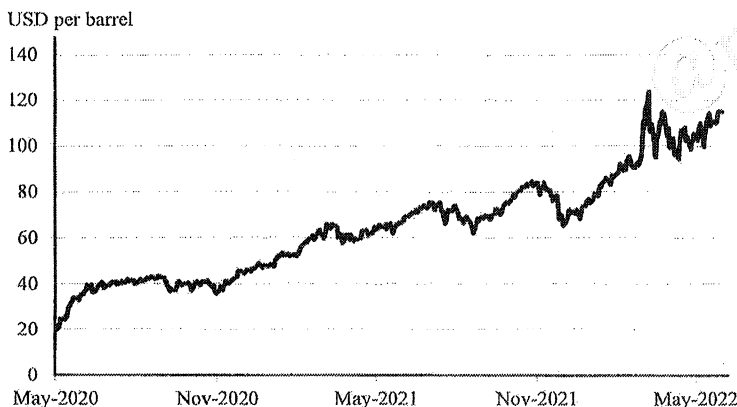
A country running trade deficits against the rest of the world can deal with the problem by either expenditure-reducing policies or expenditure-switching policies. The former involves the use of contractionary fiscal and/or monetary policies to reduce overall (including import) expenditure; while the latter involves the use of exchange-rate and/or protectionist policies to switch expenditure away from foreign goods and/or toward domestic goods.

An example of expenditure-reducing policies is to increase income taxes. Explain without using any graphs and economic models why raising the income tax rate can help improve the trade balance. (2 marks)

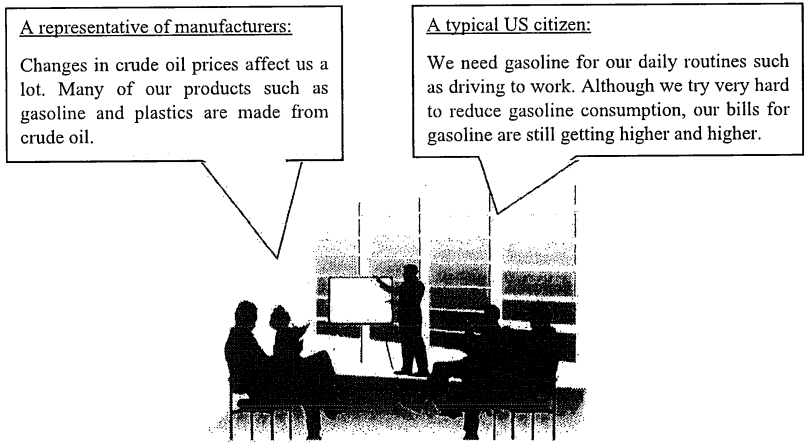
2023/DSE/II/12d

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



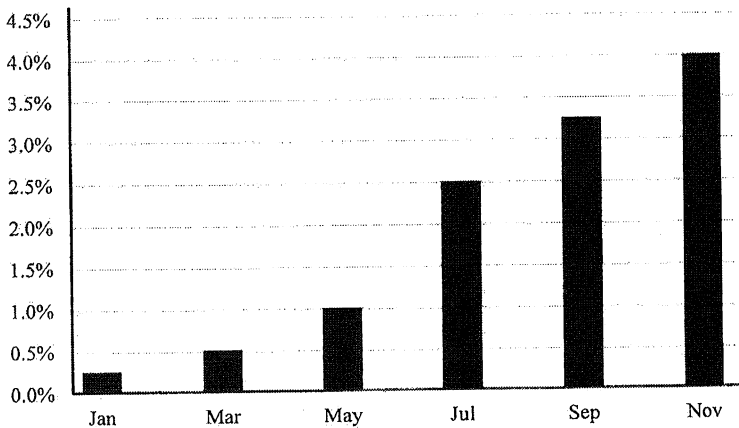
Source B: Some views about energy prices expressed by participants in a forum



Source C: Money supply in the US

|                            | May 2020 | May 2021 |
|----------------------------|----------|----------|
| Money supply (USD Billion) | 17766.9  | 20 319.6 |

Source D: Discount rate of the Federal Reserve\* of the US from January to November 2022



\*Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

|                                                                                                        |                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A US producer</p>  | <p>We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.</p>                                          |
| <p>An economist</p>   | <p>The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.</p> |

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Apart from adjusting the discount rate, two other strategies have been suggested to address the problem of inflation in the US.

|            |                                                         |
|------------|---------------------------------------------------------|
| Strategy 1 | Raising the salaries tax rate for the high-income group |
| Strategy 2 | Cancelling the tariffs on Chinese imports               |

With reference to Sources A to E and your own knowledge in Economics, discuss the effects of **EACH** strategy on the US economy in terms of

- price level,
- equity, and
- trade balance,

(14marks)

## SECTION 7: INTERNATIONAL TRADE

### 7.1 GAINS FROM FREE TRADE

#### Multiple Choice Questions

1990/CE/II/42

A country gains from trade because

- A. it obtains goods at a lower opportunity cost.
- B. it collects tariff revenue.
- C. it exports more than it imports.
- D. it specializes in producing goods in which it enjoys an absolute advantage.

1990/CE/II/48

The table below shows the production of two goods in two countries:

| One unit of resources can produce |                 |           |              |
|-----------------------------------|-----------------|-----------|--------------|
|                                   | Clothes (units) |           | Toys (units) |
| Country X                         | 10              | <b>OR</b> | 5            |
| Country Y                         | 2               | <b>OR</b> | 1            |

Suppose there are no barriers to trade between the two countries,

- A. X will export clothes and toys to Y.
- B. X will export clothes and import toys from Y.
- C. Y will export toys and import clothes from X.
- D. neither country will benefit from their mutual trade.

1991/CE/II/53

The following table shows the number of man-hours required for the production of two goods X and Y in Countries A and B.

|             | Country A   | Country B   |
|-------------|-------------|-------------|
| 1 unit of X | 1 man-hour  | 2 man-hours |
| 1 unit of Y | 3 man-hours | 4 man-hours |

According to the principle of comparative advantage,

- A. Country A will export X and import Y.
- B. Country A will export Y and import X.
- C. Country A will import X and Y from Country B.
- D. Country A will export X and Y to Country B.



1992/CE/II/51

Refer to the following table:

|                              | Toys (units) |    | Machinery(units) |
|------------------------------|--------------|----|------------------|
| HK's output per man-hour     | 30           | OR | 20               |
| U.S.A.'s output per man-hour | 50           | OR | 40               |

- (1) The U.S.A. has an absolute advantage in producing both goods.
  - (2) The U.S.A. has an absolute advantage in producing machinery only.
  - (3) Hong Kong has a comparative advantage in producing toys.
  - (4) Hong Kong has a comparative advantage in producing machinery.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

1992/CE/II/53

International trade is beneficial to a country if

- A. that country exports more than it imports.
- B. that country imports more than it exports.
- C. it allows a more efficient use of resources.
- D. it enables the government to collect tariff revenue.

1993/CE/II/52

| Country | Output per unit of resources |    | Cotton (units) |
|---------|------------------------------|----|----------------|
|         | <u>Wheat(units)</u>          |    |                |
| X       | 2                            | OR | 4              |
| Y       | 1                            | OR | 3              |

According to the above table, country X has a \_\_\_\_\_ opportunity cost in producing wheat and country Y has a comparative advantage in producing \_\_\_\_\_. Therefore, country Y will import \_\_\_\_\_ from country X.

- A. lower ..... cotton ..... wheat
- B. lower ..... wheat ..... cotton
- C. higher ..... wheat ..... wheat
- D. higher ..... cotton ..... cotton

1994/CE/II/52

Suppose a country has an absolute advantage in good X. Which of the following is correct?

- A. It is possible that the country has a higher opportunity cost of producing good X than another country.
- B. The country can produce a greater amount of good X than another good with the same amount of resources.
- C. The country will also have a comparative advantage in good X.
- D. The country will have an absolute disadvantage in another good.

1994/CE/II/53

The following table shows the production of two goods in two countries:

|           | One unit of resources can produce |             |
|-----------|-----------------------------------|-------------|
|           | <u>Clocks</u>                     | <u>Toys</u> |
| Country A | 2                                 | OR 4        |
| Country B | 6                                 | OR 8        |

Suppose 1 unit of clocks can be exchanged for 2 units of toys through trade,

- A. Both A and B will gain from trade.
- B. Both A and B will not gain from trade.
- C. A will not gain from trade.
- D. B will not gain from trade.

1995/CE/II/51

If a country has a comparative advantage in good X, it will

- A. have an absolute advantage in X.
- B. have a comparative disadvantage in some other good(s).
- C. specialize in producing X and export all its output of X to other countries.
- D. completely specialize in the production of X.

1995/CE/II/52

Suppose in Country A one unit of resources can produce either 1 unit of X or 3 unit of Y. If from trade 1 unit of X can exchange for 2 units of Y, Country A will export \_\_\_\_\_ and gain \_\_\_\_\_ for each unit of export.

- A. X ..... 1 unit of Y
- B. X ..... 1/6 units of Y
- C. Y ..... 1 unit of X
- D. Y ..... 1/6 units of X

1996/CE/II/46

Given a unit of input, the amount of output produced by Countries A and B are shown below:

|           | Garment (units) | Shoes (units) |
|-----------|-----------------|---------------|
| Country A | 2               | OR 6          |
| Country B | 4               | OR 8          |

Which of the following is/are true?

- (1) The opportunity cost of producing shoes in Country B is lower than that of Country A.
  - (2) Country B enjoys absolute advantage in the production of both goods.
  - (3) If trading opportunities were opened up, Country B would export garment and import shoes.
- A. (1) only
  - B. (3) only
  - C. (1) and (2) only
  - D. (2) and (3) only

1996/CE/II/47

A country will gain from international trade if

- A. it specializes in producing goods in which it enjoys comparative advantage.
- B. the price of its exports is higher than that of its imports.
- C. the quantity of its exports is greater than the quantity of its imports.
- D. the price of its imports is less than the unit cost of producing these goods itself.

1996/CE/II/53

Which of the following economic principles can best explain why a doctor, who is the fastest typist in town, chooses to employ a typist to do all the typing for him?

- A. economies of scale
- B. comparative advantage
- C. diversification of work
- D. law of diminishing returns

1997/CE/II/53

Suppose the production of cars and shirts in Mainland China and in the U.S.A. is as follows:

|                | One unit of resources can produce |                |
|----------------|-----------------------------------|----------------|
|                | Car (units)                       | Shirts (units) |
| Mainland China | 1                                 | OR 4           |
| U.S.A          | 2                                 | OR 3           |

Suppose Hong Kong is willing to exchange 45 units of shirts for 9 units of cars. Under free trade, in order to obtain the maximum gain per unit of export/import,

- A. Mainland China would export shirts to Hong Kong.
- B. The U.S.A. would export cars to Hong Kong.
- C. Hong Kong would import shirts from the U.S.A.
- D. Mainland China would import shirts from the U.S.A.

Question 43 and 44 refer to the table below. Suppose there are only two countries, Country A and Country B. The output of bananas and shoes per unit of input of the two countries are as follows:

|           | Bananas (Units) | Shoes (Units) |
|-----------|-----------------|---------------|
| Country A | 4               | OR 12         |
| Country B | 2               | OR 4          |

1998/CE/II/43

Which of the following statements is correct?

- A. Country A has both an absolute and comparative advantage in the production of bananas.
- B. Country A will export shoes.
- C. Country B will import bananas.
- D. Both countries will gain if 1 unit of bananas is exchanged for 4 units of shoes.

1998/CE/II/44

There are 4 units of resources in each country. Before trade, both countries use 1 unit of input to produce bananas and 3 units to produce shoes. If complete specialization takes place in the two countries, what will be the change in the total output of bananas and shoes of the two countries?

- A. Only the production of bananas will increase.
- B. Only the production of shoes will increase.
- C. The production of bananas will increase but the production of shoes will decrease.
- D. The production of both bananas and shoes will increase.

1998/CE/II/45

If Country X can produce the same amount of each good with less resources than Country Y, then

- A. there is no favourable terms of trade between Country X and Country Y.
- B. Country Y may still produce some goods at a lower opportunity Costs.
- C. trade can still take place based on absolute advantage.
- D. Country X possesses comparative advantage on all goods.

1999/CE/II/46

If a country specializes and exports good X, it implies that

- A. The country needs to give up less of other goods than other countries in order to produce good X.
- B. This country has more resources than other countries for producing good X.
- C. This country uses less resources than other countries for producing the same amount of good X.
- D. This country can produce good X at a lower cost than other goods.

1999/CE/II/48

Suppose the output per man-hour of China, Japan and the US are as follows:

|       | DVD (units) |           | VCD (Units) |
|-------|-------------|-----------|-------------|
| China | 10          | <b>OR</b> | 30          |
| Japan | 20          | <b>OR</b> | 20          |
| U.S.  | 30          | <b>OR</b> | 50          |

According to the table,

- A. The US has a comparative advantage in producing both goods.
- B. The US has a comparative advantage in producing VCDs only.
- C. China has a comparative advantage in producing DVDs only.
- D. Japan has a comparative advantage in producing DVDs only

2000/CE/II/46

Suppose there are good X and good Y only. If a country has a comparative advantage in good X, it will have

- A. an absolute advantage in Y.
- B. an absolute disadvantage in Y.
- C. a comparative advantage in Y too.
- D. a higher opportunity cost in producing Y.

Answer questions 47 and 48 by referring to the following table. It shows the amount of resources (in man-hours) required to produce 1 unit of good X or 1 unit of good Y in country A and country B, respectively.

|           | Good X | Good Y |
|-----------|--------|--------|
| Country A | 1      | 2      |
| Country B | 3      | 4      |

2000/CE/II/47

With 1 unit of resources, country A can produce either \_\_\_\_\_ unit(s) of x or \_\_\_\_\_ unit (s) of Y while country B can produce either \_\_\_\_\_ unit(s) of X or \_\_\_\_\_ unit (s) of Y.

- A. 1 ..... 1/2 ..... 1/3 ..... 1/4
- B. 1 ..... 2 ..... 3 ..... 4
- C. 1 ..... 1/2 ..... 1 ..... 3/4
- D. 2 ..... 1 ..... 3/4 ..... 1

2000/CE/II/48

Both countries will gain from trade if 1 unit of X can exchange for

- A. 0.5Y.
- B. 0.6Y.
- C. 0.75Y.
- D. 1Y.

2001/CE/II/42

The production cost of 1 unit of food in country X is 3 units of clothing. When country X trades with country Y, it can obtain 1 unit of clothing import by export 0.2 units of food.

What is country X's total gain from trade if it exports 10 units of food to country Y?

- A. 20 units of clothing
- B. 30 units of clothing minus 10 units of food
- C. 50 units of clothing
- D. 50 units of clothing minus 10 units of food

Questions 43 and 44 refer to the following table which shows the data about country A.

|                                                          | Good X<br>(Units) |     | Good Y<br>(Units) |
|----------------------------------------------------------|-------------------|-----|-------------------|
| Total output with no international trade                 | 40                | and | 60                |
| Total output with specialization and international trade | 0                 | and | 110               |
| Total consumption with international trade               | 50                | and | 80                |

2001/CE/II/43

After specialization, country A produces \_\_\_\_\_ units less of good X and \_\_\_\_\_ units more of good Y. Therefore the opportunity cost of producing 1 unit of good Y is \_\_\_\_\_ units of good X.

- A. 40 ..... 50 ..... 4/5
- B. 40 ..... 50 ..... 5/4
- C. 50 ..... 30 ..... 3/5
- D. 50 ..... 30 ..... 5/3

2001/CE/II/44

In trading, country A exports \_\_\_\_\_ units of good Y and imports \_\_\_\_\_ units of good X. Therefore the terms of trade is \_\_\_\_\_.

- A. 20 ..... 10 .....  $1Y = 1/2X$
- B. 20 ..... 10 .....  $1Y = 2X$
- C. 30 ..... 50 .....  $1Y = 3/5X$
- D. 30 ..... 50 .....  $1Y = 5/3X$

2002/CE/II/44

Suppose Mrs Wong, a sole proprietor of a garment factory, is the best cook in town, but she leaves all the cooking to her domestic helper at home. Which of the following would be correct?

- A. The domestic helper has a comparative advantage in cooking.
- B. Both Mrs Wong and the domestic helper provide a labour service and receive wages.
- C. Complex division of labour is illustrated in this case.
- D. Both Mrs Wong and the domestic helper are tertiary producers.

2002/CE/II/45

The following table shows the output of X and Y per unit of resources in countries A and B.

|           | Goods X (units) |           | Goods Y (units) |
|-----------|-----------------|-----------|-----------------|
| Country A | 1               | <b>OR</b> | 3               |
| Country B | 2               | <b>OR</b> | 4               |

Which of the following is/are the terms of trade under which trade between the two countries is mutually beneficial?

- A.  $1X = 2Y$
- B.  $1X = 3Y$
- C.  $2X = 5Y$
- D. All of the above are correct.

2002/CE/II/47

Consider the trade between two countries X and Y, both of which produce garments and computers only. If country X has the comparative advantage in producing garments, then country X

- A. produces more garments per unit of resources than country Y.
- B. produces better quality garments than country Y.
- C. gives up a smaller amount of computers in order to produce a unit of garments than country Y.
- D. gains more from their trade than country Y.

Answer Questions 45 and 46 by referring to the following table.

Before trade, the actual output of Country A and Country B with all their resources evenly allocated between the production of Good X and Good Y are shown below:

|           | Good X (Units) |            | Good Y (Units) |
|-----------|----------------|------------|----------------|
| Country A | 100            | <b>AND</b> | 250            |
| Country B | 100            | <b>AND</b> | 50             |

2003/CE/II/45

Which of the following about the two countries is correct?

- A. Country B has a comparative advantage in producing Good Y.
- B. Country A can produce the same amount of Good Y with fewer resources.
- C. Trade between the two countries would not be mutually beneficial if the transportation cost of trading 1 unit of Good X is 2 units of Good Y.
- D. Country A would have a larger gain than Country B from each unit of Good X traded.

2003/CE/II/46

Suppose each country has to pay a transportation cost of 0.5 units of Good X in trading 1 unit of Good Y. Which one of the following terms of trade is mutually beneficial?

- A.  $1Y = 0.5X$
- B.  $1Y = 1X$
- C.  $1Y = 1.5X$
- D.  $1Y = 2X$

2004/CE/II/45

Both countries A and B produce goods X and Y. Under which of the following conditions does country A have a comparative advantage in the production of X?

- A. One unit of X can be exchanged for more units of Y in country A than in country B.
- B. In producing one unit of X, country A forgoes a smaller amount of Y than country B.
- C. The opportunity cost of producing X in country A is smaller than that of Y in country B.
- D. The amount of resources used in producing one unit of X is less in country A than in country B.

Refer to the information below and answer questions 46 and 47.

Both country A and country B produce rice and wine. Suppose country A has **ONE** unit of resources while country B has **TWO** units of resources. Each country allocates half of their resources in the production of each product. The amounts of output in country A and country B are shown below.

|           | Rice (Units) |     | Wine (Units) |
|-----------|--------------|-----|--------------|
| Country A | 6            | AND | 9            |
| Country B | 10           | AND | 8            |

2004/CE/II/46

With **ONE** unit of resources,

- (1) country A can produce either 6 units of rice or 9 units of wine.
  - (2) country A can produce either 12 units of rice or 18 units of wine.
  - (3) country B can produce either 5 units of rice or 4 units of wine.
  - (4) country B can produce either 10 units of rice or 8 units of wine.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

2004/CE/II/47

Which of the following statements is correct?

- A. According to the principle of comparative advantage, country A will import wine.
- B. According to the principle of comparative advantage, country B will import rice.
- C. Country A has an absolute advantage in the production of wine.
- D. Country B has an absolute advantage in the production of rice.

Answer Questions 45 and 46 with reference to the following table.

The following table shows the number of man-hours required by Country A and Country B in the production of toys and watches.

|           | 1 unit of Toys | 1 unit of Watches |
|-----------|----------------|-------------------|
| Country A | 1 man-hour     | 3 man-hours       |
| Country B | 2 man-hours    | 4 man-hours       |

2005/CE/II/45

Which of the following descriptions are correct?

- (1) Country A enjoys an absolute advantage in the production of both goods.
  - (2) Country A enjoys an absolute advantage only in the production of toys.
  - (3) Country B enjoys a comparative advantage in the production of toys.
  - (4) Country B enjoys a comparative advantage in the production of watches.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

2005/CE/II/46

According to the principle of comparative advantage, when the two countries trade with each other, Country A will export \_\_\_\_\_ and import \_\_\_\_\_, and a mutually beneficial terms of trade can be 1 unit of toys equals \_\_\_\_\_.

- A. toys ..... watches ..... 0.4 units of watches
- B. toys ..... watches ..... 2.5 units of watches
- C. watches ..... toys ..... 0.4 units of watches
- D. watches ..... toys ..... 2.5 units of watches

2006/CE/II/43

Under free trade, a country exports computers and imports cars. Which of the following statements about the country must be correct?

The country

- A. has an absolute advantage in producing cars.
- B. has an absolute advantage in producing computers.
- C. has a comparative disadvantage in producing cars.
- D. requires less resources to produce each unit of computers.

2006/CE/II/44

The output of DVDs and MP3 players per unit of input of Countries A and B are shown below respectively.

|           | DVD (units) |           | MP3 Player (units) |
|-----------|-------------|-----------|--------------------|
| Country A | 10          | <b>OR</b> | 30                 |
| Country B | 8           | <b>OR</b> | 12                 |

If both countries have 3 units of inputs and complete specialization takes place according to the principle of comparative advantage, the total output of the two countries is \_\_\_\_\_ units of DVD and \_\_\_\_\_ units of MP3 player.

- A. 24 ..... 36
- B. 24 ..... 90
- C. 30 ..... 36
- D. 30 ..... 90

2006/CE/II/46

If Country X is more productive in producing every good than Country Y, then

- A. the two countries may still trade with each other.
- B. the gain from trade of Country X will be greater than that of Country Y.
- C. Country X will have a lower opportunity cost in producing every good than Country Y.
- D. no trade will take place between the two countries.

2007/CE/II/44

By using one unit of resources, Country A can produce 10 units of good X or 5 units of good Y. We can then conclude that

- A. Country A has a comparative advantage in producing good X.
- B. Country A has a comparative advantage in producing good Y.
- C. Country A may benefit from exporting good X if the international exchange ratio is  $1X = 1Y$ .
- D. Country A may benefit from exporting good Y if the international exchange ratio is  $1X = 1Y$ .

2007/CE/II/45

Which of the following statements about international trade is correct if transportation cost increases?

- A. The price of exported goods will increase if the exporting country has to bear the transportation costs.
- B. The net gains from trade of the trading partners will remain unchanged as long as trade continues.
- C. Comparative advantages will disappear if the transportation costs are higher than the total gains from trade.
- D. Mutually beneficial trade is possible only if the transportation costs are lower than the total gains from trade.



2007/CE/II/46

The table below shows the amount of resources required to produce good X and good Y by Country A and Country B respectively.

|           | <i>1 unit of good X</i> | <i>1 unit of good Y</i> |
|-----------|-------------------------|-------------------------|
| Country A | 20 units                | 25 units                |
| Country B | 10 units                | 25 units                |

Which of the following can be a mutually beneficial terms of trade?

- A.  $1X = 0.4Y$
- B.  $1X = 0.5Y$
- C.  $1X = 0.8Y$
- D.  $1X = 0.9Y$

2008/CE/II/45

Suppose there are two countries A and B. The following table shows the output per unit of resources in these two countries in a certain year:

|           | Goods X (units) |           | Goods Y (units) |
|-----------|-----------------|-----------|-----------------|
| Country A | 2               | <b>OR</b> | 4               |
| Country B | 3               | <b>OR</b> | 1               |

According to the above table, Country A has a comparative advantage in producing Good \_\_\_\_\_ because \_\_\_\_\_.

- A. Y ..... with the same amount of resources, Country A can produce more Y than Country B
- B. Y ..... Country A has a lower opportunity cost in producing 1 unit of Y than in producing 1 unit of X
- C. Y ..... Country A's opportunity cost of producing 1 unit of Y is lower than that of Country B
- D. X ..... Country A's opportunity cost of producing 1 unit of X is lower than that of Country B

2009/CE/II/46

The following table shows the amount of garments and shoes that country A and country B can produce with **ALL** of their resources.

|           | Garments (units) |           | Shoes (units) |
|-----------|------------------|-----------|---------------|
| Country A | 10               | <b>OR</b> | 30            |
| Country B | 10               | <b>OR</b> | 20            |

Which of the following statements are correct?

- (1) Country A has an absolute advantage in producing shoes.
  - (2) According to the principle of comparative advantage, country A will export shoes.
  - (3) Country B would gain from exporting garments if 1 unit of garments can be exchanged for more than 2 units of shoes.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

Answer questions 45 and 46 by referring to the following table. It shows the amount of toys and garments produced per unit of input of Country A and Country B.

|           | Garments (units) |           | Toys (units) |
|-----------|------------------|-----------|--------------|
| Country A | 10               | <b>OR</b> | 40           |
| Country B | 5                | <b>OR</b> | 10           |

2010/CE/II/45

Which one of the following statements is correct ?

- A. Country A gives up a smaller amount of garments than Country B in producing one unit of toys.
- B. The opportunity cost of producing garments in Country A is lower than that of Country B.
- C. Country A uses a larger amount of resources than Country B in producing one unit of garments.
- D. The total output of toys in Country A is higher than that of Country B.

2010/CE/II/46

When trade opens up between the two countries, 1 unit of toys can be exchanged for 0.4 units of garments. According to the principle of comparative advantage,

- A. Country A's gain from trade per unit of export is 0.15 units of garments.
- B. Country B's gain from trade per unit of export is 0.1 units of garments.
- C. Country A's gain from trade per unit of import is 2 units of toys.
- D. Country B's gain from trade per unit of import is 2 units of toys.

2010/CE/II/47

The table below shows the amount of labour input required to produce watches and oranges by Country X and Country Y respectively.

|           | Watches (units) | Oranges (units) |
|-----------|-----------------|-----------------|
| Country X | 2 man-hours     | 2 man-hours     |
| Country Y | 4 man-hours     | 8 man-hours     |

Based on the above information, has an absolute advantage and has a comparative advantage in producing watches.

- A. Country X ..... Country X
- B. Country X ..... Country Y
- C. Country Y ..... Country X
- D. Country Y ..... Country Y

2012/DSE/I/37

The following table shows the number of toys or clothes that Country A and Country B can produce with one unit of resources.

|           | Toys (units) | Clothes (units) |
|-----------|--------------|-----------------|
| Country A | 10           | 10              |
| Country B | 4            | 10              |

If the terms of trade is 2 units of clothes = 1 unit of toys,

- A. Country A will gain 5 units of toys per unit of imports.
- B. Country A will gain 0.6 units of clothes per unit of exports.
- C. Country B will gain 0.5 units of clothes per unit of imports.
- D. Country B will export toys and gain 0.6 units of clothes per unit of exports.

2012/DSE/I/38

Consider the trade of a good between two countries. Suppose we know their opportunity costs of producing the good. Without knowing the terms of trade, we can determine

- (1) the possible range of the terms of trade.
  - (2) the gain of each country from trading one unit of the good.
  - (3) the total gain of both countries from trading one unit of the good.
- A. (1) and (2) only  
 B. (1) and (3) only  
 C. (2) and (3) only  
 D. (1), (2) and (3)

Answer Questions 38 and 39 by referring to the following information.

Before trade, the output of Thailand and Japan with all their resources evenly allocated between the production of rice and computers is shown below:

|          | Rice (units) |     | Computers (units) |
|----------|--------------|-----|-------------------|
| Thailand | 15           | AND | 5                 |
| Japan    | 24           | AND | 12                |

2013/DSE/I/38

Which of the following statements about the above case is correct?

- (1) Japan has a comparative advantage in producing computers.
  - (2) Japan has an absolute advantage in producing computers.
  - (3) With complete specialization in the two countries, the total output of both rice and computers will increase.
- A. (1) only  
 B. (1) and (2) only  
 C. (2) and (3) only  
 D. (1), (2) and (3)

2013/DSE/I/39

Suppose the terms of trade is 1 unit of computers = 2.4 units of rice and the computer-exporting country has to pay a transportation cost of 0.1 units of rice for each unit of export. To export 5 units of computers, the net gain of the country is \_\_\_\_\_ units of rice.

- A. 1.5  
 B. 2  
 C. 2.5  
 D. 3

2014/DSE/I/41

The following table shows the number of man-hours required by Country A and Country B in the production of Good X and Good Y.

|           | 1 unit of Good X | 1 unit of Good Y |
|-----------|------------------|------------------|
| Country A | 10 units         | 25 units         |
| Country B | 5 units          | 15 units         |

Trade is mutually beneficial between Country A and Country B when the terms of trade is \_\_\_\_\_.

- A.  $1X = 0.35Y$   
 B.  $1X = 0.4Y$   
 C.  $1X = 1.25Y$   
 D.  $1X = 2.75Y$

2014/DSE/I/44

The following table shows the data about Country A.

|                                                          | Petroleum<br>(unit) |     | Rubber<br>(unit) |
|----------------------------------------------------------|---------------------|-----|------------------|
| Total output with no international trade                 | 60                  | and | 90               |
| Total output with specialization and international trade | 0                   | and | 210              |
| Total consumption with international trade               | 90                  | and | 120              |

Which of the following statements about Country A is correct?

- Country A has both absolute advantage and comparative advantage in producing rubber.
- The gain from trade of exporting 1 unit of rubber is 1 unit of petroleum.
- The opportunity cost of producing 1 unit of rubber (R) is  $\frac{2}{3}$  units of petroleum (P) and the terms of trade is  $1R = \frac{3}{4}P$ .
- Country A can benefit from trading with Country B, whose opportunity cost of producing 1 unit of rubber is 2 units of petroleum.

2015/DSE/I/40

Assume the labour input requirements for the production of computers and toys in Japan and Hong Kong are as follows:

|           | 1 unit of computers | 1 unit of toys |
|-----------|---------------------|----------------|
| Japan     | 2 man-hours         | 6 man-hours    |
| Hong Kong | 4 man-hours         | 8 man-hours    |

Suppose there is no transportation cost. Which of the following can be the terms of trade so that trade is mutually beneficial to Japan and Hong Kong?

- 1 unit of computers exchanges for 0.4 units of toys
- 1 unit of computers exchanges for 0.5 units of toys
- 1 unit of computers exchanges for 1 unit of toys
- 1 unit of computers exchanges for 2.5 units of toys

2015/DSE/I/41

A country has an absolute advantage in producing good X. Which of the following statements about the country is correct?

- The country can produce a greater amount of good X than another good with the same amount of resources.
- The country has a comparative advantage in producing good X.
- The country has an absolute disadvantage in producing another good.
- The country may import good X from the international market.

2016/DSE/I/41

The following table shows the amount of toys or cars that Country A and Country B can produce with the same amount of resources.

|           | Toys |    | Cars |
|-----------|------|----|------|
| Country A | 50   | or | 80   |
| Country B | 20   | or | 60   |

The transportation cost for 1 unit of toy is 0.4 units of car and it is borne by the importing country. Which of the following is the mutually beneficial terms of trade between Country A and Country B?

- 1 unit of toy = 1.6 units of car
- 1 unit of toy = 2 units of car
- 1 unit of toy = 2.6 units of car
- 1 unit of toy = 3 units of car

2017/DSE/I/43

The following table shows the number of man-hours required by Country A and Country B in the production of toys and watches.

|           | 1 unit of toys | 1 unit of watches |
|-----------|----------------|-------------------|
| Country A | 4              | 8                 |
| Country B | 5              | 20                |

Suppose the transportation cost for 1 unit of toys is 0.1 units of watches and it is borne by the exporting country. Which of the following would be a mutually beneficial terms of trade between Country A and Country B?

- A. 1 unit of toys = 0.3 units of watches
- B. 1 unit of toys = 0.4 units of watches
- C. 1 unit of toys = 2.5 units of watches
- D. 1 unit of toys = 6 units of watches

2018/DSE/I/43

The following table shows the output per unit of resources in Countries A and B:

|           | Computer (units) |    | Rice (units) |
|-----------|------------------|----|--------------|
| Country A | 16               | OR | 16           |
| Country B | 12               | OR | 3            |

Suppose the computer-producing country exports 10 units of computer in exchange for 5 units of rice. What is the total gain from trade for computer-importing country?

- A. 0.5 units of computer
- B. 1 unit of computer
- C. 2.5 units of computer
- D. 5 units of computer

1992/AL/II/17

Refer to the following table which shows the costs of production of two goods in two countries:

|       | <i>TV Sets</i> | <i>Cars</i> |
|-------|----------------|-------------|
| Japan | ¥80            | ¥160        |
| USA   | \$10           | \$30        |

Which of the following are true?

- (1) Japan has a comparative advantage in the production of cars.
- (2) A terms of trade ratio of 1 Car = 2.5 TV sets would make the trade between the two countries mutually beneficial.
- (3) U.S.A. has an absolute advantage in the production of TV sets.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1996/AL/II/25

The unit cost of producing cars and computers in the U.K. and Country A are given below:

|           | <i>Cars</i> | <i>Computers</i> |
|-----------|-------------|------------------|
| U.K.      | £280        | £70              |
| Country A | \$450       | \$150            |

Which of the following statement(s) is/are correct?

- (1) Country A has a comparative advantage in producing cars.
- (2) U.K. has an absolute advantage in producing both goods.
- (3) U.K. has a comparative disadvantage in producing cars and an absolute advantage in producing computers.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1997/AL/II/15

The unit cost of production of garments and Discmans in Hong Kong and Japan are as follows:

|           | <i>Garments</i> | <i>Discmans</i> |
|-----------|-----------------|-----------------|
| Hong Kong | \$200           | \$2 000         |
| Japan     | ¥10 000         | ¥50 000         |

Which of the following are true?

- (1) Hong Kong has a comparative advantage in producing garments.
- (2) If the terms of trade are that 1 unit of Discmans can be exchanged for 7 units of garments, then trade is mutually beneficial to both economies.
- (3) If the terms of trade are that 1 unit of Discmans can be exchanged for 9 units of garments, then the gain to Japan from exporting 1 unit of Discmans is 4 units garments.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/42

The following table shows the amount of goods that can be produced with 1 unit of resources in Country A and Country B respectively.

|           | Good X (units) |    | Good Y (units) |
|-----------|----------------|----|----------------|
| Country A | 8              | or | 12             |
| Country B | 2              | or | 4              |

Suppose the transportation cost for 1 unit of Good X is 0.2 units of Good Y and it is borne by the exporting country. Which of the following is a mutually beneficial terms of trade between Country A and Country B?

- A. 1 unit of Good X = 1.3 units of Good Y
- B. 1 unit of Good X = 1.7 units of Good Y
- C. 1 unit of Good X = 1.8 units of Good Y
- D. 1 unit of Good X = 2.0 units of Good Y

2020/DSE/I/42

The following table shows the amounts of consumption on two goods in Country A and Country B before international trade. Assume both countries use one unit of resources on producing Good X and one unit of resources on producing Good Y.

|           | Consumption before trade<br>(units) |     |        |
|-----------|-------------------------------------|-----|--------|
|           | Good X                              |     | Good Y |
| Country A | 100                                 | and | 25     |
| Country B | 80                                  | and | 40     |

If Country A and Country B completely specialise their production and trade with each other, the total output of both countries will increase by \_\_\_\_ units of Good X and \_\_\_\_ units of Good Y.

- A. 15.....15
- B. 15.....20
- C. 20.....15
- D. 20.....20

2021/DSE/I/43

Both Country A and Country B produce only toys and computers. The table below shows the amount of inputs required by Country A and Country B in the production of toys and computers.

|           | 1 unit of toys | 1 unit of computers |
|-----------|----------------|---------------------|
| Country A | 2              | 5                   |
| Country B | 2              | 2                   |

Based on the above information, which of the following statements is correct?

- A. Country A has an absolute advantage in the production of computers over Country B.
- B. Country B has no comparative advantage in producing any goods as its opportunity cost of producing toys equals that of producing computers.
- C. If a transportation cost of 1 unit of computers is required to trade 1 unit of toys, it is impossible to have mutually beneficial trade.
- D. It is impossible to have mutually beneficial trade as the two countries have equal productivity in producing toys.

**2022/DSE/I/43**

The following table shows the production and consumption data in Country A, which only produces and consumes clothing (C) and food (F).

|                                       | Clothing (units) | Food (units) |
|---------------------------------------|------------------|--------------|
| Total production <b>WITHOUT</b> trade | 10               | 60           |
| Total production with specialisation  | 60               | 0            |
| Total consumption with trade          | 20               | 120          |

The terms of trade is \_\_\_\_\_.

- A.  $1C = 2F$
- B.  $1C = 3F$
- C.  $1C = 5F$
- D.  $1C = 6F$

**2023/DSE/I/42**

The following table shows the amount of apples or peaches that Country A and Country B can produce with one unit of resources.

|           | Apples (units) |    | Peaches (units) |
|-----------|----------------|----|-----------------|
| Country A | 100            | Or | 80              |
| Country B | 180            | Or | 90              |

According to the above table, which of the following statements are correct?

- (1) The opportunity cost of producing 1 unit of apples is 0.8 units of peaches in Country A.
- (2) Country B has an absolute advantage in producing apples.
- (3) A mutually beneficial terms of trade can be 1 unit of apples = 0.7 units of peaches.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

**2024/DSE/I/42**

The following table shows the outputs of books and smartphones of Country Y.

|                                         | Books (units) |            | Smartphones (units) |
|-----------------------------------------|---------------|------------|---------------------|
| Outputs before specialisation and trade | 60            | <b>AND</b> | 60                  |
| Outputs after specialisation            | 0             | <b>AND</b> | 180                 |

Suppose for each unit of smartphones traded, the gain to Country Y is 0.2 units of books. The terms of trade for 1 unit of smartphones is \_\_\_\_\_ units of books.

- A. 0.3
- B. 0.7
- C. 1.2
- D. 2.2



**2024/DSE/I/44**

Refer to the following balance of payments data of an economy.

| Year | Balance on goods<br>(\$ million) | Balance on<br>services (\$ million) |
|------|----------------------------------|-------------------------------------|
| 2020 | -41 135                          | 92 948                              |
| 2021 | 24 671                           | 135 042                             |

Based on the above data, we can conclude that \_\_\_\_\_.

- A. the total value of exports of goods in 2021 was larger than that in 2020
- B. there was a current account surplus in 2020
- C. there was a balance of payments surplus in 2021
- D. the value of exports of services was larger than the value of imports of services in both 2020 and 2021

**2025/DSE/I/15**

Which of the following will lower Hong Kong households' price elasticity of demand for foreign domestic helpers?

- A. More Hong Kong people are trained to work as part-time domestic helpers.
- B. Fewer child care centres are provided in Hong Kong for parents who both work.
- C. The Hong Kong Government reduces the quota of foreign domestic helpers.
- D. The wage rate of foreign domestic helpers in Hong Kong increases.

**2025/DSE/I/42**

Suppose Country X and Country Y both allocate half of their resources in producing clothing and half in producing toys. Their total output is shown below.

|           | Clothing (units) | Toys (units) |
|-----------|------------------|--------------|
| Country X | 5                | 25           |
| Country Y | 20               | 10           |

Based on the above information, which of the following is/are correct?

- (1) Country Y enjoys an absolute advantage in producing clothing.
  - (2) Country Y enjoys a comparative advantage in producing clothing.
  - (3) If the transportation cost for importing each unit of clothing is 4 units of toys, mutually beneficial trade is still possible between the two countries.
- A. (1) only
  - B. (2) only
  - C. (1) and (3) only
  - D. (2) and (3) only

### Short & Structured Questions

1991/CE/I/3/(c)

Suppose there are only two countries and two commodities in the world. Every year each has 20 units of resources. Each uses 10 units of resources per year to produce each commodity. The annual output per unit of resources is shown below:

|           | Food (units) |    | Clothing (units) |
|-----------|--------------|----|------------------|
| Country A | 6            | OR | 12               |
| Country B | 5            | OR | 20               |

- (i) Which country has a comparative advantage in producing food? Explain your answer. (7 marks)
- (ii) Calculate the increase in the total output per year of each commodity after complete specialization, based on the principle of comparative advantage. (4 marks)
- (iii) What piece of information is needed to determine the distribution of the increase in outputs between these two countries? (2 marks)

1992/CE/I/2/(a)

The following table shows the output per unit of resources in two countries in a certain year.

|           | Clothing (units) |    | Rice (units) |
|-----------|------------------|----|--------------|
| Country A | 1                | OR | 2            |
| Country B | 3                | OR | 4            |

- (ii) According to the principle of comparative advantage, which product should Country A specialize in? Explain your answer in terms of opportunity cost. (6 marks)
- (iii) Explain how trade is beneficial to Country A if 10 units of clothing are exchanged for 18 units of rice. (4 marks)
- (iv) Suppose the productivity in Country A has increased. With one unit of resources, Country A can now produce 2 units of clothing or 4 units of rice. Will your answer in (a)(ii) change? Explain. (4 marks)

1993/CE/I/2/(a)

Suppose the annual output per unit of resources in the U.S.A. and China are as follows:

|        | Clothing(Units) |    | Toys(Units) |
|--------|-----------------|----|-------------|
| U.S.A. | 2               | OR | 4           |
| China  | 1               | OR | 2           |

- (i) In the U.S.A., what is the opportunity cost of producing one unit of clothing? One unit of toys? (2 marks)
- Based on the above answers only, explain whether you can say that the U.S.A. has a comparative advantage over China in toy manufacturing. (3 marks)
- (ii) State the principle of comparative advantage. According to this principle, explain whether specialization and trade can benefit the above two countries. (6 marks)
- (iii) Suppose with one unit of resources, China can now produce 2 units of clothing or 3 units of toys. Explain whether specialization and trade can benefit the above two countries. (5 marks)

1994/CE/I/9/(c)

Suppose the production of cars and apples in Japan and in the U.S.A. is as follows:

|        | One Unit of Resources Can Produce |                |
|--------|-----------------------------------|----------------|
|        | Cars (Units)                      | Apples (Units) |
| Japan  | 2                                 | 5              |
| U.S.A. | 1                                 | 4              |

Suppose there are no trade barriers between the two countries. When trade opens up, 3 units of apples are traded for 1 unit of cars. Find the comparative advantage of **EACH** country and calculate the gain of **EACH** country from one unit of exports. Explain your answer. (9 marks)

1995/CE/I/8

The following table shows the production of goods X and Y per unit of resources in Countries A and B:

| Country | Good X (units) |    | Good Y (units) |
|---------|----------------|----|----------------|
| A       | 1              | OR | 4              |
| B       | 2              | OR | 3              |

- According to an economic principle, both countries would gain from specialization and trade. Name and state this principle. (4 marks)
- Calculate the range of the exchange ratio between goods X and Y for both countries to gain from trade. (4 marks)

1996/CE/I/10(a)

The table below shows the output per unit of resources of two countries in a certain year.

|           | Clothing (units) |    | Rice (units) |
|-----------|------------------|----|--------------|
| Country A | 2                | OR | 6            |
| Country B | 6                | OR | 9            |

- Explain which country would have a comparative advantage in producing clothing. Show your calculation. (3 marks)
- Suppose 1 unit of clothing can be exchanged for 2 units of rice between the two countries. Calculate and explain how much Country A would gain from trade if
  - no other costs are involved in trade. (3 marks)
  - Country A has to pay a transportation cost of 1 unit of rice per unit of import. (3 marks)

1997/CE/I/10(a)

With one unit of resources, the output of food and clothing in Country A and Country B is as follows:

|           | Food (units) |    | Clothing (units) |
|-----------|--------------|----|------------------|
| Country A | 4            | OR | 8                |
| Country B | 3            | OR | 6                |

- Explain whether there are mutually beneficial terms of trade between these two countries. (3 marks)
- Suppose only Country A benefits from technological advancement and it can now produce 5 units of food or 20 units of clothing with one unit of resources.
  - Explain which country has a comparative advantage in producing food. (3 marks)
  - If the exchange ratio between the two countries is 1 unit of food for 3 units of clothing, calculate the gain of Country B per unit of export. (3 marks)

1998/CE/I/10(a)

Suppose the output per unit of resources of three economies – Hong Kong, Mainland China and Taiwan – are as follows:

|                | Toy (units) | Computer (units) |
|----------------|-------------|------------------|
| Hong Kong      | 40          | OR 4             |
| Mainland China | 50          | OR 2             |
| Taiwan         | 50          | OR 10            |

- Calculate the opportunity cost of producing computers for each economy and point out which economy has a comparative advantage in producing computers. (4 marks)
- Explain whether Hong Kong and Mainland China would gain from trade if 10 units of toy could be exchanged for 1 unit of computer. (6 marks)

1999/CE/I/9(a)

Suppose the output of red wine and cars in France and Japan per unit of resources are as follows:

|        | Red wine (units) | Cars (units) |
|--------|------------------|--------------|
| France | 4                | OR 2         |
| Japan  | 1                | OR 2         |

Suppose France and Japan trade at an exchange ratio of 3 units of red wine to 2 units of cars. Calculate the gain per unit of import for France. (6 marks)

2000/CE/I/11(a)

The following table shows the actual output of Country A and Country B. Each country employs 40% of resources to produce wine and the other 60% to produce clothing.

|           | Wine (units) | Clothing (units) |
|-----------|--------------|------------------|
| Country A | 1 200        | 900              |
| Country B | 400          | 2 400            |

- Calculate the opportunity cost of producing one unit of wine for **EACH** country and hence explain which country will export wine if they trade with each other. (6 marks)
- What is the minimum transportation cost per unit of wine (expressed in terms of clothing) which will result in both countries **NOT** gaining from trade? Explain your answer. (4 marks)

2001/CE/I/9(a)

Suppose the output of garments and computers per unit of resources of the two economies, Hong Kong and the USA, are as follows:

|           | Garments (units) | Computers (units) |
|-----------|------------------|-------------------|
| Hong Kong | 4                | OR 2              |
| USA       | 4                | OR 5              |

- Calculate the opportunity cost of producing one unit of garments for **EACH** economy. Explain which economy would export garments. (4 marks)
- Suppose the exporting economy has to pay a transportation cost of 0.5 units of computers to export 1 unit of garments. Find the possible range of terms of trade (for 1 unit of garments) that is mutually beneficial for both economies. (3 marks)

2002/CE/1/9

The following table shows the maximum amount of toys and computers that Country A and Country B can produce in a year with **ALL** of their resources respectively.

|           | Toys (Units) |           | Computers (Units) |
|-----------|--------------|-----------|-------------------|
| Country A | 15           | <b>OR</b> | 5                 |
| Country B | 10           | <b>OR</b> | 5                 |

Explain whether we can conclude from the above table that Country A has

- (a) an absolute advantage
- (b) a comparative advantage

in producing toys.

(7 marks)

2003/CE/1/10(c)

Suppose the output of paper and cars per unit of resources of Country A and Country B are as follows:

|           | Paper (units) |           | Cars (units) |
|-----------|---------------|-----------|--------------|
| Country A | 10            | <b>OR</b> | 10           |
| Country B | 15            | <b>OR</b> | 30           |

- (i) Explain which country has a comparative advantage in the production of paper. Calculate the total gain to the two countries from trading one unit of paper. (5 marks)
- (ii) Suppose a newly developed Country, X, now offers paper for sale with an exchange ratio of 1 unit of paper to 0.5 units of cars. Explain whether Country B would import paper from Country A. (3 marks)

2004/CE/1/11(a)

Suppose the amount of resources of Economy A is double that of Hong Kong and both economies use **ALL** their resources in production. Their maximum output in a year is shown below.

|           | Clothing (units) |           | Cars (units) |
|-----------|------------------|-----------|--------------|
| Economy A | 20               | <b>OR</b> | 10           |
| Hong Kong | 12               | <b>OR</b> | 3            |

- (i) Explain whether Economy A has an absolute advantage in producing clothing. (3 marks)
- (ii) Explain in which product Economy A has a comparative advantage. Calculate the gain per unit of export for Economy A if the two economies trade at an exchange ratio of 5 units of clothing to 2 units of cars. (6 marks)

2005/CE/1/10

With the same amount of resources, the output of watches and television sets in Country A and Country B are as follows:

| Country | Watches (Units) | TV sets (Units) |
|---------|-----------------|-----------------|
| A       | 10              | OR 5            |
| B       | 20              | OR 15           |

- (a) (i) Explain which country enjoys the absolute advantage in the production of television sets. (2 marks)
- (ii) The two countries have a different output of watches, with each country using the same amount of resources in their production. State **THREE** possible reasons for such a difference. (3 marks)
- (b) (i) State the principle of comparative advantage. According to this principle, explain which country would export watches. (5 marks)
- (ii) (I) Point out the range of terms of trade (for 1 unit of watches) that is mutually beneficial for both countries. (2 marks)
- (II) Explain why a terms of trade outside the above range would not be mutually beneficial for both countries. (4 marks)

2006/CE/1/8

Suppose the output of clothing and computers per unit of resources of Country A and Country B are as follows :

|           | Clothing (units) | Computers (units) |
|-----------|------------------|-------------------|
| Country A | 100              | OR 200            |
| Country B | 150              | OR 450            |

- (a) Explain which country enjoys a comparative advantage in the production of clothing. (3 marks)
- (b) Suppose 1 unit of clothing is traded for 2.5 units of computers between the two countries. Calculate Country A's gain from trade per unit of export. (2 marks)

2007/CE/1/10(b)

Assume the output of vegetables and jewels of one unit of resources in two cities are as follows respectively:

|           | Vegetables (unit) | Jewels (unit) |
|-----------|-------------------|---------------|
| Hong Kong | 5                 | OR 1          |
| Shenzhen  | 12                | OR 1          |

- (i) Suppose the terms of trade between the two cities is 1 unit of jewels = 10 units of vegetables. Calculate the gain for Hong Kong per unit of her exports. (3 marks)
- (ii) Suppose 1 unit of resources in Shenzhen can only grow 9 units of vegetables due to flooding after the typhoon. What is the range of the new terms of trade that is mutually beneficial to both cities? (3 marks)

2008/CE/I/7

The amount of resources of Country A is half that of Country B. Both countries use **ALL** their resources in production. Their maximum output in a year is shown below.

|           | Food (units) |           | Machines (units) |
|-----------|--------------|-----------|------------------|
| Country A | 20           | <b>OR</b> | 50               |
| Country B | 40           | <b>OR</b> | 60               |

Explain, respectively, whether Country B has an/a

- (a) absolute advantage
- (b) comparative advantage

in producing food.

(7 marks)

2009/CE/I/10(b)

Suppose the following table show the outputs of mainland China and Taiwan per unit of resources.

|                | Computers (units) |           | Toys (units) |
|----------------|-------------------|-----------|--------------|
| Mainland China | 50                | <b>OR</b> | 90           |
| Taiwan         | 200               | <b>OR</b> | 250          |

- (i) Explain which economy would have a comparative advantage in producing computers. (4 marks)
- (ii) Suppose 1 unit of computers can be exchanged for 1.5 units of toys when trade opens up between the two economies.

If the computer exporting economy has to pay a transportation cost of 0.2 units of toys for each unit of export, calculate and explain how much it would gain from exporting 1 unit of computers. (3 marks)

2010/CE/I/10(b)

Suppose the following table shows the outputs of Hong Kong and Japan per unit of resources.

|           | Medicine (units) |           | Watches (units) |
|-----------|------------------|-----------|-----------------|
| Hong Kong | 40               | <b>OR</b> | 100             |
| Japan     | 20               | <b>OR</b> | 40              |

- (i) State the principle of comparative advantage. (2 marks)
- (ii) According to the principle of comparative advantage, find the range of terms of trade (for 1 unit of medicine) that is mutually beneficial for both economies. (4 marks)

2012/DSE/II/9

Country A requires 2 working-hours to produce a unit of shirts while Country B requires 1 working-hour. On the other hand, Country A requires 10 working-hours to produce a unit of watches while Country B requires 4 working-hours.

Suppose labour is the only resource required for the production of shirts and watches.

- (a) Calculate the opportunity costs of producing 1 unit of shirts (in terms of watches) for Country A and Country B. (2 marks)
- (b) State the principle of comparative advantage. According to this principle, explain which country would export shirts. (3 marks)
- (c) Find the range of terms of trade over which exchange between both countries is mutually beneficial. (2 marks)

2013/DSE/II/5

Each unit of resources can be used to produce the following amount of goods in Country A and Country B:

|           | Food (units) | Smartphones (units) |
|-----------|--------------|---------------------|
| Country A | 30           | OR 40               |
| Country B | 40           | OR 80               |

- (a) Explain which country has a comparative advantage in the production of smartphones. (3 marks)
- (b) Suppose the transportation cost per unit of smartphones traded is 0.2 units of food. Is it possible to have mutually beneficial trade between these two countries? Explain. (3 marks)

2014/DSE/II/8

Suppose the output of paper and watches per unit of resources of Country A and Country B are as follows:

|           | Paper (unit) | Watches (unit) |
|-----------|--------------|----------------|
| Country A | 12           | OR 3           |
| Country B | 8            | OR 4           |

- (a) Which good would Country B export according to its comparative advantage? Explain. (3 marks)
- (b) Suppose Country A and Country B trade at an exchange ratio of 2 units of watches to 5 units of paper. Calculate the gain per unit of import for Country A. (3 marks)

2015/DSE/II/7

Suppose both Country A and Country B use **ALL** their resources in production. Their maximum output is shown in the table below.

|           | Rice (units) | Clothing (units) |
|-----------|--------------|------------------|
| Country A | 15           | OR 3             |
| Country B | 8            | OR 4             |

- (a) Explain whether Country B has an absolute advantage in producing clothing. (2 marks)
- (b) The rice-exporting country exports 12 units of rice in exchange for 3 units of clothing. Calculate the total gain from trade for the clothing-exporting country. Show your workings. (4 marks)

2016/DSE/II/7

The input requirements in the production of one unit of clothing and one unit of toys are 6 units and 2 units respectively in Country A. Country A and Country B trade at an exchange ratio of 2 units of clothing to 11 units of toys.

- (a) Which good would Country A export? Explain. (3 marks)
- (b) Suppose a transportation cost of 2 units of toys is required to exchange for 1 unit of clothing and the cost is borne by Country A. Calculate the gain per unit of export for Country A. (3 marks)



2017/DSE/II/7

Country A and Country B both allocate half of their resources in producing food and half in producing computers. Their total output is shown below.

|           | Food (units) | Computer (units) |
|-----------|--------------|------------------|
| Country A | 100          | 50               |
| Country B | 100          | 100              |

(a) Explain whether Country B

- (i) enjoys an absolute advantage in producing computers.
- (ii) will export computers.

(5 marks)

(b) Suppose the exchange ratio is 4 units of computer for 7 units of food. Calculate the gain from trade for the computer-exporting country when it exports 16 units of computer. Show your working. (3 marks)

2018/DSE/II/8

Suppose the labour requirement for the production of toys and clothing in China and Japan is as follows:

|       | 1 unit of toys | 1 unit of clothing |
|-------|----------------|--------------------|
| China | 10 man-hours   | 2 man-hours        |
| Japan | 8 man-hours    | 4 man-hours        |

(a) Calculate the opportunity costs of producing one unit of toys for China and Japan respectively. (2 marks)

(b) State the principle of comparative advantage. According to this principle, explain which country would export toys. (3 marks)

(c) Suppose the transportation cost per unit of toys traded is 0.1 units of clothing and has to be shared equally by both countries. Find the range of terms of trade over which exchange between both countries is mutually beneficial. (2 marks)

2019/DSE/II/8

The amount of resources in Country A is twice of that in Country B. Both countries allocate half of their resources to produce cars and the other half to produce toys. The following are the total outputs of both countries:

|           | Cars (units) | Toys (units) |
|-----------|--------------|--------------|
| Country A | 100          | 100          |
| Country B | 100          | 60           |

(a) Explain whether Country B has

- (i) an absolute advantage in producing cars.
- (ii) a comparative advantage in producing cars.

(5 marks)

(b) Suppose the exchange ratio is 5 units of cars for 4 units of toys. Calculate the gain from trade for the car-importing country when it imports 10 units of cars. Show your workings. (3 marks)

2020/DSE/II/7

Suppose the outputs per unit of resources of Country A and Country B are as follows:

|           | Toys (units) |    | Cars (units) |
|-----------|--------------|----|--------------|
| Country A | 10           | OR | 10           |
| Country B | 20           | OR | 10           |

- (a) Which good would Country B export according to its comparative advantage? Explain. (3 marks)
- (b) Suppose Country A and Country B trade at an exchange ratio of 5 units of toys to 4 units of cars. A transportation cost of 0,2 units of cars is required to exchange for 1 unit of toys and the cost is equally shared by both countries. Calculate the gain per unit of export of Country B. Show your workings. (3 marks)

2021/DSE/II/8

Suppose the outputs per unit of resources of Country A and Country B are as follows.

|           | Rice (units) |    | Wheat (units) |
|-----------|--------------|----|---------------|
| Country A | 10           | OR | 4             |
| Country B | 6            | OR | 3             |

Find the range of terms of trade over which exchange between these two countries is mutually beneficial. Show your workings. (3 marks)

2022/DSE/II/7

In a two-country-two-good model, the outputs per unit of resources of both countries are as follows.

|           | Rice (units) |    | Toys (units) |
|-----------|--------------|----|--------------|
| Country E | 10           | OR | 20           |
| Country F | 5            | OR | 15           |

- (a) Assume the terms of trade are that 1 unit of rice can be exchanged for 2.2 units of toys. Calculate the gains from trade of **EACH** country when trading 1 unit of rice. Show your workings. (4 marks)
- (b) With reference to your answer in part (a), defend the following statement. 'There is still a basis for trade even if a country has no absolute advantage in producing any goods.' (2 marks)

2023/DSE/II/8a, b

The amount of resources in Country A is twice of that in Country B. Suppose both Country A and Country B use **ALL** their resources in production. Their maximum output is shown in the table below.

|           | Computers (units) |    | Rice (units) |
|-----------|-------------------|----|--------------|
| Country A | 800               | Or | 500          |
| Country B | 400               | Or | 300          |

- (a) Explain whether Country A has
- an absolute advantage in producing computers.
  - a comparative advantage in producing computers. (5 marks)
- (b) Suppose the computer-importing country has to pay a transportation cost of 0.05 units of rice for each unit of computers imported. Find the range of terms of trade (for 1 unit of computers) that is mutually beneficial for both countries. (2 marks)

**2024/DSE/II/9**

The table below shows the total output of Country X and Country Y. Each country allocates 25% of its resources to produce bread and 75% of its resources to produce clothing.

|           | Bread (units) |     | Clothing (units) |  |
|-----------|---------------|-----|------------------|--|
| Country X | 100           | AND | 75               |  |
| Country Y | 80            | AND | 240              |  |

- (a) Explain whether Country X has an absolute advantage in the production of bread. (2 marks)
- (b) Suppose Country X and Country Y trade at an exchange ratio of 10 units of bread to 7 units of clothing. Calculate the gain from trade for the bread-exporting country from exporting 30 units of bread. Show your workings. (4 marks)

© 2024 DSE

## 7.2 TRADE BARRIERS

### Multiple Choice Questions

1990/AL/II/22

The major difference between a quota and a tariff on imports lies in their effects on

- A. wealth redistribution.
- B. domestic production.
- C. domestic consumption.
- D. the price level.

1994/AL/II/30

Tariffs protect \_\_\_\_\_.

- A. consumers
- B. the import-competing industries
- C. the export industry
- D. both the import-competing and the export industries

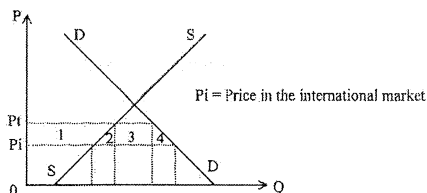
1996/AL/II/29

Which of the following is **NOT** the effect of imposing tariffs?

- A. The quantity of imports is reduced.
- B. The amount of deadweight loss is greater than the total loss of consumer surplus of local consumers.
- C. Local consumers consume more domestically-produced import-competing goods.
- D. Domestic production in import-competing industries will increase.

1998/AL/II/28

Consider a small country imposing a tariff on an import. The diagram below shows the country's supply of and demand for the good.



If the tariff rises the domestic price of good from  $P_i$  to  $P_t$ , then

- A. the consumers will lose areas 2, 3, 4.
- B. the whole country will lose areas 1, 2, 3 and 4.
- C. the tariff revenue collected by the government is areas 1, 2 and 3.
- D. None of the above.

1998/AL/II/29

Which of the following is **NOT** a result of the imposition of quotas on imports?

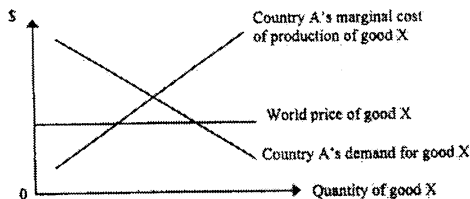
- A. a decrease in the quantity of imports.
- B. an increase in the total expenditure on imports.
- C. an increase in import prices.
- D. an increase in domestic production.

1999/AL/II/21

A major difference between a quota and a tariff on imports lies in their effects on

- A. the price of imports.
- B. the quantity of imports.
- C. domestic production of import substitutes.
- D. wealth distribution.

2000/AL/II/26



Given that the world price of good X is fixed, if country A's marginal cost of production of good X increases, which of the following statements are correct?

- (1) The total production of good X in country A will fall.
  - (2) The quantity of good X imported by country A will increase.
  - (3) The consumer surplus of good X in country A will fall.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

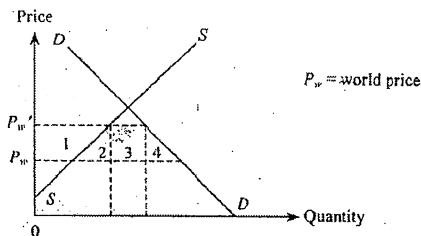
2001/AL/II/11

A small country imposes tariffs on good X. Suppose the demand of the country for good X increases,

- (1) the government revenues from tariffs will increase.
  - (2) the price of good X in the country will rise.
  - (3) the consumption of good X in the country will increase.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2004/AL/II/25

Consider a country imposing a quota on an import. The diagram below shows the country's supply of and demand for the good.

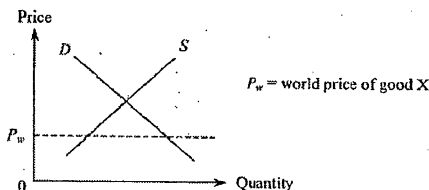


If the quota raises the domestic price of the good from  $P_w$  to  $P_w'$ ,

- A. total loss in consumer surplus is equal to the sum of areas 1, 2 and 3.
- B. total quota rent is equal to area 3.
- C. total deadweight loss is equal to area 4.
- D. None of the above.

2004/AL/II/26

A country imposes a tariff on good X. Which of the following will be a result of the tariff?



- A. The domestic production of good X will decrease.
- B. The domestic price of good X will increase.
- C. Total expenditure on the import of good X will decrease.
- D. The quantity of import of good X will increase.

2007/AL/II/25

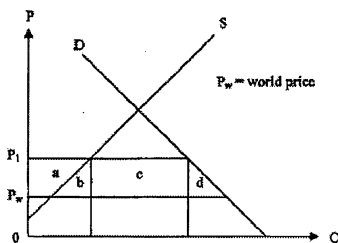
Consider a small open economy with an import quota imposed on a good. If the domestic cost of production for the good increases,

- (1) the domestic price of the good will rise.
- (2) the quantity of the good consumed domestically will fall.
- (3) the quantity of the good produced domestically will remain unchanged.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2009/AL/II/25

Suppose a country imposes a quota on an imported good. The diagram below shows the country's supply of and demand for the good.



If the quota raises the domestic price of the good from  $P_w$  to  $P_1$ ,

- A. the loss to the consumers is area a.
- B. the gain of local producers is area a.
- C. the loss to the country is the sum of areas b, c and d.
- D. the quota rent earned by the government is the sum of areas b, c and d.

2009/AL/II/26

An export subsidy will

- (1) reduce the price of exports of the domestic country.
  - (2) increase the quantity demanded for exports by foreign consumers.
  - (3) improve the trade balance of the domestic country.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2010/AL/II/27

If a small country reduces the tariff rate of its imported good X,

- A. the local producers will reduce their production.
- B. the producer surplus of the local producers will increase.
- C. the tariff revenue of the government will decrease.
- D. the world price of good X will decrease and its import volume in the country will increase.

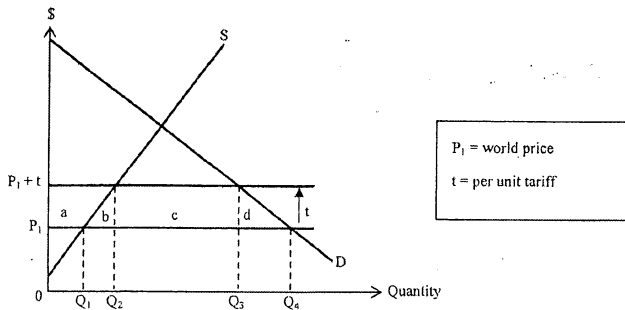
2012/AL/II/24

A small open economy imposes a tariff on imported good X. If the local supply of good X in the economy increases and replaces some of the imports,

- (1) government revenue from the tariff will fall.
  - (2) the deadweight loss will remain unchanged.
  - (3) the price of good X in the economy will fall.
  - (4) the producer surplus of the local suppliers will rise.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

2014/DSE/I/45

The following diagram shows the imposition of an import tariff on a good in a small open economy. After the imposition of the tariff, which of the following statements about the good in this economy is **INCORRECT**?



- A. The volume of imports is  $(Q_3 - Q_2)$  units.
- B. The domestic consumption is  $Q_3$  units.
- C. The increase in producer surplus of the domestic producers is area a.
- D. The total amount of tariff is the sum of areas b, c and d.

2015/DSE/I/45

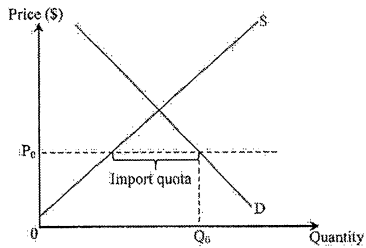
The supply curve of a certain good is upward-sloping in a small open economy. What is the main difference between imposing an effective import quota and a tariff on the good?

- A. Imposing an effective import quota will lower the volume of import while imposing a tariff will not.
- B. Imposing an effective import quota will result in a rise in consumer surplus of the good while imposing a tariff may not.
- C. Imposing a tariff will raise the world price of the good while imposing an effective import quota will not.
- D. Imposing a tariff will result in an increase in the government revenue while imposing an effective import quota may not.



2016/DSE/I/42

Refer to the following supply-demand diagram about Good X in a small country.

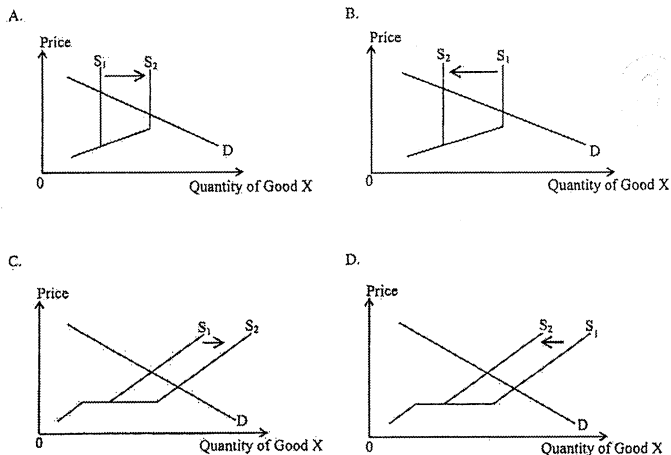


The country has imposed an import quota on Good X and the price and quantity transacted are  $P_0$  and  $Q_0$  respectively. If the demand for Good X in the country increases,

- (1) the import volume will increase.
  - (2) the price of Good X in the country will increase.
  - (3) the quantity sold of Good X in the country will increase.
- A. (1) and (2) only  
 B. (1) and (3) only  
 C. (2) and (3) only  
 D. (1), (2) and (3)

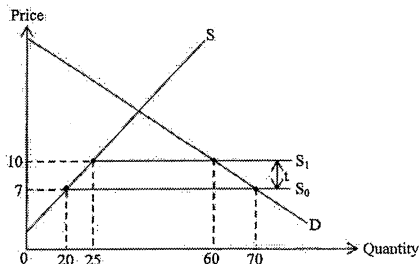
2017/DSE/I/42

A small open economy increases the import quota for Good X. Which of the following diagrams best illustrates the effect of this change?



2018/DSE/I/41

The following diagram shows an imposition of import tariff on a good of a small open economy.



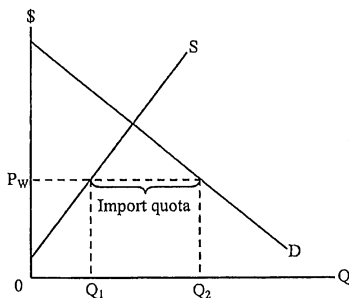
Referring to the above diagram, which of the following statements are correct after the imposition of import tariff (t)?

- (1) The total amount of tariff received by the government is \$105.
- (2) The revenue of domestic producers will increase by \$110.
- (3) The volume of imports drops by 15 units.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/43

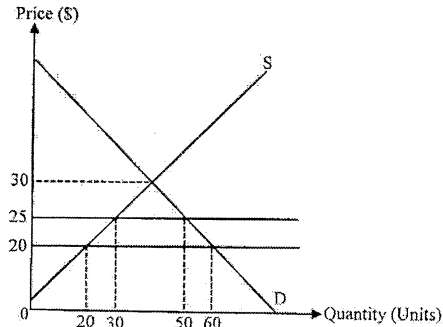
The following is the supply-demand diagram of Good X in a small open economy.



Initially the economy imports Good X at the world price ( $P_w$ ) and the government imposes an import quota of  $(Q_2 - Q_1)$  units. Suppose the world price of Good X drops. Which of the following statements is correct?

- A. The domestic price of Good X will remain at  $P_w$ .
- B. The domestic price of Good X will fall.
- C. The domestic supply curve will shift to the right.
- D. The quantity of domestically produced Good X will increase.

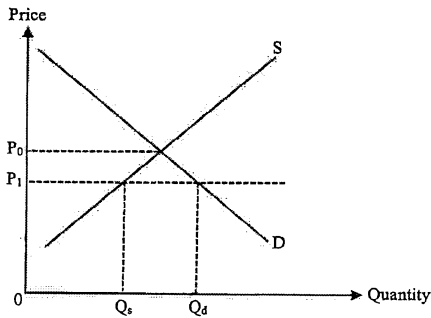
Suppose the world price of soybeans is \$20. A small open economy imposes a per unit tariff of \$5 on imported soybeans. The diagram below shows the economy's supply and demand curves of soybeans.



Which of the following statements about soybeans is correct?

- A. The total revenue of domestic producers is \$400 after the imposition of tariff.
- B. The total import value inclusive of tariff is \$500.
- C. If the tariff is raised to \$15, this economy will become an exporter of soybeans.
- D. If the tariff is abolished, the total import value will be \$400.

The diagram below shows the market situation of Good X in a small open economy.



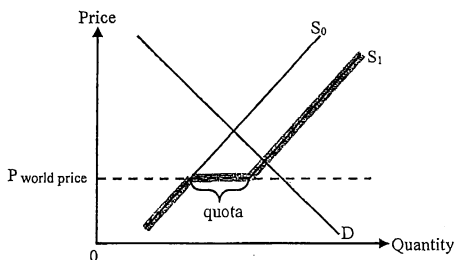
$P_0$  is the price before trade and  $P_1$  is the price after trade. Which of the following statements about Good X are correct after the economy opens up for international trade?

- (1) The total expenditure on Good X of domestic consumers would be  $P_1 \times Q_d$ .
- (2) The value of domestically produced Good X would be  $P_1 \times Q_s$ .
- (3) The shortage of Good X would be  $Q_d - Q_s$ .

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2022/DSE/I/44

The diagram below is about a small open economy imposing an import quota on Good X.

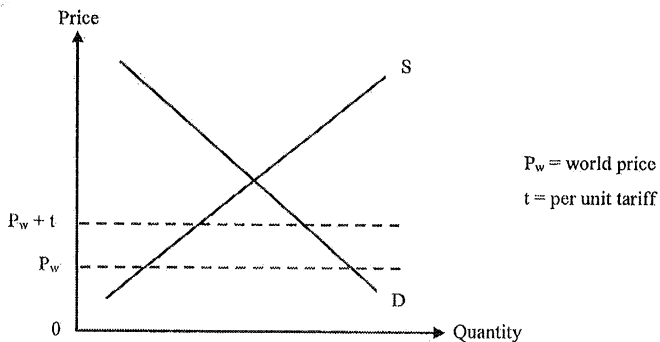


If the world price of Good X drops,

- A. the quota will become ineffective.
- B. the quantity of Good X produced domestically will decrease.
- C. the quantity of Good X consumed domestically will increase.
- D. the domestic price of Good X will remain unchanged.

2023/DSE/I/43

The diagram below shows the market of Good X in a small open economy. The economy has imposed a per unit tariff on Good X.

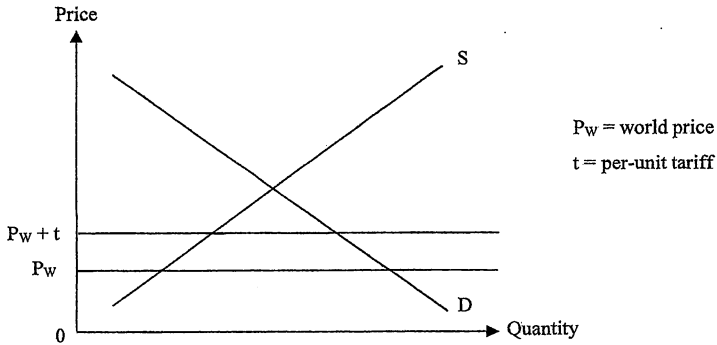


If the world price of Good X decreases, \_\_\_\_\_.

- A. the tariff revenue of Good X will remain unchanged
- B. the domestic price of Good X will increase
- C. the quantity of Good X consumed domestically will remain unchanged
- D. the quantity of Good X produced domestically will decrease

**2024/DSE/I/43**

The diagram below shows the market of Good X in a small open economy. A per-unit tariff is imposed on Good X in the economy.



If the world price of Good X increases, \_\_\_\_\_.

- A. the domestic price of Good X will remain unchanged
- B. the import value net of tariff of Good X will increase
- C. the quantity of Good X produced domestically will increase
- D. the tariff revenue of Good X may increase

**2025/DSE/I/18**

Due to poor harvests of oranges, many juice producers use other fruits such as mandarins as an alternative ingredient to produce juice.

Based on the above information, which of the following is correct?

- A. There is a deadweight loss in the market of oranges.
- B. The total revenue of orange sellers may increase.
- C. The total social surplus in the market of mandarins decreases.
- D. The total exchange value of mandarins may decrease.

**2025/DSE/I/43**

A small open economy has imposed an effective quota on imported red wine. If the world price of red wine decreases, \_\_\_\_\_.

- A. the volume of red wine imported by the economy will increase
- B. the quantity of red wine domestically produced in the economy will increase
- C. the quantity of red wine consumed in the economy will remain unchanged
- D. the price of red wine sold in the economy will decrease

## Short & Structured Questions

1993/AL/II/5

With the aid of diagrams, compare the income redistributive effects on a country imposing tariffs and quotas on its imports. (8 marks)

1995/AL/II/8

With the aid of one diagram only, answer (a) and (b).

- A small country wishes to protect its industry X by restricting the import of good X to a given quantity. Show that this can be achieved by imposing either a quota or a tariff on good X. (3 marks)
- Suppose the demand of the small country for good X increases but the quota or the tariff rate imposed remain unchanged. Compare the impact of this increase on the domestic price, import volume and consumer surplus of good X under the quota system and the tariff system. (7 marks)

2001/AL/II/4

With the help of a diagram, explain how the imposition of tariffs affects the producer surplus, the consumer surplus and the welfare of a small country. (8 marks)

2011/AL/II/1(d)

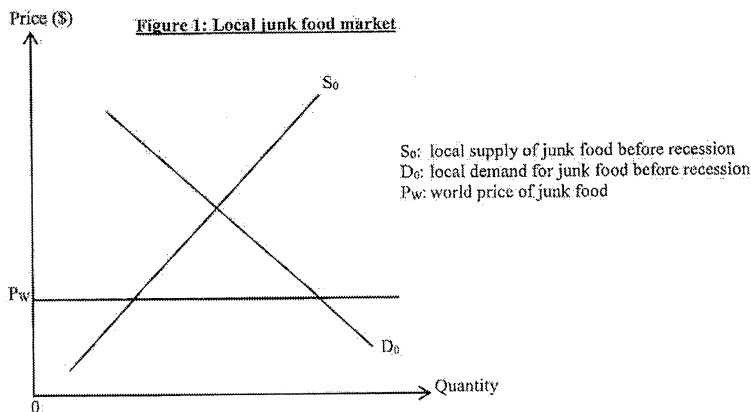
Name one similarity and one difference between the following pairs of terms:  
tariff; quota

(3 marks)

2021/DSE/II/9

A small open economy imports junk food from other countries although such food is also produced by local manufacturers. During economic recession, local people consume more junk food. To improve public health, the government imposes an effective quota on the imported junk food.

- Explain whether junk food is a normal good or an inferior good in the economy. (2 marks)
- With respect to the imposition of an effective quota during economic recession, indicate the amount of quota as  $Q_A$  and the final equilibrium point as  $E_A$  in Figure 1. (4 marks)



## SECTION 8: INTERNATIONAL FINANCE

### 8.1 BALANCE OF PAYMENTS

#### Multiple Choice Questions

1990/CE/II/36

Which of the following will have favourable effects on the current account of Hong Kong's balance of payments?

- (1) A Japanese tourist spends a day in the Ocean Park.
  - (2) An American bank sets up a representative office in Hong Kong.
  - (3) The Hong Kong government buys a computer system from the USA.
  - (4) A Hong Kong resident receives dividends from his US stocks.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

1990/CE/II/46

There will be a worsening of both the balance of payments and the balance of trade if

- A. exports increase.
- B. re-exports decrease .
- C. investment in foreign countries decreases.
- D. the government gives more aid to foreign countries.

1990/CE/II/60

Which of the following is **NOT** an effect of importing foreign skilled labour for the construction industry?

- A. a favourable effect on Hong Kong's balance of payments
- B. pressure on Hong Kong's social services
- C. a slower increase in the real wage rate of Hong Kong's construction workers
- D. a favourable effect on Hong Kong's GDP

1991/CE/II/49

The rental income earned from a property in Canada and remitted to Hong Kong by a Hong Kong citizen

- A. is included in the GDP of Hong Kong.
- B. has a favourable effect on Hong Kong's balance of visible trade.
- C. has a favourable effect on Hong Kong's balance of payments.
- D. is taxable in Hong Kong.

1991/CE/II/50

The following table shows the balance of payments of a country:

|                 | <u>\$ billion</u> |
|-----------------|-------------------|
| Exports         | 30                |
| Imports         | X                 |
| Capital inflow  | 50                |
| Capital outflow | 60                |

Foreign exchange and gold reserves decrease by \$20 billion. What is the value of X ?

- A. 10
- B. 20
- C. 30
- D. 40

1991/CE/II/60

The \_\_\_\_\_ of Hong Kong in **NOT** affected when some goods are imported to Hong Kong.

- A. visible trade balance
- B. current account
- C. capital account
- D. foreign exchanged and gold account

1992/CE/II/52

Calculate the value of net exports from the following information :

|                           |       |
|---------------------------|-------|
| Domestic exports of goods | \$300 |
| Re-exports of goods       | \$150 |
| Imports of goods          | \$350 |

- A. -\$50
- B. \$100
- C. \$450
- D. \$800

1992/CE/II/60

Which of the following items would **NOT** be entered in the capital account of Hong Kong's balance of payments?

- A. A Hong Kong citizen buying a factory in Japan.
- B. A Hong Kong citizen buying a computer made in the U.S.A.
- C. A Hong Kong citizen buying securities in London's stock market.
- D. A Hong Kong citizen buying a house in the U.S.A.



1993/CE/II/40

|                                        | <u>\$ million</u> |
|----------------------------------------|-------------------|
| Private consumption expenditure        | 40                |
| Government consumption expenditure     | 10                |
| Gross domestic fixed capital formation | 10                |
| Change in stocks                       | 1                 |
| Total exports of goods                 | 80                |
| Domestic exports                       | 70                |
| Re-exports                             | 10                |
| Imports of goods                       | 60                |
| Exports of services                    | 20                |
| Imports of services                    | 30                |
| Inflow of capital                      | 30                |
| Outflow of capital                     | 15                |

The balance of payments of the economy in that year is

- A. \$10 million
- B. \$15 million
- C. \$20 million
- D. \$25 million

1993/CE/II/54

Which of the following will improve the capital account of Hong Kong's balance of payments?

- A. A Hong Kong businessman sets up a computer firm in the U.S.A.
- B. A British investor buys a commercial building in Hong Kong.
- C. A Hong Kong shipping company receives rental income for providing shipping services to a foreign merchant.
- D. A Hong Kong investor receives a dividend from an overseas investment.

1994/CE/II/51

From the following information, find the value of re-exports:

|                  |       |
|------------------|-------|
| Domestic exports | \$500 |
| Trade balance    | \$250 |
| Imports          | \$450 |

- A. \$50
- B. \$200
- C. \$250
- D. \$300

1994/CE/II/55

Which of the following has a favourable effect on the current account of Hong Kong's balance of payments?

- A. A Macau citizen leaves Hong Kong by using the service provided by a Hong Kong hydrofoil company.
- B. A businessman from Mainland China invests in the real estate market in Hong Kong.
- C. A local bank pays interest to an overseas depositor.
- D. A company in Mainland China issues shares in Hong Kong.

1994/CE/II/56

Mr Chan, who is an imported worker in Hong Kong, remits his income to his family in China. Which of the following statements is correct?

- A. Mr Chan's income is included in Hong Kong's GNP.
- B. The remittance has an unfavourable effect on Hong Kong's balance of visible trade.
- C. The remittance has a favourable effect on Hong Kong's balance of invisible trade.
- D. The remittance has a favourable effect on China's balance of payments.

1995/CE/II/54

Consider the following balance of payments account of an economy:

|                                              | \$ million |
|----------------------------------------------|------------|
| Export of goods & services                   | 2 800      |
| Import of goods & services                   | 3 200      |
| Capital inflows                              | Z          |
| Capital outflows                             | 700        |
| Increase in foreign exchange & gold services | 40         |

Z is

- A. 260
- B. 340
- C. 1 060
- D. 1 140

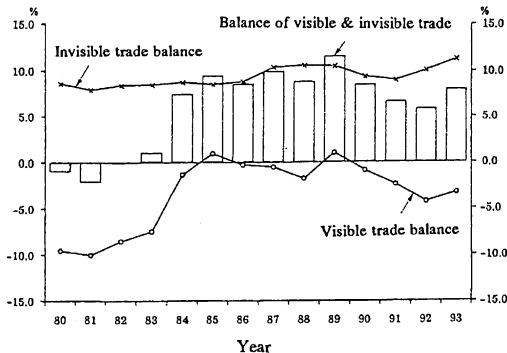
1995/CE/II/56

If an American tourist gives money to local beggars, Hong Kong's GDP will \_\_\_\_\_ and its balance of payments will \_\_\_\_\_.

- A. increase ..... be improved
- B. increase ..... remain unchanged
- C. remain unchanged ..... be improved
- D. remain unchanged ..... remain unchanged

1995/CE/II/57

TRADE BALANCES AS % OF GDP



Source: Hong Kong Economic Indicators, Standard Chartered

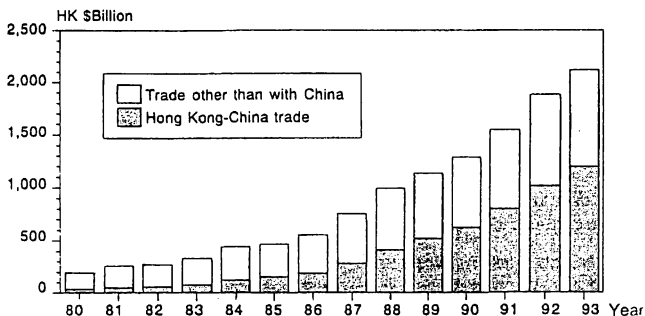
Based on the above chart, which of the following are correct?

- (1) The payments for imports of goods usually exceed the receipts from exports of goods.
- (2) Over the years, net exports of services accounted for more than 7% of Hong Kong's GDP.
- (3) Hong Kong's current account has a surplus in recent years.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1995/CE/II/58

**Hong Kong's trade, overall and with China**



The above graph shows that in recent years,

- A. the value of Hong Kong's trade with countries other than China had decreased.
- B. Hong Kong had gained an increasing surplus from its trade with China.
- C. the flow of people between Hong Kong and China has increased.
- D. China has become largest trading partner of Hong Kong.

1996/CE/II/48

Which of the following will worsen the balance of payments but not the balance of trade of Hong Kong?

- A. A Japanese pop singer cancelled his concerts in Hong Kong.
- B. A charity organization in Hong Kong reduced its donations to Mainland China.
- C. U.S. businessmen reduced their investment in Hong Kong.
- D. Re-export from Hong Kong to Mainland China decreased.

1996/CE/II/49

The official opening of Macau International Airport took place in December 1995. It is predicted that one-third of the visitors from Taiwan using Hong Kong's airport services will be diverted to Macau. This will

- (1) have a favourable effect on the balance of trade of Macau.
- (2) increase Macau's gross domestic product.
- (3) reduce the demand for Hong Kong's airport services.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1996/CE/II/50

Which of the following is favourable to the capital account of Hong Kong's balance of payments?

- A. An American firm buys some certificates of deposit issued by a bank in Hong Kong.
- B. An American firm donates money to a charitable organization in Hong Kong.
- C. A Hong Kong firm buys a hotel in Canada.
- D. A Hong Kong firm receives interests and dividends from its investment in the U.S.A.

1996/CE/II/51

Refer to the following data in the balance of payments account of a country.

|                    | \$ billion |
|--------------------|------------|
| Visible exports    | 15         |
| Visible imports    | 13         |
| Invisible exports  | 8          |
| Invisible imports  | 11         |
| Inflow of capital  | 9          |
| Outflow of capital | 12         |

This country has a/an \_\_\_\_\_ balance of visible trade and a/an \_\_\_\_\_ balance of payments.

- A. favourable ..... favourable
- B. favourable ..... unfavourable
- C. unfavourable ..... favourable
- D. unfavourable ..... unfavourable

Answer Questions 50 and 51 by referring to the data below of an economy in a certain year:

|                           | \$Billion |
|---------------------------|-----------|
| Domestic exports of goods | 15        |
| Re-exports                | 8         |
| Imports of goods          | 20        |
| Exports of services       | 7         |
| Imports of services       | 4         |
| Net capital inflow        | -2        |

1997/CE/II/50

The balance of visible trade (in \$ billion) is

- A. -5
- B. -2
- C. 3
- D. 6

1997/CE/II/51

The balance of payments (in \$ billion) is

- A. -4
- B. 0
- C. 1
- D. 4

1997/CE/II/52

Which of the following will produce a favourable effect on the balance of payments of Country A?

- A. The citizens of Country A increase their investment abroad.
- B. The government of Country A abolishes the tariffs in imports.
- C. The citizens of Country A receive interest from the US government bonds they hold.
- D. The government of Country A pays for the service of a foreign consultant firm.

1998/CE/II/46

Which of the following is an invisible export in Hong Kong's balance of payments accounts?

- A. A Japanese firm buys shares on the Hong Kong Stock Exchange.
- B. A Hong Kong citizen buys tickets from Japanese airlines.
- C. A Hong Kong citizen remits money to his son in Japan.
- D. A Japanese tourist consults a local doctor in Hong Kong

1998/CE/II/53

Which of the following statements about the firework display for the handover ceremony of Hong Kong to China is **INCORRECT**?

- A. Consumption was involved when people watched the firework display.
- B. The nominal GDP of Hong Kong increased.
- C. There was a favourable effect on the visible trade balance of Hong Kong.
- D. The firework display has an opportunity cost because the money spent on it has other uses.

1999/CE/II/47

The following information shows the trade statistics of an economy in a certain year:

|                          | \$ million |
|--------------------------|------------|
| Domestic export of goods | 30         |
| Re-exports               | 40         |
| Import of goods          | 50         |
| Export of services       | 60         |
| Import of services       | 80         |

According to the above data, the economy

- A. has a visible trade surplus.
- B. has a visible trade deficit.
- C. has no visible trade surplus or visible trade deficit.
- D. There is not enough information to obtain the answer.

1999/CE/II/53

Being a Hong Kong resident, Mr Wong earns a living in Hong Kong. He gets married to Mei-ling who lives in Mainland China. Which of the following events will **NOT** affect the balance of payments of Hong Kong?

- A. He buys a wedding ring in Hong Kong and takes it to her by Himself.
- B. He remits a sum of money as the betrothal (聘禮) gifts through a Bank to Mei-ling's parents.
- C. He pays for the honeymoon trip to Thailand.
- D. He rents a residential apartment for her in Shenzhen.

1999/CE/II/54

Which of the following is **NOT** included in the calculation of the balance of Hong Kong's current account?

- A. The investment of a U.S. company in a Hong Kong computer firm.
- B. Japanese cars sold in Hong Kong
- C. A drama performance attended by the tourists in Hong Kong.
- D. The exports of China handled in the container port of Hong Kong.

2000/CE/II/50

Suppose country A has a balance of payments deficits in Year 1. In Year 2, the changes in the balance of payments are as shown below:

|                    | \$ Billion |
|--------------------|------------|
| Export of goods    | +28        |
| Export of services | +7         |
| Import of goods    | +35        |
| Import of services | +13        |
| Capital inflows    | +5         |
| Capital outflows   | +8         |

Based on the above information, we can conclude that

- A. In Year 2, the visible trade deficit has increased.
- B. In Year 2, the visible trade deficit has decreased.
- C. In Year 2, the balance of payments deficit has increased.
- D. In Year 2, the balance of payments deficit has decreased.

2000/CE/II/51

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A company in Hong Kong pays interests for loans from a bank in U.K.
- B. A Hong Kong resident purchases a new flat in Shenzhen.
- C. A U.S. investors purchases 5 000 units of the Tracker Fund of Hong Kong.
- D. An author in Hong Kong sells the copyright for his new book to a publisher in Taiwan.

2001/CE/II/41

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A foreigner buys shares issued by a local property developer.
- B. A foreigner receives rental income from his property in Hong Kong.
- C. A company in Hong Kong donates medical equipment to a hospital in Mainland China.
- D. A US manufacturer sets up a factory in Hong Kong.

2001/CE/II/45

| Hong Kong's Balance Of Payments Account |                | \$ million    |
|-----------------------------------------|----------------|---------------|
| <b>Current Account</b>                  | <b>72 000</b>  |               |
| Goods                                   |                | -25 000       |
| Services                                |                | 81 000        |
| Factor income                           |                | 27 000        |
| Current transfers                       |                | -11 000       |
| <b>Capital and Financial Account</b>    | <b>-76 000</b> |               |
| <b>Net errors and omissions</b>         | <b>4 000</b>   |               |
|                                         |                | Total sum = 0 |

According to the above data,

- (1) the visible trade deficit is \$25 000 million.
  - (2) the invisible trade surplus is \$81 000 million.
  - (3) the balance of payments account is in balance.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2002/CE/II/48

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A Hong Kong resident buys a life insurance policy from an insurance company in the US.
- B. A company in Hong Kong purchases the copyright of a film from a British film producer.
- C. A Hong Kong resident purchases a house in the US.
- D. A Hong Kong investor buys a number of shares of a listed company in the US.

2003/CE/II/43

Refer to the data of an economy in a certain year below:

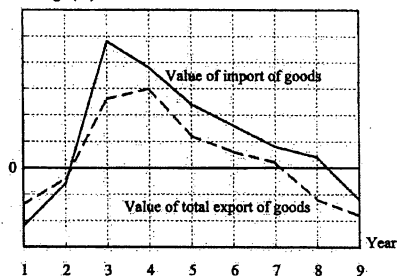
|                           | \$ Billion |
|---------------------------|------------|
| Domestic exports of goods | 20         |
| Imports of goods          | 50         |
| Visible trade balance     | -5         |

The re-exports (in \$ billion) are

- A. 15
- B. 25
- C. 30
- D. 35

2003/CE/II/48

Rate of Change (%)



According to the above diagram, from Year 4 to Year 6,

- A. the economy has suffered from visible trade deficit.
- B. the value of import of goods has decreased.
- C. the value of total export of goods has increased.
- D. the visible trade deficit has improved.

2004/CE/II/49

Many foreign tourists cancelled their holiday trips to Hong Kong during the SARS infection. This would

- A. worsen Hong Kong's visible trade balance.
- B. worsen Hong Kong's invisible trade balance.
- C. make Hong Kong's balance of payments imbalanced.
- D. All of the above are correct.

2004/CE/II/50

Mr Wong, a Mainland resident, comes to visit Hong Kong for a week. Which of the following should be included in Hong Kong's current account?

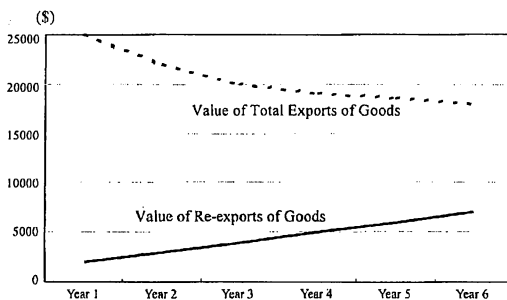
- A. the transport service he bought from a Mainland airline
- B. the accommodation service he bought from a Hong Kong hotel
- C. the residential flat in Tsim Sha Tsui he bought
- D. the Bank of China (H.K.) Ltd shares he bought

2005/CE/II/44

After the introduction of the 'individual visit' scheme, the Chinese government allows individuals from the mainland to travel in Hong Kong. This measure will increase Hong Kong's

- (1) tertiary production.
  - (2) GDP.
  - (3) invisible trade surplus.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2005/CE/II/47



According to the above diagram, from Year 2 to Year 5, the value of domestic exports of goods

- A. was decreasing.
- B. was increasing.
- C. remained constant.
- D. was indeterminate.

2006/CE/II/45

Many tourists from Mainland China buy souvenirs at Hong Kong Disneyland. Suppose these souvenirs are made in Mainland China. Then the tourist spending mentioned above is a/an \_\_\_\_\_ to Hong Kong.

- A. domestic export of goods
- B. re-export of goods
- C. export of services
- D. import of services



2006/CE/II/48

An Indonesian maid who works for a family in Hong Kong remits part of her wage earnings to Indonesia. In which component of the current account of Hong Kong's balance of payments should the above remittance be recorded?

- A. goods
- B. services
- C. income
- D. current transfers

2007/CE/II/48

Refer to the data of an economy in a certain year:

|                           | <u>\$ Billion</u> |
|---------------------------|-------------------|
| Domestic exports of goods | 20                |
| Re-exports                | 25                |
| Imports of goods          | 40                |
| Exports of services       | 23                |
| Imports of services       | 19                |

The visible trade balance is \$ \_\_\_\_\_ billion.

- |        |       |
|--------|-------|
| A. -20 | B. -5 |
| C. 5   | D. 9  |

2007/CE/II/50

An increase in the value of exports and a decrease in the value of imports in Country X would

- A. decrease its GDP.
- B. result in a surplus of its trade account.
- C. improve the balance of its current account.
- D. result in a depreciation of its domestic currency.

2008/CE/II/46

Which of the following should be included in the calculation of the invisible imports of Hong Kong?

- A. A Hong Kong citizen purchases shares in a state-owned enterprise on the Hong Kong stock market.
- B. A Hong Kong citizen buys some airtickets from a mainland Chinese airline.
- C. A mainland student pays tuition fees for his studies at a university of Hong Kong.
- D. A mainland investor purchases a residential apartment in Hong Kong.

2008/CE/II/47

Refer to the data of an economy in a certain year below:

|                           | <u>\$ Billion</u> |
|---------------------------|-------------------|
| Domestic exports of goods | 50                |
| Re-exports                | 35                |
| Imports of goods          | 60                |
| Exports of services       | 25                |
| Imports of services       | 10                |

There is a/an \_\_\_\_\_ of \$ \_\_\_\_\_ billion.

- A. visible trade surplus ..... 25
- B. visible trade deficit ..... 10
- C. invisible trade surplus ..... 40
- D. invisible trade deficit ..... 15

2008/CE/II/48

Last year, a film crew came to Hong Kong to make a Batman movie. The shooting of the film in Hong Kong would

- (1) improve the visible trade balance of Hong Kong.
- (2) improve the invisible trade balance of Hong Kong.
- (3) increase the GDP of Hong Kong.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2008/CE/II/49

A US engineer is working in Hong Kong. Which of the following amounts should be included in the calculation of the balance of Hong Kong's current account?

- A. the part of her salary earnings that she deposits with a bank in Hong Kong
- B. the part of her salary earnings that she remits to her family in the US
- C. the money she pays to buy shares in Chinese state-owned enterprises quoted on the Hong Kong Stock Exchange
- D. the money she spends on buying clothes and toys in Hong Kong which are sent to her children in the US

2009/CE/II/47

Mary is a fashion merchandiser for a department store in Thailand. She came to Hong Kong and purchased \$300 000 worth of garments from a Hong Kong garment manufacturer. These garments were shipped directly from the garment manufacturer to the department store. During her stay in Hong Kong, she also bought a personal computer worth \$10 000 from an electrical appliance shop for her own personal use.

The \$300 000 worth of garments would be regarded as a/an \_\_\_\_\_ export of Hong Kong and the \$10 000 computer would be regarded as a/an \_\_\_\_\_ export or Hong Kong.

- A. visible ..... visible
- B. visible ..... invisible
- C. invisible ..... visible
- D. invisible ..... invisible

2010/CE/II/48

Refer to the following trade figures of an economy in a certain year:

|                        | <u>\$ Billion</u> |
|------------------------|-------------------|
| Total exports of goods | 140               |
| Re-exports             | 50                |
| Exports of services    | 33                |
| Imports of goods       | 72                |
| Imports of services    | 20                |

The visible trade balance is \$ \_\_\_\_\_ billion.

- A. 68
- B. 81
- C. 118
- D. 131

2010/CE/II/49

Which of the following should be included in the calculation of the invisible imports of Hong Kong?

- A. the money spent by a Hong Kong citizen to buy a ticket for a concert held in Macau
- B. the money spent by a Malaysian tourist to purchase a ticket for the 2009 East Asian Game held in Hong Kong
- C. the money spent by a Hong Kong citizen on donations to earthquake victims in Haiti
- D. the money spent by a Hong Kong citizen to purchase an RMB sovereign bond of mainland China through a Hong Kong bank

2012/DSE/I/40

Which of the following is an invisible import in the current account of Hong Kong?

- A. In Beijing, a Hong Kong tourist purchases tickets to visit a local museum.
- B. A Mainland resident consults a doctor in a hospital in Hong Kong.
- C. A Mainland billionaire donates money to a university in Hong Kong.
- D. A Hong Kong manufacturer purchases raw materials from a Mainland firm.

2014/DSE/I/43

Which of the following is included in the calculation of the balance of Hong Kong's current account?

- A. A mainland investor purchases a house in Hong Kong.
- B. A Hong Kong investor buys shares issued by a mainland listed company.
- C. A mainland resident buys an air ticket to Hong Kong from a mainland airline.
- D. A Hong Kong resident buys a life insurance policy from a mainland insurance company.

2015/DSE/I/43

A lecturer from the US has been working in Hong Kong for 10 years. Which of the following would be included in the calculation of Hong Kong's current account balance?

- (1) the money he gives to his wife in Hong Kong
  - (2) the money he uses to buy shares listed in the US stock market
  - (3) the money he donates to a charity organization in Africa
  - (4) the money he spends on visiting his parents in the US
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

2015/DSE/I/44

The following table shows some information about the balance of payments of Country A.

| Items                         | \$ million |
|-------------------------------|------------|
| Balance on goods              | -1 200     |
| Balance on services           | 700        |
| Net factor income from abroad | 200        |
| Net current transfer          | -100       |
| Increase in reserve assets    | 180        |

According to the above data, which of the following statements are correct?

- (1) The current account deficit is \$400 million.
  - (2) Country A's GDP is smaller than its gross national product.
  - (3) The balance of payments surplus is \$180 million.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2016/DSE/I/43

The following table shows the information about the balance of payments of a country:

|                 | \$ million |
|-----------------|------------|
| Visible trade   | 20         |
| Invisible trade | $x$        |
| Capital inflow  | 70         |
| Capital outflow | 50         |

Suppose the foreign exchange reserves of the country increase by \$30 million. What is the value of  $x$ ?

- A. -70
- B. -10
- C. +10
- D. +70

2017/DSE/I/41

Which of the following transactions will be included in the calculation of the balance of payments of Hong Kong?

- (1) A Mainland resident who owns an apartment in Hong Kong receives rental payment from his tenant.

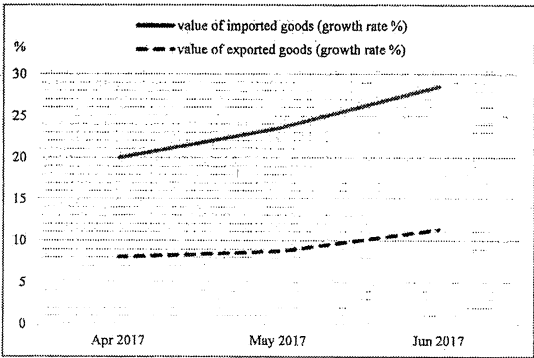
(2) A Japanese resident sells the shares of a Hong Kong firm to a Korean resident.

(3) A Hong Kong resident buys an air ticket to London from a Hong Kong based airline.

(4) An Indonesian who works in Hong Kong as a domestic helper remits money to her husband who lives in Indonesia.
- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2018/DSE/I/42

The diagram below shows some trade data of Country A in the second quarter last year.



Country A reported a trade surplus during that period. Based on the given information, we can conclude that during the second quarter last year,

- A. the trade balance was in deficit.
- B. the volume of imported goods increased faster than that of exported goods.
- C. the visible trade surplus decreased.
- D. the current account deficit increased.

2018/DSE/I/44

The Hong Kong Tourism Board organised the E-sports and Music Festival in summer 2017. Foreign E-sports players and K-pop superstars participated in the festival and they attracted locals and tourists from other parts of the world to attend the event. Organising the festival will lead to

- (1) an increase in private consumption expenditure in Hong Kong.
  - (2) an increase in export of services in Hong Kong.
  - (3) a decrease in balance of payment deficit in Hong Kong.
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2019/DSE/I/44

A Hong Kong billionaire travelled to Russia to watch matches in the World Cup. Which of the following would be included in the calculation of Hong Kong's balance of payments?

- (1) He bought a travel insurance for his Russia trip from a Hong Kong agency.
  - (2) He bought a jersey of the Russia national team in Moscow as a souvenir.
  - (3) He invested in a Russian football club and became the major owner.
- A. (1) and (2) only  
B. (1) and (3) only  
C. (2) and (3) only  
D. (1), (2) and (3)

2021/DSE/I/42

Refer to the following statistical data about Hong Kong.

|                     | 2020 first quarter (year-on-year change) | 2020 second quarter (year-on-year change) |
|---------------------|------------------------------------------|-------------------------------------------|
| Exports of goods    | -9.7%                                    | -2.5%                                     |
| Exports of services | -37.5%                                   | -47.5%                                    |
| Imports of goods    | -10.7%                                   | -7.4%                                     |
| Imports of services | -26.2%                                   | -44.6%                                    |

Based on the above information, we can conclude that

- A. Hong Kong had an invisible trade deficit in 2020 second quarter.
- B. Hong Kong's net exports in 2020 second quarter was lower than that in 2019 second quarter.
- C. Hong Kong's exports of goods in 2020 second quarter was lower than that in 2020 first quarter.
- D. Hong Kong's total imports of goods and services in 2020 second quarter was lower than that in 2019 second quarter.

**2022/DSE/I/42**

An international movie director came to Hong Kong to shoot a Hollywood movie for three weeks. Which of the following would be included in the calculation of Hong Kong's current account balance?

- (1) She stayed in a hotel in Tsim Sha Tsui.
  - (2) She bought souvenirs in a shopping mall in Central.
  - (3) She sold the copyright of the movie to a Hong Kong movie distributor.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

**2023/DSE/I/44**

Which of the following is included in the calculation of the balance of Hong Kong's current account?

- A. A Mainland billionaire spends HK\$20 billion building a shopping mall in Hong Kong.
- B. A Japanese resident buys an air ticket to Hong Kong from an airline company in Japan.
- C. A Hong Kong resident receives interest from US Government bonds.
- D. A Hong Kong investor buys shares issued by a German listed company.

**2024/DSE/I/40**

Which of the following measures may increase the aggregate output and reduce the balance of payments deficits at the same time?

- (1) to set up night markets to attract foreign tourists
  - (2) to construct infrastructure by importing raw materials from foreign countries
  - (3) to launch a promotion campaign to attract more investment from foreign countries
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

**2024/DSE/I/41**

In an open economy, if the government raises the income tax rate, the income tax revenue \_\_\_\_\_ and the total import value \_\_\_\_\_

- A. will increase ..... may increase or decrease
- B. will decrease.....may increase or decrease
- C. may increase or decrease ..... will increase
- D. may increase or decrease ..... will decrease

**2025/DSE/I/44**

Which of the following is **NOT** included in the calculation of Hong Kong's current account balance?

- A. a bank transfer received by a Hong Kong resident from her son residing in London
- B. the revenue earned by a Hong Kong retailer from selling souvenirs to Mainland tourists
- C. the sum of money received by a Hong Kong landlord from selling his restaurant premises to an investor in Paris
- D. the rental income received by a Hong Kong resident from renting his apartment to a Mainland professor who stayed in Hong Kong for four months

### Short & Structured Questions

1990/CE/I/3(a)(i)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

|                                        | <u>\$ Billion</u> |
|----------------------------------------|-------------------|
| Private consumption expenditure        | 255               |
| Government consumption expenditure     | 30                |
| Gross domestic fixed capital formation | 109               |
| Increase in stocks                     | 10                |
| Domestic exports of goods              | 218               |
| Re-exports of goods                    | 275               |
| Imports of goods                       | 501               |
| Exports of services                    | 86                |
| Imports of services                    | 56                |
| (The GDP deflator for 1980 = 100)      |                   |

Calculate the visible trade balance.

(2 marks)

1991/CE/I/4(b)

Every morning Mr. Chan transports vegetables from a farm in Shenzhen to Hong Kong. Explain whether

- (i) the import value of the vegetables, and
- (ii) the value of Mr. Chan's transport services

should be recorded in Hong Kong's visible trade account. Also, state the respective effects of (b)(i) and (b)(ii) on Hong Kong's balance of payments.

(6 marks)

1992/CE/I/4(c)

State the effect of each of the following on **BOTH** the balance of invisible trade and the balance of payments in Hong Kong.

(4 marks)

- (i) Company B deposited £1 000 into its savings account with a bank in England.
- (ii) Company B received a dividend payment from investment abroad.

1993/CE/I/2(b)(i)

Many Hong Kong manufacturers have recently moved their factories to China.

Explain the effect on the volume of Hong Kong's re-exports.

(3 marks)

1993/CE/I/4(a)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

| <b>GDP Components</b>              | <u>Ratio to total GDP</u> |             |
|------------------------------------|---------------------------|-------------|
|                                    | <b>1980</b>               | <b>1990</b> |
| Private consumption expenditure    | 62%                       | 62%         |
| Government consumption expenditure | A%                        | 6%          |
| Investment                         | 36%                       | 28%         |
| Exports                            | 88%                       | 165%        |
| Imports                            | 93%                       | 161%        |

- (ii) Was external trade more significant to Hong Kong's economy in 1990 than in 1980? Explain in terms of the above figures. (3 marks)
- (iii) Was there a trade deficit or surplus in 1980? In 1990? Give **TWO** reasons for the change in the trade balance. (6 marks)



1994/CE/I/8

Explain how it is possible for a country to have a trade deficit and a balance of payments surplus at the same time. (4 marks)

1995/CE/I/9(b)

The World Cup of 1994 was held in the USA. People from all over the world went to the US to watch the matches.

For each of the following situations, name the account(s) within the US balance of payments that would be affected, and explain how the US balance of payments would be affected.

- (i) Many tourists from other countries bought souvenirs in the US which were made in Hong Kong. (5 marks)
- (ii) Some hotels in the US were built before the event by foreign investors. (2 marks)

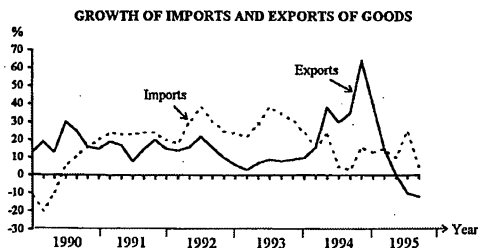
1996/CE/I/9

The table shows the items (in \$mn) of the balance of payments of a country in a certain year:

|                                 | <u>Debit</u>      | <u>Credit</u>     |
|---------------------------------|-------------------|-------------------|
| Exports of goods                |                   | 24                |
| Imports of goods                | 35                |                   |
| Exports of services             |                   | 17                |
| Imports of services             | 19                |                   |
| Capital inflow                  |                   | 50                |
| Capital outflow                 | 65                |                   |
| Foreign exchange & gold account |                   | 28                |
| <b>Total</b>                    | <b><u>119</u></b> | <b><u>119</u></b> |

- (a) Calculate the balance of current account. (1 mark)
- (b) 'The country has no balance of payments problem because the debit total for all items equals the credit total.' Explain whether you agree with this statement. (3 marks)

1997/CE/I/6



Explain under what conditions we can conclude from the above chart that the economy had a visible trade surplus from 1991 to 1993. (3 marks)

1997/CE/I/11(a)(i)

Suppose \$1 million worth of seafood is imported to Hong Kong. Half of it is sold to local households at \$0.8 million and half to local restaurants at \$0.7 million. These restaurants cook and sell the seafood to their customers at \$1.6 million of which \$0.6 million is tourist spending.

Explain whether the above transactions together will improve Hong Kong's

- (I) balance of visible trade.
- (II) balance of payments.

(4 marks)

1998/CE/I/8

Refer to the table below:

| Year | Imports (\$mn) | Domestic Exports (\$ mn) | Re-exports (\$mn) |
|------|----------------|--------------------------|-------------------|
| 1996 | 1 535 582      | 212 160                  | 1 185 758         |

Source: HONG KONG 1997

Based on the above information, explain whether we can come to the conclusion that Hong Kong suffered from a balance of payments deficit in 1996. (3 marks)

1998/CE/I/11(c)

In a certain year the sales revenue of Japanese cars in Hong Kong decreased. This was because the local demand for these cars dropped and the demand for re-export of these cars to Mainland China also declined.

(ii) Which account of Hong Kong's balance of payments was affected? (2 marks)

(iii) Explain the combined effect of the two changes in demand on Hong Kong's balance of payments. (5 marks)

1999/CE/I/6(b)

Aaron won an overseas scholarship and received a remittance of \$10 000.

Explain whether this initial sum of \$10 000 should be included in the calculation of the balance of invisible trade of the overseas economy. (2 marks)

2001/CE/I/8

Refer to Hong Kong's balance of payments account.

(a) (i) Two components of the current account are 'factor income' and 'current transfers'. Name the other **TWO** components. (2 marks)

(ii) Give an example of the component 'factor income'. (2 marks)

(b) Besides the current account, name the other account in the balance of payments account. (2 marks)

2004/CE/I/8

The following information shows the trade statistics of an economy in a certain year:

|                           | \$million |
|---------------------------|-----------|
| Visible trade surplus     | 40        |
| Domestic exports of goods | 10        |
| Import of goods           | 30        |
| Import of services        | 50        |
| Export of services        | 25        |

Calculate the value of re-exports of the economy. (3 marks)

2006/CE/I/11(a)

An increase in private consumption expenditure usually affects the visible trade balance and the public finance.

- (i) Explain how an increase in Hong Kong's private consumption expenditure may affect her visible trade balance. (3 marks)
- (ii) The data below show signs of a strong recovery of the Hong Kong economy in 2004.

|                                 | Change in value on a year-on-year basis |
|---------------------------------|-----------------------------------------|
| Private consumption expenditure | +6.8 %                                  |
| Total export value of goods     | +15.9%                                  |

Source : The HKSAR Government

Given the above information, explain under what condition would Hong Kong's 2004 visible trade balance worsen.

(2 marks)

2008/CE/I/11(c)

Trade deficit is a concern of many countries.

Explain whether the visible trade balance of a country would definitely be improved when the value of its imported goods decreases.

(4 marks)

2009/CE/I/8

Suppose the balance of payments account of Hong Kong in a certain year is as follows:

|                            | \$ billion           |
|----------------------------|----------------------|
| 1. Current Account         | <i>R</i>             |
| Goods                      | <i>S</i>             |
| <u><i>P</i></u>            | 300                  |
| Income flow                | 30                   |
| Current transfers          | -20                  |
| 2. <u><i>Q</i></u> Account | -180                 |
|                            | <i>Total sum = 0</i> |

- (a) The name of the component *P* of the current account is \_\_\_\_\_.
- (b) In the balance of payments account, the name of the *Q* account is \_\_\_\_\_ Account.
- (c) In the above table, *R* and *S* stand for the current account balance and the visible trade balance respectively. Suppose there are no errors and omissions.
  - (i) The visible trade balance = \_\_\_\_\_ billion dollars.
  - (ii) The domestic export of goods is \$147 billion and the import of goods is \$2 600 billion. Therefore the re-export of goods is \_\_\_\_\_ billion dollars.

(4 marks)

2010/CE/I/9(d)

Many mainland Chinese tourists buy souvenirs in Hong Kong which are imported from the Mainland. Explain why these transactions would improve the current account balance of Hong Kong's balance of payments.

(5 marks)

2013/DSE/II/6

The table below shows the items of the balance of payments of Country A in a certain year:

|                                     | Debit (\$ million) | Credit (\$ million) |
|-------------------------------------|--------------------|---------------------|
| Export of goods                     |                    | 35                  |
| Import of goods                     | 50                 |                     |
| Export of services                  |                    | 47                  |
| Import of services                  | 27                 |                     |
| Capital inflow                      |                    | 70                  |
| Capital outflow                     | 85                 |                     |
| Foreign exchange and reserve assets |                    | 10                  |
| Total                               | 162                | 162                 |

- (a) Calculate the current account balance of Country A. (1 mark)
- (b) "Country A has a balance of payments surplus because there is an increase in foreign exchange reserves in that year." Explain whether you agree with this statement. (3 marks)

2015/DSE/II/12(a)

Research shows that the "Individual Visit Scheme" of mainland tourists has brought economic benefits to Hong Kong. However, more and more Hong Kong residents have called on the government to reduce the number of mainland tourists to Hong Kong under the Scheme.

How would the current account of Hong Kong be affected if the government limited the scale of the Scheme so that the number of tourists from the mainland would drop? Explain your answer. (2 marks)

2016/DSE/II/13(b)(i)

The airport corporation plans to build an additional runway. There are two proposals to finance the runway.

|                                                                                         |
|-----------------------------------------------------------------------------------------|
| Proposal A: the government increases the income tax                                     |
| Proposal B: the airport corporation charges a lump-sum fee on every departing traveller |

Discuss the effects of the two proposals on the current account in the balance of payments of Country H. (5 marks)

2017/DSE/II/12(c)

Before the British people voted against staying in the European Union (EU), i.e. Brexit, workers from the EU were free to work in Britain and vice versa. Brexit has shocked the economies in Europe and the following table shows some views on Brexit:

|                                                                                                                  |                                                                                                                          |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <i>British politicians:</i><br>Low-skilled EU workers should be required to apply for a visa to work in Britain. | <i>British firm owners:</i><br>The new visa requirement for EU workers affects most of the firms in the British economy. |
| <i>Global investors:</i><br>Political uncertainty in Britain increases the risk of investment projects there.    | <i>EU officials:</i><br>British citizens may require a visa to visit or to work in the EU countries.                     |

Referring to the view of the *EU officials*, which **TWO** components of current account in the balance of payments of Britain may be affected? Explain your answer. (4 marks)

2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 - 25 are also required to join the military force for 2 years.

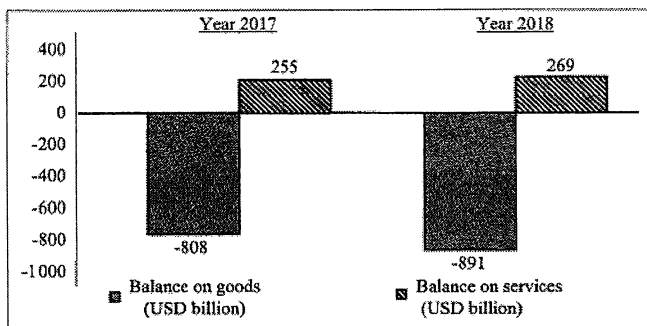
In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's balance of payments.

(4 marks)

2020/DSE/II/10A

The following source shows the current account data of the US in 2017 and 2018.



(a) (i) Describe the changes of current account data of the US in the above source.

(2 marks)

(ii) 'Based on the above source, we can conclude that the current account deficit of the US in 2018 *necessarily* increased.' Do you agree? Explain.

(2 marks)

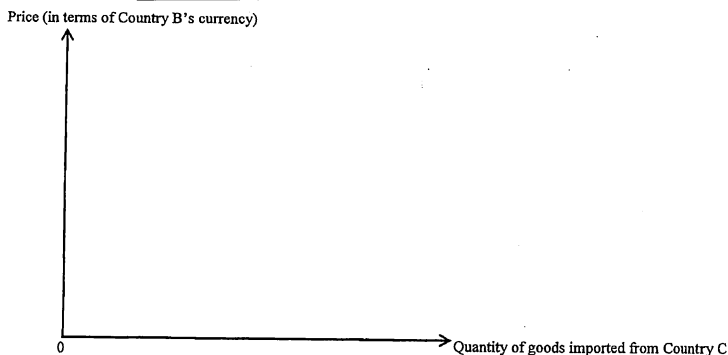
2022/DSE/II/4c

Country B and Country C are two large open economies. Facing a huge visible trade deficit, Country B imposes a per-unit tariff on goods imported from Country C. Suppose Country B's demand for goods imported from Country C is elastic.

(a) With the aid of Figure 1, explain how the tariff would affect the total expenditure of Country B on goods imported from Country C.

(6 marks)

**Figure 1: Goods imported from Country C by Country B**



**2024/DSE/II/11(d)**

Ann is the owner of a coffee shop in Hong Kong.

- (d) Suppose more and more Mainland visitors consume at Ann's coffee shop. Thus, Ann purchases more coffee beans from Brazil to cater for the increased business. Explain why these transactions may increase the current account balance of Hong Kong's balance of payments. (3 marks)

## 8.2 EXCHANGE RATES

### Multiple Choice Questions

1990/CE/II/38

Which of the following would make depositors in Hong Kong transfer their local currency deposits to foreign currency deposits?

- A. The interest rate in Hong Kong has increased relative to other countries.
- B. There is a widespread belief that the Hong Kong dollar is overvalued.
- C. The local political development is favourable.
- D. The value of Hong Kong's exports has increased.

1990/CE/II/43

Suppose that the Japanese yen appreciates against the Hong Kong dollar and the Italian lira depreciates against the Hong Kong dollar. The demand for Italian cars in Hong Kong will

- A. increase.
- B. decrease.
- C. remain unchanged because there is only a change in the quantity demanded.
- D. either increase or decrease depending on the extent of price changes.

1991/CE/II/51

The appreciation of the Japanese yen may cause

- A. a decrease in the price of Japanese goods in Hong Kong.
- B. a decrease in the number of Hong Kong tourists visiting Japan.
- C. an increase in the quantity of goods exports by Japan.
- D. a decrease in Japanese investment abroad.

1993/CE/II/55

The below change in the exchange rate of the Hong Kong dollar against the Japanese yen would lead to

| Year | Exchange rates                |
|------|-------------------------------|
| 1990 | HK\$576 = 10 000 Japanese yen |
| 1991 | HK\$622 = 10 000 Japanese yen |

- A. a slower growth rate of imports from Japan.
- B. a smaller volume of Hong Kong garments exported to Japan.
- C. less Japanese investments in Hong Kong's real estates.
- D. a trade surplus in Hong Kong against Japan.

1993/CE/II/57

If the Hong Kong dollars depreciates against the Japanese yen,

- A. fewer Japanese tourists will be willing to come to Hong Kong
- B. the price of imports from Japan will fall.
- C. the competitive power of Hong Kong products in Japan will fall.
- D. those who hold Japanese yen deposits will gain

1995/CE/II/55

Under the linked exchange rate system, if the US dollar depreciates against the Japanese yen sharply,

- A. more US tourists will visit Japan.
- B. more Japanese tourists will visit Hong Kong.
- C. fewer Hong Kong products will be exported to the US.
- D. fewer Hong Kong products will be exported to Japan.

1997/CE/II/54

When the HK dollar appreciates against the British pound,

- A. the volume of the exports of Hong Kong to the UK will increase.
- B. the volume of the imports to Hong Kong from the UK will increase.
- C. the volume of the imports to Hong Kong from the US will increase.
- D. the capital inflow to Hong Kong from the UK will increase.

1998/CE/II/48

What will be the effect on Hong Kong's trade with Canada if the exchange rate changes from C\$1 = HK\$5.7 to C\$1 = HK\$5?

- A. The volume of Hong Kong's exports to Canada will increase
- B. The volume of Hong Kong's imports from Canada will increase.
- C. Hong Kong's imports from Canada will be more expensive.
- D. Hong Kong's expenditure in Hong Kong dollars on imports from Canada will increase.

2003/CE/II/47

What would result from the following change in the exchange rate between the HK dollar and the Japanese Yen?

|                                         |                   |
|-----------------------------------------|-------------------|
| 15 <sup>th</sup> February               | HK\$6.4 = 100 yen |
| 15 <sup>th</sup> March in the same year | HK\$6.1 = 100 yen |

- (1) The volume of imported goods from Japan to Hong Kong would increase.
  - (2) The number of Japanese tourists to Hong Kong would increase.
  - (3) The prices of exported goods from Hong Kong to Japan in terms of Japanese yen would increase.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2004/CE/II/48

In which of the following situations will the export volume of a country increase?

- (1) an increase in the tariffs on imports
  - (2) a depreciation of the domestic currency
  - (3) an appreciation of the domestic currency
  - (4) an increase in income for the trading partners
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (4) only
  - D. (3) and (4) only



2005/CE/II/49

| Year X  | Exchange rate            |
|---------|--------------------------|
| January | US\$1 = 120 Japanese yen |
| May     | US\$1 = 105 Japanese yen |

Under the linked exchange rate system, the above change in the exchange rate between the US dollar and the Japanese yen will lead to

- A. a decrease in the number of Hong Kong people visiting the US.
- B. an increase in the number of Hong Kong people visiting Japan.
- C. a decrease in the quantity of Japanese electrical appliances exported to Hong Kong.
- D. a decrease in the quantity of Hong Kong made fashions exported to Japan.

2007/CE/II/49

In which of the following situations will the import volume of Hong Kong from Japan increase?

- A. The income of Hong Kong falls.
- B. The national income of Japan rises.
- C. The exchange rate of the Hong Kong dollar to the Japanese yen changes from HK\$6.7 = JP¥100 to Hk\$6.9 = JP¥100.
- D. The Hong Kong economy is in the recovery stage.

2008/CE/II/50

The table below shows a change in the exchange rate between the US dollar and the Japanese Yen.

| Date                           | Exchange rate |
|--------------------------------|---------------|
| 11 <sup>th</sup> July 2007     | US\$1 = ¥122  |
| 14 <sup>th</sup> November 2007 | US\$1 = ¥111  |

Under the linked exchange rate system of Hong Kong, the above change in exchange rate would lead to

- (1) an increase in the competitiveness of Hong Kong exports to Japan
  - (2) a decrease in the number of Hong Kong tourists to Japan
  - (3) a decrease in the total value of Hong Kong imports from Japan (in terms of the Hong Kong dollar)
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2009/CE/II/49

| Date      | Exchange rate     |
|-----------|-------------------|
| 1.12.2007 | US\$1 = 930 KRW   |
| 1.12.2008 | US\$1 = 1 468 KRW |

Under the linked exchange rate system of Hong Kong, the above change in the exchange rate of the South Korean Won (KRW) with the US dollar would lead to

- A. more Korean tourists visiting Hong Kong.
- B. more Hong Kong tourists visiting Korea.
- C. fewer US tourists visiting Hong Kong.
- D. fewer US tourists visiting Korea.

2010/CE/II/50

Under the linked exchange rate system, when the British pound depreciates against the US dollar, there would be

- A. an increase in the quantity of Hong Kong electrical appliances exported to Britain.
- B. a decrease in the quantity of British souvenirs bought by Hong Kong people.
- C. an increase in the number of Hong Kong people visiting the US.
- D. a decrease in the number of British people visiting Hong Kong.

2012/DSE/I/39

| Date           | Exchange rate     |
|----------------|-------------------|
| September 2010 | HK\$10 = 1 Euro   |
| July 2011      | HK\$11.3 = 1 Euro |

The above change in the exchange rate between HK\$ and the Euro will result in

- A. a drop in the number of tourists from Europe to Hong Kong.
- B. a drop in the price (in terms of HK\$) of imports from Europe.
- C. a drop in the total value (in terms of the Euro) of imports from Europe.
- D. a drop in the exchange rate of the US dollar against the Euro.

2013/DSE/I/37

A country's currency appreciates against its trading partners' currencies. If the country's demand for imports is \_\_\_\_\_, the appreciation of its currency will lead to \_\_\_\_\_ in the total import value (in terms of domestic currency).

- A. unitarily elastic ..... a rise
- B. inelastic ..... a rise
- C. elastic ..... a fall
- D. inelastic ..... a fall

2014/DSE/I/42

Suppose South Korean Won depreciates against the US Dollar. Under the linked exchange rate system of Hong Kong, which of the following would be results of the above change in the exchange rate?

- (1) The volume of imported goods from South Korea to Hong Kong would increase.
- (2) The price of exported goods from Hong Kong to South Korea in terms of HK dollar would increase.
- (3) The number of tourists from South Korea to Hong Kong would decrease.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2016/DSE/I/44

Suppose the countries in a certain region are competitors of exporting goods to the U.S. The currencies of the countries in the region except that of Country X depreciate against the US dollar. As a result, the volume of Country X's exports to the U.S. will

- A. decrease.
- B. increase.
- C. remain constant.
- D. be indeterminate.

2016/DSE/I/45

| Date             | Exchange rate    |
|------------------|------------------|
| 15 February 2015 | US\$1 = € 0.8773 |
| 15 August 2015   | US\$1 = € 0.8965 |

Under the linked exchange rate system of Hong Kong, the above change in the exchange rate of Euro (€) to the US dollar would lead to \_\_\_\_\_.

- A. an increase in the number of European tourists to Hong Kong
- B. an increase in the total value (in terms of Hong Kong dollar) of European exports to Hong Kong
- C. a decrease in the volume of Hong Kong exports to the U.S.
- D. a decrease in the total value (in terms of Hong Kong dollar) of Hong Kong exports to Europe

2017/DSE/I/44

| Date             | Exchange rate    |
|------------------|------------------|
| 22 November 2015 | US\$1 = RMB¥6.39 |
| 22 November 2016 | US\$1 = RMB¥6.89 |

The above change in the exchange rate between the US Dollar and the Renminbi would lead to

- (1) a decrease in the number of Chinese tourists to the US.
  - (2) a decrease in the competitiveness of US exports to China.
  - (3) an increase in the total value of US exports to China (in terms of the US Dollar).
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

2018/DSE/I/45

|       | Exchange rate    |
|-------|------------------|
| Day 1 | 1 HKD = 0.83 RMB |
| Day 2 | 1 HKD = 0.77 RMB |

Mr Wong used \$10 000 Hong Kong Dollars (HKD) to buy Renminbi (RMB) at Day 1 and sold the sum at Day 2 to obtain HKD at the exchange rates shown in the table below.

Mr Wong \_\_\_\_\_ approximately in the above transactions.

- A. lost HK\$779
- B. lost HK\$600
- C. gained HK\$600
- D. gained HK\$779

1993/CE/II/33

Which of the following about the linked exchange rate (聯繫匯率) in Hong Kong is correct ?

- A. It is determined by market forces.
- B. It has been changed several times by the government.
- C. The linked rate system is used to stabilize the exchange rate of the Hong Kong dollar.
- D. It is an exchange rate between the Hong Kong dollar and a basket of foreign currencies.

1993/CE/II/36

Which of the following will lower the value of the Hong Kong dollar?

- A. The US dollar appreciates against other currencies.
- B. The government issues new \$10 coins to replace \$10 notes.
- C. The money income increases.
- D. The GDP deflator increases.

1996/CE/II/52

Hong Kong practises a linked exchange rate system. In the foreign exchange market the exchange rate of the Hong Kong dollar relative to the US dollar is \_\_\_\_\_ and that relative to other currencies is \_\_\_\_\_.

- A. fixed at US\$1 = HK\$7.8 ..... fixed
- B. fixed at US\$1 = HK\$7.8 ..... not fixed
- C. not fixed ..... fixed
- D. not fixed ..... not fixed

1999/CE/II/49

Under the linked exchange rate system of Hong Kong, which of the following statements is true?

- A. The exchange rate of the HK dollar relative to Renminbi is fixed.
- B. The market exchange rate of the HK dollar relative to the US\$ is fixed at US\$1 = HK\$7.8
- C. The competitiveness of Hong Kong exports decreases when the US dollar appreciates against other currencies.
- D. Hong Kong will not have a balance of payments problem.

2000/CE/II/52

Suppose the Japanese Yen appreciates greatly against the US dollar. Due to the linked exchange rate system.

- A. The HK dollar will depreciate greatly against the Japanese Yen.
- B. The US dollar will depreciate greatly against the Japanese Yen.
- C. The US dollar will depreciate greatly against the euro.
- D. The HK dollar will depreciate greatly against the euro.

2001/CE/II/46

Under the linked exchange rate system in Hong Kong,

- A. the market exchange rate of the HK dollar relative to the US dollar is fixed.
- B. the market exchange rates of the HK dollar relative to currencies other than the US dollar are fixed.
- C. The HK dollar will depreciate against the Australian dollar if the US dollar appreciates against the Australian dollar.
- D. The HK dollar will appreciate against the Japanese yen if the US dollar appreciates against the Japanese yen.

2006/CE/II/47

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The exchange rate of the Hong Kong Dollar (HKD) relative to the US dollar (USD) is fixed at USD1=HKD7.8 on the foreign exchange market.
- B. If Mainland China has a visible trade surplus, Hong Kong will also have a visible trade surplus.
- C. When the USD depreciates against the Euro, the HKD will also depreciate against the Euro.
- D. All of the above.

2009/CE/II/50

Under the linked exchange rate system of Hong Kong,

- A. the exchange rate of the Hong Kong dollar with the US dollar in the foreign exchange market is fixed.
- B. the Hong Kong government need not hold a large amount of foreign exchange reserves.
- C. Hong Kong citizens can give the Hong Kong government Hong Kong dollars in exchange for US dollars at the linked rate.
- D. the Hong Kong dollar banknotes are fully backed by foreign exchange reserves.

2013/DSE/I/40

Which of the following statements about the linked exchange rate system of Hong Kong is correct?

- (1) Hong Kong dollar banknotes are fully backed by Renminbi and the US dollar.
  - (2) The Hong Kong Monetary Authority holds a considerable amount of foreign exchange reserves.
  - (3) All note-issuing banks can exchange for US dollars at the linked rate with the Hong Kong Monetary Authority.
  - (4) The exchange rate of the Hong Kong dollar to the US dollar in the foreign exchange market is fixed.
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

2015/DSE/I/42

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The money supply (M1) of Hong Kong has to be fully backed by the US dollar.
- B. The market exchange rate of HK dollar to the US dollar is fixed at 1USD to 7.8 HKD by the Hong Kong Monetary Authority.
- C. Hong Kong's import volume will increase when US dollar appreciates against other currencies.
- D. A current account deficit in the US will lead to a current account deficit in Hong Kong.

2017/DSE/I/45

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The non-bank public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at any time.
- B. It enables the Hong Kong Monetary Authority to carry out an expansionary monetary policy to stimulate private investment.
- C. The market exchange rate of the US Dollar against the HK Dollar is fixed at US\$1 = HK\$7.8.
- D. There would be a downward pressure on the consumer price indices of Hong Kong when the Renminbi continuously depreciates against the US Dollar.

2019/DSE/I/45

Study the prices of iPhone X in Hong Kong in terms of Hong Kong dollar (HKD) and in the Mainland in terms of Renminbi (RMB).

| Hong Kong | The Mainland |
|-----------|--------------|
| HKD 8588  | RMB 8316     |

Given the exchange rate of HKD 1 = RMB 0.875, which of the following statements is correct?

- A. Travellers tend to buy an iPhone X in the Mainland instead of in Hong Kong.
- B. RMB is under-valued as the price of an iPhone X in the Mainland is lower than that in Hong Kong.
- C. If the transportation cost is HKD 950, buying an iPhone X in Hong Kong and re-selling it in the Mainland will no longer gain.
- D. The potential gain from 'buy low, sell high' will disappear when the price of iPhone X in Hong Kong is higher than HKD 9504.

2020/DSE/I/44

The following table shows the change in the exchange rate of Euro against the US dollar.

| Date              | Exchange rate     |
|-------------------|-------------------|
| 22 September 2018 | 1EUR = US\$ 1.176 |
| 22 August 2019    | 1EUR = US\$ 1.109 |

The above change in the exchange rate will lead to a decrease in

- A. the number of European tourists visiting the US.
- B. the volume of goods exported from Europe to the US.
- C. the total value of US exports to Europe (in terms of Euro).
- D. the total value of European exports to the US (in term of the US dollar),

2020/DSE/I/45

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The money supply M1 of Hong Kong has to be fully backed up by the US dollar.
- B. Hong Kong's export volume will increase when the US dollar depreciates against other currencies.
- C. The market exchange rate of the HK dollar relative to the US dollar is fixed.
- D. Hong Kong citizens can sell 1 USD to the three note-issuing banks for 7.8 HKD.

2021/DSE/I/45

Study the following table.

|                 | Exchange rate     |
|-----------------|-------------------|
| 3 December 2019 | HKD 1 = RMB 0.902 |
| 3 December 2020 | HKD 1 = RMB 0.923 |

On 3 December 2019, Mr Chan exchanged a total of RMB 300 000 from Hong Kong dollar and deposited the sum to a bank as time deposits at an annual interest rate of 0.8%. Suppose he withdrew the sum on 3 December 2020 and exchanged it back to Hong Kong dollar.

From the above transactions, Mr Chan\_\_\_\_\_.

- A. lost about HK\$4 967
- B. B. lost about HK\$7 570
- C. gained about HK\$6 300
- D. gained about HK\$8 515

2022/DSE/I/45

Which of the following statements about the Linked Exchange Rate System of Hong Kong is correct?

- A. The public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at the market exchange rate.
- B. The public can sell their Hong Kong dollars to the three note-issuing banks in exchange for US dollars at the linked exchange rate.
- C. An appreciation of Hong Kong dollar against Japanese yen would lead to an appreciation of US dollar against Japanese yen.
- D. An appreciation of US dollar against Japanese yen would lead to an appreciation of Hong Kong dollar against Japanese yen.

**2024/DSE/I/45**

The following table shows the change in the exchange rate of **Hong Kong dollar (HKD)** against Renminbi (RMB).

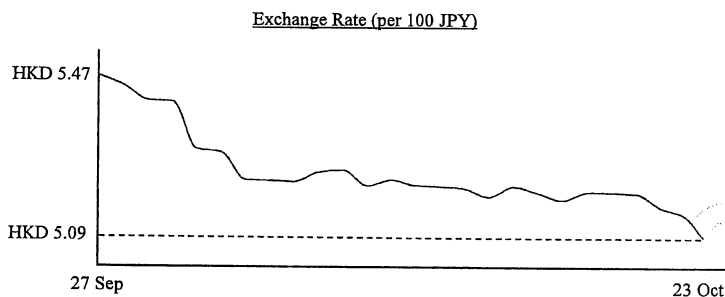
|                | Exchange rate    |
|----------------|------------------|
| 11 August 2022 | HKD 1 = RMB 0.86 |
| 11 August 2023 | HKD 1 = RMB 0.92 |

The above change in the exchange rate would lead to \_\_\_\_\_.

- A. an appreciation of US dollar against Renminbi
- B. an increase in the total value of imports from the Mainland to Hong Kong in terms of Hong Kong dollar
- C. an increase in the competitiveness of the Mainland's goods exported to Hong Kong
- D. an increase in the production cost of construction companies in Hong Kong which import construction materials from the Mainland

**2025/DSE/I/45**

The diagram below shows the exchange rate between Japanese Yen (JPY) and Hong Kong Dollar (HKD) from 27 September to 23 October 2024.



During the above period, if Japan's demand for imports from Hong Kong is \_\_\_\_\_, the total value of Japan's imports from Hong Kong (in terms of JPY) would \_\_\_\_\_.

- A. elastic.....decrease
- B. elastic.....increase
- C. inelastic.....decrease
- D. perfectly inelastic.....remain unchanged

### Short & Structured Questions

1992/CE/I/2(c)

Some garment manufacturers in Hong Kong import raw materials from Japan. Explain how a depreciation of the Hong Kong dollar against the Japanese yen affects the unit cost of production of these firms. (4 marks)

1998/CE/I/11(b)

Suppose Japanese Yen depreciates against the Hong Kong dollar, and that Hong Kong people's demand for Japanese cars is elastic.

With the aid of a diagram, explain how these factors would affect the sales revenue (in HK\$) of Japanese cars in Hong Kong. (8 marks)

1999/CE/I/9(b)

The Japanese Yen depreciated sharply against the Hong Kong dollar. Other things being equal, what would be the effect on the sales revenue of French cars in Hong Kong? Explain your answer with the aid of a supply-demand diagram. (9 marks)

1999/CE/I/10(d)

The table below shows changes in the exchange rates between the Hong Kong dollar and some other Asian currencies:

| Date       | HK\$100 equals |                         |                 |
|------------|----------------|-------------------------|-----------------|
|            | Japanese<br>日圓 | Indonesia Rupiah<br>印尼盾 | Thai Baht<br>泰銖 |
| 15/10/1996 | 1 448          | 2 9412                  | 324.7           |
| 10/10/1998 | 1 515.15       | 166 666.7               | 512.82          |

Explain the effect of such changes on the exports of Hong Kong to the US market and explain further the effect on Hong Kong's unemployment. (6 marks)

2002/CE/I/12(a)(ii)

Mr Wong runs a bookstore in Hong Kong. He sells books imported from Britain. Suppose the exchange rate between the US dollar and the British pound changes as follows:

|       |               |
|-------|---------------|
| April | US\$1 = £0.75 |
| May   | US\$1 = £0.70 |

Suppose the price of books imported from Britain remains unchanged in British pound and the demand for these books is inelastic.

With the aid of a diagram, explain how Mr Wong's sales revenue of these books in HK dollars would change. (7 marks)

2004/CE/I/11(b)

In Hong Kong, many fashion items are imported from Europe. Suppose the US dollar depreciates against the Euro.

- Explain how the import price (in terms of HK\$) of European fashion items would change under the linked exchange rate system. (2 marks)
- With the aid of a diagram, explain under what condition the total import value (in terms of HK\$) of European fashion items would decrease. (6 marks)



2006/CE/1/10

A change in the exchange rate of the Euro (€) is shown below :

| Date            | Exchange rate |
|-----------------|---------------|
| 1 December 2005 | €1 = HK\$9.07 |
| 18 January 2006 | €1 = HK\$9.37 |

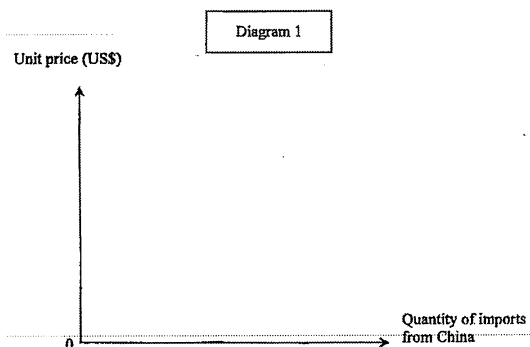
- (a) Suppose that during this period of time, the price of European cars (in terms of €) imported into Hong Kong did not change.
- (i) Explain how the above change in the exchange rate would affect the price (in terms of HK\$) of European cars imported into Hong Kong. (2 marks)
- (ii) With the aid of a diagram, explain why the above change in the exchange rate could lead to an increase in total expenditure (in terms of HK\$) on European cars imported into Hong Kong. (6 marks)
- (iii) Explain how the above change in the exchange rate would affect the total value (in terms of €) of European cars imported into Hong Kong. (2 marks)
- (b) Through a commercial bank, Mr Chan bought 10 000 Euros on 1 December 2005 and sold them on 18 January 2006 at the rates shown in the above table.
- (i) Calculate Mr Chan's gain / loss (in terms of HK\$) in the above transactions. Explain whether this gain / loss should be included in the calculation of Hong Kong's GDP. (4 marks)

2008/CE/1/11(a)

Trade deficit is a concern of many countries. The US government is trying to reduce the value of its imports from China. Two methods are suggested:

1. To press the Chinese government to revalue the Renminbi (RMB)
2. To impose a quota restriction on the imports from China

Explain under what condition the value of US imports (in terms of US\$) from China will decrease due to a revaluation of RMB. Illustrate your answer in Diagram 1 below. (7 marks)



2010/CE/I/8

Suppose from 2008 to 2009, the price of jeans exported to Japan from Hong Kong in terms of Hong Kong dollars (HK\$) remained unchanged. In the same period of time, the price of computers exported to Hong Kong from Japan in terms of Japanese Yen (¥) also remained unchanged. However, there was a change in the exchange rate between HK\$ and ¥ as follows:

| Date           | Exchange rate  |
|----------------|----------------|
| 13 August 2008 | HK\$7.1 = ¥100 |
| 18 August 2009 | HK\$8.2 = ¥100 |

What would be the effect of the above change in the exchange rate on the following items (a), (b) and (c)? For each item, fill in the blank by selecting the correct answer from one of the four choices:

increased      decreased      remained unchanged      uncertain

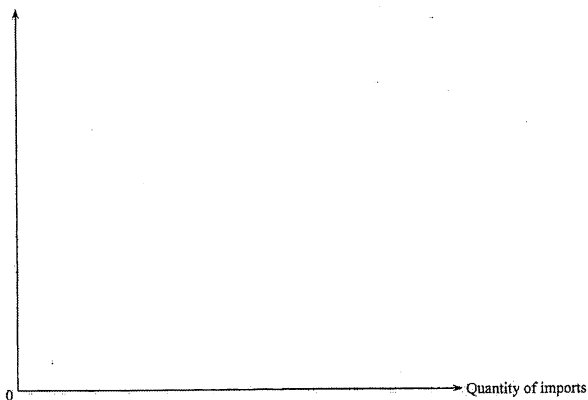
| Item (In terms of HK\$)                                         | Effect |
|-----------------------------------------------------------------|--------|
| (a) the price of Japanese computers exported to Hong Kong       |        |
| (b) the total value of Japanese computers exported to Hong Kong |        |
| (c) the total value of Hong Kong jeans exported to Japan        |        |

(3 marks)

2012/DSE/II/8

A country's currency depreciates against its trading partners' currencies. Will the depreciation necessarily lower the total import value of this country (in terms of domestic currency)? Explain with the aid of the diagram below. (7 marks)

Price (in terms of domestic currency)

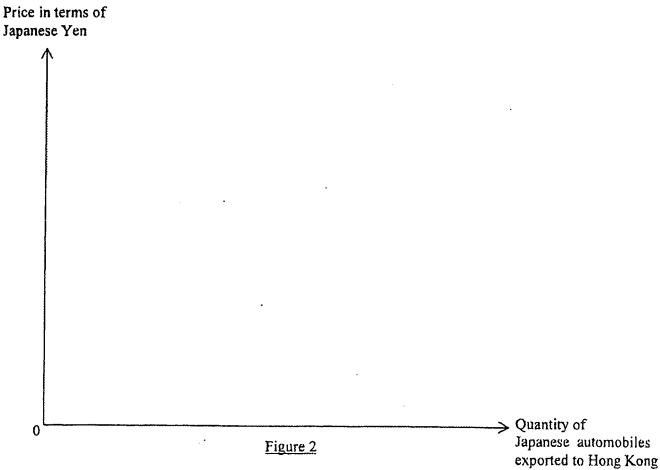


2014/DSE/II/11(a)

The following table shows the change in the exchange rate of the Hong Kong dollar against the Japanese Yen.

| Date                        | Price of 1 unit of Hong Kong dollar |
|-----------------------------|-------------------------------------|
| 1 <sup>st</sup> August 2012 | 10.2 Yen                            |
| 1 <sup>st</sup> August 2013 | 12.5 Yen                            |

Suppose the price of Japanese automobiles (in terms of Yen) does not change. With the aid of Figure 2, explain why the above change in exchange rate would lead to an increase in the total export value (in terms of Yen) of Japanese automobiles to Hong Kong. (7 marks)

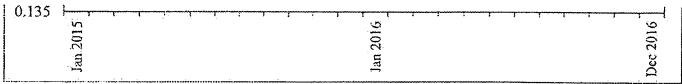


2018/DSE/II/12(d)

Source 2: Statistical data about tourism in Hong Kong in 2016

|                                                         | 2016              | Compared with 2015 (%) |
|---------------------------------------------------------|-------------------|------------------------|
| Mainland visitors                                       | 42.8 billion      | -6.7%                  |
| Total visitors                                          | 56.65 billion     | -4.5%                  |
| Total tourism expenditure associated to inbound tourism | HK\$296.2 billion | -10.1%                 |

Source 3: exchange rate of the Renminbi (RMB) to the US dollar (USD) between 2015 and 2016



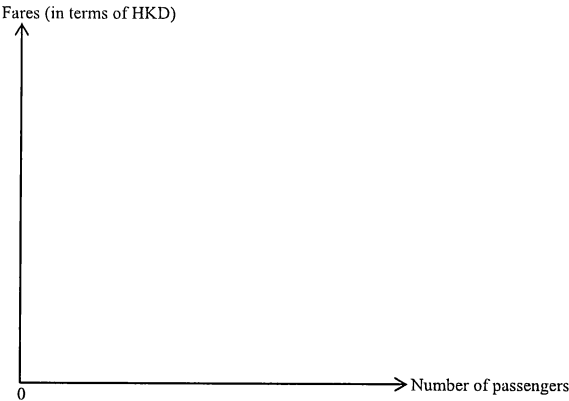
A reporter stated, ‘The change in the exchange rate of the Renminbi to the US dollar was a major factor contributing to the change of the total tourism expenditure associated to inbound tourism.’ Based on Sources 2 and 3, justify his statement. (6 marks)

2019/DSE/II/11  
The Guangzhou-Shenzhen-Hong Kong Express Rail Link (High Speed Rail) was launched in September 2018.

Suppose the fares of the High Speed Rail in terms of RMB are fixed. The fares of High Speed Rail tickets sold in Hong Kong, in terms of Hong Kong dollar (HKD), will be adjusted according to the exchange rate of RMB against HKD.

- (c) ‘A depreciation of RMB against the US dollar (USD) will result in an increase in total revenue (in terms of HKD) of High Speed Rail tickets sold in Hong Kong.’ With the aid of Figure 2, explain under what condition this statement will be correct. (8 marks)

Figure 2



2021/DSE/II/5

Mr Chan, a Hong Kong retired footballer, was employed as a consultant by a football club in the United Kingdom in January 2020. Seven months later, he quitted his position and returned to Hong Kong.

- (a) Explain whether the salary received by Mr Chan from the football club in the United Kingdom would be included in the calculation of
  - (i) gross domestic product (GDP) in Hong Kong. (2 marks)
  - (ii) gross national income (GNI) in Hong Kong. (3 marks)
- (b) If Mr Chan could choose to receive his salary in either British Pound (GBP) or US Dollar (USD), which currency would you recommend him to choose? Explain your answer. (2 marks)

2022/DSE/I/I4b

Country B and Country C are two large open economies. Facing a huge visible trade deficit, Country B imposes a per-unit tariff on goods imported from Country C. Suppose Country B's demand for goods imported from Country C is elastic.

- (b) "Devaluation of a country's currency against its trading partners' may have the same effect on imports as tariff." Use Country B as an example to justify this statement. (2 marks)

2023/DSE/II/9

Figure 2: Value of US dollar (in terms of Japanese yen)

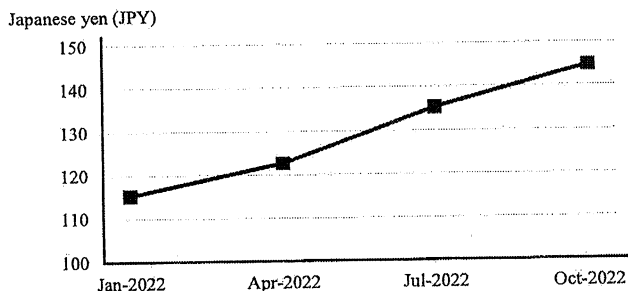
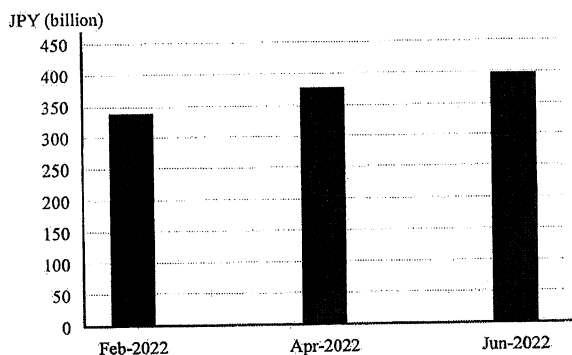


Figure 3: Total value of Hong Kong's imports from Japan (in terms of JPY)

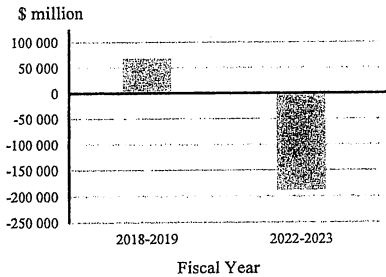


- (a) Refer to Figure 2. Under the Linked Exchange Rate System of Hong Kong, how would the exchange rate between JPY and Hong Kong dollar (HKD) change between January and October 2022? (1 mark)
- (b) ‘The change in the total value of imports shown in Figure 3 could be explained by the change in exchange rate between JPY and HKD during the period.’ With the aid of Figure 4, justify this statement.  
(For simplicity, assume that in terms of JPY, the price of Hong Kong’s imports from Japan does not change.) (4 mark)

2024/DSE/II/13(b, d)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source B: Exchange rate of US dollar (USD) to Renminbi (RMB) before and after the pandemic

| Date            | Exchange Rate    |
|-----------------|------------------|
| 1 April 2019    | USD 1 = RMB 6.71 |
| 1 November 2023 | USD 1 = RMB 7.32 |

Source C: News extract about the catering industry in Hong Kong in 2023

According to a representative of the catering industry in Hong Kong, local restaurants are unable to recruit enough waiters even though they are offering wages that are more than 50% above the statutory minimum.

Source D: Wage rates of waiters in Hong Kong in 2023

|                              |                 |
|------------------------------|-----------------|
| Statutory minimum wage rate  | \$40 per hour   |
| Average wage rate of waiters | \$62.4 per hour |

Source E: Some data and views on the Hong Kong economy

|                                                                                                                |                                                                                                                                                                                                                                                         |
|----------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>A banker</p>               | <p>Influenced by the contractionary monetary policy in the US, the interest rate in Hong Kong rose drastically from mostly below 2% in 2018 to over 5% by the end of 2023.</p>                                                                          |
| <p>An economist</p>           | <p>The inflation rate in the Mainland remained lower than that in Hong Kong throughout 2023. Negative growth in the general price level was recorded in October and November in the Mainland.</p>                                                       |
| <p>A government official</p>  | <p>Reviving the night-time economy is essential in facilitating the economic recovery in the short term, whereas innovation and technology development is a significant engine for driving high-quality economic growth in the medium-to-long term.</p> |

- (b) Refer to Source B. Under the Linked Exchange Rate System of Hong Kong, how would the change in the exchange rate shown in Source B affect the number of Hong Kong residents visiting the Mainland during the period? Explain your answer.

(3 marks)

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of the sources and economic theories, relevant content, logical presentation, and clarity of expression.

- (d) Suppose there are two suggestions to stimulate Hong Kong's economic recovery and growth:

| Suggestions                                                                                                                                                                                    | Objectives                                                                   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| I. Importing a large number of low-skilled workers for the catering industry and organising more night-time events to attract citizens and tourists to stay out at night for leisure           | To facilitate the revival of the catering industry by boosting their revenue |
| II. Providing tax deductions for firms' expenses on innovation and technology projects to attract local and foreign investors to invest in the innovation and technology industry in Hong Kong | To enhance labour productivity and potential output                          |

With reference to the above sources and your own knowledge in Economics, discuss

- how each of the above two suggestions may achieve its objective, and
- some possible factors that may limit the effectiveness of the two suggestions in achieving their corresponding objective. (Hint: You may consider some macroeconomic variables shown in the above sources, e.g. the exchange rate and the interest rate.)

(14 marks)

SECTION 9: EXTENSION OF TRADE THEORY AND ECONOMIC DEVELOPMENT

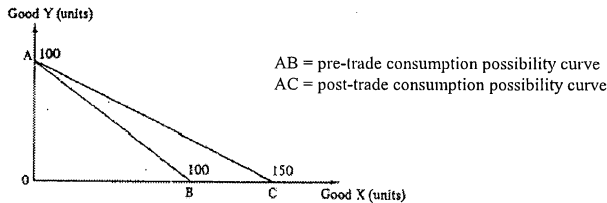
9.1 EXTENSION OF TRADE THEORY

Multiple Choice Questions

(Note: For reference only; no multiple-choice question will be set on the elective parts.)

1990/AL/II/20

Refer to the following diagram about a country:

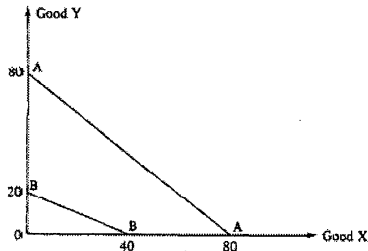


Which of the following statements about the country are correct?

- (1) Trade allows consumption to go beyond its production possibility curve.
- (2) It has a comparative advantage over its trading partner in the production of X.
- (3) The cost to its trading partner of producing 1 Y is higher than 1.5X.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1991/AL/II/04

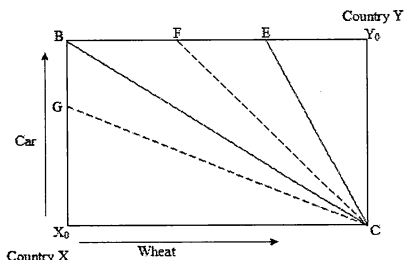


In the above diagram, AA and BB are the production-possibility frontiers of Countries A and B respectively,

- A. Country A will not trade with Country B.
- B. Country A will export Good X to Country B.
- C. Country B has a comparative advantage in the production of Good X.
- D. Country B has an absolute advantage over Country A in the production of Good Y.



1992/AL/II/29



Refer to the above diagram. BC and CE are the production possibility frontiers of Country X and Country Y respectively. Which of the following statements is **FALSE**?

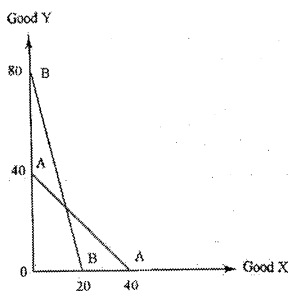
- A. Country X has a comparative advantage in the production of wheat.
- B. Country Y has a higher opportunity cost in the production of wheat.
- C. If CG represents the terms of trade, Country X gains through importing cars from Country Y.
- D. If CF represents the terms of trade, Country X gains through importing cars from Country Y.

1995/AL/II/21

Trade enables a country to

- A. produce beyond its production possibility curve.
- B. consume beyond its production possibility curve.
- C. produce and consume beyond its production possibility curve.
- D. None of the above.

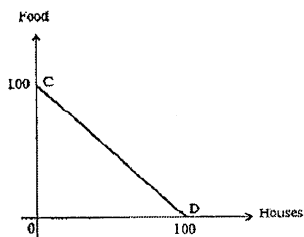
1996/AL/II/24



Refer to the above diagram; AA and BB are the production possibility frontiers of Country A and B respectively. Which of the following statements is correct?

- A. Country A has a comparative advantage in the production of good Y.
- B. Country B has a lower opportunity cost in the production of good X.
- C. Country A gains through importing good Y from country B if the terms of trade is  $1X = 1.5Y$ .
- D. Both countries will not trade with each other if the terms of trade is  $1X = 2Y$ .

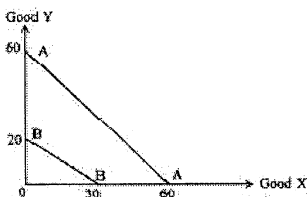
1997/AL/II/17



If CD is the production possibility frontier of both countries A and B, then

- (1) neither country has an absolute advantage in the production of food.
  - (2) neither country has a comparative advantage in the production of food.
  - (3) the domestic exchange ratio between food and houses will be 1 : 1 for both countries.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

1998/AL/II/18

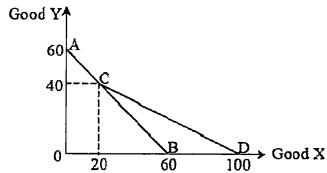


In the above diagram, AA and BB are the production-possibility frontiers of Country A and B, respectively. Which of the following statements must be true?

- (1) Country A will not trade with Country B.
  - (2) Country A has a comparative advantage in the production of good Y.
  - (3) Country A has an absolute advantage over Country B in the production of both good X and Good Y.
- A. (1) only
  - B. (2) only
  - C. (1) and (2) only
  - D. (2) and (3) only

1999/AL/II/19

Consider the diagram below for an economy that has just opened itself up to trade with the outside world. AB shows the pre-trade consumption possibility curve while CD shows the post-trade consumption possibility curve. Which of the following is correct?



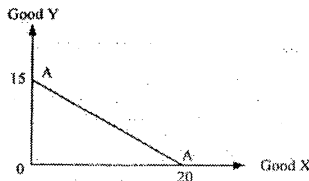
- A. Trade enables the country to increase the production of good X along CD.
- B. The opportunity cost of producing each unit of good Y is more than two units of good X for the trading partner of this country.
- C. The country has a comparative advantage over its trading partner in the production of good X.
- D. None of the above.

2001/AL/II/20

Country A uses labour only to produce good X and Y. The labour requirements for each unit of X and Y are 0.5 and 2 respectively. Without international trade, Country A consumes 50 units of X and 50 units of Y. Suppose the terms of trade is 1, which of the following statements are correct?

- (1) With international trade, Country A will produce more good Y.
  - (2) With international trade, Country A will increase its consumption of good X.
  - (3) With international trade, Country A will increase its consumption of good Y.
- A. (1) and (2) only
  - B. (1) and (3) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

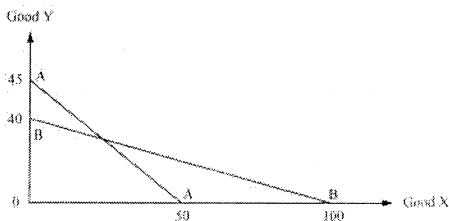
2001/AL/II/21



In the above diagram, AA is the production possibility frontier of country A. Suppose the terms of trade is 1. The net gain of country A for each unit of its import is \_\_\_\_ unit of good X.

- A.  $1/6$
- B.  $1/5$
- C.  $1/4$
- D.  $1/3$

2001/AL/II/26

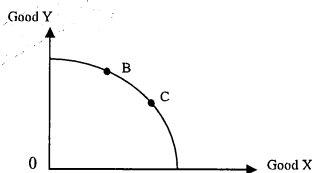


In the above diagram, AA and BB represent the production possibility frontiers of Country A and Country B respectively. Which of the following is correct?

- A. Country A has an absolute advantage in the production of Good Y.
- B. Country B has a comparative advantage in the production of Good X because it can produce more Good X than Country A.
- C. They will not trade with each other if the terms of trade is 1.
- D. None of the above.

2002/AL/I/24

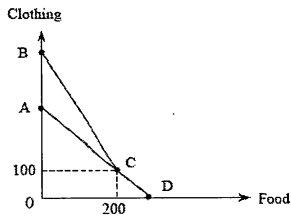
Refer to the production possibility curve of country A below.



Country A's production point will move from B to C when

- A. the relative price of Good X increases.
- B. the relative price of Good Y increases.
- C. there is a change in the amount of resources available.
- D. there is a change in technology.

Refer to the following diagram and answer questions 27 and 28.



2002/AL/II/27

In the above diagram, ACD is the production possibility frontier of Country Y while BCD is its consumption possibility frontier with international trade. With international trade, the production point for Country X is:

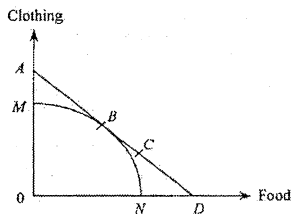
- A. A
- B. B
- C. C
- D. D

2002/AL/II/28

Suppose the value of A and B in the above diagram is 300 and 500 respectively. With international trade,

- A. Country X must be consuming more clothing than it did before trade.
- B. Country X gains 1 unit of food per unit of clothing traded.
- C. the value of D is 600.
- D. the terms of trade is 1 unit of food for 2 units of clothing.

Refer to the following diagram and answer Questions 24 and 25.  $MBN$  is the production possibility frontier of Country S. With international trade, the production point and the consumption point of Country X are  $B$  and  $C$  respectively.



2003/AL/II/24

The terms of trade is measured by

- A.  $OD/OA$
- B.  $ON/OM$
- C.  $AB/BD$
- D.  $AB/AD$

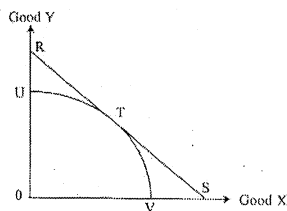
2003/AL/II/25

Without international trade, the consumption point of Country X will lie on

- A. MB
- B. BN
- C. AB
- D. BC

2005/AL/II/27

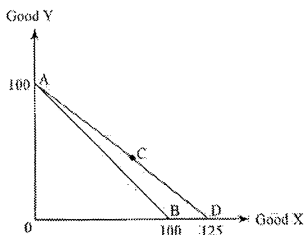
In the following diagram,  $UTV$  is the production possibility curve of a country for two goods X and Y. The point T is the pre-trade equilibrium position. The slope of the line RTS is 1.



When international trade, at a price of 3 units of X per unit of Y, the country will export \_\_\_\_\_ and gain \_\_\_\_\_ for each unit of its imports.

- A. X ..... 2 units of X
- B. X .....  $2/3$  units of X
- C. Y ..... 2 units of Y
- D. Y .....  $2/3$  units of Y

Study the following diagram and answer Questions 26 and 27.



AB is the consumption possibility frontier of a country when there is no trade. When the country trades with the outside world, its consumption possibility frontier is AD and its consumption point is C.

2006/AL/II/26

Which of the following statements is correct?

- A. The production possibility frontier of the country is AD with international trade.
- B. With international trade, the country may produce both Good X and Good Y.
- C. The country may consume less Good Y with international trade than without.
- D. The trading partners of the country have an absolute advantage in the production of Good X.

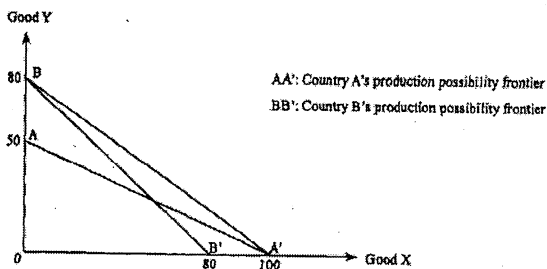
2006/AL/II/27

In trading with other countries, the country will gain \_\_\_\_\_ per unit of export.

- A. 0.2 units of Good X
- B. 0.2 units of Good Y
- C. 0.25 units of Good X
- D. 0.25 units of Good Y

2007/AL/II/24

The diagram below shows the production possibility frontiers of Country A and Country B.

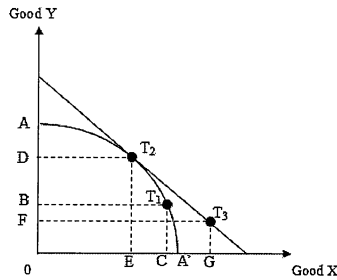


Suppose the terms of trade between the two countries is  $1X = 0.8Y$ . Which of the following is correct?

- A. A'B is the consumption possibility frontier for both countries when they trade.
- B. Both countries will consume more of both goods after trade.
- C. Country A enjoys absolute advantage in the production of Good X.
- D. Country A's opportunity cost of producing Good Y decreases when the two countries trade.

2008/AL/II/24

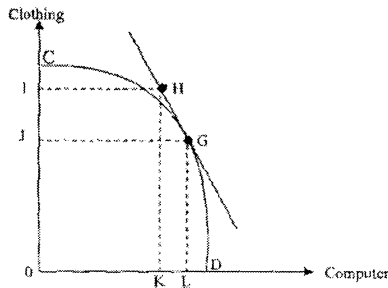
The diagram below shows the production possibility frontiers (AA') of Country A. T<sub>1</sub> is the pre-trade consumption point. When Country A trades with the rest of the world, its production point and consumption point are T<sub>2</sub> and T<sub>3</sub> respectively.



Based on the above diagram, we can conclude that

- A. Country A has an absolute advantage in producing good Y.
- B. Country A has a comparative advantage in producing good X.
- C. the world price of good X is DF/EG.
- D. the world price of good X is DB/EC.

Refer to the following diagram and answer Questions 23 and 24. CD is the production possibility frontier of a country and H is its consumption point with international trade.



2009/AL/II/23

Which of the following statements about the country is correct?

- A. It imports clothing from other countries.
- B. It has an absolute advantage in producing clothing.
- C. It uses all its resources to produce computers.
- D. It gains more than other countries from international trade.

2009/AL/II/24

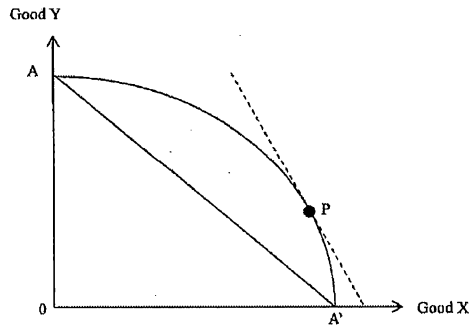
The terms of trade of the country is measured by \_\_\_\_\_.

- A. IJ/JG
- B. JG/IJ
- C. IJ/KL
- D. GL/LD



2010/AL/II/24

Refer to the following diagram.

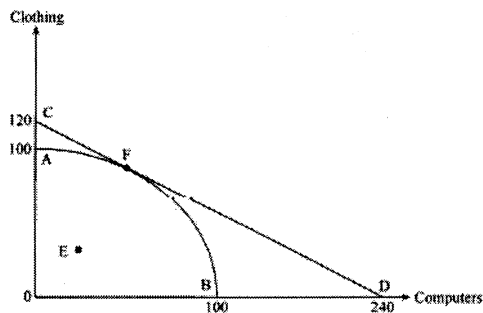


Arc  $AA'$  is the production possibility curve of a small country. The country produces at point  $P$  in the absence of trade. Suppose the straight line  $AA'$  represents the terms of trade, which of the following statements is correct?

- A. The country will import good  $Y$ .
- B. The country will export good  $Y$ .
- C. The country will not trade with the rest of the world.
- D. The country will consume more good  $X$  and good  $Y$  after trade.

2011/AL/II/25

$AB$  and  $CD$  are the production possibility curves of Country  $X$  and Country  $Y$  respectively.



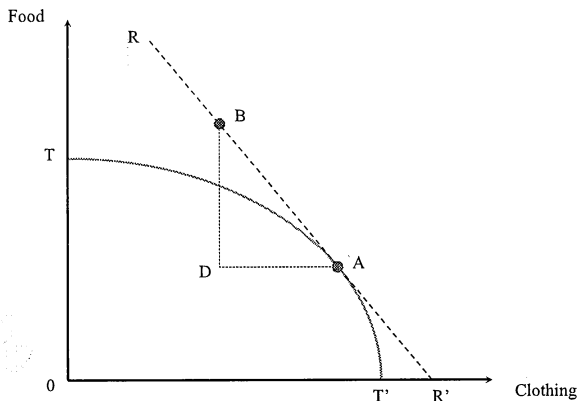
Which of the following statements about Country  $X$  and Country  $Y$  is/are correct?

- (1) Country  $X$  enjoys a comparative advantage in producing clothing.
  - (2) Country  $Y$  enjoys an absolute advantage in producing computers.
  - (3) At point  $E$ , both countries can produce more computers without reducing the production of clothing.
- A. (3) only
  - B. (1) and (2) only
  - C. (2) and (3) only
  - D. (1), (2) and (3)

## Short & Structured Questions

1991/AL/II/3

An economy not engaged in trade can produce and consume anywhere along its production possibility boundary  $TT'$ . With free-trade prices shown by the slope of lines  $RR'$ , production takes place at A and consumption at B. The economy exports DA units of clothing to obtain BD units of food.



With the aid of the diagram provided, show the new consumption pattern and the trade situation after a fire destroyed quantity DA units of its clothing. (10 marks)

1997/AL/II/8

The following table shows the amount of labour required in the production of one unit of Good X and one unit of Good Y in Country A.

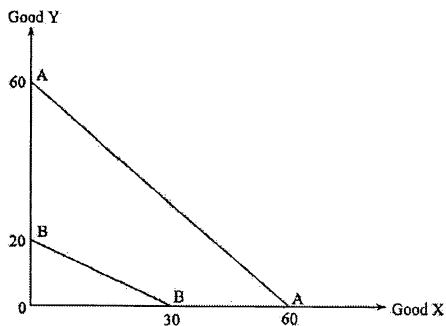
|           | Good X | Good Y |
|-----------|--------|--------|
| Country A | 1      | 3      |

Suppose Country A has L units of labour and the terms of trade are 1.

- Construct the production possibility frontier of Country A. What good will Country A export? (2 marks)
- Suppose there is technical progress in the production of Good Y in Country A. Explain with the aid of a diagram how each of the following situations affect the trade pattern and the welfare of Country A.
  - The labour requirement in the production of one unit of Good Y is 2.
  - The labour requirement in the production of one unit of Good Y is 0.5.

(8 marks)

In the diagram below, AA and BB are the production-possibility frontiers of Country A and Country B respectively.



(a) (i) Which country has a comparative advantage in producing Good X? Explain.

(ii) Is mutually beneficial trade possible between these two countries? Explain.

(4 marks)

(b) If the terms of trade is 10 units of X in exchange for 8 units of Y, what will be the gain from trade per unit of X traded for each country?

(4 marks)

2013/DSE/II/14(a)

Country A requires 1 unit of labour to produce a unit of Good X and 2.5 units of labour to produce a unit of Good Y. Suppose labour is the only resource required for production. Country A is endowed with 10 units of labour and the terms of trade is  $1X = 1Y$ .

- (i) Explain which good Country A will import.
- (ii) Construct the production possibilities frontier and consumption possibilities frontier of Country A in Figure 3 (4 marks)

Suppose the labour force of Country A increases by 10 units.

- (iii) Will the direction of trade be affected? Will Country A be better off as a result? Explain your answers with the aid of Figure 3. (6 marks)

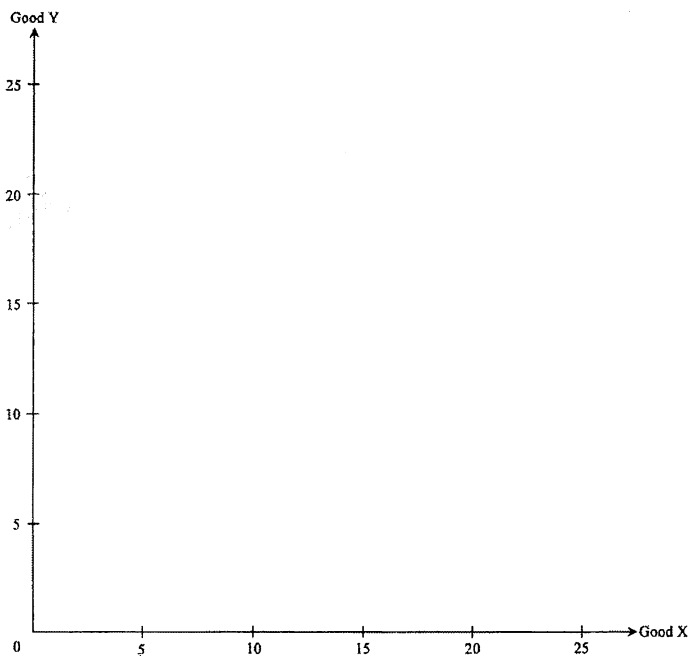
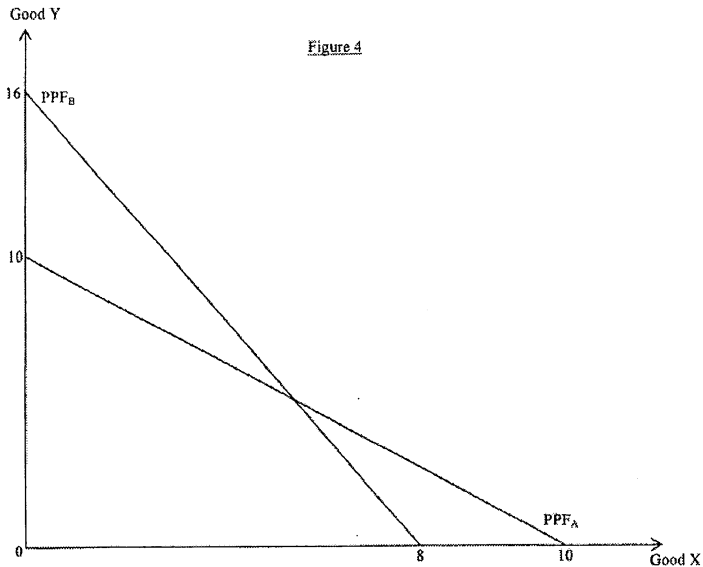


Figure 3

2014/DSE/II/14

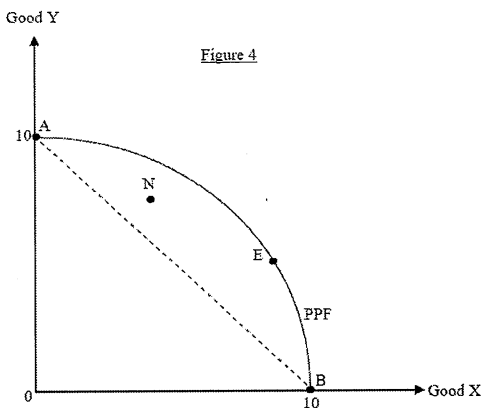
Figure 4 shows the production possibility frontiers (PPF) of Country A and Country B. Suppose the amount of resources of Country A doubles that of Country B in the production of Good X and Good Y. Both countries allocate their resources evenly in the production of Good X and Good Y.



- (a) Explain why the production possibility frontiers of Country A and Country B are straight lines. (2 marks)
- (b) Explain whether Country A enjoys
- an absolute advantage in producing Good X.
  - a comparative advantage in producing Good X.
- (5 marks)
- (c) Suppose the international price of a unit of Good X is 1.5 units of Good Y. Show on Figure 4:
- The production point of Country A after specialization.
  - The consumption possibility frontier (CPF) of Country A when there is trade.
  - The consumption point of Country A if 4 units of Good X are traded.
- (5 marks)

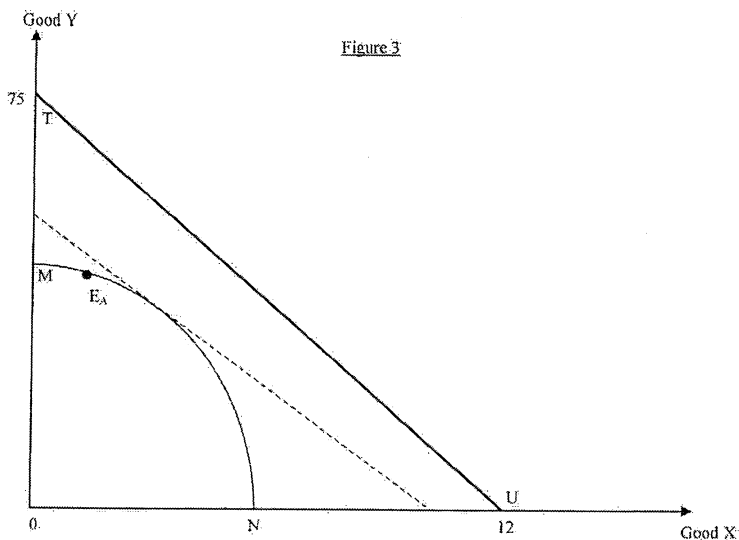
2015/DSE/II/14

In Figure 4, PPF is a country's production possibility frontier where E is the production point without trade. At point E, the domestic cost of production of one unit of good X is 2.5 units of good Y.



- (a) Explain whether the country would produce at point N. (2 marks)
- (b) The slope of dotted line AB is the world price of good X. Explain whether the country has a comparative advantage in producing good X. (3 marks)
- (c) Suppose the country engages in international trade. Indicate its production point after trade and its consumption possibility frontier in Figure 4. (3 marks)
- (d) With the aid of Figure 4, explain whether the country will gain from trade. (3 marks)

In Figure 3, MN and TU are the production possibility frontiers of Country A and Country B respectively.



- (a) Explain why the production possibility frontier of Country A is concave to the origin. (1 mark)

The production point of Country A without trade is  $E_A$ , at which the domestic cost of production of 1 unit of Good X is 4 units of Good Y.

- (b) With reference to the domestic cost of production in both countries, explain in which good Country A has a comparative advantage. (3 marks)

Suppose the slope of the dotted line is the world price of Good X.

- (c) Indicate in Figure 3:

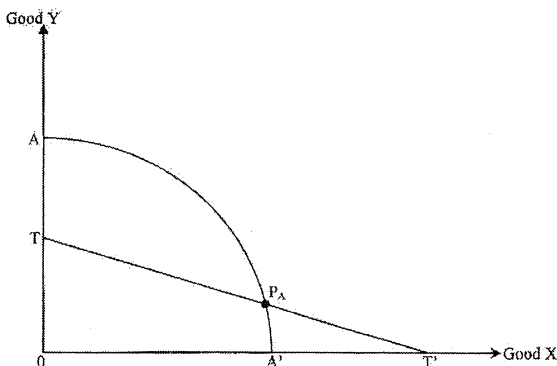
- (i) the production point of Country A after trade as  $P_A$ ,
- (ii) the consumption point of Country A as  $C_A$  given that Country A consumes the **SAME** amount of Good X after trade, and
- (iii) the volume of import and the volume of export of Country A.

(4 marks)

- (d) Country B has a technological improvement which helps double its productivity on Good X and Good Y. Explain whether the answer in part (b) will change. (2 marks)

Figure 5 shows the production possibility frontier  $AA'$  of Country A.  $P_A$  is the production point when there is no trade.  $TT'$  is the world price line of Good X.

Figure 5

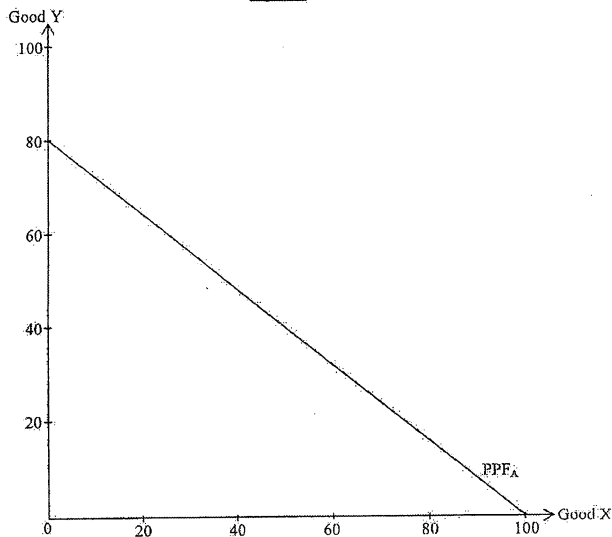


- (a) Initially Country A did not engage in international trade.
- Indicate the consumption point of Country A as  $C_A$  in Figure 5. Explain your answer. (2 marks)
  - Show the opportunity cost of producing Good X in Figure 5. Explain whether Country A would have a comparative advantage in producing Good X. (Hint: you may add a straight line at  $P_A$ .) (4 marks)
- (b) Country A opens up to international trade.
- Draw the consumption possibility frontier (CPF) of Country A in Figure 5. Indicate the production point as  $P_T$  in Figure 5 and explain your answer in terms of marginal cost. (3 marks)
  - Indicate the consumption point as  $C_T$  in Figure 5. Why is Country A better off after trade? (2 marks)
  - Indicate the volume of imports as  $M$  in Figure 5. (1 mark)



Figure 4 shows the production possibility frontier (PPF<sub>A</sub>) of Country A.

Figure 4



Both Country A and its trading partner, Country B, produce Good X and Good Y. Country A has 50 units of resources whereas Country B has 30 units of resources. Country B requires 1 unit of resources to produce 1 unit of Good X and 0.5 units of resources to produce 1 unit of Good Y.

- (a) Draw the production possibility frontier of Country B (PPF<sub>B</sub>) in Figure 4. (1 mark)
- (b) Explain which country has an absolute advantage in producing Good X. (3 marks)
- (c) The two countries trade with each other and the terms of trade is  $1X = 1Y$ . Also, Country B consumes equal amount of Good X and Good Y after trade. In Figure 4, indicate
  - (i) the production point ( $P_B$ ) of Country B after specialisation, (1 mark)
  - (ii) the consumption possibility frontier (CPF<sub>B</sub>) and consumption point ( $C_B$ ) of Country B after trade and (2 marks)
  - (iii) the consumption possibility frontier (CPF<sub>A</sub>), the volume of import and the volume of export of Country A. (3 marks)

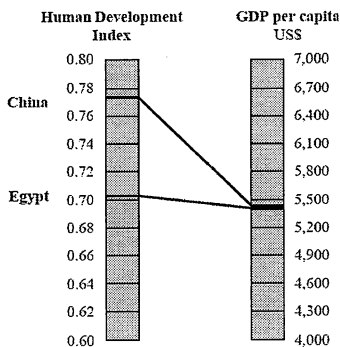
## 9.2 ECONOMIC DEVELOPMENT

### Short & Structured Questions

PP/DSE/II/16(b)

Figure 7 shows the Human Development Index and GDP per capita of China and Egypt in 2009.

Figure 7



- Suggest **TWO** reasons to explain why China has a significantly higher Human Development Index despite having a similar GDP per capita to Egypt. (4 marks)
- The GDP per capita of China increased sharply in the last decade. Explain with **TWO** reasons why the increase in the GDP per capita may overstate the improvement of general living standard. (4 marks)

2012/DSE/II/15(d)

The Human Development Index (HDI) of Country B increases after trade.

- What does HDI measure?
- Suggest **ONE** possible reason for such an increase.

(4 marks)

2013/DSE/II/14(b)

Refer to the following information about Hong Kong and Japan in 2011 and answer the following questions.

|           | Human Development Index rank | Gross National Income per capita rank MINUS HDI rank |
|-----------|------------------------------|------------------------------------------------------|
| Japan     | 12                           | 11                                                   |
| Hong Kong | 13                           | -4                                                   |

- Which place had a higher Gross National Income per capita in 2011? Show your workings.
- State **TWO** possible reasons why Japan had a higher HDI rank than Hong Kong in 2011.
- Suggest **ONE** government policy that could raise Hong Kong's HDI rank.

(6 marks)

2014/DSE/II/14(d)

The production possibility frontier of Country A has shifted out due to changes in government policies on human capital. Suggest **TWO** such possible policy changes in Country A. (4 marks)

2015/DSE/II/14(e)

After the country's opening up for trade, its Human Development Index (HDI) has risen.

- (i) Give **ONE** reason why international trade can lead to a rise in HDI. (1 mark)
- (ii) Despite the rise in HDI, the residents in the country generally agree that the living standard has declined. Suggest **TWO** possible reasons to explain their view. (4 marks)

2016/DSE/II/15(e)

The census statistics report of Country A warns that the country would suffer from brain drain, i.e. many residents with a high education level migrate to other countries.

- (i) Explain **TWO** effects of brain drain on the economic growth of Country A. (4 marks)
- (ii) In the light of globalisation, suggest **ONE** policy the government of Country A could adopt to relieve the problem. Briefly explain your answer. (2 marks)

2017/DSE/II/15(c)

The following table shows some data of Country A. Country A opened up to international trade after 2000.

| Year                          | 1990  | 2000  | 2010  |
|-------------------------------|-------|-------|-------|
| Per-capita real GDP (in US\$) | 2 950 | 3 000 | 3 600 |
| Human development index (HDI) | 0.67  | 0.68  | 0.68  |

With reference to the above table, explain how international trade affects

- (i) the economic growth of Country A. (2 marks)
- (ii) the economic development of Country A. (2 marks)

2018/DSE/II/15(d)

Explain whether the following policies would result in an increase in a country's Human Development Index (HDI).

- (i) The government closes down environmentally harmful power plants and factories. (3 marks)
- (ii) The government grants citizenship to all illegal immigrants so that they can stay and work in the country legally. (3 marks)

2022/DSE/II/3b

Refer to the following data about Country A.

| Year                                                    | 2019     | 2020     |
|---------------------------------------------------------|----------|----------|
| Per capita disposable income                            | \$15 000 | \$20 000 |
| Gini coefficient (based on household income)            | 0.51     | 0.56     |
| Gini coefficient (based on household disposable income) | 0.51     | 0.44     |

- (b) Based on household disposable income, did income inequality of Country A improve or worsen in 2020? Suggest **ONE** policy which may have caused such a change. (2 marks)

